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SBERBANK

ANNUAL REPORT 2015

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DISCLAIMER

The information in this annual report of the Bank may include forward-looking statements. Forward-looking statements include all matters that are not historical facts, statements regarding the Bank’s intentions, beliefs or current expectations concerning, among other things, the Bank’s results of operations, financial condition, liquidity, prospects, growth, targets, risk positions, strategies, and the industry in which the Bank operates. By their nature, forward-looking statements involve risks and uncertainties, because they relate to events and depend on circumstances that may or may not occur in the future. The Bank cautions you that forward-looking statements are not guarantees of future performance or developments and that its actual results of operations, financial condition and liquidity and the development of the risks to which the Bank is exposed and the industry in which the Bank operates may differ materially from those made in or suggested by the forward-looking statements contained in this presentation or in oral statements of the management of the Bank. In addition, even if the Bank’s results of operations, financial condition and liquidity and the development of the risks to which the Bank is exposed and the industry in which the Bank operates are consistent with forward-looking statements contained in this annual report, those results or developments may not be indicative of results or developments in future periods

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PORTRAIT OF THE BANK



The largest bank in Central and Eastern Europe¹

Sberbank today is one of the cornerstones of the Russian economy accounting for one-third of its banking system. The share of the leader in the Russian banking sector by total volume of assets accounts for more than 28% of all bank assets.

Sberbank today consists of 16 regional banks and over 16.4 thousand branches in all 83 federal entities of the Russian Federation located across 11 time zones. The Bank's foreign network consists of subsidiary banks, branches, and representative offices in the CIS, Central and Eastern Europe, Turkey, the UK, the United States, and other countries.

GEOGRAPHY

Sberbank Group is present in **22** countries worldwide



MISSION

We instil confidence, provide reliability and make people's lives better by helping them fulfil their aspirations and dreams

VALUES

I am a leader
WE are a team
ALL for the customer

SBERBANK GROUP

- Founded in **1841**
- Our team has **330,700** employees
- 22** countries and 16,400 branches in Russia

OUR CLIENTS

- 137,0 mln** retail clients
- 1,4 mln** corporate clients
- 32,6 mln** payroll clients

DIGITAL SERVICES OF THE GROUP

- 27,2 mln** active users of the Mobile Bank text service
- 11,2 mln** active users of Sberbank Online mobile apps
- 30,4 mln** active users of Sberbank Online internet banking

SCALE

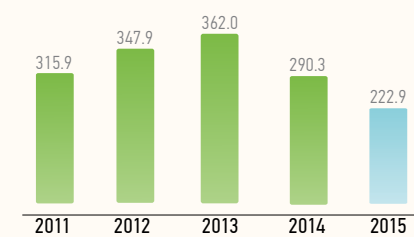
- 4,0 mln** visitors every day
- 90,400** payment terminals and ATMs
- 15,6 mln** credit cards issued by Sberbank
- 102,3 mln** debit cards issued by Sberbank

¹ According to The Banker

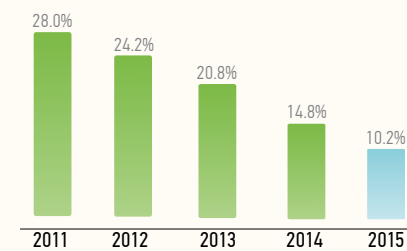
MAIN RESULTS FOR 2015

Resilience in volatile market conditions

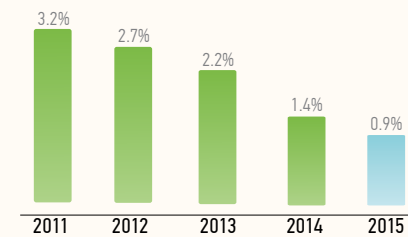
| NET PROFIT, RUB billion



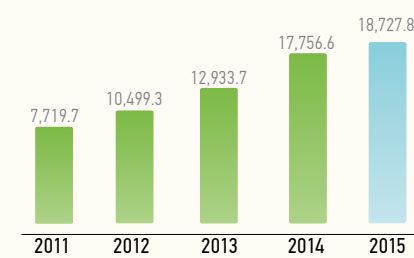
| RETURN ON EQUITY



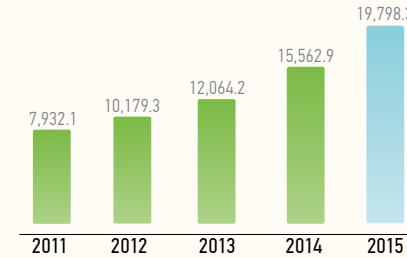
| RETURN ON ASSETS



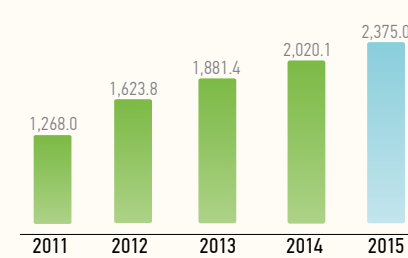
| NET LOANS, RUB billion



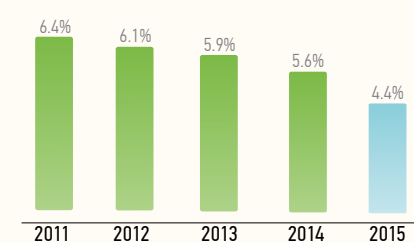
| DEPOSITS, RUB billion



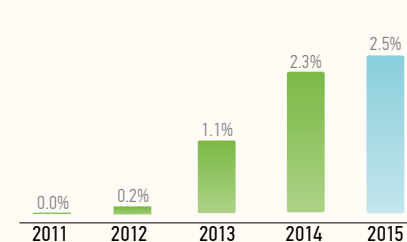
| EQUITY, RUB billion



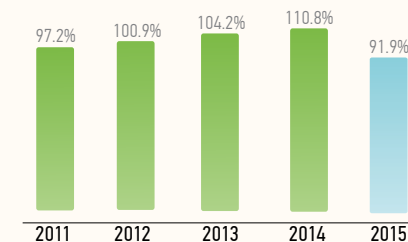
| NET INTEREST MARGIN



| COST OF RISK



| NET LOANS/DEPOSITS



INDEXES

Index	Weight
MICEX/RTS	9.56%
FTSE Russia IOB	10.89%
DAXGlobalRussia	8.09%
MSCI Russia	9.15%

LISTING

Common and preferred shares:

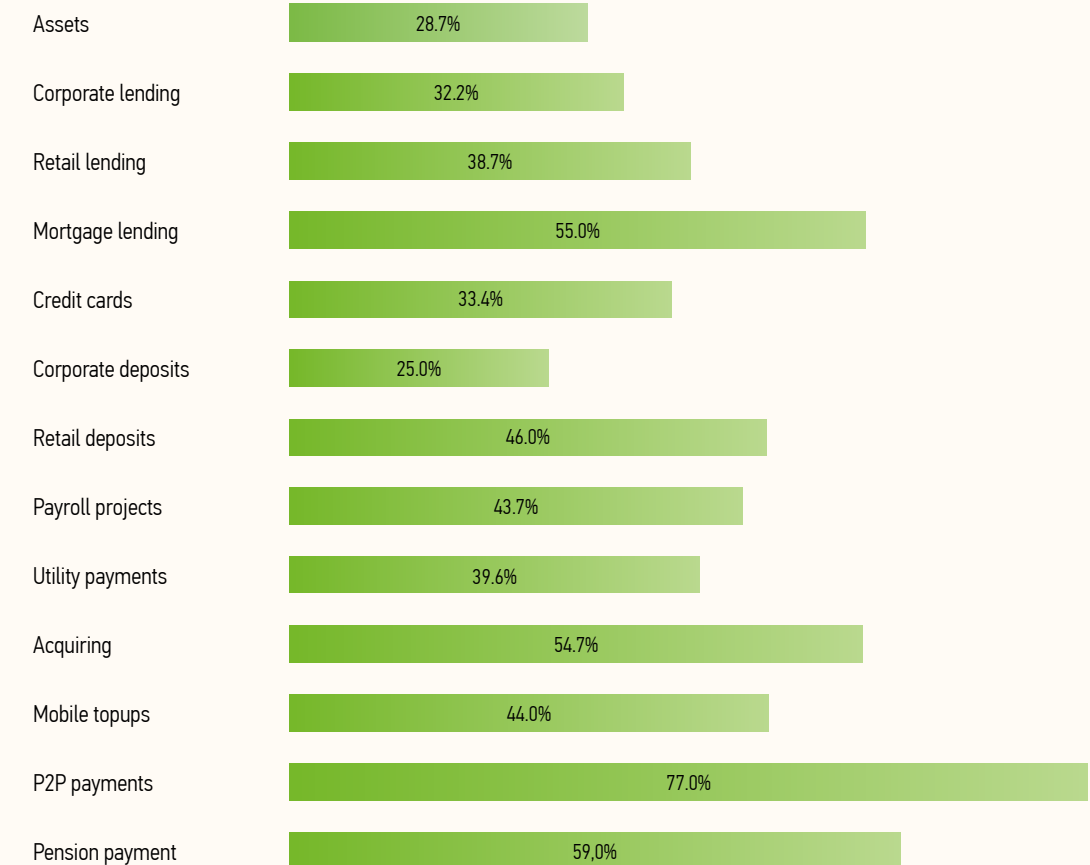
Moscow Stock Exchange
ADRs (1 : 4 common shares):
London Stock Exchange (AIM)
Deutsche Börse (Entry Standard)

RATINGS

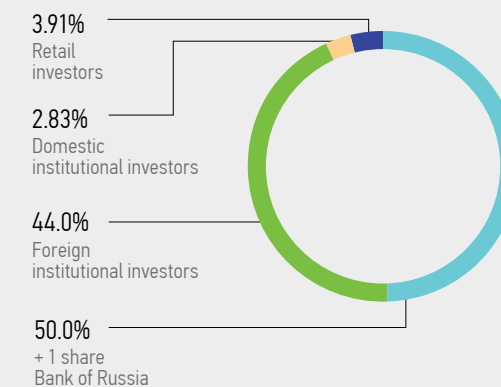
	Long-term, currency	Long-term, roubles	Forecast
Fitch	BBB-	BBB-	Negative
Moody's	Ba2	Ba1	Stable

Leading position on the Russian market

| SBERBANK'S MARKET SHARES IN RUSSIA (AS OF 1 JANUARY, 2016)



| SHARE CAPITAL STRUCTURE



1,000,000,000
PREFERRED SHARES

21,586,948,000
COMMON SHARES

SBERBANK'S STRATEGY HIGHLIGHTS

We are changing ourselves and anticipating future trends

STRATEGY IMPLEMENTATION IN 2015

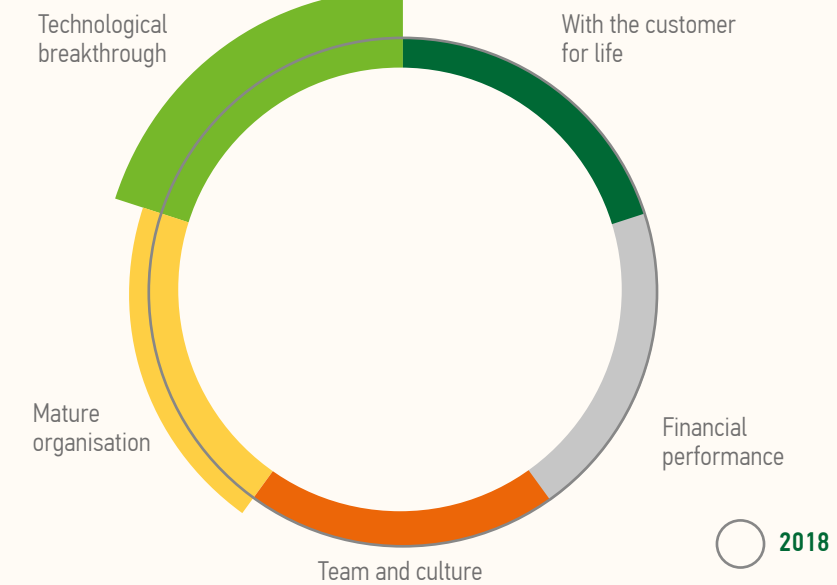
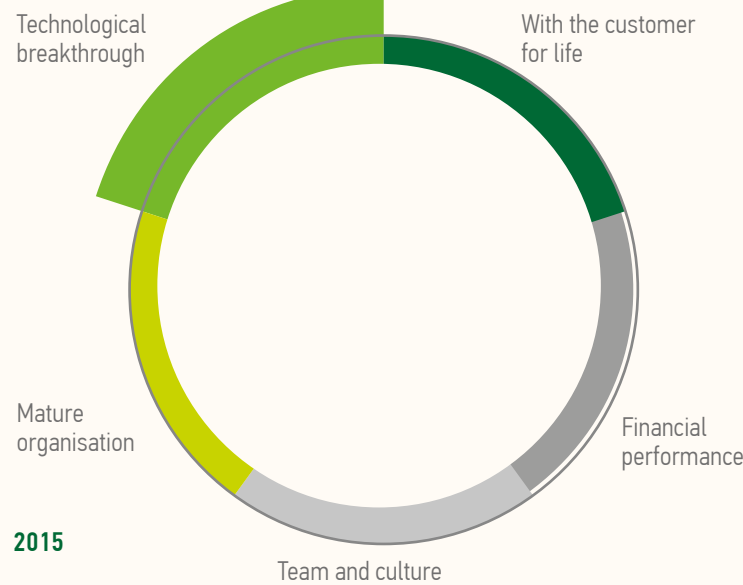
STRATEGY IMPLEMENTATION BY 2018

CHALLENGES

NEW TRENDS

- ✓ PACE OF CHANGE
- ✓ MACROECONOMIC INDICATORS
- ✓ CUSTOMER BEHAVIOUR
- ✓ REGULATION

- ✓ PRESSURE OF TECHNOLOGICAL CHANGES ON BANKS' MARGINAL
- ✓ NEW TECHNOLOGIES ARE FUNDAMENTALLY CHANGING THE WAYS TO SATISFY THE NEEDS OF CUSTOMERS
- ✓ ACCELERATED DEVELOPMENT OF TECHNOLOGIES IS A CRITICAL SUCCESS FACTOR OF ANY COMPANY



2015 RESULTS



ACHIEVEMENTS

- ✓ Growth of business volumes, strengthening of market position, ~150% of income of the banking system
- ✓ All strategic initiatives are being implemented despite adverse environment
- ✓ Improvement of customer service quality (NPS & CSI)
- ✓ Increased level of reliability of IT services
- ✓ IT centralisation programme completed



DEVELOPMENT ZONES

- ✓ Working with customer complaints in the frontline
- ✓ Development of sales in remote channels
- ✓ Operational risks
- ✓ Subsidiary banks' performance
- ✓ Speed of response to external challenges

MAIN FOCUSES FOR 2016



TECH. BREAKTHROUGH

- Drastic improvement of operational efficiency:
- ✓ Improvement of process productivity
- ✓ Reduction of time for bringing new products to the market and decision making
- ✓ Decrease in the level of costs, improvement of the quality, and reliability of systems



MATURE ORGANISATION

Creation of bimodal organisation, effective work as a part of RUN & CHANGE



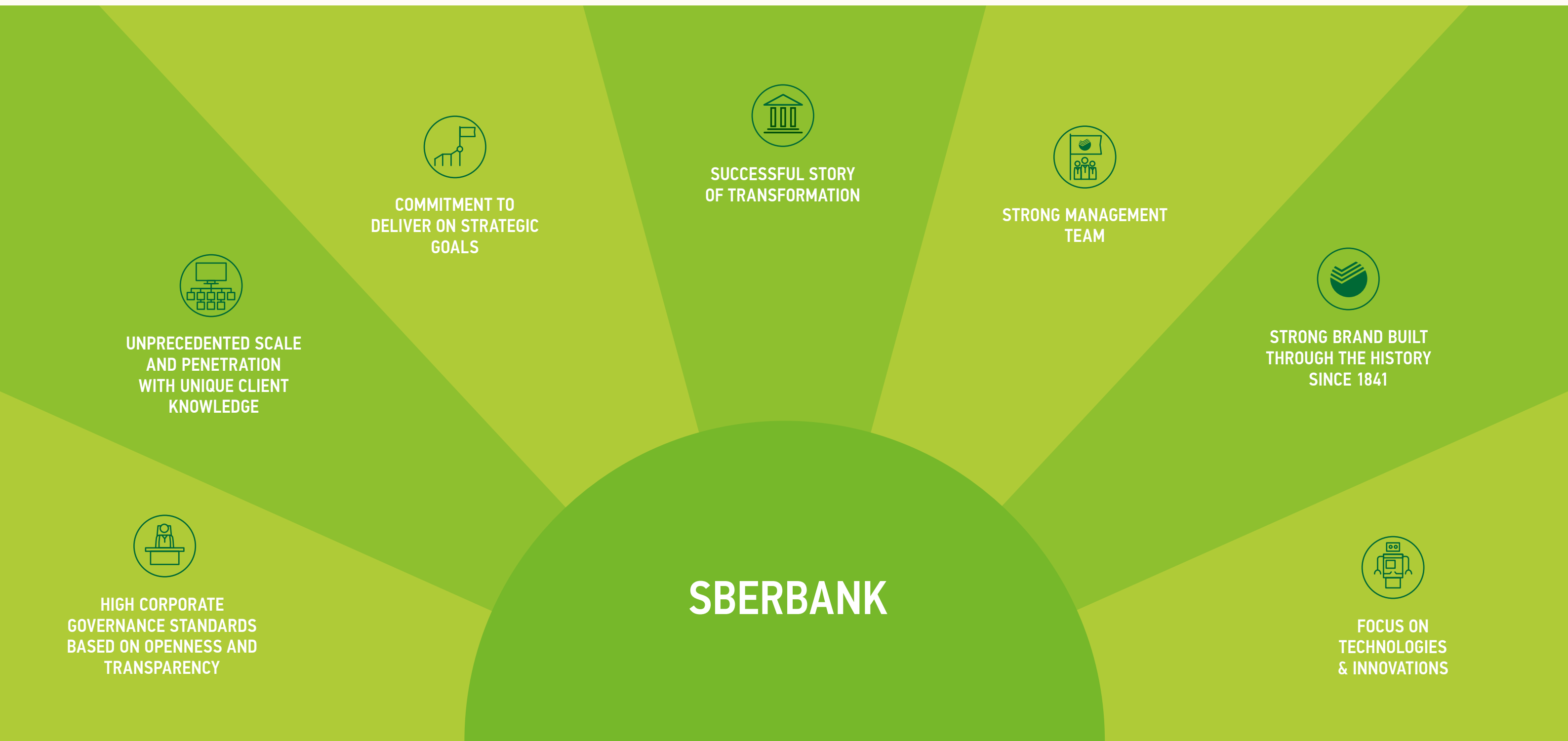
TEAM AND CULTURE

Teamwork, the efficient use of time, and continuous self-development is becoming part of the DNA of the renovated Sberbank

Detailed information on Sberbank's strategy, see page 34

STRENGTH OF INVESTMENT STORY

Constant development to create long-term shareholder value



CUSTOMER-CENTRIC SERVICE MODEL

We want to build deep relationships with customers based on trust to become a useful and integral part of their lives

I am a leader
We are a team
All for the customer

 Detailed information on improvements in customer service quality, see page 112



CUSTOMERS CAN ACCESS ANY SERVICE IN CONVENIENT CHANNEL

We have implemented technology for ordering credit cards via Sberbank Online, where we place personal offers for clients with preapproved limits.

SOME OF 2015 RELEASES

5 clients are viewing their preapproved offers through remote channels, at this very second

>28,000 cards have been issued to clients who ordered via Sberbank Online



IMMEDIATE RESOLUTION OF THE CUSTOMER'S PROBLEM IN THE BRANCHES

A new service model has been created in Sberbank branches to solve customer problems "here and now" – service manager role introduced. Now, 700 service managers are working all over Russia.

>163,000 customer requests have been reviewed and resolved by service managers

76% problems have been resolved by the service management team while the customer waits



100% FINANCIAL SECURITY THAT IS INVISIBLE TO THE CUSTOMER

We have launched the Ladoshki project that allows children to pay for meals simply by holding their hands to a scanner. At that moment, funds are debited from their accounts "linked" to their hands, and the parents receive a text message.

25,000 schoolchildren are already actively using the Ladoshki service



WE KNOW ALL ABOUT OUR CUSTOMERS AND ANTICIPATE THEIR EXPECTATIONS

Personalised offers have been introduced. Based on client knowledge our system structures proposals on special loans, credit cards and deposit products. Autopayment, Mobile Bank, and Social Card offers are being added.



FRIENDLY ATTITUDE AND QUALIFIED CUSTOMER SERVICE

We have elaborated simple "Golden Rules" for all channels and segments. Based on these Rules, service instructions have been drawn up and placed on each desk in branches. The instructions also contain instructions on how to act in nonstandard situations. The Golden Rules are included in the training course for new employees "Service for Everyone."



CONSTANT DEVELOPMENT OF SERVICES

Sberbank has implemented a new option for MTS, Megafon, and Beeline customers across Russia to connect with our Contact Centre using the short number 900. Customer advantages: Short number: easy to remember, simple to dial, well-known to all customers, toll-free.

PLANS FOR 2016



IMMEDIATE RESOLUTION OF THE CUSTOMER'S PROBLEM IN REMOTE CHANNELS

To effectively address customer issues in remote channels, we are building a team of highly-qualified experts on the basis of the Contact Centre who are able to solve any problem a customer may have related to any product or service. In the first half of 2016, experts at the Unified Centre started to resolve customer issues remotely.



THE CUSTOMER IS ALWAYS RIGHT

We compensate for customer funds at the moment of a customer's request before conducting a detailed investigation of failed cash-in and cash-out operations through Self-Service Terminals within certain limits. About 30 percent of cash-in/cash-out operations are resolved on the spot. In 2016, the list of operations for online compensation will be significantly extended.



RELIABILITY, 100% DISCHARGE OF OBLIGATIONS

Customer compensation system. If we fail to fulfil our obligations due to our fault we will apologise and compensate our clients through the choice of Sberbank bonuses or souvenirs. 11 branches are taking part in the pilot project.



#MYCUSTOMER SERVICE FOR EMPLOYEES

If a Sberbank employee becomes aware of a customer problem, from their friends, relatives, or in the office, they just need to send this information via the #mycustomer service, and the problem will be resolved. The service has been launched in pilot mode and rollout.

CORPORATE SOCIAL RESPONSIBILITY

For us, Corporate Social Responsibility is an approach that we use to build relationships with our stakeholders. We strive to do our business in a way that would benefit all parties Sberbank interacts with.

 Detailed information on Corporate Social Responsibility, see page 109.



SOCIETY

- ✓ With its mortgage loans amounting to more than RUB 2.1 trillion, Sberbank has been acknowledged as the leader in home lending
- ✓ As part of the initiative on enhancing financial literacy, Sberbank updated its “Financy Prosto” portal (finprosto.ru), where over 20 thousand users are registered
- ✓ Over 700 workshops for pensioners were arranged under the New Opportunities Club initiative
- ✓ Sberbank’s Contribution to the Future Charity Fund has been established
- ✓ Regional banks of Sberbank provided over 700 volunteer initiatives
- ✓ Sberbank allocated RUB 447.6 mln to the Gift of Life (Podari Zhizn) Charity Foundation



CUSTOMERS

- ✓ Sberbank Customers Satisfaction Index score was 9 points out of 10 (with 1 for “absolutely dissatisfied” and 10 for “very satisfied”)
- ✓ 55% of respondents were willing to recommend Sberbank to their friends and relatives (NPS index)
- ✓ Over 30% of Sberbank customer service outlets are located in underdeveloped and low-populated areas
- ✓ 7.1 thousand customer service outlets are adapted for people with disabilities
- ✓ Over 12 thousand antiskimming devices were installed on Sberbank ATMs, resulting in a threefold reduction in fraudulent device installation



TEAM

- ✓ Sberbank Group includes 330.7 thousand employees
- ✓ The Group employee turnover indicator amounted to 14%, down 4 p.p. as compared to 2014
- ✓ Sberbank specialists attended 550.6 thousand training events and courses
- ✓ 25 thousand managers (75% of all Sberbank’s managers) attended training at the Sberbank Corporate University
- ✓ 4.2 thousand of questions were collected from employees to be discussed during the Hotline with CEO Herman Gref
- ✓ 12 thousand employees passed the training under the Sberbank tutorship programme and more than 4 thousand of “tutor and mentee” pairs were formed
- ✓ A systematic approach to developing corporate culture was elaborated; based on which the Book of Values was created, the Code of Ethics was developed, the 5+ assessment of compliance with corporate values was introduced, etc.



ENVIRONMENT

- ✓ Sberbank handled over 1.4 thousand tonnes of waste paper for recycling
- ✓ 96% of hazardous waste produced by the Group were handled for recycling
- ✓ Together with the largest Russian companies, Sberbank supported the Climate Partnership of Russia
- ✓ German Gref was a speaker at the IV International Forum for Energy Efficiency and Energy Savings

KEY EVENTS AND ACHIEVEMENTS



Over half Bank's of customers are willing to recommend Sberbank to their friends and acquaintances

Sberbank's efforts to improve customer focus were valued by its customers. In 2015, the NPS index showing the willingness of customers to recommend bank services to their friends reached 55%.



Sberbank has provided its customers with the option of requesting Credit Cards via self-service terminals

Extended functions of self-service terminals allow Sberbank to significantly increase the effectiveness of customer service and to provide modern and high-quality services within a very short time.



In 2015, the Customer Satisfaction Index (CSI) came to 9 of 10

During the year, Sberbank received more than 860,000 comments from its customers. Sberbank conducts satisfaction surveys by phone calls and text messages asking customers to assess the quality of service after visiting its office or calling the Contact Centre.



245,000 new corporate clients

One of the key components of Sberbank's success is its constant work to attract new customers. Corporate clients appreciated the wide range of modern financial products and services offered by Sberbank.



In 2015, 700 million people visited Sberbank branches

Consistent work to introduce innovative technologies and the most advanced governance methodologies allowed Sberbank to significantly enhance effectiveness of its branch network, which is able to serve millions of people.



95% of Sberbank customers waited in line for less than 10 minutes

Active implementation of modern technologies and best practices in customer service allowed Sberbank to significantly increase the effectiveness of employees engaging in customer service and, as a result, to reduce the wait time in bank branches.



Two million people use Sberbank Online daily

In 2015, Sberbank actively worked to improve Sberbank Online for all mobile platforms. New options for transfers, payments, personal finance management, etc., became available to users. Significant progress was made in improving security.



31,4 million active users of Sberbank direct debit payments

Automatic payments is a convenient tool that enables clients to save time and make all regular payments without delay.



According to UsabilityLab, Sberbank's iPhone Mobile Application was recognised as the most convenient in Russia.



The "Thank You from Sberbank" loyalty programme received prizes in the Customer eXperience Awards Russia



Sberbank was awarded The Time of Innovations 2015 prize in the category Social Innovation of the Year for its Ladoshki project



The programme for the centralisation Sberbank's IT systems (Centralisation 2.0) won the Model Bank 2016 and IPMA International Project Excellence Award 2015 competitions.



Sberbank was awarded the FinBranch prize in two categories: The Best Bank Branch and The Most Caring Bank Branch



For the Direct Line with CEO Herman Gref held in December 2015, Sberbank received the Silver Prize of the IC Brilliance Awards in the category Best Employee Engagement.



Sberbank was awarded the Visa prize in six categories: Effective Risk Management in Domestic Transactions as an Issuer, Effective Risk Management in International Transactions as an Issuer, Effective Protecting of Fraudulent Transactions as a Credit Card Issuer, Effective Protecting of Fraudulent Transactions as a Debit Card Issuer, Effective Protecting of Transactions as a Business Debit Card Issuer, Level of International Transaction Approval as a Debit Card Issuer.



Sberbank was awarded the Consumer Rights and Service Quality 2015 prize in the category The Most Customer-Oriented Bank in Russia thanks to a high assessment of the projects presented by the Bank, such as the implementation of the Golden Rules for customer service, the launch of the text-based feedback collection system, and special projects for children.

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STRATEGIC REPORT

» OPENING STATEMENT FROM CHAIRMAN OF THE SUPERVISORY BOARD

Sberbank is one of the global financial institutions



Sergey Ignatiev

Chairman of the Supervisory Board

DEAR SHAREHOLDERS,

In 2015, many important events occurred that impacted on the Russian economy and significantly influenced many business segments in Russia. Negative macroeconomic factors, including a decrease in global energy prices, were reflected in the state of the economy and intensified the crisis phenomenon. Despite this Sberbank managed to handle the obstacles and demonstrate high financial results. The determination and perseverance of Sberbank employees will allow us in the future to respond to arising challenges, overcome difficulties and improve for the benefit of all our customers, shareholders, and partners.

It is no exaggeration to say that currently Sberbank is one of the key elements of the financial sector of Russia. Sberbank is constantly improving and updating its services, strengthening its positions as a customer-centric bank. Use of cutting-edge technologies and methods enables us to fully comply with the requirements of the most sophisticated customers. Using our vast experience, Sberbank Group is developing successfully both within Russia and abroad.

We pay a lot of attention to the openness and transparency of our activities and the continuous improvement of the corporate governance system recognising the importance of these activities for successful business as well as for further strengthening of customers, shareholders and partners confidence.

Best regards,

Sergey Ignatiev

Chairman of the Supervisory Board

» OPENING STATEMENT FROM CEO AND CHAIRMAN OF THE EXECUTIVE BOARD

We proved Sberbank's ability to remain stable and to recover profitability without decelerating the pace of transformation



Herman Gref

CEO, Chairman of the Executive Board

DEAR SHAREHOLDERS, CUSTOMERS, AND PARTNERS:

Last year was one of the most challenging times for our team. Despite complex macroeconomic conditions we proved Sberbank's ability to remain stable and to recover profitability without decelerating the pace of transformation.

Sberbank is one of the few companies in the country that did not cancel any projects due to the economic crisis and that continues to implement all the strategic initiatives which are necessary to ensure its long-term existence and competitiveness. Our values—the leading role of the customer, the leadership skills of each member of our team, and cohesion—helped us overcome the difficult period.

In 2015, Sberbank Group earned net profit of RUB 222.9 billion (according to IFRS), which enabled us to restore a double-digit return on equity—more than 10%. Despite extraordinary shocks, full year net profit decreased by only 24% compared to 2014, while in the first quarter the year-on-year lag exceeded 60%.

During the year, we purposefully decreased Sberbank's dependence on state funding sources. During 2015 we managed to repay almost RUB 3 billion of funds to the Central Bank of Russia and the Federal Treasury, decreasing their share in the Bank's liabilities from 16% to 1% and thereby eliminating the direct dependence of our financial results on the interest rate policy of the Central Bank. During the entire crisis period of 2014–2015, not once did Sberbank approach the Central Bank of Russia for additional capitalisation—our own resources enabled us to work effectively even during the extreme conditions of the crisis.

Another contributing factor in the rapid recovery of profitability was increased efficiency and very strict discipline with regard to expense management. Despite this high inflation level, we kept the growth of expenses significantly lower than the average annual inflation rate.

A significant achievement in 2015 was the introduction of the new operating model of Sberbank branches. As a result, customers' issues are solved on the spot, consultants successfully promote services, the level of operational errors is decreasing, and queues are becoming significantly shorter. The number of active users of Sberbank Online internet banking approached 30 million.

In 2015, Sberbank increased its mortgage portfolio to RUB 2.2 trillion, allowing us to capture 55% of the overall mortgage market. This achievement is related to an improved approach to working with customers and to Sberbank's participation in the state mortgage support programme for primary housing. Sberbank's share in this programme exceeds 50%.

Sberbank's non-cash services underwent a significant transformation. Quantitative achievements include millions of active cardholders, tens of thousands of ATMs, and hundreds of thousands of POS terminals in the sales network, which allowed us to make a qualitative leap as well resulting in millions of customers increasingly preferring non-cash payments for services and P2P transfers showing explosive growth.

With the corporate customer segment, we significantly increased the deposit volume increasing our market share by almost 25% during the year. In 2015, corporates opened more than 400,000 new accounts in Sberbank. We are developing digital services for legal entities and continuing to create an ecosystem for corporate customers that helps quickly and conveniently solve everyday business tasks. The number of Sberbank Business Online platform users reached 1.3 million.

Starting in 2013, customer satisfaction level has become one of the key performance indicators for our team. During 2015, the level of corporate customer satisfaction and loyalty reached 67%, exceeding the average market level by 30%.

Sberbank is improving its risk management system. The use of modern, innovative risk management technologies allows us to maintain portfolio quality significantly higher than the market. In 2015, we continued the creation of a risk culture that helps identify, analyse, and minimise risks at all management levels and in all areas of our business.

In 2015, we finished an unprecedented IT system centralisation programme, which was implemented by a team of 32,000 people over the course of four years. This resulted in one of the world's largest centralised IT platforms, which is making it possible to increase the effectiveness and reliability of our business processes. Implementation of this project is laying the foundation for the appearance of brand-new technological solutions for maintaining competitiveness in the future.

All of our accomplishments are the result of the concerted efforts of the close-knit Sberbank team. I would like to thank everyone for their contribution to the overall result. Without your commitment, positive attitude, and ability to listen to each other, it would have been much more difficult to overcome all the obstacles we faced in 2015. We understand that there are a lot of challenges ahead, and our future will directly depend on swift responses, innovations and open dialogue on all levels. That is why we continue to invest in developing the competences and leadership qualities of our entire team.

It is crucial for us to support and promote initiatives capable of improving the life of our customers, their families and society in general. Sberbank finances a lot of socially significant infrastructure projects, such as road construction and the introduction

of modern industrial technologies in factories, residential construction, etc. Charity is an integral part of Sberbank's activity. In 2015, we established the Contribution to the Future Charity Fund to implement projects aimed at supporting education and creating an inclusive environment, which fully corresponds to our mission and values. Our employees share these values and approaches to charity. In 2015, they actively participated in more than 700 volunteer initiatives.

To conclude, I want to thank our shareholders for their support during the past year. Your decision to re-allocate the 2014 profit for the strengthening of the bank's capital allowed us to go through a period of great uncertainty with an additional margin of safety. And I want to assure you that we will continue moving toward our goal—to become the best partner for our customers and shareholders.

MANAGEMENT RESPONSIBILITY STATEMENT

I confirm that to the best of my knowledge and belief:

(a) the financial statements, prepared in accordance with the International Financial Reporting Standards, give a true and fair view of the assets, liabilities, financial position and profit or loss of Sberbank Group as a whole, and

(b) the management report includes a fair review of the development and performance of the business and the position of Sberbank Group included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face.

On behalf of the Executive Board,



Herman Gref
CEO, Chairman of the Executive Board

IMPLEMENTATION OF THE STRATEGY

MISSION AND VALUES

OUR MISSION

We instil confidence, provide reliability, and make people's lives better by helping them fulfil their aspirations and dreams.

Our mission determines the scope of Sberbank's activities and emphasises its crucial role in the Russian economy. As clearly implied by this philosophy, the needs, dreams, and goals of our clients give guidance to our activities. It also stresses that becoming one of the leading credit institutions of the world for Sberbank hinges on personal and professional achievements of our employees and their concerted effort as a team of people who share common values. High goals can be attained by a like-minded team united by a common value system.

OUR VALUES

Our values are at the core of our attitude toward life and work; they are an internal compass that helps us make decisions in complex situations; these are the principles that we follow always and everywhere.

Guiding points that help us make the right decisions in any situations:

I AM A LEADER

WE TAKE RESPONSIBILITY FOR OUR ACTIONS AND FOR WHAT IS HAPPENING AROUND US.

WE ARE HONEST WITH EACH OTHER AND WITH OUR CLIENTS.

WE CONTINUOUSLY DEVELOP AND IMPROVE OURSELVES, THE BANK, AND OUR ENVIRONMENT.

WE ARE A TEAM

WE GLADLY HELP EACH OTHER WORKING TO ACHIEVE A COMMON GOAL.

WE HELP OUR COLLEAGUES GROW AND DEVELOP.

WE ARE OPEN AND TRUST OUR COLLEAGUES.

ALL FOR THE CUSTOMER

ALL OUR ACTIVITIES ARE BUILT AROUND CLIENTS AND ARE IN THEIR INTERESTS.

WE AIM TO SURPRISE AND DELIGHT CLIENTS WITH THE QUALITY OF OUR SERVICES AND ATTITUDE.

WE EXCEED CLIENT EXPECTATIONS.

GUIDING RULES

- ✓ Be more than just a bank.
- ✓ Be attentive to every client, give priority to their needs.
- ✓ Build relationships, not just sell a product.
- ✓ Improve yourself and your environment day-by-day.
- ✓ Never take advantage of your client's inefficiency.
- ✓ Follow the spirit, not only the letter of the law.
- ✓ Any employee is an envoy of the Bank.
- ✓ Loyalty to the Bank, teamwork, common success imply everyone's success.

WHAT IS SBERBANK



TO CLIENTS

- ✓ A bank that values each client
- ✓ A partner-bank that is always ready to help each client in issues related to finance
- ✓ A bank that can be trusted as being financially stable and transparent offering fair terms, prompt and convenient service, helping its clients make a choice and take the best financial decision in their interests.
- ✓ A bank that never stops in improving itself and its operations for the benefit of its clients
- ✓ The best bank on the market.



TO EMPLOYEES

- ✓ A bank that values its employees and takes care of them
- ✓ A place where employees can develop personally and professionally, a bank where the best professionals want to be employed
- ✓ A place where employees are not cogs in the machine but are actively involved in all the processes
- ✓ A bank that offers its employees fair remuneration and social status
- ✓ An exciting place to work
- ✓ A bank one can be proud of, a respected institution where employees are confident about their future



TO SHAREHOLDERS AND INVESTORS

- ✓ The national leader in core business segments
- ✓ A bank that is dedicated to high corporate governance standards, that builds operations on the principles of openness, transparency, and consistency
- ✓ A bank that consistently pursues a prudent, well balanced, and professional approach to risks
- ✓ A bank that has adopted high standards of social responsibility



TO COMMUNITY

- ✓ The leading bank, a pillar of the country's financial system, its growth, and prosperity
- ✓ An active contributor to the economic and social development of each region, town, or city
- ✓ A Russian bank that actively contributes to the development of the global financial system
- ✓ A responsible bank that is aware of the implications that its decisions may have and that actively invests in the growth of financial competence and culture
- ✓ A bank with proactive staff

STRATEGY

IMPLEMENTATION OF THE STRATEGY IN 2015

In 2013, when approving the strategy for Sberbank's development until 2018, we were expecting that economic development over the next several years would be characterised by high volatility and uncertainty.

In 2014, slumping oil prices, restricted access to capital markets, growing geopolitical tension and accumulated structural disproportions plunged the Russian economy into recession, which intensified in 2015.

Macroeconomic changes were bound to affect the banking markets, which responded with acute liquidity shortages and surging interest rates and credit risks.

We proved to be better prepared for this crisis than for that of 2009. This became clear in late 2014, when all our systems and the team came under unprecedented pressure at a time of interest rate shock and liquidity crisis. We may note with satisfaction that Sberbank provided uninterrupted service for its clients, all our IT systems held up, and the bank finished the most difficult month—December 2014—with profits and an inflow of client funds.

During the entire crisis period of 2014–2015, we never approached Bank of Russia for additional capitalisation—our own resources enabled us to work effectively even under the extreme conditions of the acute crisis phase. Furthermore, during 2015, we managed to return almost 3 billion roubles of funds from Bank of Russia and the Federal Treasury, decreasing their share in the bank's liabilities from 16% to 1% and thereby practically eliminating the dependence of our financial result on the interest rate policy of Bank of Russia.

Despite the crisis Sberbank has not abandoned a single project and continues to implement all strategic initiatives necessary for ensuring its long-term activities and competitive performance.

Remote channels developed at a fast pace, and customer service quality improved, which was reflected in the NPS trend (Net Promoter Score) for retail clients and the loyalty index for corporate clients.

We continued to develop our business with a special focus on loan portfolio quality, in particular, by controlling growth rates in specific segments. Number of corporate clients increased by 245,000.

We have increased the reliability level of the bank's IT services (to 99.97%) and completed our IT centralisation programme. In 2015, we launched some new large-scale IT programmes, and we achieved positive results in the development of the risk management system and in managing operating expenses.

These achievements enabled us to obtain an adequate financial result even in a complex economic environment. In accordance with international financial reporting standards (IFRS), our net profit for 2015 was 222.9 billion roubles. While this is less

than anticipated in the strategic plan, Sberbank's profit before tax is still 150% of the total profit of the banking system. In a number of areas, we were not able to achieve the results we had planned. Among areas for further growth and development, we should emphasise insufficient quality in handling client complaints on the frontline, insufficiently active growth of sales on remote channels, a continued high level of operational risks, and a low level of performance of subsidiary banks.

Creating prerequisites for the conditions for maximally quick adjustment to constantly changing external conditions and increasing the speed of decision-making and decision-execution are of key importance to us.

CURRENT CHALLENGES

Changes in the environment which took place in 2014–2015 could not but affect the bank's strategic development but did not result in a drastic revision of the strategic initiatives in general.

Despite the fact that the Russian banking sector as a whole is surviving the crisis quite well, and its clients still trust the banks, the new reality of the banking market—as we foresaw at the strategy development stage—is reflected in the following:

- ✓ A slowdown in the growth rate of key segments
- ✓ A higher level of credit risks
- ✓ A considerable reduction in the profitability of the banking business, including due to increased competition from non-bank players.

Tightened regulation

In the next few years, the Russian banking system will face serious process restructuring and tightened statutory requirements, which will inevitably cause extra costs to banks.

Changing technology and customer behaviour models and preferences.

Our analysis showed that global technology trends are accelerating and changing industry after industry. The banking sector is one of the next in line.

The challenges faced by the Group when the strategy was approved are still relevant, although some of them now have an increased sense of urgency. The growth of the Russian economy in the medium term will be slow, and volatility in the banking markets will remain accompanied by a serious reorganisation of processes and an expected tightening of legal requirements.

A key challenge facing banks will be changes in technology, behaviour models, and customer preferences. The basic needs of customers will remain the same, but new technologies will drastically change the way they are met. The acceleration of global technology trends will exert increasing pressure on the profitability of banking operations as a result of an increased degree of financial market disintermediation and the entry of new nonbanking players (fintech companies) into the market.

In this context, we view the acceleration of technology development in all our business areas as a critical driver of sustainable development and growth in the medium term. At the same time, the Group management model and corporate culture must also be adapted to the new requirements dictated by the competitive trends in the financial market.

We expect that in 2016 low global commodity prices will maintain an unfavourable external background for the Russian economy and banking system: recession, low market growth rates.

KEY TASKS FOR 2016

For Sberbank it will be of particular importance, even in these conditions, not just to maintain the momentum and vector of its transformations but to significantly speed up changes in several key areas. Given the challenges facing the Group, we would like to highlight three key topics of focus for this year: technological development, structural transformation, and team and culture.

Technological development

This factor will help radically improve Bank units performance by improving process productivity, reducing the time needed for the release of new products and for decision making, reducing costs, and improving the quality and reliability of Sberbank's systems.

Structural transformation

We must transition from the existing structure, which is characterised by insufficient flexibility and speed and difficulties in cross-functional interactions, to a bimodal organisation. This means distinguishing two closely related modes of organisation, two types of activities: Run, meaning the mode of current activities, and Change, meaning a mode of constant changes, building new models, and the development of the Group.

Team and culture

The transformation to a bimodal organisation will require, inter alia, a change in mentality, a transformation of the culture. Teamwork, the efficient use of time, and continuous self-development will become part of the DNA of the renovated Sberbank.

While carrying out the objective of the Bank's systemic transformation, special attention will be paid to keeping customers as the primary centre of focus. Each and every decision will be tested to make sure it is in line with customer interests.

Attaining objectives in key business areas will enable Sberbank to meet the Group's 2016 financial goals and generate long-term competitive advantages for the bank

allowing us to maintain leadership amid the rapid growth of new technology, in 2016 as well as in the long run.

THE INFLUENCE OF STRATEGY ON THE BUSINESS MODEL

What does this mean for our business model? Technology seriously changes the way customers interact with the bank. In the long run, it will change the very essence of the bank as a financial institution—the bank will transform from being a financial transaction provider into a platform for interacting with the customer, where financial services will be just a small portion of the offerings.

Currently, Sberbank's business model relies on meeting the customer's main financial needs, but we will be upgrading our business model to correspond to changes in customer preferences by offering them nonfinancial services as well.

Refinements of the strategy with regard to business areas have primarily touched upon the understanding that the bank will have to secure the necessary level of customer loyalty in a highly competitive market. Empathy and design thinking should be the foundation for developing customer relations business models. Integration of new approaches to customer data processing (including Big Data) should ensure the "mass customisation" of offers to all customer categories. This involves deeper segmentation of the customer base, development of customised offers, and the ability to change the basic product parameters depending on the customer's characteristics. Meeting the objective of reaching top market positions in terms of cost efficiency will encourage us to accelerate improvement of customer transactions through remote channels and streamline the bank's branch network. At the same time, we will pursue the task of developing a multichannel platform and enabling customers to perform transactions 24/7. The performance of the sales and service system and increased customer satisfaction with bank services will be maintained through a flexible monitoring model and recording of feedback.

Important changes have been made in the plans for the development of the Group's business abroad. Given the existing geopolitical and economic conditions, we will develop our subsidiaries with a focus on return on investments, asset quality and corporate governance, development of new technology and strengthening our subsidiary teams, rather than on volume growth indicators.

In terms of managing our own processes, we will transition to new principles for the implementation of internal services based on self-management and ongoing streamlining of services. We will develop and adopt a unified service methodology and centralised service management. Digital Inside will become a separate important business area.

STRUCTURE AND BUSINESS MODEL

DEVELOPMENT OF SBERBANK'S BUSINESS MODEL IN RUSSIA

RETAIL BUSINESS AND WEALTH MANAGEMENT

Private Customer Lending	Retail Deposit Operations	Non-interest Income Sources	Insurance and Wealth Management
✓ Home loans	✓ Deposits	✓ Bank Cards	✓ Insurance
✓ Consumer lending	✓ Pensions	✓ Acquiring	✓ Pension savings
✓ Credit cards		✓ Debit Cards	✓ Investment products
✓ Car Loans		✓ Payments and Transfers	

CORPORATE BUSINESS & CIB

✓ Payroll Projects	✓ Cash Management Services
✓ Trade funding and documentary operations	✓ Loans
✓ Foreign trade	✓ Deposits
✓ Conversions	✓ Filing reports with the Federal Tax Service and other supervisory bodies
✓ Acquiring	✓ Obtaining category 1 government guarantees for SMEs
✓ Cash collection	✓ "Digital hypermarket"
✓ Correspondent account turnover	✓ Lending to government bodies of Russian Federation constituents
✓ MB&A Products	

DEVELOPMENT OF SBERBANK'S INTERNATIONAL BUSINESS¹

SBERBANK EUROPE AG	Subsidiary Bank Sberbank JSC (Kazakhstan)
DenizBank A.Ş (Turkey)	SBERBANK PJSC (UKRAINE)
BPS-Sberbank OJSC (Belarus)	Sberbank (Switzerland) AG

¹ The main subsidiaries of the Group

GOALS FOR 2018

CUSTOMERS	PRODUCTS	CHANNELS	FEEDBACK
Shifting from microsegments to individual offers	From selling traditional banking and financial products to ecosystems of integrated solutions (nonbank and partner products and services)	A cashless world, more active transition of transactions and sales to digital channels	Prompt improvement of processes and offers based on feedback

CUSTOMERS	PRODUCTS	CHANNELS	FEEDBACK
From 25 segments to customised offers based on RAROC	From selling traditional banking and financial products to ecosystems of integrated solutions (nonbank and partner products and services)	Reduction of the physical network, development of remote service and sales channels	From flexible management to immediate resolution of the customer's problems in any channel

✓ Business consolidation in target geography	✓ Improvement of the quality of the loan portfolio, optimisation of bad asset management
✓ Withdrawal from noncore markets	✓ Development of target IT solutions in the digital banking sector
✓ Material increase in cost effectiveness (focus on decreasing CIR)	✓ Strengthening of subsidiary bank teams

INTERNAL TECHNOLOGICAL SOLUTIONS



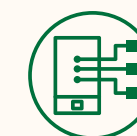
Self-management and ongoing streamlining of services



Unified service methodology



Centralised service management system



Digital Inside development

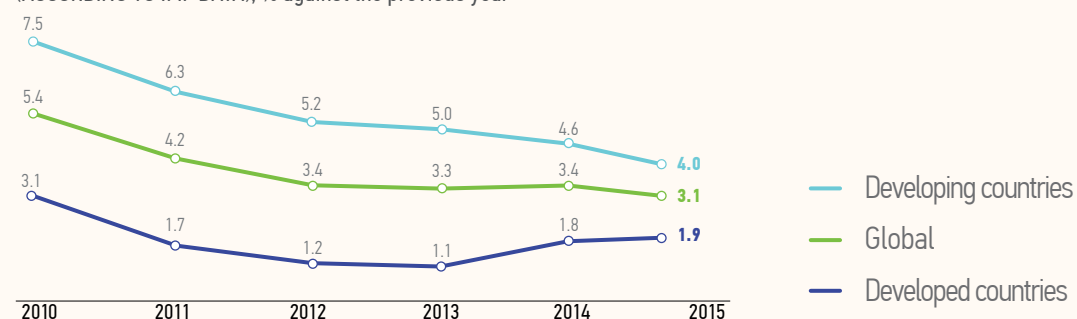
MARKET OVERVIEW

MACROECONOMICS

2015 was characterised by instability in the global financial and commodity markets amid increasing uncertainty regarding global economic prospects.

The global economy declined slightly in 2015. According to the International Monetary Fund (IMF), global GDP growth decelerated to 3.1% (from 3.4% in 2014). At the same time, global trade in goods and services slowed down more significantly, to 2.6% from 3.4% in 2014.

|| TOTAL WORLD GDP GROWTH RATE IN DEVELOPED AND DEVELOPING COUNTRIES IN 2010–2015
(ACCORDING TO IMF DATA), % against the previous year



The slowdown of the global economy in 2015 resulted from a substantial decrease in activity in developing countries, which decelerated their economic growth to 4% (from 4.6% in 2014). The global economy was affected significantly by an economic slowdown in China, which is a key player in global trade. Other BRICS states (except India) also faced a decrease in their economic performance.

The developed economies were relatively positive in 2015; economic growth there accelerated from 1.8% to 1.9%. The situation in the eurozone and Japan improved with the continuation of quantitative easing programmes. Economic growth accelerated in the USA as well, despite the start of normalisation of US monetary policy. Strengthening of the dollar negatively affected the financial stability of some developing countries that faced capital flight.

2015 was characterised by instability in the global financial and commodity markets amid increasing uncertainty regarding global economic prospects. Declining global oil prices aggravated the situation in oil-exporting countries, whose revenues dropped, but was beneficial for oil importers, increasing their economic activity. However, the drop in global oil prices was too massive and had an overall negative effect on the global economy.

RUSSIA'S ECONOMY

RUSSIA'S ECONOMY IN 2015

Aggravated geopolitical risks and the downgrade of the country's sovereign rating to speculative grade caused pessimistic investor sentiments in early 2015. In January 2015, Standard & Poor's downgraded Russia's rating to BB+; Moody's then downgraded it to Ba1 in February 2015.

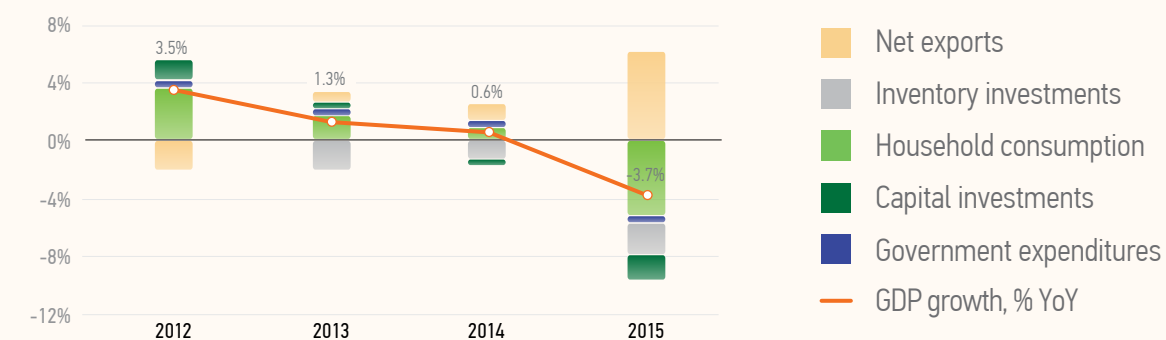
The situation improved upon compliance with the Minsk agreements reached in February 2015. This was followed by a rapid growth in oil prices to USD 60-65 per barrel. In May, the rouble strengthened to 50 RUB/USD, and Bank of Russia set about purchasing foreign currency to augment its reserves. The financial markets also showed upward trends. A substantial part of the unfavourable changes which occurred in late 2014 was recovered in the first half of 2015.

This improvement proved to be a temporary one. Oil prices resumed their downward slide in the second half of 2015 aggravated by an expected increase in Iran's oil supply, concerns about China's economic growth, and an expected increase in the Federal Reserve System (FRS) interest rate. In late 2015, the level of economic uncertainty remained high.

RESULTS FOR THE YEAR

A substantial decline in oil prices and international sanctions resulted in a deep economic recession in Russia. The GDP declined by 3.7% in 2015. The current economic recession is the longest in the country's recent history. The recession has continued for six quarters in a row, and the economy has returned to its 2011 level in terms of the GDP. The main risk to macroeconomic stability now comes from the unfavourable oil market, which hampers Russia's recovery.

|| GDP BREAKDOWN BY COMPONENTS

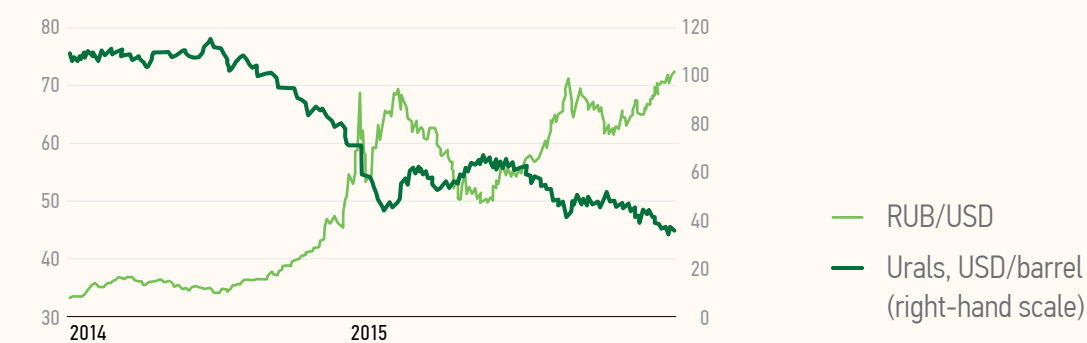


Source: Federal State Statistics Service

The 2015 economic slump was not so deep as in 2009. Bank of Russia's policy and the shift to a floating exchange rate helped the economy adapt to external shocks. Weakening of the rouble after the transition to a floating exchange rate caused a slump in imports (by 25.6%), which statistically maintained GDP growth. The external sector is the only GDP component that made a positive contribution to 2015 economic growth.

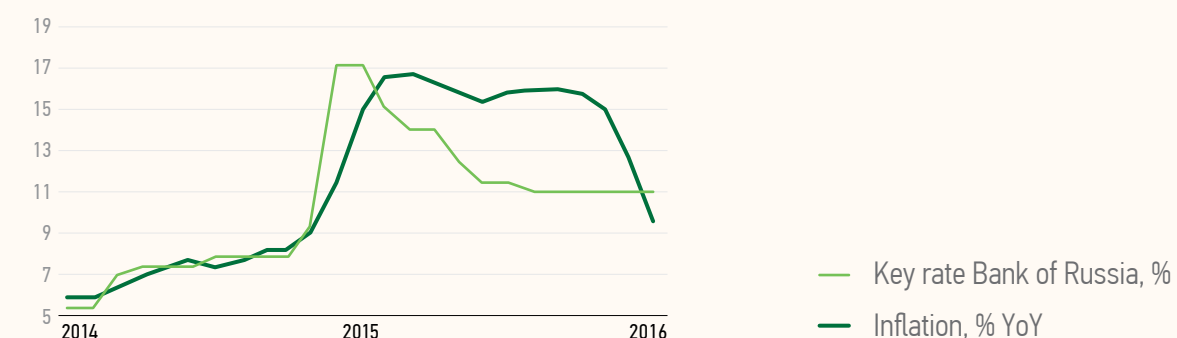
Consumption bore the main brunt of the crisis. Retail sales went down by 10% in 2015. At the same time, retail turnover hit a 15-year minimum (-15.3%) in December. Consumer demand fell in a record short time due to falling real salaries (-9.5%) in the context of double-digit inflation (15.5% on average in 2015) and reduced retail lending (-6.3%). Consumption patterns were also negatively affected by strengthening savings sentiments and an increase in the share of income saved by individuals (14.1% in 2015 from 6.9% in 2014 and 10% in 2011–2013). The reduction in investments in fixed capital reached a substantial -7.6% after falling for the second year in a row.

| THE WEAKENING OF THE ROUBLE RESUMED FOLLOWING THE DROP IN OIL PRICES



Inflation remained high throughout the year. It accelerated during the first quarter of 2015, reflecting the dramatic weakening of the rouble in late 2014 and food product shortages arising from the food embargo. Inflation peaked in March (16.9%), following which weak domestic demand and a strengthening rouble facilitated the deceleration of price growth. Indexation of utility rates and further weakening of the rouble interrupted the trend toward deceleration of inflation and the lowering of inflation expectations. Inflation came 12.9% in 2015, up from the 2014 figure.

| BANK OF RUSSIA SUSPENDED THE DECREASE IN THE KEY RATE AS OF AUGUST 2015



After a sharp increase in the key rate in December 2014, Bank of Russia lowered the key rate consistently throughout the first half of 2015. But the summer acceleration of inflation led to a rise in inflation expectations, prompting Bank of Russia to first reduce the increments at which the key rate was being lowered, and then to suspend the easing of the monetary policy altogether. As a result, the key rate has remained at 11% since August 2015.

The macroprudential policy of Bank of Russia, the provision of foreign currency repos to banks, and the decision of the Russian Government on the additional capitalisation of the banking system with Federal Loan Bonds (OFZs) suppressed the banking crisis at the beginning of 2015. However, most banks ended 2015 with a net loss. The total profit of the banking system proved to be three times less than the 2014 figures. The level of overdue retail debt is higher (8.1%) than during the 2009 crisis (7.9%).

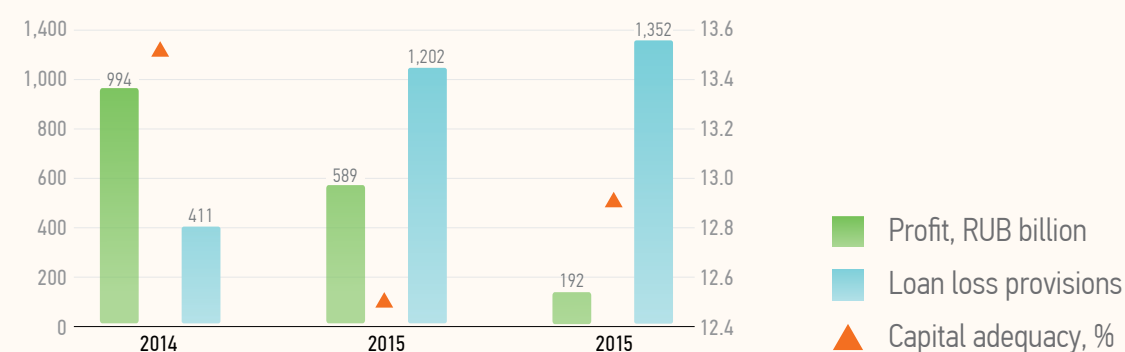
Balance of payment statistics look favourable due to weakening of the rouble that partially set off the negative impacts of falling oil prices. In 2015, the current account balance was USD65.8 billion, up 12.6% from 2014. The trade balance surplus shrank to USD145.6 billion from USD189.7 in 2014. Oil and gas exports in dollar terms went down (-18%) along with oil export revenues (-38%). The main sources of the current account surplus were a decline in tourism and other service imports, migrant payroll and investment payments due to reduced foreign debt (-30% over 2014–2015). Capital outflow reached USD56.9 billion (USD50.2 billion adjusted for currency liquidity transactions of Bank of Russia) due to repayment of private foreign debt.

RUSSIA'S BANKING SECTOR

THE SITUATION IN THE BANKING SYSTEM

Crisis developments in the economy reduced the banking system's profitability. In 2015, Russian banks generated profit before tax of RUB 192 billion¹, three times lower than the 2014 result.

| THE BANKING SECTOR IN 2015 SHOWED THREE TIMES LESS PROFIT THAN IN 2014



Source: Bank of Russia

92 RUB billion

EXCLUDING SBERBANK, BANKS INCURRED LOSSES

The key loss driver in 2015 was a 19% decrease in net interest income, by RUB 470 billion.

A decrease in the key rate during the first half of 2015 facilitated some recovery of the banking sector's margin; however, a further decrease in the key rate is required for further recovery of the banking sector's profitability.

Individual deposits showed substantial growth after the 2014 outflow. Foreign currency deposits increased by USD8 billion during the year, and rouble deposits increased by RUB 2.7 billion. This has resolved the problem of the rouble and currency liquidity deficit across the system, and even generated a liquidity surplus due to low demand for loans.

The inflow of customer funds during 2015 enabled banks to decrease their dependency on Bank of Russia from RUB 9.3 trillion to RUB 4.4 trillion and decrease their interest rate risk sensitivity.

Macroeconomic problems and increased uncertainty in 2015 resulted in a substantial decline in demand for loans, both from private and corporate clients. On their part, the banks tightened their lending requirements in the face of growing overdue debt and deterioration of borrowers' financial status. The amount of corporate loans issued decreased by 11.4% in 2015, and the amount of mortgage loans issued went down by one-third.

As a result, the amount of private loans went down by 5.7%, and loans to nonfinancial institutions increased by 12.7%; however, this increase was primarily due to currency revaluation. Excluding revaluation, the portfolio of loans to nonfinancial institutions increased by only 2.5%.

In 2015, banks created provisions for possible loan losses in the amount of RUB 1.6 trillion—that is, RUB 100 billion less than in 2014. The share of overdue loans in the total loans made to nonfinancial institutions increased from 4.1% to 6.2% and from 5.9% to 8.1% for loans to private customers.

The worst deterioration in quality was recorded for consumer loans, in particular, in the segment of high-margin consumer lending. Mortgage loan quality remains high—the share of overdue loans is only 1.7% (1.1% excluding foreign currency mortgages).

Corporate lending showed the deepest decline in loan portfolio quality in the construction, real estate, air transportation, and trade sectors. The drop in global prices for Russia's exports is affecting second- and third-tier metal and oil companies.

SUPPORT FOR THE BANKING SYSTEM

As part of the anticrisis plan, the Russian Government allocated RUB 840 billion for recapitalisation of the banking system through the Deposit Insurance Agency (DIA). In 2015, the DIA provided subordinated loans and purchased preferred shares in 25 banks for RUB 803 billion. The National Wealth Fund (NWF) and the federal budget made contributions to increase the capital of some state-owned banks (including Vnesheconombank) by RUB 300 billion.

840 RUB billion

THE RUSSIAN GOVERNMENT ALLOCATED FOR RECAPITALISATION OF THE BANKING SYSTEM THROUGH DIA

¹ Here and further in this section according to the Bank of Russia report "Banking sector dynamic development in Russia in 2015".

As a temporary measure, Bank of Russia allowed banks to calculate their risk-weighted assets at a rate below the market rate, gradually increasing the calculation rate over the course of 2015. This measure was revoked as of 1 February, 2016. Additionally, banks were granted a deferral on the creation of provisions for loans to companies under sanctions.

In 2015, the DIA paid RUB 369 billion in compensation to investors in banks whose licence has been revoked. In 2015, 700,000 people applied to the DIA for compensation.

The significant amount of payments diminished the deposit insurance fund, and Bank of Russia approved a RUB 110 billion loan to the DIA and another RUB 140 billion loan for 2016.

DEALING WITH PROBLEM BANKS

In 2015, Bank of Russia revoked 97 banking licences (11.6% of the total number of banks registered at the beginning of the year), including several large-scale banks.

Another 15 banks were rehabilitated. Total Bank of Russia rehabilitation loans exceeded RUB 1 trillion. In 2015, Bank of Russia tightened its approach to bank rehabilitation, given the substantial resources required to rehabilitate banks.

At the same time, Bank of Russia accelerated the procedure for revoking the licences of banks that fail to satisfy creditor claims and expanded the imposition of temporary administrations and moratoriums on creditor settlements soon after the appearance of the first information on delays in payments or defaults on deposits to decrease asset outflow before licence revocation.

THE BANK'S MARKET POSITION AND COMPETITIVE ADVANTAGE

Sberbank strengthened its leading positions in all segments of Russia's financial market.

| SBERBANK'S SHARE OF THE KEY FINANCIAL MARKET SEGMENTS IN 2015 (%)

Indicators	Year				
	2011	2012	2013	2014	2015
Assets	26.8	28.9	29.6	29.1	28.7
Loans to corporate customers	32.9	33.6	33.3	35.0	32.2
Loans to private customers	32.0	32.7	33.5	35.9	38.7
Corporate deposits	14.5	17.2	17.2	21.9	25.0
Retail deposits	46.6	45.7	46.7	45.0	46.0

COMPETITION AND THE GROUP'S MARKET POSITIONS

Growing banking bankruptcies have changed customer behaviour, and now they are paying more attention to banks' trustworthiness when depositing money. This has strengthened the bank's positions in terms of fund raising: in 2015, the Group's share in the private customer market increased from 45% to 46%, and in the corporate market the Bank's share went up from 21.9% to 25.0%.

Mortgage loans were the only segment in the retail loan market to grow. Sberbank has strengthened its position in the mortgage market by increasing its market share from 52.9% to 55%. As a result, Sberbank's total share on the retail loan market increased from 35.9% to 38.7%.

In terms of corporate lending in 2015, the bank followed a conservative policy that caused its market share to decrease from 35% to 32.2%.

Although not a participant in the government-funded recapitalisation programme, Sberbank was able to use its generated profit to increase its share in the banking system's capital from 28.7% to 32.0%, and Sberbank's share in the profit generated by the banking sector in 2015 exceeded 100%.

MARKET OUTLOOK FOR 2016¹

Given the 2016 base scenario with an oil price of USD35 per barrel, we expect GDP to decline 2.2% by year end, slowing down its fall compared to 2015. Inflation will slow down to 8.5% given an average exchange rate of 77.4 RUB/USD.

Corporate lending will continue to slow down, while retail lending may show a decline of 3% to 5%.

We expect customers to continue saving, and both private and corporate deposits will show double-digit growth in 2016.

GDP growth %, average	-2.2
USD/RUB, average	77.4
Inflation %, average	8.5
Capital outflow, USD bln, for the period	-46
Loans to corporates, growth rate, nominal, %	~ 6-8
Loans to individuals, growth rate, nominal, %	~ -3-5
Retail deposits, growth rate, nominal, %	~ 16-18
Corporate deposits, growth rate, nominal, %	~12-14

¹ The 2016 outlook was released on January 20, 2016. Sberbank retains the right to review the forecast during the year depending on the external macroeconomic factors

KEY RISKS

INTEGRATED RISK MANAGEMENT

The risk management system is part of the Group's overall management system and is focused on ensuring sustainable development under the Development Strategy approved by the Supervisory Board of the Bank. Our risk management system complies with Bank of Russia's requirements and the regulations of the Russian Federation taking into account the recommendations of the Basel Committee on Banking Supervision.

THE GROUP'S RISK MANAGEMENT SYSTEM

Risk awareness. The decision to perform any transaction is made only after comprehensive analysis of risks arising in the course of such transaction.

Management of activities with regard to accepted risk. The Group assesses the adequacy of available capital by applying internal capital adequacy assessment procedures.

Top management involvement in risk and capital management. The Supervisory Board, President, Chairman of the Board, Executive Board, and other executive bodies of the bank as well as the supervisory councils and executive bodies of Group members receive information regularly on assumed risks and violations of any risk management procedures, limits, or restrictions.

Risk Limitations. The Group has an effective multilevel system of limits and restrictions ensuring maintenance of an acceptable risk level or Group risk appetite.

Division of functions, powers and responsibilities related to risk acceptance and management. The organisational structure of the bank and the Group members is formed with due regard for requirements prohibiting conflicts of interest and provides for the division of functions and powers of the collegiate bodies, business units, and authorised employees with regard to risk acceptance and management. The Group manages risks based on the principle of "three lines of defense": risk acceptance (the first line of defense), risk management (the second line of defense), and auditing of the risk management system (the third line of defense).

Centralised and decentralised approaches. We combine centralised and decentralised approaches to the management of risks and capital adequacy to ensure maximum effectiveness.

Use of information technologies. Management of risks and capital adequacy is based on advanced information technologies that improve the quality and promptness of decision making.

Improvement of methods. Risk and capital adequacy management methods are continuously being improved, and procedures, technologies, and information systems are being refined in light of existing strategic objectives, environment changes, and innovations in international practice.

Risk culture. The Group is implementing a project to develop the risk culture to ensure the sustainable and effective operation of the risk management system. This project is aimed at shaping employee behaviour so that they could openly discuss and respond to any existing and potential risks and also at fostering an internal mental intolerance toward ignoring or hushing up risks and risky behaviour of other people. Risk culture supplements the formal existing mechanisms and makes up an essential part of the integrated risk management system. We pay special attention to employees' behaviour as a practical manifestation of risk culture.

Labour remuneration system. The Group's Labour remuneration system ensures that the amount of employees' remuneration is in line with the nature and scope of their operations, performance, and the level and combination of accepted risks.

Information Disclosure. All information required in compliance with regulators' requirements related to risk and capital adequacy management is subject to disclosure. The content and frequency of such information are determined in accordance with regulatory requirements.

POWERS AND LIABILITY

Powers and liabilities related to the Group's risk and capital adequacy management are distributed among the management bodies, the bank's executives and departments, and Group members.

The General Shareholders' Meeting of the bank makes decisions on changing the bank's authorised capital to comply with required ratios in the process of the Group's development.

The bank's Supervisory Board establishes the key requirements for risk and capital management, including the Group's risk and capital management strategy; approves the risk appetite and target risk levels of the Group and the bank; and monitors compliance and the assessment of the risk and capital adequacy management system.

The Bank's Executive Board is responsible for the effective implementation of the Group's risk and capital adequacy management strategy and ensures the performance of internal procedures for capital adequacy assessment and maintenance of the Group's capital adequacy.

The Group Risks Committee of Sberbank is responsible for the Group's aggregate risk management, cascades risk appetite into limits by individual type of risks, and sets up special risk management committees.

The Assets and Liabilities Management Committee is responsible for capital adequacy management.

Bank committees for managing specific types of risks are responsible for managing the relevant types of risks of the Group within the scope of their competence.

The Risks unit of the bank designs, implements, supports, and perfects the bank’s and the Group’s risk management system on a consolidated basis and ensures that it conforms to the requirements of the bank’s development strategy, the requirements and recommendations of Bank of Russia, the recommendations of the Basel Committee on Banking Supervision, and international best practices.

The head of the Risks unit (Chief Risk Officer, CRO) controls the operations of the Risks unit and coordinates the Group’s risk management operations by participating in the bank’s committees for management of specific types of risks.

The Finance Unit prepares reports for the purposes of regulatory and management reporting, including those related to the amount of equity (capital) and compliance with statutory ratios, and also performs business planning of the bank and the Group with regard to limits and restrictions established by risk appetite and the target risk levels of the bank and the Group.

Bank departments outside the Risks Unit, which are responsible for managing specific risk types, develop, implement, introduce, support, and improve the management system for the relevant risks.

The internal audit service assesses the performance of the risk and capital adequacy management system and advises the Supervisory Board and executive management bodies of any identified weaknesses in the risk and capital adequacy management system and any efforts taken to remedy them.

Group members organise the risk and capital adequacy management process in compliance with the Group’s requirements and ensure compliance with the established limits and risk target levels.

RISK APPETITE

The Group’s risk appetite is established by the bank’s Supervisory Board with due regard for the requirements of Bank of Russia and the regulators of the countries where the Group is present. Risk metrics for the bank’s and Group’s risk appetite include statutory capital adequacy requirements, restrictions on economic capital value, and indicators reflecting the key risk types (credit, market, liquidity, and operational risks). To ensure compliance with risk appetite, the bank and Group members have a hierarchic system of limits by business areas, material risk types, business units, and other aspects.

Each year, the Group identifies risks and assesses their materiality. A management system is formed for each recognised material risk. The management functions for all significant risks are spread among the bank’s various committees. On an integrated level, risk management is performed by the GRC, the Executive Board, and the Supervisory Board of the bank.

RISK MATRIX

We deem the following risk types to be material: credit risks of corporate and retail customers, country risk, financial institution credit risks, market risks of financial market transactions, ALM risks, loss risks due to changes in real estate value, operating risk, liquidity risk, compliance risk, tax risk, strategic risk, regulatory risk, model risk, and reputation risk.

Risk	2015	2016
Credit risk Risk of losses occurring due to the failure to perform, delay in performance, or incomplete performance by a debtor of financial liabilities under the contract.	The following is applied for effective risk management: ✓ Risk appetite and limit system ✓ Internal ratings system (Sberbank is the first bank in the Russian Federation that petitioned for the use of internal ratings to assess capital adequacy) ✓ Multilevel system of decision-making powers ✓ Sectoral strategies ✓ Security is used to mitigate risks	Further development of internal risk assessment models and use of artificial intelligence elements. Streamlining the decision-making process (“real time” decision making). Implementation of a unified centralised retail collection system.
Liquidity risk Ensuring the capability to perform obligations to clients and counterparties unconditionally, on time, and in compliance with the regulations of Bank of Russia. The Bank distinguishes regulatory, physical, and structural liquidity risks.	The approach to liquidity management is largely dictated by the existing macroeconomic situation and the state of the Russian financial sector. With its flexible interest-rate policy and effective management of the assets and liabilities base, the Bank has managed to reduce the amount of the funds borrowed from Bank of Russia by attracting customer deposits. Sberbank is more than complying with the limits of mandatory liquidity ratios established by Bank of Russia.	In 2016, Sberbank will continue to comply with the limits of mandatory liquidity ratios established by the Bank of Russia.
Country risk Includes transfer risk and national economy risk.	The Bank has developed a system of country risk limits to restrict the total concentration of transactions with counterparties from any given country, including sovereign borrowers/issuers and public authorities.	In 2016, Sberbank will continue to comply with the developed system of country risk limits to restrict the total concentration of transactions with counterparties from any given country. Concurrently, issues related to extension of the country risk management model, allocation and additional limitation of the sovereign’s (state’s) direct risk concentration are considered.

Risk	2015	2016
Financial market risks Risk of losses or reduction of profit associated with adverse changes in the value of financial instruments as well as foreign exchange rates and precious metal prices.	The increase in market risk in 2015 resulted from an increase in volatility caused by a shift of the historical volatility window used in modelling possible scenarios of how the value of the instruments in a portfolio may change. The stock position in the trading portfolio on Sberbank's balance sheet was liquidated.	We presume that the market risk will remain unchanged in 2016.
Interest rate and currency risks of the banking book The risk of incurring financial losses on banking book positions due to an unfavourable change in interest rates, currency exchange rates, or prices for precious metals.	In 2015, Sberbank mitigated rouble interest rate risk by implementing a set of anticrisis measures adopted by the Bank. In 2014–2015, the Bank closed the currency positions of the banking book, and, consequently, the Bank did not suffer any losses due to the considerable weakening of the exchange rate of the Russian rouble compared to foreign currencies.	In 2016, Sberbank will establish its target position for rouble interest risk; indicators for monitoring the volumes and maturity structure of products have been established in order to reach the target.
Operational risk The risk of losses incurred as a result of defects/errors in internal processes, employee or third-party error, or failures in the operation of information systems and due to external events.	The Bank has introduced processes for collecting internal data on operational risk incidents, self-assessment, and scenario analysis. The Bank regularly monitors its operational risk level. The users of various functional units are being gradually connected to the automated operational risk management system.	Standardisation of the operational risk list, introduction of the incident cause analysis system, and control over implementation of measures aimed to reduce the risk level.
Risk of losses due to a change of the property value Risk of losses due to adverse changes in the value of owned property.	The decline in real estate prices has led to the growth of economic capital to cover risk. The weight of this type of risk in the general structure of the Bank's economic capital remains consistently low.	Organisation of work and process to form a single risk management system. Preparation of a methodological framework for risk management - development of a Policy and other statutory documents.

Risk	2015	2016
Compliance risk The risk of legal sanctions or sanctions of regulators, significant financial loss, or loss of reputation as a result of noncompliance with laws, regulations, rules, standards of self-regulatory organisations, or codes of conduct and ethical norms of business.	Efforts were made to improve and automate review procedures for compliance activities and adaptation of the best international practices of compliance control. The Group's Code of Corporate Ethics, which establishes unified principles for business ethics and conduct, was approved.	Areas for the improvement and automation of review procedures: ✓ the Bank has already completed implementation of phase one of a new centralised platform to identify controlled transactions (AML/CFT – anti-money laundering, counter terrorist financing), and will complete implementation within the planned scope by late 2016. ✓ the Bank has centralised post-control of customer transactions (i.e., controlling transactions after they have been made) in the St. Petersburg Compliance Centre and is now focused on enhancing performance; ✓ the Bank is taking a set of measures to introduce a Corporate Code of Ethics based on a compliance-oriented employee behaviour model; ✓ Approaches to information disclosure are being introduced in accordance with Transparency International recommendations.
Legal risk The possibility of suffering financial losses or unplanned expenses or the possibility of reducing projected revenues as a result of: ✓ Nonconformity of internal regulations to the requirements of legislation, legal acts, and law enforcement practice ✓ Failure to take into account (ignoring) judicial and law enforcement practice ✓ Imperfection of the legal system ✓ Legal errors committed in the course of business	The Bank prepares reports on instances of losses (damages) incurred in connection with the realisation of legal risk, the current level of legal risk, the level of legal risk management, and the current status of measures for minimising legal risk. In 2015, after the approval of legal risk management policies in the Group members, the Group members generate and submit legal risk reports to the Bank.	The Bank will continue to build a unified legal risk management system for the banking group.

Risk	2015	2016
Regulatory risk The risk that arises if there is a possibility of enactment of any regulation that regulates an activity, operation, or business of the group and that has adverse financial or other consequences.	The Bank has a Working Group for the improvement of legislative control and creation of a favourable legal environment. In 2015, the Bank worked on forming a consolidated position for key regulatory areas in accordance with the plan of regulatory initiatives.	We plan further improvement of regulatory risk management.
Tax risk The uncertainty as to achievement of business goals as a result of the influence of factors associated with the taxation process that may materialise as financial losses or any other adverse effects.	A multilevel system has been created for tax risk management: ✓ Tax support for the business ✓ Implementation of internal control procedures ✓ Identifying and remedying internal sources of tax inefficiency ✓ Ongoing monitoring of tax initiatives.	The Bank will continue to establish a single tax risk management system for the banking group.
Strategic risk The risk of the Group incurring losses in more than one year's time as a result of errors made when decisions that determine the development strategy were made.	Despite changes in the economic and geopolitical landscape, the key focus areas of development outlined in the 2013–2018 Development Strategy as a priority require no changes. Implementation of the Strategy is supported by the established processes of strategic and business planning and project activities management, as well as the system for managing the performance of executives.	Under the deteriorating economic conditions, Sberbank sees new opportunities for successful implementation of the Strategy through strengthening the technical component of a number of key initiatives and additional sources of efficiency.
Model risk Model risk arises from uncertainty/errors in models (including risk measurement, appraisal of the cost of securities and financial instruments, and liquidity assessment), including the risk of model parameters changing over time.	In 2015, 174 models were validated, of which 23 models needed to be reworked.	Introduction of automated validation of adaptive credit risk models Inclusion of the banking book into the scope of model validation Obtaining approval of the Bank of Russia to use IRB for calculating capital.

Risk	2015	2016
Risk of loss of goodwill The risk of losses that may be incurred by a credit institution as a result of a reduction in the number of its customers (counterparties) following the formation of a negative public opinion regarding the credit institution's financial stability, the quality of its services, or the overall nature of its business.	The bank approved the Code of Corporate Ethics to avoid conflicts of interest between bank employees and clients and counterparties, and between credit institution employees and the bank itself. The bank developed Reputational Risk Management Policy 4094 that was approved and signed by Herman Gref. The Bank ensures prompt settlements upon customers' and counterparties' instructions, payments of deposits and interest on accounts (deposits) and settlements on other transactions. The Bank controls the accuracy of financial statements and other published information made available to shareholders, clients, and counterparties, regulatory and supervisory bodies, and other stakeholders, including for advertising purposes. The Bank is making efforts to improve the training of employees and the level of service provided.	Offering new convenient banking services to corporate and retail customers. Expanding the range of non-banking services. Carrying out comprehensive advertising and information campaigns. Improving the level of service in branches.



For more details on the key risks, see Appendix Risk Management Report.

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PERFORMANCE OVERVIEW

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FINANCIAL PERFORMANCE

During the year 2015, we experienced difficult macroeconomic conditions, yet we were able to achieve double-digit return on equity, which was made possible due to recovery of our net interest income, strong fee & commission income, and robust cost discipline. We would also like to note our achievements in launching of our unified core banking platform and successful consolidation of regional banks and reorganisation of some head office functions that will improve our operational efficiency and decrease our time-to-market of new products.

THE 2015 FINANCIAL HIGHLIGHTS

222.9 RUB billion

THE GROUP NET PROFIT, OR RUB 10.36 PER ORDINARY SHARE

10.2%

THE GROUP RETURN ON EQUITY (ROE)

2,375.0 RUB billion

THE GROUP CAPITAL

19,798.3 RUB billion

CLIENT DEPOSITS

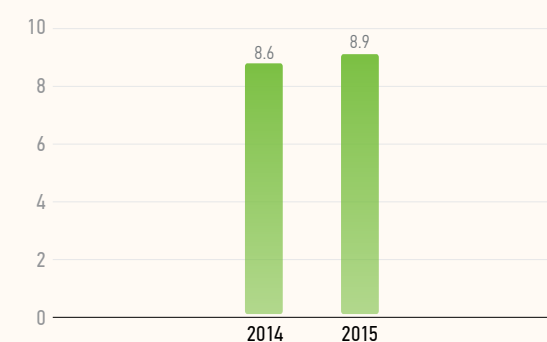


For more details on financial performance, see section Consolidated Financial Statement.

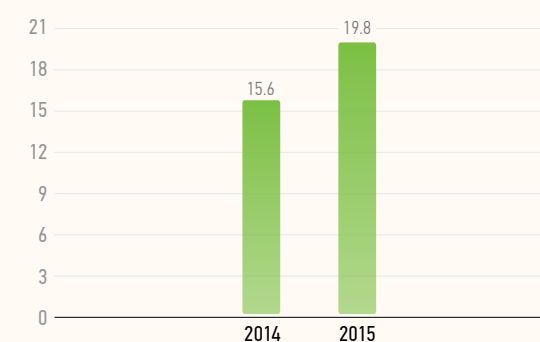
The Group capital position improved during the year, with core capital adequacy ratio up by 30 basis points to 8.9%, while total capital adequacy ratio reached 12.6%, up by 50 basis points during the year.

Client deposits growth up 27.2% to RUB 19.8 trillion in 2015 compared to 2014, with retail deposits increasing 29.1%, while corporate deposits growing 24.4%, reducing dependency on state funding.

| CORE CAPITAL ADEQUACY RATIO, %



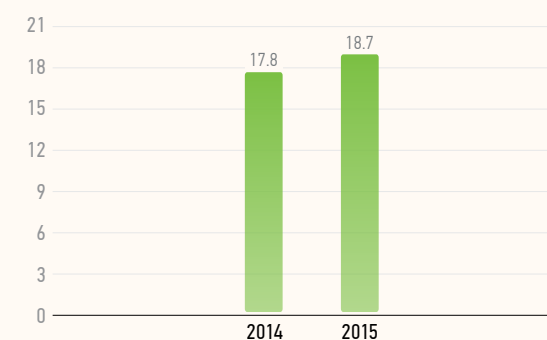
| CLIENT DEPOSITS, RUB trillion



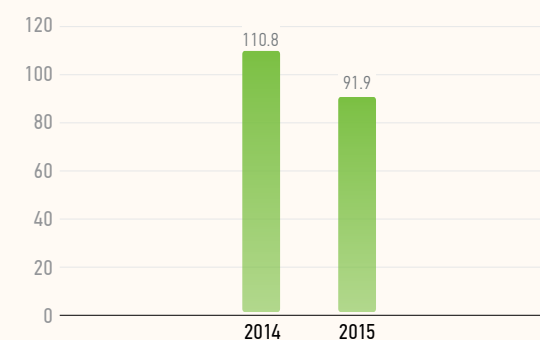
The total loan portfolio before provision for loan impairment increased by 7.0% in 2015; the drivers of this growth were mortgages and commercial loans, which increased by 12.5% and 14.9%, respectively. Sberbank's domestic market share in mortgages reached 55%.

The net loan-to-deposit ratio came to 91.9% on the backdrop of the improving liquidity situation.

| LOAN PORTFOLIO, RUB trillion



| THE NET LOAN-TO-DEPOSIT RATIO, %



CORPORATE BUSINESS

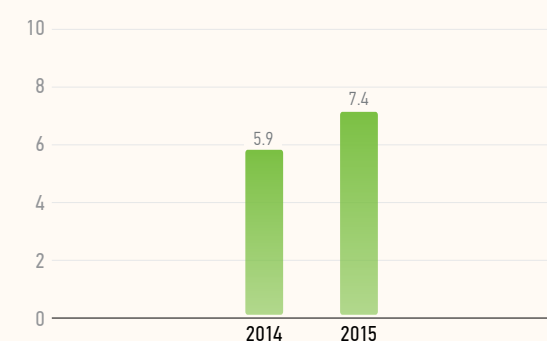
MAJOR ACHIEVEMENTS IN 2015 IN CORPORATE CUSTOMER RELATIONS:

- ✓ In this reporting year, Sberbank raised a record amount of funds from corporate customers. Growth came to RUB 1.5 trillion, and the balance reached RUB 7.4 trillion¹. Work toward raising funds from corporate customers was particularly important this year as over the course of the year the Bank replaced expensive Bank of Russia funds with client funds.
- ✓ The Bank introduced innovative online services that facilitate the following client business operations: business registration, electronic submission of reports to the Federal Tax Service and other bodies using the Sberbank system, and reserving settlement accounts.
- ✓ Clients perform the overwhelming majority of operations on remote channels: 97% of operations are performed through Sberbank's online services, 90% of clients use the self-serve cash collection service in self-service terminals (up to RUB 100,000), and 98% of corporate deposits are opened remotely.
- ✓ All the Bank's corporate customers now have the ability to make payments to counterparties on Sberbank accounts 7 days a week on a 17/7 basis.
- ✓ The technical support of services for companies was evaluated at CNews AWARDS 2015, where Sberbank won in the category "For the Organisation of Technical Support for Corporate Customers."
- ✓ Sberbank launched the Sberbank FinLine remote banking system for financial institutions that offers account and settlement document management services online with SWIFT support.

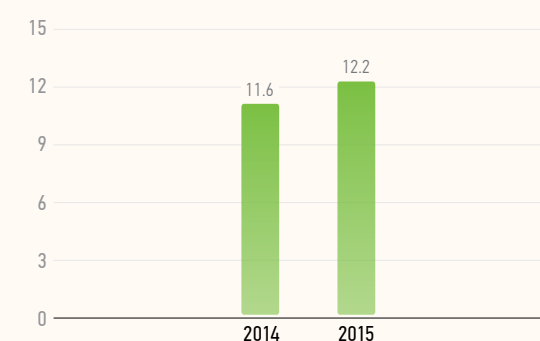
We are a key supplier of financial resources for the Russian economy. The growth of Sberbank's corporate loan portfolio in 2015 was 5.2%¹ against 36.3% in the previous year, when portfolio growth was affected by positive revaluation of previously issued foreign currency-denominated loans following changes in exchange rates.

During 2015, Sberbank issued loans to corporate customers in the amount of RUB 6.8 trillion. Its corporate loan portfolio increased by 5.2% to reach RUB 12.2 trillion. Foreign currency loans make up about 37% of the corporate customer loan portfolio. We actively engage with customers of various sizes and forms of ownership. The segment structure of the portfolio is presented below.

| CORPORATE DEPOSITS, RUB trillion



| LOANS TO CORPORATE CUSTOMERS, RUB trillion



| STRUCTURE OF SBERBANK CORPORATE LOAN PORTFOLIO BY CUSTOMER SEGMENTS

	1 Jan, 2016		1 Jan, 2015	
	RUB billion	share (%)	RUB billion	share (%)
Major business	7,830	63.9	7,118	61.1
Large and medium business	2,931	23.9	3,079	26.4
Small- and microbusiness	472	3.9	565	4.9
Regional state sector	878	7.2	756	6.5
Other	138	1.1	130	1.1
Bcero	12,249	100.0	11,648	100.0

The loan portfolio is presented according to Sberbank's segmentation and takes annual revision of customer segmentation into consideration. The item "Other" accounts for debts that do not belong to customer segments.

¹ According to the Russian accounting standards.

¹ Based on Group's management reporting data.

² Here and further according to the management reporting data of Sberbank.

CIB UNIT

OPERATIONS WITH LARGEST CUSTOMERS¹

The target business model of the CIB Unit was developed in 2015. We changed the criteria for placing customers in segments: the criterion for the annual revenue of holding companies was increased from RUB 15 billion to RUB 30 billion. Because of these changes, a portion of CIB Unit customers are being transferred to the Corporate Business Unit.

The new system of interaction with customers depends on the potential for product sales volumes and revenue. Our customer service teams are continuing to do their work. We started sales campaigns for nine products: payroll projects, trade funding and documentary operations, foreign trade, conversion operations, acquiring, cash collection services, transactions through correspondent accounts, liabilities, and MB&A products.

We introduced the position of CIB operational manager as a single point of contact between customers and banks on all operational matters. We also changed the procedures for handling customer requests; now all requests are handled in a single centre.

Together with the Association of Regional Banks of Russia, the Sberbank CIB syndicated lending team developed standard documentation on syndicated lending in Russian law and presented it to the banking community. Under the current economic circumstances, syndicated lending helps make large restructuring projects a reality, including with the involvement of state guarantees, and also the performance of long-term financing for investment projects in conjunction with other banks.

In 2015, we introduced new products that are enjoying immense popularity among customers, including TKey+, domestic letters of credit with advance payment, and others. We launched the area of nonferrous metals in commodity operations and completed a number of transactions with zinc, copper, nickel, and aluminium.

We created infrastructure for lending in yuan and signed a trade funding cooperation agreement with leading Chinese banks in an amount of more than RUB 274,320 million.

Despite the difficult macroeconomic conditions, the CIB customer satisfaction rate grew by 1 point compared to the previous year to reach 78.5 according to the results of an independent study.

78.5 point

CIB CUSTOMER SATISFACTION RATE

One of our technological innovations is the launching of a broker platform on iPad and an options trading system on the ORC platform by the Department of Global Markets. We also completed the automation of all the requirements of the European Market Infrastructure Regulation (EMIR), which gives us access to the European derivatives market.

The Department of Trade Finance and Correspondent Banking Relations commenced pilot operations of Sberbank FinLine, a remote banking system for financial institutions. Eleven financial institutions took part in the pilot. The system offers account and settlement document management services online with SWIFT support.

OPERATIONS ON GLOBAL MARKETS

The main achievements regarding trade transactions on the currency market in 2015 are related to the implementation of large-scale conversion transactions with corporate customers in the amount of more than USD1 billion without influencing the exchange rate, the launching of a new product (forwards with an open date), the optimisation of transactions conducted through the Visa payment system, and the pilot of the Sberbank Markets e-trading platform.

We also developed transactions with currency and interest derivatives and dynamic management for counterparty credit risks. We successfully launched the following new products: loans with an embedded quanto swap, transaction participation guarantees, and margin deposits.

Sberbank was active on the money market. The main market trend in 2015 was the decrease of credit institution indebtedness in roubles and US dollars to monetary policy bodies. Refinancing was made possible due primarily to the growth of banks' short-term currency liabilities. Taking this into consideration, we increased our reverse repo portfolio from USD1.5 billion to USD3 billion. Furthermore, new products were introduced that enable:

- ✓ the placement of US dollars and euros through repo transactions on the Moscow Stock Exchange both on the interdealer market and through a central counterparty;
- ✓ noncollateral securities lending that helps Sberbank raise additional liquidity;
- ✓ repo transactions with a floating rate.

¹ Sberbank classifies customers with annual revenues of over RUB 15 billion in the segment of major customers.

As concerns trade transactions on the commodity markets, a number of landmark transactions for the bank were made, including the world's largest transaction on hedging precious metals, the first transaction for physical prepayment for oil, and Sberbank's first hedging transactions in zinc, copper, nickel, and aluminium.

We are developing the area of debt instrument trading by working with customers to identify competing interests in securities and through correct market positioning when the spread tightens and revenue falls. The most important events of 2015 were:

- ✓ A large-scale transaction for the acquisition of Federal Loan Bonds with a floating coupon as part of a banking syndicate
- ✓ A new product—exchange-traded bonds with a floating nominal, where Sberbank was one of the underwriters of the first issue of Federal Loan Bonds with a nominal tied to inflation
- ✓ The first transaction for the acquisition of a loan note for a loan on Sberbank (Switzerland) AG's balance sheet
- ✓ Registration of the Sberbank Structural Exchange-Traded Bonds Programme under Russian legislation by the Moscow Stock Exchange: 34 series of bonds with a total nominal value of RUB 50 billion

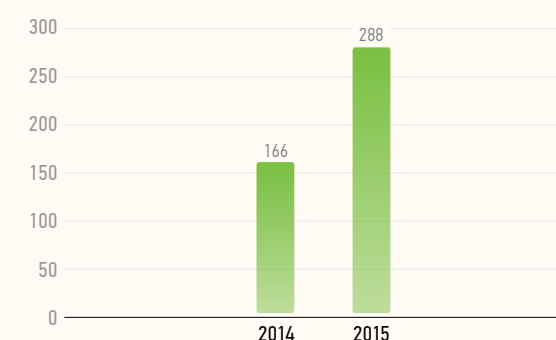
Market conditions under external constraints did not allow much momentum to be gained in the turnover of shares and share derivatives. Under these conditions, we developed a technological platform for trading share derivatives; an ORC system was launched that automates derivative sales strategies, decreases transaction expenses, and increases order execution speed. The Bank also completed its integration with the Turkish broker Deniz Yatrim (a subsidiary of DenizBank), which expanded the product line and turned Sberbank into a broker with interests outside of Russia.

The Bank is successfully developing its business in capital markets. In 2015, according to data from Cbonds, Sberbank CIB was the market leader in the organisation of rouble bond placements. We also started operations in a new segment of international DCM, receivables management. In addition, we returned to the Eurobond placement market, successfully placed our first issue of Federal Loan Bonds with a nominal value indexed to inflation, closed our first transaction for a "rights issue," and received our first international mandate on the ECM market.

TRADE FINANCE

The area of trade finance continues to develop successfully. In 2015, the amount of transactions settled by Sberbank Group related to trade finance and documentary business came to over USD29 billion, including over USD18 billion for Sberbank.

| THE AMOUNT OF TRANSACTIONS INVOLVING DOMESTIC LETTERS OF CREDIT REACHED, RUB billion



73%

**INCREASE IN
TRANSACTIONS
INVOLVING DOMESTIC
LETTERS OF CREDIT**

The amount of transactions involving domestic letters of credit reached the record figure of RUB 288 billion in 2015, 73% more than the figure for the previous year.

In 2015, we came out with a new product for the support of Russian business called "Domestic "Uncovered" Letters of Credit with Advance Payment." In regard to this product, Sberbank is a source of trade transaction funding and provides the possibility for a trader/contractor to receive payment before the end of the delay specified by the agreement and the letter of credit terms and conditions. This product is available to Russian companies that buy or supply goods/services in Russia.

The continued improvement of relations between Russia and China is opening up the door to new large-scale opportunities related to trade finance. Sberbank signed a number of agreements with leading Chinese financial institutions with limits for an overall amount of more than CNY 12 billion. Cooperation with Chinese banks is being carried out for the entire Sberbank trade finance product line. Our new product—post-financing of letters of credit in yuan—has gained momentum. We issued about 150 letters of credit in CNY to customers from many different regions of Russia.

150 letters of credit in CNY

WE ISSUED ABOUT 150 LETTERS OF CREDIT IN CNY
TO CUSTOMERS FROM MANY DIFFERENT REGIONS OF RUSSIA

In support of growing demand from Russian exporters of capital goods, we have built one of the biggest transaction portfolios with insurance coverage from the Russian Agency for Export Credit and Investment Insurance (EXIAR) that as of 1 January, 2016, exceeded RUB 24 billion.

Active cooperation with a number of export credit agencies (ECA) from the West, Eastern Europe, China, and other countries continues. We are negotiating on the expansion of a line of both long-term and short-term products with ECA support to provide maximum support for our customers' transactions with foreign exporters. In June 2015, we signed a Memorandum of Understanding with the Italian Export credit agency SACE.

Another important business area that was actively developed in 2015 was Commodity Trade Finance (CTF), which Sberbank is developing on the platform of its subsidiary bank in Switzerland. This product line is primarily meant for trading companies operating in the oil, coal, metals, grain, etc., trade on the international market. The customers of Sberbank's subsidiary bank in Switzerland are already major world traders and leaders of Russian exports in these fields.

The amount of completed transactions in CTF, which mostly provides support for Russian exports, was over USD480 million, enabling us to increase our portfolio for this line of business by more than 3.5 times.

Leading international financial publications, such as Global Finance and Trade & Forfaiting Review, named Sberbank as the best bank for trade finance in Russia and the CIS

Sberbank's activities in trade finance and the documentary and settlement business both in Russia and the international market have traditionally been highly regarded. In 2015, leading international financial publications, such as Global Finance and Trade & Forfaiting Review, named Sberbank as the best bank for trade finance in Russia and the CIS. Also, according to a study from the RAEX rating agency, we are the settlements market leader in domestic letters of credit.

CORPORATE BUSINESS UNIT

LARGE AND MEDIUM BUSINESS

We continue to cooperate with large and medium-sized corporate business customers and streamline our activities in this segment. On the whole, these operations are being transformed in several different ways, including an increase in the use of digital processes, a decrease in the operational function of employees, and shifts toward the use of consultations.

Employees are becoming not so much service managers as assistants and partners who can advise customers in a professional manner on the correct solution for their business issues. Such a service model emphasises the importance of face-to-face contact. That is why the activities of contact centres are changing, and remote customer managers and product specialists are starting to appear.

A unified system of sales management was implemented for all verticals. The system unifies a variety of processes on all levels and provides for a unified business rhythm of planning and goal setting throughout the sales network.

The service model for new corporate customers was created on the basis of customer requests and wishes and makes the first 100 days of cooperation with the Bank maximally transparent and convenient for customers. Mandatory acquaintance with a Bank branch manager and teaching customers about online services are brand-new stages. The new model was fully in line with customer wishes and thus minimised new customer outflow.

The creation of customer and product teams for work with large and medium businesses allows both new and current customers to receive comprehensive banking services with the assignment of a specialist. The consolidation of employees on the basis of common goals helps replace competitive interaction between bank specialists with a coordinated move toward the maximum satisfaction of customer requirements. Forming a team for a regular group of customers and not for each separate transaction provides customers with the highest level of service.

We are creating a product line to provide customers with easy access to the type of borrowings and financial instruments that suit them best. We are in the process of launching an online lending service where clients can request and receive a loan without ever visiting a bank. We have also implemented e-guarantees and e-factoring services.

We are currently working on how to improve the performance of our customers' businesses. In particular, the Sberbank Analytics service was developed so clients could essentially do without a financial director. Using this convenient interface, customers will be able to have more control over their activities, including income and expenses, counterparties, cash deficiencies, and much more.

We offer a cash management tool for medium-sized, large, and even major businesses that is essentially a treasurer workstation. With the help of this tool, customers will be able to manage their cash flows, monitor subsidiary companies and branches, and ensure the current liquidity of holding-type companies.

We won a special prize **“For Customer Focus”** for our project for supporting corporate customers in the Contact Centre

Cooperation with Government Agencies

In 2015, Sberbank entered into 1,434 loan agreements in the amount of RUB 397 billion with customers in the “regional state sector” segment. The overall amount of loan resources provided totals RUB 882 billion. The balance of customer loan debt in this segment was RUB 877 billion as of 1 January, 2016. According to Bank of Russia, as of 1 January, 2016, Sberbank’s share in the lending market for government agencies of constituents of the Russian Federation and local government agencies was 74.9%.

SMALL- AND MICROBUSINESSES

Sberbank provides services to 53% of all small- and microbusinesses—that is a total of 1.18 million customers. In 2015, the Bank supplemented its line of customer services with a new and unique product for the market, an integrated package of services called My Team, which includes the services of a business assistant, a lawyer, and an accountant along with unlimited settlement and cash services, such as account management, payments, and the acceptance of cash on the account. The Bank is also preparing to launch new nonfinancial services for its customers.

The Bank is currently working on how to improve the performance of customers’ businesses. In particular, the Sberbank Analytics service was developed so clients could essentially do without a financial director. Using this convenient interface, customers will be able to have more control over their activities, including income and expenses, counterparties, cash deficiencies, and much more.

We provided corporate customers with the ability to choose the most convenient channel for receiving consultation services, which is of particular importance during peak traffic times on phone lines. We are also actively using new communication channels with customers, including feedback services on the Bank’s website, callback services, and an online chat service on Internet banking. At the annual FocusForum conference organised by the newspaper Vedomosti, Sberbank won a special prize “For Customer Focus” for our project for supporting corporate customers in the Contact Centre. Sberbank also won the nomination for “Project of the Year for the Organisation of Technical Support for Corporate Customers” at the CNews Awards ceremony.

With the help of the Small- and Microbusinesses Development Model, which is based on mathematical models and helps significantly increase the quality of targeted offers for customers, the Bank calculated the potential of each point of sale, which was used during the business planning process for 2016.

Interactions with state bodies are one of the key processes for Russian entrepreneurs. Sberbank has created products that facilitate this process and help entrepreneurs build the right interaction mechanisms under Russian legislation. Sberbank customers have the ability to file reports with the Federal Tax Service and other regulatory bodies online and to pay taxes on time and in a way that is convenient for them. We are working toward integration of Sberbank’s Internet banking with taxpayer accounts on the FTA website. In addition, customers can obtain information on various state programmes for business support through this application.

The Bank continues its cooperation with the Federal Corporation for the Development of Small and Medium Enterprises JSC.¹ The cooperation agreement with the SME Development Corporation enables the Bank to raise quality category 1 guarantees for a wide range of loan products and bank guarantees for small- and medium-sized enterprises. The guarantees may cover up to 70% of loan debt and can be raised by SMEs in every constituent of the Russian Federation. Over the course of 2015, the Bank issued nearly 2,500 loans and guarantees in an amount of more than RUB 21 billion against SME Development Corporation guarantees. As of the end of 2015, Sberbank’s share in the total portfolio of the Corporation’s guarantees was about 44%.

In 2015, the Bank issued loans to SMEs against the surety of regional guarantee organisations for an overall total of RUB 11.2 billion in 73 constituents of the Russian Federation.

Sberbank supports clients who have lost their partner banks: there are special offers for clients of credit institutions whose banking licences were revoked by Bank of Russia, such as free account opening, free service management using Sberbank Business Online,² and three months of services from the “Basis” package at the price of RUB 1.00 per month.

more than 2.5 thou. loans

AND GUARANTEES IN AN AMOUNT OF MORE THAN RUB 21 BILLION WERE ISSUED AGAINST SME DEVELOPMENT CORPORATION GUARANTEES

Aimed at the formation of Bank customer acquisition channels through affiliate agents, the Business Environment Affiliate Programme project has reached full capacity. As of the end of 2015, over 42,000 transactions had been performed, the partner network consisted of 200 partners, and conversion to transactions was 42%. One of the key focuses for 2016 is the creation of financial and insurance services aggregator platforms on the market and the involvement of banks and insurance companies.

Under the “Business School” project, we provide 26,000 entrepreneurs with access to business education programmes in the form of 170 video courses. More than 35,000 entrepreneurs from various regions, including the most remote corners of the country, have taken part in these nationwide educational workshops. The speakers at these workshops were business trainers, representatives from government authorities, and successful businesspeople. Eighty thousand entrepreneurs regularly receive

¹ Hereinafter referred to as the SME Development Corporation; the company’s name prior to the change was NDCO Agency of Credit Guarantees.

² Hereinafter referred to as “SBBOL”.

information on new educational events and advice from leading market experts as a part of special information digests. One of the key focuses for 2016 is the organisation of Russia's largest platform for the remote education of small companies on the basis of the Business School and partnerships with other leading business schools, incubators, and expert platforms.

Corporate Banking Services

We are working systemically on the development of remote customer services, having set the objective of making all core services mobile and remote. About 1.3 million customers are connected to the Sberbank Business Online (SBBOL) service, and the mobile version of this service has been downloaded by more than 427,00 users. 98% of payments were being made through SBBOL or its mobile version by the end of 2015.

In 2015, the Bank started implementation of 24/7 settlement services for customers. By the end of the year, customers making electronic settlements had the option of settling accounts with counterparties on a 17/7 basis within the Bank (i.e., same day from 6:00 a.m. to 11:00 p.m., including weekends and holidays). Our plans include wide-scale connection of customers to this service and an extension of its operating hours to 20/7.

1.3 million customers

ARE CONNECTED TO THE SBERBANK BUSINESS ONLINE SERVICE IN 2015

We strive to make interaction with customers convenient and easy from the moment the business is founded. As a first step, the Group lets businesses register without visiting the Federal Tax Service and open an account in just three minutes and offers the customer all the necessary services.

Today, half of all accounts opened when establishing a new legal entity are opened through Sberbank's online settlement account reservation service. When reserving the account, the entrepreneur receives a number that can be used to conclude agreements, and then within five days the customer must visit the bank to submit its documents. In 2015, almost 100% accounts were opened through the online reservation service. To strengthen its competitive positions, the bank expanded the service's functionality: accounts can now be reserved when complying with Federal Law No. 275-FZ dated December 29, 2012, On the State Defence Order.

We launched a pilot project—called the Digital Hypermarket—to connect 1.3 million companies and 20 million individual active users of Sberbank online services (SBBOL and SBOL) on the same platform. This will help customers find new buyers and counterparties. The Digital Hypermarket pilot project was launched in Nizhny Novgorod

Sberbank lets businesses register without visiting the Federal Tax Service and open an account in just three minutes and offers the customer all the necessary services

and Krasnodar, and it already has more than 70,000 products on it. There are plans for all Sberbank's corporate clients to one day be able to place their goods and services on this platform. There is no need to see the other party in person or use the mail to enter into an agreement or order goods. The customer will be able to do this without ever leaving the office with the help of E-invoicing, a service for legal document management. All documents (agreements, orders, bills and invoices) can be sent electronically with secure electronic signatures.

In early 2015, the E-invoicing e-document management process was launched between the Bank and its customers to provide invoices for bank services. By the end of the year, the share of invoices for bank services sent to customers electronically through this service reached 85% of the total number of invoices issued by the Bank. A project for conducting paperless operations for corporate customers in Sberbank branches has been started.

In 2015, we integrated a Currency Control Module into the Bank's settlement system. This allowed the Bank to do away with software from external organisations, optimise currency control processes, and cut the handling time of currency control documents by 25%.

To improve the efficiency of budgetary funds management, we reached an agreement with the Federal Treasury Department for the use of Cash Management services. 52 regional Departments of the Federal Treasury and more than 31,00 accounts for serving budget recipients were connected to this service.

Banking support services for investment contracts were introduced in regional banks. The Bank provides its customers with expenditure controls to help better comply with the guidelines of investment projects.

We also provide our clients with the Sberbank Corporation mobile app. With this app, the heads of groups of companies always have online access to information on all of their group's accounts in the Bank. As part of the Control and Acceptance service, a service for the control of electronic registers of pay slips relating to agreements on crediting funds to the accounts of individuals was launched in this system.

We also introduced the Payment Calendar service that allows customers to plan future expenses and anticipated cash inflows, including under agreements with counterparties. This service can create payment calendars for future periods.

CORPORATE DEPOSIT

In 2015, amid the need to replace expensive public financing with private funds, operations for raising funds from corporate customers was one of the Bank's most important lines of business.

Over the year, the total balance of corporate deposits increased by 25.1% to reach RUB 7.4 trillion. Sberbank's share in the total amount of corporate funds raised by the Russian banking system increased over the year from 21.9% to 25.0%. The share of settlement accounts increased over the year in the total breakdown of products, from 29% to 34% of all corporate deposits.

| STRUCTURE OF CORPORATE DEPOSITS

Indicators	As of 1 January, 2015	As of 1 January, 2016
	RUB, million	RUB, million
Current accounts/demand accounts	1,737,317	2,497,162
Term deposits	4,153,400	4,875,671
Obligations to return borrowed securities to a (nonbank) creditor	3,126	55
Deposits in precious metals and other deposits	4,974	7,398
Total corporate deposits	5,898,817	7,380,286

In 2015, we introduced a new service: the placement of funds on public conditions available for the users of remote service channels or online products. Customers can place their funds in a deposit or use them as the minimum balance on settlement accounts on public conditions. These transactions may be performed without the customer ever visiting one of the bank's offices. There is a loyalty system for these products, according to which customers who repeatedly deposit funds or use them as a minimum balance will earn additional interest that is 5–10 p.p. greater than online rates. The functionality of this service is being expanded. Today, customers have the option to remotely withdraw their deposit before the due date, generate an order to add funds to a deposit transaction, prolong agreements, and receive text or e-mail notifications on actions associated with the agreement.

RETAIL BUSINESS

HIGHLIGHTS OF RETAIL BUSINESS IN 2015:

- ✓ As of 1 January, 2016, Sberbank had raised RUB 10.2 trillion in retail deposits, which is a historical high for the Bank. The inflow of private funds throughout the year also broke previous records to total RUB 2.2 trillion¹.
- ✓ Sberbank increased its portfolio of mortgage loans to RUB 2.2 trillion and captured 55% of the mortgage market. The Bank started to provide its borrowers not only with the actual loan but also with a set of services from its partners—real estate agents, insurance companies, and notarial and registration authorities.
- ✓ The Sberbank Online mobile apps for Android and iPhone made the lists of the best apps of the year in Google Play Market and App Store in Russia, being the only financial product in both ratings.
- ✓ Sberbank was awarded the 2015 Consumer Rights and Service Quality prize as the most customer-focused bank in Russia.
- ✓ The noncash services sphere began a qualitative transformation. The Bank's quantitative achievements (millions of active cardholders, thousands of self-service machines, hundreds of thousands of POS terminals in retail chains) and the best Internet Banking service on the market produced the effect of a qualitative leap forward.
- ✓ The behaviour of millions of Russians started to change thanks largely to Sberbank. For example, the share of noncash operations with Sberbank cards exceeded 50% for the first time, and in 2015 P2P transfers enjoyed explosive growth—over the course of the year Sberbank customers transferred RUB 2.4 trillion to each other.
- ✓ A new model for branch operations—VSP 3.0—was rolled out. Consultants who resolve customers' problems on the spot and successfully promote services were introduced at the branches. This gradually lowered the level of operational errors and shortened lines.

PRIVATE CUSTOMER LENDING

Retail loans account for over 23%² of our loan portfolio. The negative trend of retail lending contraction observed in the first quarter of the reporting year was overcome in the summer. As a result, private customers received loans totalling over RUB 1.2 trillion throughout the year.¹

The retail loan portfolio increased by 1.6% and reached RUB 4.135 billion. Mortgages continued to grow as of the end of the year, while consumer lending slowed down. Sberbank's share in the retail lending market increased by 2.8 p.p. to 38.7%.

23%

RETAIL LOANS ACCOUNT FOR OVER 23% OF OUR LOAN PORTFOLIO

| PRIVATE CUSTOMER LOAN PORTFOLIO STRUCTURE³

Indicators	As of 1 January, 2015,	Share (%)	As of 1 January, 2016,	Share (%)
	RUB, million		RUB, million	
Mortgage loans	1,918,240	47.1	2,174,833	52.6
Consumer loans, including credit cards	2,088,949	51.3	1,929,773	46.7
Car loans	62,748	1.6	30,165	0.7
Total retail loans before provisions for possible losses	4,069,937	100.0	4,134,771	100.0

| SBERBANK'S SHARE IN THE RETAIL LENDING MARKET⁴

Indicators	Ha 01.01.2015, %	Ha 01.01.2016, %
Retail lending market	35.9	38.7
Mortgage loans market	52.9	55.0
Credit card market	29.9	33.4
Consumer lending market	32.6	33.2
Car loan market ⁴	15.1	14.3

¹ Here and further in the section according to the Russian Accounting Standards.

¹ Here, Sberbank's loan portfolio includes loans to banks, legal entities, and individuals.

² According to Form 0409115, "Information about a credit institution's asset quality."

³ Data provided by Frank Research, assessed by Sberbank.

⁴ Car loan market data indicates the total share of Sberbank and Cetelem Bank.

MORTGAGES

Mortgages remained a priority product for Sberbank. Our mortgage loan portfolio increased by 13.4% during the year. Sberbank's share in the total mortgage lending market increased by 2.1 p.p. and made 55.0%.

In 2015, Sberbank participated in the State-Supported Mortgage programme, which covers housing facilities that are ready or in the process of construction to join the market for new homes. From March 2015, 109,000 loans for a total amount of RUB 187 billion have been provided. In addition, in the spring, a promotional event called Buying Finished Residential Property was held (0.3 p.p. discount, initial payment of 15% or more, lending period up to 8 years), lending for Rural Real Estate and Building a New House was resumed, and Nontarget Lending Secured by Real Estate was launched.

55.0%

**SBERBANK'S SHARE IN THE TOTAL
MORTGAGE LENDING MARKET**

To support the borrowers of Sberbank who have mortgage loans in foreign currency, the Bank suggested individual loan conversion rates and interest rate in roubles after changing the terms of foreign currency loan.

The following Special Offer for Young Families was also utilised during the year: 0.5 p.p. discount to the base interest rate and no markups to the interest rate for the period until mortgage is registered. During the year, 101 thousand young families made use of such loans for an overall total of RUB 153 billion.

In July and August, interest rates were reduced accordingly by 1.0 p.p. and 0.5 p.p. for all mortgage products, excluding the Military Mortgage, Publicly Supported Mortgage, and Nontargeted Loan Secured by Real Estate. After they were decreased, the interest rate range came out to be 11.4%–14.5% per annum for base mortgage products.

In 2015, Sberbank issued 11,000 loans under the Military Mortgage for a total amount of RUB 20 billion; the share of Sberbank in all loans issued came out to 34%,¹ and 3% of the total amount of home loans issued by Sberbank.

¹ Based on data from the Federal State Public Institution Rosvoenipoteka.

101,000 young families

**MADE USE OF SUCH LOANS FOR AN OVERALL TOTAL OF RUB 153 BILLION
IN 2015**

At the end of the year, a promotional event called "Single Rate" was held to support sales of the Buying Completed Residential Property product. This offer included a fixed interest rate for each category of customers, regardless of the amount of the first payment, loan period, or mortgage registration period. The interest rate for customers receiving their salary on Sberbank cards was 13.45% per annum, and 13.95% for other customers subject to the application of a special condition called "Protected Loan." The decrease for certain groups of customers on promotional terms totalled 0.3 p.p.–0.55 p.p.

The development of partnership channels plays a big role in in the development of mortgage, which is vertically built into the Company and comprises several lines of business: selling mortgage products of the Bank in the territory of partner developers and real estate agencies; supporting customers with approved mortgage decisions until the loan is issued in special Mortgage Lending Centres; online services for mortgage customers and partners of the Bank.

Partners file mortgage applications and approve customers' real estate purchases through the specially designed B2B web system Partner Online. This system cuts loan application processing time from 5 to 2 days. The share of applications filed by partners in the total number of mortgage applications in Sberbank increased from 15% to 43% over the year. Over 24,000 partner developer companies and real estate agencies are active users of Partner Online.

The Bank has also launched a pilot project in Moscow and Novosibirsk to provide customers with a remote Borrower's Personal Account, where the customer can control their mortgage transactions and exchange information with partners and their Sberbank manager. Another pilot project was launched in Moscow and Novosibirsk for the online electronic registration of mortgage transactions. Now, it is possible to send out documents for registration in the mortgage lending centre of Sberbank without having to visit the Federal Service for State Registration, Cadastre, and Cartography (Rosreestr).

CONSUMER LENDING

In 2015, like in 2014, we focused on maintaining loan portfolio quality and working with only high-quality borrowers. Over the year the consumer loan and credit card portfolio decreased by 7.6%.

Sberbank's share in the consumer loans market increased from 32.6% to 33.2%. We resumed acceptance of applications for the issuance of Consumer Loans for Personal Smallholding Needs. To stimulate demand, Sberbank decreased interest rates for newly accepted applications for Unsecured Consumer Loans, Consumer Loans Under Personal Surety, and Consumer Loans for for certain number of products.

In October, a new procedure for issuing Trust Loans for Individual Bank Borrowers with Effective Loan Agreements was introduced in all Russian regions. This procedure involves an increase in the number of a customer's refinanced loans to five, automatic verification of past-due debt on existing loans, and repayment of existing loans when a new product is issued.

33.2%

SBERBANK'S SHARE IN THE CONSUMER LOANS MARKET

CREDIT CARDS

Credit cards remain one of the most important elements in our line of products that is successfully used for cross sales to existing customers.

Over the year, Sberbank increased credit card portfolio from RUB 410 billion to 441 billion and strengthened its leading position in the Russian market: its share in the credit card market grew from 29.9% to 33.4%. The amount of active credit cards reached 15.6 million.

In 2015, we increased interest rates on debt under newly-issued credit cards as a response to the market situation. The fee for cash withdrawal from credit cards was also increased.

In April, we implemented a temporary procedure for reducing credit limits on existing credit cards. The procedure affected customers who missed payment deadlines. New limits are being calculated on the basis of a scoring model.

33.4%

SBERBANK'S SHARE IN THE CREDIT CARD MARKET

Sberbank is now issuing credit cards without PIN envelopes: the customer sets the PIN code for their own card upon receipt. Starting in September clients gained the ability to order a credit card with an approved limit at 50 ATMs where the Sirius platform had been installed; Classic cards can be picked up at the nearest office at once, and premium Gold cards after several days.

CAR LOANS

In 2015, Cetelem bank retained the first place for loans issued in the car lending segment and first place in the Group by car lending portfolio size. Despite a 35.7% reduction in the new car sales market in Russia, Cetelem Bank's lending portfolio remained unchanged from the previous year at RUB 80 billion. Cetelem Bank continued its cooperation with 23 different automobile brands and concluded a number of additional agreements to strengthen cooperation even further.

RETAIL DEPOSIT OPERATIONS

The amount of funds raised from individuals, including fixed-term deposits, current accounts, bank cards, and funds in precious metals, grew by RUB 2.2 trillion as of the end of 2015 and exceeded RUB 10.3 trillion as of 1 January, 2016.

RETAIL DEPOSITS

The pace of growth at the end of the reporting year (27.2%) exceeded the pace of growth of private client funds at the end of the previous year (4.9%). The main growth can be attributed to fixed-term deposits in roubles. The amount of foreign currency deposits also increased in dollar terms. Some deposits were opened via remote channels.

STRUCTURE OF RETAIL DEPOSITS¹

Indicators	As of 1 January, 2015, RUB, million	As of 1 January, 2016, RUB, million
Current accounts/on-call accounts	1,561,367	1,938,386
Term deposits	6,437,685	8,282,899
Deposits in precious metals and other deposits	128,855	120,852
Total retail deposits	8,127,907	10,342,137

Throughout 2015, in light of the general market trend toward declining deposit rates and the behaviour of the key rate of Bank of Russia, we decreased interest rates on deposits in roubles and foreign currency, including rates on the savings certificates of individuals, six times.

The promotional events held for products in roubles, support for a competitive rate level on foreign currency deposits, and new deposits for high networth individuals allowed us to maintain our market share in fixed-term deposits in roubles and increase our share in foreign currency deposits considerably.

SBERBANK’S SHARE IN THE RUSSIAN RETAIL DEPOSIT MARKET

Indicators	As of 1 January, 2015 (%)	As of 1 January, 2016 (%)
Ruble-denominated deposit market	50.1	49.6
Foreign currency-denominated deposit market	30.4	37.3
Deposit market	45.0	46.0

As of 1 January, 2016, over 170,000 customers have requested the Sberbank Premier service package, and over 22,000 VIP customers are using Sberbank First rate plan. Both service packages allow customers to obtain premium debit cards free of charge for themselves and their loved ones, receive a Priority Pass card to access business lounges in the largest airports in the world, and enjoy favourable currency exchange rates and precious metals rates as well as discounts for renting safe deposit boxes. There is a special line of deposits for each package with increased interest rates as well as increased rates for savings accounts.

For the upper mass segment, starting 1 October, 2015, the Gold service package was launched to include gold debit cards and foreign travel insurance for the whole family.

INTERACTION WITH THE PENSION FUND OF THE RUSSIAN FEDERATION

As part of cooperation with the Pension Fund of the Russian Federation (PFR), we offer the following services to seniors and persons entitled to benefits: a free certificate that states the types and amounts of pensions and other social benefits paid by the PFR to an individual account at Sberbank. These certificates can be issued in any Sberbank office or by using Sberbank Online or an ATM. A certificate on the types and amount of pensions allows pensioners to promptly obtain detailed information on all the types of payments due them from the PFR and their totals for the period in question.

59.0%

SHARE OF PENSIONERS RECEIVING THEIR PENSION THROUGH SBERBANK

The share of pensioners that receive their pension through Sberbank is constantly growing. The number of Russians who trust us to pay out their pension has reached 24.8 million persons.

¹. По российским стандартам бухгалтерского учета

| THE NUMBER OF PENSIONERS RECEIVING PENSIONS THROUGH SBERBANK

Indicators	As of 1 January, 2015	As of 1 January, 2016
Number of social pensioners getting their pension through Sberbank, persons	23,291,132	24,789,919
Share of pensioners receiving their pension through Sberbank in the total number of pensioners in the Russian Federation, % (not including pensioners in the Crimea)	56.2	59.0

Sberbank pays special attention to its operations in the Social segment. The Bank has increased the level of protection for pensioner interests as regards the safety of their deposits against the infringement of third parties. A special memo has been drawn up for branch employees on protecting the savings of pensioners and disabled persons against the fraudulent actions of third parties. Now branch employees can stop wrongdoers by taking simple actions to prevent them from taking advantage of customers' trust and tricking them into making debit transactions on their accounts.

The paperwork for receiving a pension on Sberbank accounts has been simplified: an application for pension delivery is automatically printed out when an account is opened, which saves 15 minutes of customer time and does away with the labour-intensive manual filling out of account details.

The Bank is working to enable pensioners to remotely file pension delivery documents through their personal account on the Unified Portal of Public Services.

NONINTEREST INCOME SOURCES

The main drivers for increasing noninterest income in retail business in recent years have been operations with bank cards, acquiring, payments, and transfers.

BANK CARDS

| NUMBER OF ACTIVE CARDS ISSUED BY SBERBANK

Indicators	As of 1 January, 2015, million cards	As of 1 January, 2016, million cards
Debit cards	87.3	102.3
Credit cards	14.6	15.6
Total active issuance Sberbank cards	101.9	117.9

The increasing issue of bank cards continues to accelerate growth in the number of operations on card accounts.

ACQUIRING

Sberbank's share in the merchant acquiring market grew significantly over the year, by 7.2 pp to 54.7%. Such a notable breakthrough became possible thanks to a restructuring of the business line: independent merchant acquiring units have been established at the level of regional banks.

During the year, we engaged 27 new federal key partners from various segments for acquiring services, including those in the clothes, motor goods, pharmacy, electric goods, and service segments. The number of active points of sale and service connected to acquiring services increased by 1.2 times to reach 552,000 by the end of the year.

54.7%

SBERBANK'S SHARE IN THE MERCHANT ACQUIRING MARKET

In August, the Bank started a project with special acquiring conditions for car dealers—for the first time ever in Russia, customers were offered the service of making car payments with a bank card. The programme is currently running in 546 dealerships across the country. Thanks to this development, we have attracted 8 of the largest Russian dealerships for acquiring services.

We are actively developing web acquiring, and we have recruited 1,590 new partners over the year, thus showing growth of over five times compared to last year. The turnover on bank cards on the web totalled RUB 85 billion, 1.8 times more than last year. The Bank enabled payments for airline tickets and the replenishment of "Palms" school meals cards with bank cards using a cell phone. The total number of companies using Sberbank's web acquiring service exceeds 2,200.

The growth of the acquiring services business is accompanied by a similar growth in new technologies for this area. Sberbank introduced a unified technical support standard for its sales and service network in all regions and started receiving communications through the 8-800 centralised support service available 24/7. Light Cabinet is operating, and the fulfilment speed for partner requests has increased many times over. Issues are resolved within the system without using e-mail or phones. The standardisation of this service will strengthen our competitive positions in the acquiring market and optimise its technical support costs.

DEBIT CARDS

In 2015, we extended the range of possibilities for customers with debit cards. The Bank has started issuing international bank cards with an integrated Troika travel ticket. Apart from the usual functionality of a Sberbank debit card, this new card can be used to pay for rides on the transport systems of Moscow.

The Bank has launched a new service where the holders of Sberbank debit cards of can make transfers from their cards to any Visa cards from other Russian banks via Sberbank Online, ATMs, and mobile applications.

Starting in July, the Sberbank website offers the option of ordering a card with one's own photos from Instagram. In the future, the Bank is planning to further enhance its integration with social networks.

In 2015, over 90 projects were completed for the issue of Individual Design Cards for payroll clients, including 44 projects with higher educational institutions. Over 370,000 customers will receive these salary cards with individual designs, which makes our payroll projects even more attractive.

90 projects

WERE COMPLETED FOR THE ISSUE OF INDIVIDUAL
DESIGN CARDS FOR PAYROLL CLIENTS

All throughout Russia salaries are paid to the employees of companies according to a procedure which is convenient for the end recipients: the companies submit a register of payouts to its employees via Sberbank Business Online, the Bank pays salaries to employee cards online, and the payment information becomes immediately available to the company. This process has been automated, and the probability of operational errors has been eliminated.

The Bank has successfully implemented a new technology for salary payments to employees of federal companies with branches in different cities and regions of the country. Based on a unified register with a list of company employees who have accounts in different branches of Sberbank and the amount of salary due to them, the Bank will transfer money from the company's settlement account to the salary accounts of its employees on its own.

We are optimising card processes. According to a new technology for individual conversion transactions, conversion between Sberbank cards and from bank cards to an account is completed instantly at the exchange rate posted at the moment of transaction. This eliminates the occurrence of currency risks and customer complaints.

Services for the processing of MasterCard and VISA operations have been fully transferred over to the National System of Payment Cards.

In April, we started the Moneybox (Kopilka) service as part of Sberbank Online. This is a service for the automatic transfer of customer funds from their debit card to their deposit account on the conditions set forth by the customer. This service is very popular: 150,000 clients signed up this year.

PAYMENTS AND TRANSFERS

39.0%

SBERBANK'S SHARE IN THE
MARKET OF PAYMENTS FOR
UTILITY SERVICES

44.0%

SBERBANK'S SHARE N THE
MARKET OF CELLULAR
COMMUNICATION PAYMENTS

31.4 mln

THE NUMBER OF
SUBSCRIPTIONS TO THE
DIRECT DEBIT SERVICE

2015 showed growth in payments made by individuals to legal entities. The average number of payments increased by 17% and reached 13 million a day. This growth was observed in all kinds of payments. The number of payments for utility services totalled 2.8 million transactions per day (+20%), and for cellular communications it came to 8.2 million per day (+18%). Stable growth in payments has allowed Sberbank to strengthen its leadership in the market of payments for utility services, with a share of 39%. We are also the leader in the market of cellular communication payments, with a share exceeding 44%. This result was achieved thanks to the active development of noncash payments through such channels as direct debit, Mobile Banking, and Sberbank Online.

The number of subscriptions to the direct debit service totals 31.4 million. Direct debit for utility services is available in more than 100 Russian cities. In 2015, the active promotion of noncash payments at the cash desk was started, and the share of payments received in the cash desk using cards reached 7%. The share of payments received using bar codes made up 81% of all receipts.

The total amount of transfers throughout 2015 totalled RUB 9.2 trillion, which was 48% more than in the previous year. The most growth was observed in MoneyGram transfers (+85%).

INSURANCE AND WEALTH MANAGEMENT

2015 brought Sberbank a number of considerable results in the wealth management business, despite negative macroeconomic trends.

The existing customer base increased from 7.5 million to 13.2 million customers over the year, and assets under Group's management increased from RUB 221 billion in 2014 to RUB 450 billion in 2015. In 2015, the Bank sold over 9.5 million wealth products for individuals within its network (insurance, pension and investment products), and 137,000 insurance policies were issued to corporate customers.

34.0%

**SBERBANK'S SHARE IN THE
MARKET OF LIFE INSURANCE**

4.2 million

**THE NUMBER OF CUSTOMERS OF
THE PRIVATE PENSION FUND OF SBERBANK**

Sberbank Life Insurance IC has secured its leadership in the life insurance market with a 34% market share. The total volume of insurance charges amounted to RUB 43.6 billion, with a net profit of RUB 6.7 billion.¹ By the end of 2015, the total number of the company's customers exceeded 5 million. Last year, the company released a range of new, successful innovation products, such as Rentier, an investment product with life-long annuity payments, microendowment life insurance, and international health insurance. In addition, last year Sberbank Life Insurance paid special attention to customer service quality, and as a result it won a prize for the Best Contact Centre in the insurance market. In 2015, Sberbank Life Insurance won several public contests; it was nominated the Year's Best Company in the Life Insurance Sector as part of the public award Financial Elite of Russia 2015 and received the Life Insurance Market Leader diploma from Expert RA.

Sberbank Life Insurance is the fastest growing company in Russia's insurance market by subscribed insurance premium. In 2015, the company generated proceeds of RUB 3.7 billion and launched over 30 new products. Over 1.5 million persons all over Russia became customers of the Company. In the first year of its active development, the Company made the list of the top 10 insurers of Russia for private property insurance, and in the top 15 based on online sales in Russia (according to the Central Bank of Russia). Thus, the company moved from 119th place in 2014 to 34th place in 2015 by total proceeds and 13th place by insurance policies sold (according to the Central Bank of Russia).

¹ In accordance with the results of Sberbank Life Insurance IC in 2015 under IFRS.

In 2015, the first year of operations, Sberbank Insurance Broker started making operating profits generating RUB 108 million. Expert RA assigned the company an A+ rating on 30 December, 2015. The number of corporate customers exceeded 20,000; the insurance market accepted RUB 6.7 trillion in insurance coverage with the insurance broker's assistance. The development strategy involves regional presence in each constituent of the Russian Federation, and the company took 6th place by revenue in the insurance brokerage market in 2015 (according to the Central Bank of Russia) and set up a framework for adjusting. By the resolution of the President's Council of the Fund for Business Initiative Support, the Company was awarded title "Reliable Product and Service Supplier" as part of the Company No. 1 award.

**Sberbank Asset Management is ranked the best
in Russia for the second year in a row by the ranking
of Extel Pan-Europe Survey**

In 2015, the Private Pension Fund of Sberbank became the absolute leader in the market of mandatory pension insurance by the total number of customers insured in 2015, 1.1 million, having increased pension savings to RUB 322 billion and the number of customers to 4.2 million. The average account of mandatory insurance customers ranks among the highest positions in TOP-10 PPF and totals RUB 77,900 exceeding the average market account of RUB 62,700 (according to the Central Bank of Russia as of 30 September, 2015). Sberbank PPF was among the first members of the Deposit Insurance Agency (DIA). In 2015, Sberbank PPF offered customers new technologies for executing and servicing agreements, including the use of a digital signature that allows customers to transfer their pension savings without the need to visit the PPF, a new personal account with extended options and text-notification of any actions associated with the agreement. These developments were made possible due to high professional skills and the efficient well-coordinated work of the Fund employees and received the following awards: Company of the Year in the category of Private Pension Funds, MPI Growth Leader from Expert RA, High Diversification of the Market Customer Base, Financial Olympus in the Profitable PPF category, and the status of country's largest PPFs by RIA Rating.

Sberbank Asset Management plays a leading role in the development of the mutual fund sector, managing the assets of 19 open and 5 closed investment funds, and is successfully strengthening its leadership positions in the open mutual fund segment, with a market share exceeding 25%¹. Last year, the top-ranking Sberbank Bonds Fund Ilya Muromets OPIF outperformed competitors by income amount (+35%); the Sberbank – Consumer Sector OPIF took second place by profit margin among open unit investment funds (+60%); the Sberbank Biotechnology OPIF was top-rated by the amount of funds due to unit holders in 2015, with net input of RUB 3.75 billion². Successful achievements and developments of the management company are regularly celebrated by awards and prizes. In 2015, the company was the winner of Company of the Year award in the Management Company category; and the Sberbank – Asset Management Fund OPIF won the national Financial Olympus 2014/2015 award in the Profitable PIF category. The analytical team of Sberbank Asset Management is ranked the best in Russia for the second year in a row by the well-known ranking of Extel Pan-Europe Survey. The management company has been assigned the highest credit and

¹ Rating of management companies by net asset value as of 31 December, 2015, Investfunds.ru

² according to ratings as of 31 December, 2015, Investfunds.ru

financial strength rating, A++, by Expert RA since 2003 and AAA by the National Rating Agency since 2014.

In 2015, the Sberbank Depositary was also declared the leader of the Russian depository services market, was included among the best depositories of developing markets, and received the Category Outperformer, Market Outperformer, and Global Outperformer awards. Sberbank Depositary maintains 443 custody accounts. The market value of customer assets under custody in 2015 grew from RUB 3.5 trillion to 4.3 trillion. During the reporting year, the Bank started providing custody services for individual investment custody accounts; 49,200 such accounts had been opened as of 1 January, 2016. The Bank has also started to provide the services of a special depository for insurance companies with agreements concluded with 25 insurance companies and a total value of transferred assets of RUB 238 billion. An international bank issuing depository receipts carried out its annual online attestation of the Depositary as the custodian of Russian shares securing the issue and circulation of ADR/GDRs in Western markets. The rules and forms for the identification of Depositary customers (legal entities and credit institutions) for FATCA purposes have been put into effect. A special depository was on the list of the top 2015 leaders in the market of depository services for mortgage bonds following the results of 2015.

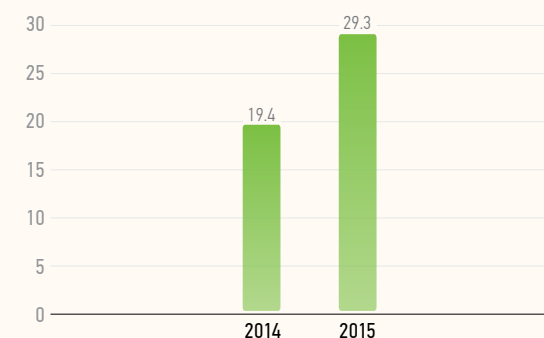
DEVELOPMENT OF REMOTE CUSTOMER SERVICE CHANNELS

We are continuing to improve our remote service channels. Over the course of the year, Sberbank's self-service terminal network decreased by four thousand units to 53,000 self-service devices with cash disbursement options and 34,000 with no cash disbursement options.¹

Sberbank expanded its network of self-service terminals based on new software aimed at creating a single environment for customer transactions.

These self-service units (over 53,000) allow customers to track their transactions in Sberbank Online and print out their payment invoices and repeat payments under any preexisting online templates. Throughout the year, the technical availability of these units for customers increased from 93.2% to 95.1%, and the number of active users of Sberbank Online increased from 19.4 million to 29.3 million.

| THE NUMBER OF ACTIVE USERS OF SBERBANK ONLINE, million



29.3 million

THE NUMBER OF ACTIVE
USERS OF SBERBANK
ONLINE

We released a new updated version of Sberbank Online for Android that is wholly unique in the global market. This version has integrated protection with antivirus software that protects both the application and user telephones. This has enabled the Bank to offer customers new payment and transfer services. The most significant changes affected the design built on the Material Design principle: 3D surfaces and realistic touch-screen animation. Based on Google's design concept, Sberbank offered the graphic style customary to Android users.

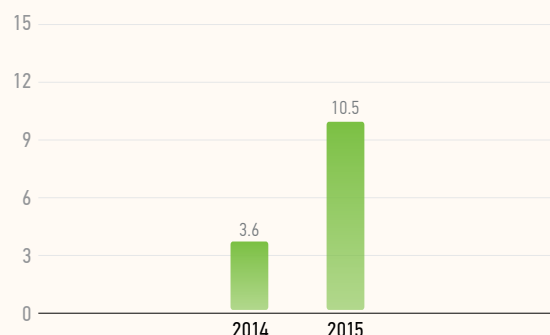
The Sberbank Online mobile app for iPhones ranks first in usability for mobile iPhone bank app ratings published by UsabilityLab.

We updated the Sberbank Online apps for all platforms, including iOS, Android, and WinPhone. Now users no longer need ATMs or an online banking site to register their apps; it is enough to simply enter the card number and confirm registration with the received text code. The new version of this mobile app enables prompt cash transfers both to other Sberbank customers and Visa and MasterCard holders from other Russian banks. Instant transfers require only the payee's card number. The Expense Analysis service lets users create individual categories so they can later transfer over completed transactions giving them better control over their daily expenses.

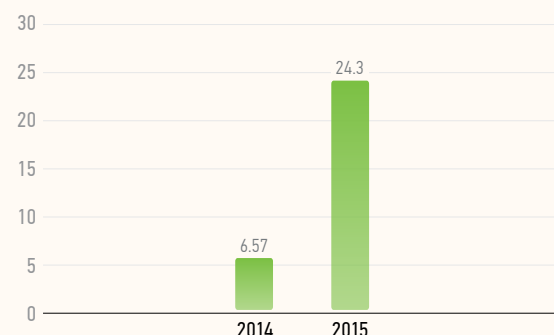
¹ Subject to Federal Law No. 54-FZ dated May 22, 2003, On the Use of Cash Register Equipment for Cash and/or Payment Card Payments, all Sberbank self-service terminals are deemed to be ATMs.

The number of active users of the Sberbank Online mobile app has reached 10.5 million. Payments made through mobile apps increased 3.7 times and averaged 24.3 million transactions per month. P2P payments transfers increased 4.7 times to average 20.9 million transactions per month. Connections to the Mobile Bank text service reached 89.2 million. Active users exceeded 26.8 million.

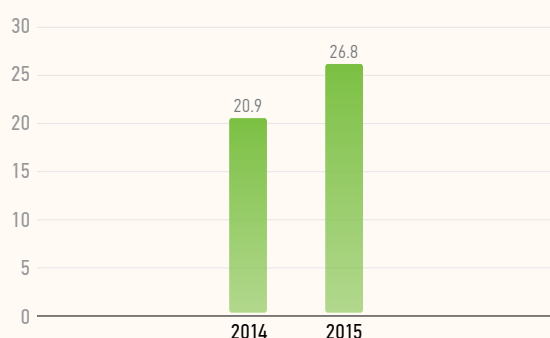
NUMBER OF ACTIVE CLIENTS OF MOBILE APPLICATIONS "SBERBANK ONLINE," million people



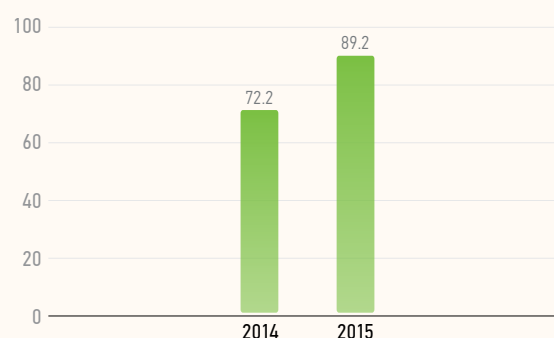
NUMBER OF PAYMENTS THROUGH MOBILE APPLICATIONS, million of operations



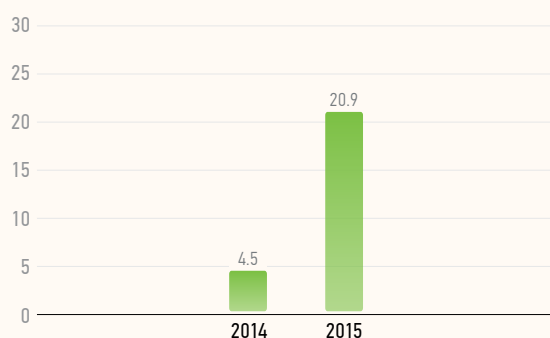
NUMBER OF ACTIVE USERS OF TEXT MESSAGE SERVICE "MOBILE BANK," million of operations



NUMBER OF USERS OF TEXT MESSAGE SERVICE "MOBILE BANK," million



NUMBER OF P2P TRANSACTIONS BY TEXT MESSAGE SERVICE, million



20,9 million

P2P TRANSFERS
TRANSFERS, AVERAGE
PER MONTH

NEW SERVICE MODEL FOR BRANCH NETWORK

In the second half of 2015, Sberbank rolled out ISU 3.0, a core project for the restructuring of retail office operations. This new model has substantially modified the operating principle based on the Intelligent Management System (IMS).

This automated system is based on the consolidation and analysis of Big Data collected from 10 different systems of the Bank. The IMS can identify deviations at all management levels down to every individual office employee, and it makes targeted tasks for managers to fix these deviations. Thus, front-line managers are freed from doing any individual analytical work related to collecting reports and looking for deviations. Currently, IMS has 13,400 active users and makes 1.3 million targeted tasks for ISU managers monthly. The scope of IMS tasks includes deviations on 29 performance indicators, knowledge of bank products, conversion of customer flows into bank products, fraud elimination, and helping new users adapt.

Managers focus on sales management, mentorship duties, and customer relations rather than office administration (ATM and office equipment efficiency and reporting) and dealing with both staff and customers in the remaining time. This model enhanced office operating quality as the appointed deputy ISU managers now have much more of a focus on cash management services, risk prevention, and claim processing.

For the most effective preclaim settlement of customer issues, 700 business offices¹ have appointed service managers; they settle around 80% of issues on the spot at the time of a customer's request. Other issues are referred to Claim Settlement Services.

Sales managers have improved their performance. The number of daily products per manager has increased from 8.5 units to 11.3 units over the year.

ISU advisory services are also growing successfully. For example, comprehensive sales for remote service customers were launched in late 2015. Gross product sales through consultants increased by 21% in December compared with October.

The new model is focused on shifting the perception of the office environment for both employees and customers. This is an integral indicator of the change in Sberbank's corporate climate. For staff members, these changes also mean that they now take on a share of the now open and vacant positions, which increases their workload, overtime, service rates, compliance with performance indicators, and the number of errors that affect employee salaries. For customers, this means changes in the number of reformatted offices, available operating windows, e-lines, and convenient working hours. The level of the atmosphere in business units is also being measured, and tasks are being assigned to remedy deviations.

The personnel turnover rate in branches decreased by 21% in 2015. The personnel engagement rate increased from 68% to 75%. In comparison, the best engagement indicator for global financial companies is 78%.

¹ The largest offices accounting for 60% of all customer requests are registered with the ISU.

RETAIL SALES MODEL

In the first half of 2015, Sberbank focused its active sales on promoting commission-fee products and fund-raising products. In 2015, over 154 million communications were made offering deposits and savings certificates. The aggressive promotion of credit products started up again in the second half of the year. At the same time, the Bank pursued the mass personalisation of active sales.

The Bank issued an additional RUB 99 billion in loans due to consumer loan campaigns that found new life in June. Active sales resulted in the issue of an additional 556,000 credit cards. The first 500,000 customers were e-mailed personal video offers for Sberbank credit cards in June.

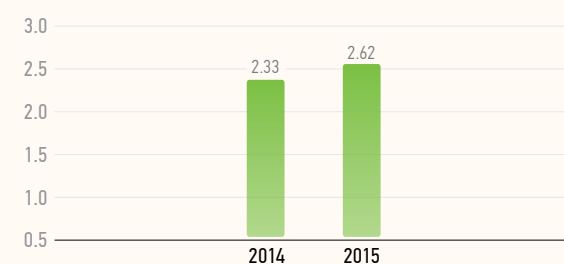
The text service response rate reached 15% through the use of various behaviour models: there were 1.3 million direct debit for mobile communications and 50,000 new utility service payments.

The biggest development included individual pricing patterns under consumer loan campaigns launched in August. Each customer is assigned an individual interest rate that is deemed to be the best for that particular customer.

The Bank also began using Viber, a new message communication channel. The welcome newsletter with a link to Sberbank's promotional webpage showed that 12 million people were registered Viber clients. The new communications model provides for a fivefold cost reduction compared with text services and the delivery of graphic and video content to customers.

The Bank increased its active customers¹ by 5.8% to 79.7 million in 2015. Through the use of the customer database, the number of products per customer increased from 2.33 to 2.62 over the year. This shows that customers are increasingly selecting Sberbank as their "Bank of choice".

| PRODUCTS PER SBERBANK CLIENT



79.7 million
ACTIVE CUSTOMERS
NUMBER

¹ Active customers are those who have used bank products within the previous three months.

SUBSIDIARY BANK RESULTS

In 2015, Sberbank Group continued to integrate acquired assets. Sberbank intends to synchronise the processes and technologies of its subsidiary banks, develop the best practices and business synergy, and streamline the business model with the shift to Digital Banking. A number of measures was taken to develop a unified corporate culture of the Group.

In the reporting year, main efforts were focused on maintenance of the effective work of Sberbank Group abroad despite geopolitical tensions and internal economic problems in certain countries of operation.

DENIZBANK (TURKEY)

DenizBank A.Ş. is Turkey's fifth largest private bank by the size of consolidated assets. It has branches in 81 Turkish regions; the branch network comprises 735 branches. DenizBank Financial Group included seven local and three international financial subsidiaries, five nonfinancial local subsidiaries, and one branch in Bahrain.

5 international business units focusing on servicing Turkish customers actively operate in regional and subsidiary banks of Sberbank. The bank continues to develop and introduce new mortgage products in Turkey for Sberbank customers. Sberbank and DenizBank A.Ş. pursue a joint-communication campaign both in Russia and in Turkey; special advertising web pages on Sberbank and DenizBank A.Ş. websites are opened; the loyalty programme is being implemented. Denizbank elaborated and implemented methodologies to manage material risks in accordance with the Sberbank Group approaches. Active implementation of events to enhance the level of risk culture in DenizBank A.Ş. is worth noting.

In 2015, according to the EFMA Accenture 2015 Innovation Awards, DenizBank was named Global Innovator of the Year.

SBERBANK EUROPE AG

The universal subsidiary banks Sberbank Europe AG, Austria (SBE) operate in the Czech Republic, Slovakia, Hungary, Croatia, Serbia, Slovenia, Bosnia and Herzegovina, in the Republika Srpska within Bosnia and Herzegovina, and Ukraine. A full-fledged corporate bank operates on the base of the Vienna headquarters with a 2015 loan portfolio of EUR 2.5 billion.

The SBE Group branch network has over 280 branches. SBE Group serves about 715 legal entities and individuals.

For dynamic integration of SBE with Sberbank Group, the bank is implementing a common Group liquidity management model, monitoring operations and handling bad assets, and introducing a new lending process for corporate customers in accordance with Sberbank's standards.

December 17, 2015, the Sberbank Europe AG management announced the plan to sell its subsidiary bank Sberbank Slovensko a.s. situated in Slovakia. The decision to sell Sberbank Slovensko a.s. was based on the strategic vision of the presence of Sberbank Europe AG in the global market. The deal will be closed following the consultations with the Antimonopoly Service of the Slovak Republic and the European Central Bank and is planned within the first half of 2016.

The key quality achievements of Sberbank Europe in 2015:

- ✓ Sberbank Direkt, a German branch, won the first place in the 2015 FMH Zins-Award competition, one of Germany's most important awards in the direct banking sector. In late 2015, the deposits raised by the branch totalled EUR ~1.7 billion, and the number of customers was over 50,000.
- ✓ The first module of the Unified Front-End System of Sberbank Europe, the Mobile Bank, has been developed and launched for trial operation in Croatia and the Czech Republic. The next system channel, the Online bank, is planned to be rolled out in early 2016. The Unified Front-End System will offer European customers a new level of service quality and innovative services and will enable Sberbank Europe to promptly respond to market needs when expanding sales channels and interacting with customers.
- ✓ The work to set up an International Processing Centre to service Sberbank's subsidiary banks includes efforts to ensure distribution of this solution across a range of countries where SBE Group is present.

BPS-SBERBANK OJSC (BELARUS)

In 2015, BPS-Sberbank steadily ranks third in the national financial market by retail assets, loans and deposits. The customer base is over 31,400 legal entities and 1.6 million individuals. Available to customers are 99 points of sale across the Republic of Belarus. Cross-border business transactions of Sberbank Group with corporate customers from Belarus was equivalent to USD 2.5 billion in early 2016. billion

One of the key events in Belarus was the set up of the International Processing Centre in Belarus by Sberbank Group, which made its first transactions in early 2016.

The first Non-Banking Credit and Finance Institution in Belarus, INCASS.EXPERT, a subsidiary of the Bank in the field of cash collection services, was created.

Key strategic projects implemented in 2015:

- ✓ a large-scale project for comprehensive restructuring of the Bank's Contact Centres, which has transformed customer communications;
- ✓ introduction of an SAP-based business operations management system;
- ✓ development of CRM technology;
- ✓ introduction of IBM FileNet;
- ✓ Introduction of the centralised cash forecast and management system
- ✓ introduction of the MasterCard MoneySend transfer service;
- ✓ issue of American Express cards.

Awards received in 2015:

- ✓ a Visa diploma for Leadership in Issue of Visa PayWave contactless cards in Belarus;
- ✓ Best Solution for Customer Services in Oracle Contact Centres in 2015 awarded by Oracle, a top global vendor;
- ✓ For Excellence in International Settlements during the last 6 years from Commerzbank AG STP Award Excellent Quality;
- ✓ The Best Partner Bank in Trade Finance for the second year in a row by Trade Award Commerzbank AG;
- ✓ For the Widest Regional Outreach in Financing Small and Medium-Sized Businesses, Belarus Bank of Development.

SUBSIDIARY BANK SBERBANK JSC (KAZAKHSTAN)

The bank has 117 business units country-wide, including 16 branches. The client base includes 50,000 legal entities and over 1 million retail clients. The self-service terminal network includes 6,7 thousand ATMs, self-service machines and POS terminals. The loan portfolio (gross) increased 8.6% in 2015. Customer deposits increased by 37.6% in the reporting period.

In 2016, the Bank set out to implement the following strategic projects:

- ✓ IT process automation based on HPSM;
- ✓ New Credit Process automation;
- ✓ setup of the S-network information system;
- ✓ centralisation, development and maintenance of the IT landscape;
- ✓ centralisation of trust loan refinancing;
- ✓ a group lending process.

In 2015, the Bank rolled out gold bar sales, a new retail product in the Kazakhstan market.

The bank was recognised as the Best Funding Bank under Business Road Map 2020, won the Best Guarantee Product award and was a leader in the Guaranteed Success campaign hosted by Damu Business Development Fund.

The Sberbank Online app was recognised the best mobile app in Kazakhstan in the Design and Usability category at the fourth International MobiEvent'15 Conference.

SBERBANK PJSC (UKRAINE)

The first half of 2015 saw a sharp decline in GDP, industrial production, devaluation of the national currency from UAH 15.8 to 23.5 per 1 USD, inflation rate exceeding 50%. In the second half of the year, there was a trend to reduce the economic slowdown, stabilise the national currency, and reduce the inflation rate.

Main tasks of the Bank in 2015 were: maintaining financial stability and compliance with the National Bank's standards and ensuring prompt performance of obligations to customers, both individuals and legal entities, through its existing branch network. The number of individual customers exceeded 1 million—a benchmark event for the bank. The number of corporate customers increased by 5,400 to reach 33,300. Throughout 2015, the Bank continued to maintain a substantial liquidity cushion in national currency in excess of 100% of its liabilities on current accounts.

In December 2015, National Bank of Ukraine approved the Bank Capitalisation Plan for 2015–2018. As part of the Plan, in December, the share capital of the Bank was increased by UHA 4,780 million by conversion of subordinated loan to the capital.

CUSTOMER CARE AND SERVICE QUALITY

IMPROVING RETAIL CUSTOMER SERVICE

We continue to assess key customer experience metrics for the prompt monitoring and continuous improvement of customer satisfaction:

- ✓ NPS: customers are asked to assess their willingness to recommend the Group to their friends based on their previous relations with the Bank. The current NPS rate of Sberbank is 55%.
- ✓ CSI:¹ immediately after a product sale or the resolution of any issues at a branch or a call to Sberbank's contact centre or after receiving responses to their requests, clients are asked to assess their satisfaction with service quality. The Bank received over 960,000 responses from customers throughout the year. All of the low ratings that were assigned have been reviewed and all customer issues have been resolved.

The Bank conducted research on customer satisfaction with seven different product processes. Based on customer opinions, the Bank prepared guidelines for transforming 84 processes.

HANDLING CUSTOMER REQUESTS

Handling customer requests remains our key priority. Over 700 service managers work in Bank offices to help customers settle their issues "here and now."

The Customer Care Centre was established to streamline the handling of requests and create an expert team. The main benefit of the Centre is the ongoing and prompt identification of core reasons for customer issues and their resolution in the relevant subdivisions.

The Pulse system searches online for comments about Sberbank unit operations.² 37,000 comments have been identified with 1,500 complaints related to the bank's services. All negative comments have been reviewed and given feedback.

My Customer, a new service for staff members, is now operating in the pilot mode. If an employee becomes aware of a customer's problem through their friends or family members, they may forward this information to the relevant subdivision to resolve whatever problem there was.

¹ The CSI (Customer Satisfaction Index) is an index of customer satisfaction based on a list of parameters at points of contact. Key diagnostics question: are you satisfied with today's visit to the bank?

² The Bank searches four social media outlets: Foursquare, Instagram, VKontakte, and Flamp.

PAPERLESS TECHNOLOGY

We are implementing a Paperless Front Office project across the regions: over 70% of deposits, money transfers, and savings certificate transactions will go paperless. In 2015, 90 million documents were signed electronically and over 7,245 trees were saved. The Paperless Front Office initiative allows the Bank to avoid operating errors, verify documents at the end of the banking day, and cut paper consumption by 15% and paper storage spaces by 20%.

REDUCING WAITING LINES

We continue to work on reducing the time spent waiting in lines. In 2015, throughout 6,481 of the Bank's offices, the time customers spent waiting in lines was measured automatically using the line management system. In 2015, the waiting time of 95% of Sberbank customers did not exceed the established standard time (10 minutes during normal operating hours and 14 minutes during peak hours). This figure can be seen in 97% of all offices equipped with a line management system.

UDCC – UNIFIED DISTRIBUTED CONTACT CENTRE

The Bank's UDCC development priorities remain the same: leadership in customer satisfaction, an expanded service range, and increased efficiency.

The waiting time for an operator's response has been kept short at just 31 seconds in 2015 and 35 seconds in 2014. The Contact Centre's service satisfaction level also remained unchanged from its previous level of 80%. Customer requests increased by 22% from the previous year to 95 million calls.

Subscribers of Beeline, MTS, and Megafon have a free call option to Sberbank's Contact Centre by dialing 900 in the home network.

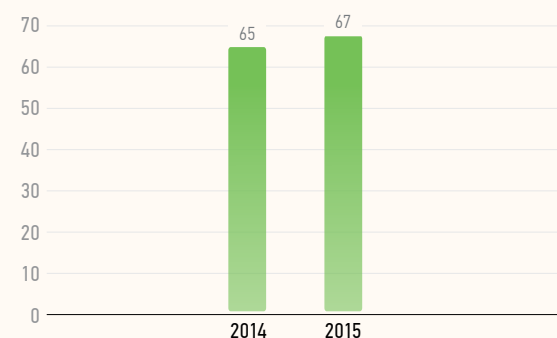
In March 2015, Call Centre World Forum hosted the Crystal Headset Award Ceremony, the key event in the world of call centres. UDCC Sberbank won in three categories: Paraoperator of the Year, Best Monitoring Team, and Best Small Team.

IT DEVELOPMENT

CORPORATE SERVICE QUALITY

We continue to monitor the level of corporate customer satisfaction and the loyalty index. The index increased by 2 points to reach 67 points over 2015.

THE LEVEL OF CORPORATE CUSTOMER SATISFACTION AND THE LOYALTY INDEX.



67 points

THE LEVEL OF CORPORATE CUSTOMER SATISFACTION AND THE LOYALTY INDEX

The assessments of large- and medium-sized customers saw substantial growth. The assessments of small- and microbusinesses have not significantly changed. Like in 2014, the importance of certain parameters of interaction with the bank for customers is largely determined by the difficult economic situation (in particular for small- and microbusinesses):

- ✓ The significance of basic Cash and Settlement Services and their price parameters remain high as customers optimise their expenses on banking services.
- ✓ The Bank' flexibility during the consideration of loan applications is of great importance, including an individual approach to the assessment of the business, lack of collateral on a loan, etc.

Sberbank rolled out the principle of "customer is always right" when handling customer requests: when the bank receives a claim, it compensates customer funds and then considers the claim without the customer's participation. We implemented a pilot project on simplified considerations of company claims where the maximum sum of compensation was increased from RUB 600 to RUB 1,500. Widespread use is planned to start in 2016.

Following the results of the pilot project, we are introducing a project for automated feedback collection from the customers of large- and medium-sized businesses after the consideration of loan transactions, the handling of negative comments, and immediate solutions for customer problems.

During the reporting year, Sberbank continued to implement its Technological Development Strategy through 2018. The Group is making an effort to simplify its IT landscape, reduce time-to-market for banking products, ensure system reliability and performance, and streamline project implementation. New important tasks were added to this list, including quality assurance for implemented software, cutting IT support costs, and developing business growth platforms to facilitate the Group's strategic advantage in the banking market.

In 2015, key systems were running under an increasingly large load; the transaction load on Sberbank's systems increased almost twofold from the previous year, which is the result of developments of functional systems and a growing customer base. The goals related to system reliability were met on account of the 99.99 Programme that creates reserves and focuses on the proactive handling of operational risks. Sberbank managed to create at least a half-year reserve for critical system performance by year end, which allowed it to withstand the traditional transaction peak load without material failures in late 2015.

DDoS attacks on the Group's resources are still high. They are becoming more intelligent and powerful. All attacks failed in 2015 thanks to 99.99 Programme protection efforts; for comparison: in 2014, DDoS attacks disrupted customer service in full for the total duration of about one hour. The Bank operates its own centre to counteract Internet attacks.

For the purpose of coming up with a technological breakthrough to underline the Sberbank's Development Strategy through 2018, the Technology unit was set up on the foundation of the IT and Operational Units in the fourth quarter of 2015.

STRATEGIC PROGRAMMES RESULTS

In terms of its strategic programmes, Sberbank has achieved the following results:

- ✓ Completion of the Programme for IT system centralisation, Centralisation 2.0, that is unprecedented in its scope and was carried out by 32,000 employees over the span of four years. The programme consolidated 15 regional bank systems and centralised databases. One of world's largest centralised IT platforms has now been established. This unified information space reduced timelines for launching new bank products for customers.
- ✓ Under the strategic Reliability 99.99 Programme, the aggregate downtime for over 60% of systems was less than 52 minutes per year. The programme employs a backup mode to serve customers and maintains limited functionality in case of

failures or maintenance work, which prevented over 275 hours of downtime for the year.

- ✓ Sberbank launched a new strategic programme called Creating a Support Platform for Business Development (18+) that involves global experts in architecture. Its purpose is to ensure a strategic advantage in the bank services market by creating a platform to meet prospective business needs in 2018–2023, reduce time-to-market for the launch of new products, cut IT infrastructure costs, and improve back office performance.
- ✓ The Centralisation 3.0 programme took 118 noncore systems and one Data Processing Centre out of operation and includes plans to deactivate 410 more noncore systems and replace IT hardware to cut budget costs. The purpose here is to complete landscape centralisation by enhancing IT asset performance.
- ✓ The Bank successfully completed the transformation of the IT support unit's structure under the Everest Project created vertically integrated support management services during 2015. The effect of these efforts totalled RUB 650 million.
- ✓ The Big Data programme created the Big Data Lab Cluster and formed a portfolio of 55 initiatives for data monetisation, with four of them carried out as business decision prototypes.

Information technology is present in all lines of our business. Below are the most meaningful IT-related events:

- ✓ The Bank established an up-to-date benchmark customer base for all retail business segments by connecting the regional banks to a unified online customer profile system.
- ✓ Customers receive text notifications about the issue and delivery status of their cards. Customers can receive cards in all regions where Sberbank is present, regardless of the location of their account.
- ✓ Sberbank uses a unified SAP HR system to manage its personnel. This is the world's largest project for implementing SAP HR covering all Bank employees working in 82 constituents of the Russian Federation in 11 different time zones. The Bank decommissioned 89 historical systems.
- ✓ Employees in all regions are now able to plan 100% of operating expenses within a unified centralised system and substantially accelerate processing speeds.
- ✓ The Bank has unified payments of government and municipal charges to the Ministry of Internal Affairs, Federal Bailiff Service and Rosreestr in real time across the country. For the prompt identification of persons involved in terrorism and extremist activities and in order to counter illegal financial transactions in compliance with laws No. 115-FZ dated 7 August, 2001, On Antimoney Laundering and Countering the

Financing of Terrorism, No. 134-FZ dated 28 June, 2013, On Making Amendments to Separate Legislative Acts of the Russian Federation in terms of Countering Illegal Financial Transactions, and No. 152-FZ dated 27 July, 2006, On Personal Data, interactions between AS STOP-LIST and with the Bank's own AS have started occurring in real time. This will quickly identify any suspicious customers when they make transfers to deposit and card accounts and combat terrorism financing and criminal money laundering.

- ✓ The OptiCash/OptiNet system has been implemented across all regions: historical data related to cash balances and turnover at cash desks and ATMs is used to automatically generate reasonable recommendations for the addition or release of cash.
- ✓ An industry fraud-monitoring system has been developed to provide remote banking services to retail customers. This system mitigates the risk of customer cash theft and reputation losses for Sberbank as a result of any fraudulent transactions.
- ✓ There is a solution in place to reduce the period for launching changes in deposit interest rates to accelerate Sberbank's response to economic conditions.
- ✓ The Bank upgraded cooperation with SWIFT to enable the exchange of SWIFT documents with other banks should any disruption occur.
- ✓ Credit Factory, a new technology for issuing mortgages, was launched making it possible to modify any selected product at any stage before a loan is issued. Customers apply for mortgages to any ISU without the participation of a mortgage manager, and there is no need to obtain another Bank's consent for any further change in the type of real estate or transaction. This will reduce the number of customers who decline transactions.
- ✓ An automated process for the assessment of credit history has been integrated into Credit Conveyor and Credit Factory for the Microbusiness and Small Business segments.
- ✓ Wi-Fi for customers and employees has been introduced in 6,000 Sberbank business units countrywide. Over 10,000 employees from these units use corporate tablets to serve customers and connect them to the Bank's products and services.
- ✓ A new version of the corporate portal has brought together all regional banks that previously operated in 15 different portals within a single shared space.
- ✓ A data processing centre for Sberbank Europe AG has been created at Sberbank's data centre (Mega DC). This is Russia's first project for the IT support of European banks and has saved its subsidiary banks over RUB 3,3 million in IT support costs.

DEALING WITH SUPPLIERS

- ✓ We introduced more efficient payment settlement services for international fund transfers in the subsidiary banks of Belarus, Ukraine, and Kazakhstan which process time by 40% reduce international transfer processing time by 40%.
- ✓ Sberbank Online launched the sale of Wealth Products. The Group's insurance products are available for sale through the Internet.
- ✓ Sberbank's corporate website won the Bank Standard of Excellence Web Award and the Best Adaptive and Mobile Website in the Golden Website 2015 contest. Sberbank1.ru is also the prize winner for Retail Bank or Insurance Company Website.

These developments have helped maintain a growth rate that not only complies with the Bank's strategic goals related to technological breakthroughs but also gains international recognition. According to Global Finance, Sberbank Online won awards in the 2015 Best Consumer Digital Banks in two categories, the Best Information Security Initiatives and the Best Bill Payment and Presentment in Central and Eastern Europe. Sberbank's IT system centralisation programme is also a winner of the IPMA International Project Excellence Award 2015 for the category of Mega-Sized Projects.

PROCUREMENT IMPROVEMENT RESULTS

- ✓ Sberbank's Head Quarters completed centralisation of the procurement process across all categories of items.
- ✓ Category strategies have been developed and approved.
- ✓ The Bank implemented pilot projects for procurement centralisation and established specialised procurement units—that is, Regional Bank Procurement Centres.
- ✓ Based on review of problem areas arising in the execution of agreements, the Bank prepared proposals related to streamlining timelines for signing agreements; a new scheme is currently being reviewed for approval.
- ✓ The service catalogue and parameters have been defined and approved.
- ✓ Pilot projects for e-document work flow with suppliers were implemented, and over 30 agreements were signed.
- ✓ The Bank developed a new version of the Procurement Regulation to include changes in statutory requirements.
- ✓ Sberbank has a procedure in place for accreditation of suppliers of the highest-demand products. For procurement of complex and important products, the Group uses procurement procedures that contain several stages of selection and assessment of suppliers.

PROCUREMENT QUALITATIVE CHARACTERISTICS¹

Indicators	Year		
	2013	2014	2015
Total number of suppliers engaged	1,323	1,798	39,295
Total payments to suppliers, RUB thousand	66,798,455	92,582,343	183,025,498
including to local suppliers, RUB thousand	62,257,485	87,869,340	176,212,669
Share of local suppliers in procurement budget, %	93	95	96
including to small- and medium-size businesses, RUB thousand	18,677,693	30,312,385	72,119,537
Share of small- and medium-sized business in the procurement budget, %	28	33	39

MAIN SBERBANK SUPPLIER CATEGORIES

Supplier category	Payment amount, RUB	Share in total payments [%]
Procurement of computer hardware and equipment	32,957, 953	18
Information services ²	19,156,523	10
Buildings, structures, and equipment lease	14,898,380	8
Maintenance of computer hardware and equipment	10,309,331	6

¹. The estimate of procurement qualitative characteristics in 2015 included data from 10 Group regional banks* (no RB data was included in 2013 and 2014 (only HO data) due to absence of centralised accounting of internal business operations at that time). Small- and medium-size businesses include data related to the microbusiness segment.

². including payments to SberTech JSC: RUB 14,994,990 thousand.

MEASURES TO PREVENT CORRUPTION IN PROCUREMENT

Sberbank issued an Order aimed at implementing a range of efforts to avoid corruption offenses.

Procurement documents included a standard clause in contracts with counterparties on the “Guarantee to prevent corruption in the procurement activities of Sberbank of Russia.”

The Bank implements a range of efforts to centralize procurement. Procurement performance and control within regional banks and headquarters units of Sberbank are assigned to a special business unit, the Procurement Centre of Sberbank Headquarters.

Business units have instructions in place related to procedures for relations with outside counterparties and ethical behaviour.

All employees involved in the Bank’s procurement activity must pass annual psychological investigations using polygraphs.

GOALS AND OBJECTIVES FOR IMPROVING THE PROCUREMENT SYSTEM FOR THE NEXT REPORTING PERIOD

- ✓ Procurement centralisation at the regional level, creation of targeted Procurement Centres servicing several regional banks
- ✓ Establishing Procurement Support Centres Transfer of support functions to a unified Centre
- ✓ Enhancing procurement performance by automation and integration (SAP SRM)
- ✓ Introducing e-document work flow procedures for all existing Sberbank suppliers
- ✓ Streamlining the number of staff members involved in procurement through economies of scale and procurement centralisation
- ✓ Improving procurement quality and performance and reducing procurement timelines.

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CORPORATE SOCIAL RESPONSIBILITY

For us, Corporate Social Responsibility (CSR) is an approach that we use to build relationships with our stakeholders. We strive to do our business in a way that would benefit all parties Sberbank interacts with by:

- ✓ providing affordable and high-quality banking services to our customers to help them implement their plans and improve their living conditions;
- ✓ providing our employees with a workplace that they enjoy working in and that unlocks their potential;
- ✓ becoming a sustainable and profitable investment target for our shareholders; and
- ✓ providing community with development opportunities that can improve living standards.

Currently, Sberbank is undergoing large-scale transformations and change to better handle external challenges. We are committed to becoming a mature company with a high degree of technological, organisational, and managerial aptitude to cope with tasks of any scale or difficulty. We would like CSR to be one of the founding principles of Sberbank's new culture that creates favourable conditions for cooperation between business and society, while promoting the achievement of positive results for all parties.

CUSTOMER FOCUS

One of Sberbank's development strategies is to build trusting and long-term relationships with our customers. We identified ten specific customer focus features and updated our "customer-focused" model in 2015 based on a survey of client preferences, analysis of their requests to the bank, and the recommendations of competent customer service experts.

THE KEY FEATURES INCLUDE:

- ✓ accessibility of service through all channels;
- ✓ awareness of our customers' demands and ability to exceed their expectations;
- ✓ friendly and skilled employees;
- ✓ immediately resolving an issue when the customer submits a complaint;
- ✓ financial security, etc.

We will endeavour to fully implement these features in our work to be confident that Sberbank makes every effort to serve its customers.

We received two awards for quality management in 2015:

- ✓ Consumer Rights and Service Quality award as the Best Customer-Oriented Bank of Russia;
- ✓ Visa Global Service Quality Performance Award for High Quality of Services.

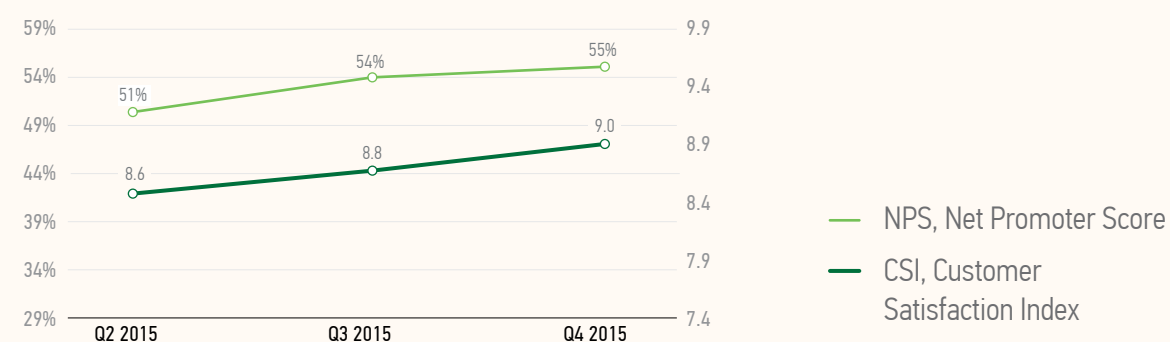
CUSTOMER SERVICE IMPROVEMENT

CLIENT SATISFACTION SURVEY

We analyse client feedback on a regular basis in order to monitor our efforts to build an excellent client experience. Our key metrics used include the Net Promoter Score (NPS) and Customer Satisfaction Index (CSI). These are designed to demonstrate the degree to which our services meet customers' expectations.

Previously, these surveys were conducted among randomly selected members of the general population. We changed our method in Q2 2015 and now perform our surveys among customers in our internal databases. This practice improves the targeted orientation of surveys and takes each customer's opinion into account. The survey results are uploaded into our databases. This allows us to go back to clients who gave a low service rating, in order to find out the reason for their dissatisfaction and resolve the issue. Stable growth was observed for both indices in 2015. At the end of the reporting period, 55% of respondents were willing to recommend Sberbank to their friends and relatives (NPS index). The average score for answering the question "How satisfied are you with the bank's customer service?" was 9 points (with 1 for "absolutely dissatisfied" and 10 for "very satisfied").

| RESULTS OF SBERBANK CUSTOMER SATISFACTION SURVEYS IN 2015



In addition to general surveys, we also analyse our customers' satisfaction with specific product processes. We embrace customers from different segments at all stages of their interaction with Sberbank and in various service channels. In this way, we evaluated the following processes in 2015:

- ✓ change of personal data;
- ✓ receipt and servicing of credit and debit cards;
- ✓ receipt and servicing of mortgage loans;
- ✓ complaints handling, etc.

Customer feedback is used to develop recommendations on transforming the observed processes.

INVOLVING EMPLOYEES IN A CLIENT-CENTRED MODEL

We are working with our employees to make them devoted to Sberbank's values in the area of customer service, and to teach them the best client-centred practices. For this, the following events were implemented in 2015:

- ✓ creation of the main principle of the client-centred model ("I deal with the customer in the same way that I would wish to be treated") and the "Golden Rules" of service were identified for all channels and segments;
- ✓ meetings held with the management of the central administration with the teams of all territorial banks to explain in detail how to achieve the "Everything for the Client" value and what the client-centred approach entails;
- ✓ creation of a unique database of customer cases, based on a crowdsourcing platform within the bank-wide competition "We create the best customer experience". This included 6 thousand stories of customers being helped, with discussion by over 90 thousand staff;
- ✓ launch of training courses for customer service (in particular "Service for All," "Metrics of Customer Experience: NPS and CSI," "Client Segments," "Instruments for Managing Customer Expectations," "Effective Communication of Service Managers"), with more than 100 thousand employees participating or almost 70% of the total number of employees of the retail banking business.

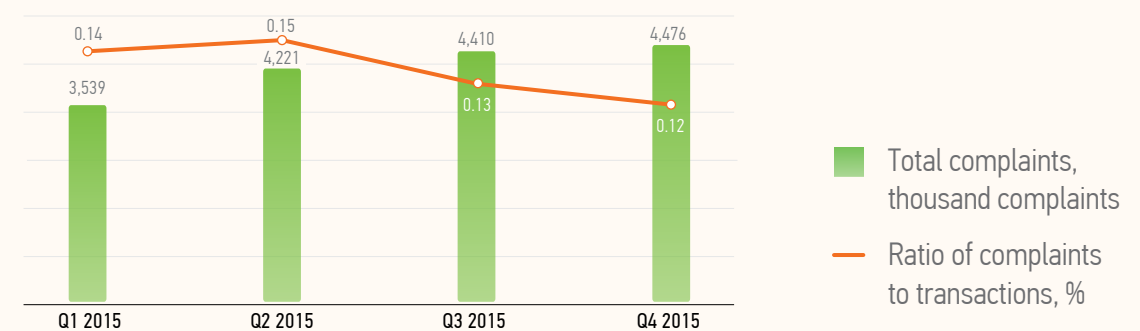
The Group's subsidiary banks also engage in a dialogue with their customers and develop feedback mechanisms aimed at analysing different target audiences and processes via telephone questionnaires, online polling, and face-to-face interviews.

| EXAMPLES OF CUSTOMER SATISFACTION SURVEYS CARRIED OUT BY GROUP SUBSIDIARIES IN 2015

Subsidiary bank	Description	Coverage	Results
Sberbank Ukraine			
Welcome call	Telephone survey of customers who have been serviced by the bank for up to three months	5%–7% of new clients	95 out of 100 points
BPS-Sberbank			
Brand health	Face-to-face interviews with local residents to determine the level of brand awareness and brand health	1,600 respondents	54% of customers recognise the brand without prompts, 87% can recognise the brand when prompted
Satisfaction with the complaints handling process	Telephone survey	377 interviews (the first wave) and 217 interviews (the second wave)	Based on the first and second wave results, 49% and 46% of customers respectively noted that they were satisfied with the complaints handling process
Sberbank Kazakhstan			
Customer satisfaction with quality of services and loyalty research	Customer satisfaction surveys covering the time of servicing, professionalism of bank employees and treatment of customers, telephone survey	8.7% of customers	4.6 points out of 5
Cetelem			
Customer voice	Telephone survey of customers who were serviced by the Contact Centre during the reporting period to identify their level of satisfaction with the services received	9,700 customers	86% of customers are satisfied with services, 88% of respondents are satisfied with waiting time and 86% of customers are satisfied with replies
DenizBank			
NPS	Telephone survey covering different retail customers, small businesses, and users of banking services for farmers	15,000 customers	39% of customers are willing to recommend the bank to their friends
Sberbank Europe			
Contact Centre report (Slovenia)	Telephone survey of customers to determine their overall customer service experience and degree of satisfaction with the quality of information obtained	2,700 customers	4.8 out of 5 points

HANDLING CUSTOMER COMPLAINTS

When analysing customer complaint trends, we consider the number of complaints against the total scope of banking transactions. The use a specific ratio, which takes into account growth in the number of transactions, forms the basis for unbiased findings related to our performance. This ratio declined gradually throughout 2015.

| CUSTOMER COMPLAINTS TRENDS AT SBERBANK, 2015¹

The most frequent complaints submitted to Sberbank and other Group members in 2015 included:

- ✓ issues with the use of self-service machines and remote banking channels (issues with depositing money at ATMs, transaction rejection, etc.);
- ✓ customer service;
- ✓ suspected fraud;
- ✓ complaints related to bank products (amount of service fees, interest rates, and loan repayment procedures, etc.).

¹ Customer complaints trends differ from the ones included in the 2014 CSR Report. During the previous reporting period, we recorded only the complaints that were given to the back office to be handled. Starting from 2015, we have been recording and handling all complaints, including those resolved immediately by the contact centre upon being received.

When responding to such complaints, we focus primarily on pre-claims settlement of any issues. This helps us to increase the number of complaints resolved “here and now” and reduce the complaint-handling load.

Service managers were hired in 700 subdivisions¹ in 2015 to maximise the efficiency of pre-claims issue handling. About 85% of all issues are solved by service managers and most of these claims are solved immediately when the customer submits his/her complaint. Other issues are transferred for handling by the claims service. In order to increase the pre-claims handling scope, we are continuously improving service managers’ competencies and extending their authority.

A separate area of business is minimisation of the number of the most frequent complaints related to self-service machines. To this end, in 2015 we increased the number of ATMs with the “Reconciliation” automatic system installed. This system helps to resolve the failure of any transactions due to technical issues and processing system failures. In particular, this tool facilitates automatic completion of problem transactions without involving Sberbank specialists.

Robust growth of the database of mobile applications and online banking users encourages a fast response to any customer question relating to remote service channels. In particular, we launched a pilot Sberbank Online Expert line in 2015 in our Unified Distributed Contact Centre (UDCC). The line is intended to handle customer complaints related to mobile applications and develop the relevant expertise of frontline contact centre personnel.

We also handle complaints posted on social networks. The Pulse system is efficient at tracking down customer feedback about Sberbank’s subdivisions from four sources: Foursquare, Instagram, VKontakte, and Flamp. Over 1,500 reviews about Sberbank have been identified since the system was launched, with all negative feedback considered and a relevant response developed. We also monitor any high-profile complaints addressed to the bank’s management in social networks. A total of 150 identified issues were solved in 2015.

In turn, the Group’s subsidiary banks and companies implemented the following measures aimed at handling complaints in 2015:

- ✓ preventative measures to improve the functioning of self-service machines, as part of which maintenance companies checked the degree of wear of ATM assemblies and modules;
- ✓ updates of mobile applications and remote services based on customer feedback, customisation of information messages and instructions for how to be more user-friendly;
- ✓ implementation of an accelerated decision-making procedure for disputed transactions;
- ✓ amendments to service standards that stipulate more detailed information to customers about product conditions;
- ✓ improving the complaints handling process, including development of templates and reply standards, shorter periods for responses to specific complaints, etc.

¹ The largest offices handling more than 60% of all customer complaints recorded at service points.

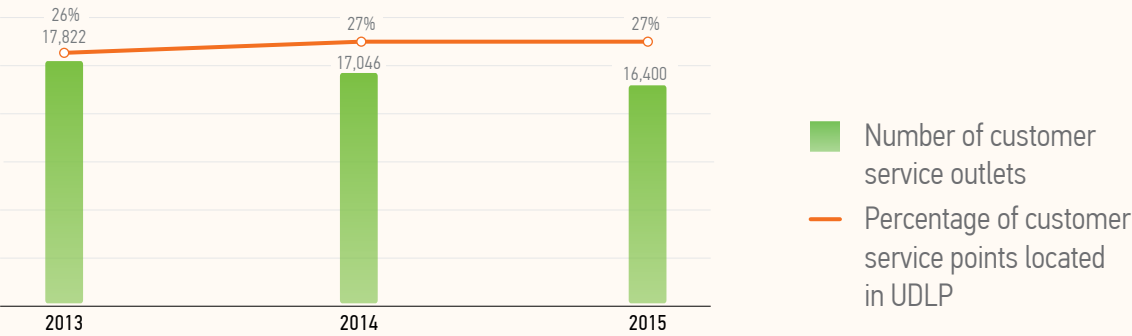
ENSURING THE AVAILABILITY OF FINANCIAL SERVICES

BRANCH NETWORKS

Sberbank has a branch network optimisation model in place that is used to evaluate the potential of new locations and determine the best office site. The optimisation criteria are having a convenient location for the greatest number of customers and for achieving the best financial results.

Sberbank’s branch network in Russia consisted of 16,400 customer service outlets at the end of 2015. We opened about 581 new customer service outlets during the year. We closed 1,227 outlets due to non-conformance to the established geomarketing criteria and unsatisfactory condition of the premises. The share of branches in underdeveloped and low-populated areas did not suffer, with the figure slightly increasing year-on-year to 27%. Banking services are made more accessible to people in such regions with mobile bank subdivisions and remote service channels, including self-service machines, Mobile Banking, as well as mobile applications and Sberbank Online¹.

SBERBANK’S CUSTOMER SERVICE OUTLETS IN RUSSIA, INCLUDING THOSE IN UNDERDEVELOPED AND LOW-POPULATED AREAS (UDLP)



We are planning the long-term development of an optimal network suitable for large cities, small towns, and rural areas. In particular, we are currently developing an alternative format for presence in rural settlements.

¹. More details on remote servicing channels are available in the Remote Bank Services section.

REFORMATTING CUSTOMER SERVICE OUTLETS

We continued to implement our Branch Network Reformatting programme in 2015, involving the creation of convenient, state-of-the-art and multifunctional service outlets for our customers. A total of 607 subdivisions were renovated and 57 new ones were opened in 2015. Reformatted subdivisions include a user-friendly navigation system with customer consultation and waiting areas. Additionally, new subdivisions provide highly accessible banking services by offering self-service facilities 24 hours a day, seven days a week.

A total of 6,600 customer service points have been opened since the programme launch, offering high comfort and service standards. Since most of our businesses are concentrated in big cities, we have focused on reformatting our branches in settlements with a population of over 100,000 people (69% of the total number of reformatted subdivisions).

REFORMATTING BRANCH NETWORK OFFICES PROGRAMME IMPLEMENTATION RESULTS IN RUSSIA

Indicator	2013	2014	2015	Share of the total
Number of reformatted customer service outlets, including:	4,612	5,997	6,604	
in big cities (population more than 100,000 people)	3,339	4,189	4,565	69%
in small cities (population less than 100,000 people, villages)	1,273	1,808	2,039	31%

The implementation of the reformatting programme was a significant factor in securing us a FinBranch award as the Best Bank Subdivision and the Most Caring Bank Subdivision in 2015.

We will continue to improve our branch network in the next reporting period under Sberbank Development Strategy to ensure more comfortable services to our customers and better performance. We are planning to reformat 640 subdivisions within our branch network in 2016.

EQUIPPING CUSTOMER SERVICE OUTLETS FOR DISABLED PEOPLE

While upgrading our subdivisions, we strive to make them suitable for people with disabilities by adding ramps, hoists, or moving steps, installing lower desks in the lobby and counters, and placing assistance buttons near the entrances to our offices. The number of customer service outlets equipped with necessary infrastructure increased by five percentage points year-on-year in 2015 to 7,100 subdivisions (43% of all Sberbank subdivisions in Russia).

We have long-term programmemes to equip our offices with other elements, including equipment for people with impaired hearing, tactile panels, tactile floor guides, contrast marking of steps, and glass doors.

REMOTE BANKING SERVICES

The number of transactions via remote banking channels is growing at a high rate. The number of active online banking users of the Group increased by 50% and the number of mobile bank users increased by 28% in 2015. The number of ATMs decreased insignificantly due to better online services and the resulting growth in online payments.

| DEVELOPMENT OF REMOTE BANKING SERVICE CHANNELS WITHIN THE GROUP

Service	2013	2014	2015	Changes during the reporting period
Mobile bank, thousand of active users, including:	14,760	21,240	27,283	28%
Sberbank	14,658	20,918	26,809	28%
Subsidiary banks	102	322	474	47%
Online banking, thousand of active users, including:	10,120	20,359	30,438	50%
Sberbank	9,441	19,386	29,236	51%
Subsidiary banks	679	973	1,202	24%
Number of ATMs, including:	93,067	94,289	90,444	-4%
Sberbank	89,016	90,059	85,914	-5%
Subsidiary banks	4,051	4,230	4,530	7%

Our efforts in this area are based on ensuring the security of banking transactions, faster use of applications, and a convenient user interface. We updated the Sberbank Online application in 2015 by making it more functional. We simplified the registration process in the application, made it possible to conduct transfers to Visa and MasterCard accounts issued by other banks, and introduced templates, auto-payments and editing options.

Furthermore, a new version of the mobile application for the Android platform has a built-in anti-virus option to secure banking transactions and a new functional design based on material design principles. Surfaces are now 3D, the menu is animated, and the colour grade was adjusted and expanded. Google Play and App Store have noted Sberbank Online in their ratings of the best applications.

The Group’s subsidiaries have also improved their remote banking services. For example, the Online-Consultant remote access channel has been in use at the BPS-Sberbank Contact Centre since 2013. This channel provides customers the opportunity to conduct a real-time media chat with consultants without visiting the bank. The service was reformatted in 2015 as part of the overall website rebranding. Now, the online-consultant form is published on all website pages as an active window in the left part of the page so that customers can speak to a consultant at any time.

Cetelem launched its End-to-End Authorisation in IVR (Interactive Voice Response). Now customers registered in the bank’s database have access to IVR. Customers may automatically find out information about their contracts, payment dates and amounts, and deposit amounts. The convenience of this service has been confirmed by increased user figures: the number of calls almost doubled in the reporting period (from 40,000 to 97,000 calls).

DEVELOPING SOCIALLY-ORIENTED PRODUCTS

PENSIONER SUPPORT

Sberbank's portfolio contains a number of proposals developed specially for pensioners. In particular, we provide pensioners with a Sberbank-Maestro Social Card without fee for debiting of pensions. The Social Card provides pensioners with convenient access to the whole range of banking services, including wire transfers, payment transfers and remote account management. About 25 million people used the card in 2015.

SERVICE FOR PENSIONERS TO RECEIVE THE STATEMENT OF PENSION TYPES AND AMOUNTS PAID BY THE RUSSIAN PENSION FUND

In 2015, we moved to a new unified data exchange format with the subdivisions of the Russian Pension Fund (RPF) by providing RPF pensioners with a new fee service that entitles them to a statement of the types and amounts of pensions debited to their Sberbank account. These statements can be received in any of our offices, via Sberbank Online or at self-service machines. The service helps pensioners to receive detailed information on all types of payments from RPF and amounts paid for a specific period.

Sberbank launched Your Victory promotion deposit in 2015 to commemorate Victory Day. If the deposit is made during the period of validity, one rouble per thousand is transferred to the Russian Veterans' Union charity fund. A total of 1.4 million agreements worth RUB 303 billion were signed.

Subsidiary banks are also developing their own special pensioner-focused products.

- ✓ BPS-Sberbank offers the Pension Light banking package in which senior customers enjoy higher interest rates on deposits and all transactions on pension accounts are commission-free.
- ✓ DenizBank signed an agreement with the Social Protection Institute to attract recently retired customers. This contributed to an increase in the number of senior customers by 95% (from 208,000 to 406,000 people) in 2015.
- ✓ Sberbank Europe (Slovenia) offers pensioners the possibility of opening a current account without an initial deposit and with lower monthly service fees. A total of 276 accounts were opened in 2015 worth EUR 3.8 million.
- ✓ Sberbank Europe (Bosnia) offers the Pension Plus service, which had 673 users in 2015.

STUDENT SUPPORT

Sberbank offers special conditions on financial products for students by taking into account their special requirements. We have participated in the Government-supported student loan programme, implemented by the Ministry of Education and Science of the Russian Federation, since 2014. The special conditions for students did not change in 2015, in which the government reimburses a portion of education-related expenses to students so that the loan rate is one quarter of the refinancing rate plus five percentage points (7.25% p.a.). Additional benefits include the lack of the requirement to secure collateral, guarantors, or confirmation one's income. The borrower is provided with a grace period on principal and interest payments when studying and for three additional months after completing their studies, which relieves part of the burden on students in the most difficult financial period while they are studying and before they find employment. Students received about 2,500 loans during the programme period.

In 2015, we continued to provide nine partner universities and colleges with the opportunity to issue a stipend card with university symbols. Furthermore, the card provides access to the university premises, is used to pay for lunch in the canteen, and for educational services on the University's website.

We also issued the Molodezhnaya card with a lower annual fee developed specifically for students. This card may be used to obtain bonuses to be redeemed for other purchases. A total of 3 million new cards for young people (of the total of 6.5 million cards for young people in use) were issued in 2015.

SUPPORT FOR CHILDREN AND TEENAGERS

In 2015, Sberbank, together with its subsidiary JSC UEC, supported the implementation of the Ladoshki (Palms) innovation system of cashless payment for meals in pilot schools in the Volga, Moscow and Voronezh Regions.

In this system, schoolchildren do not need cash to pay for their meals. They can simply put their palm on the payment terminal, which identifies the child by reading the unique vein pattern on their palm. After authentication, the child's individual palm pattern is converted to a digital code via a unique mechanism that provides unparalleled protection against fraudulent use.

The schoolchild's unique digital code is linked to the parent's personal account, which is then used to settle payments for meal services. Regulations were developed not to link the parent's personal account with a specific school, in order to later create a common Ladoshki system across the Russian Federation. Parents may refill their account on their profile on the Ladoshki website, via Sberbank Online, or at self-service machine. More than 65,000 schoolchildren had used the Ladoshki service by the end of 2015. Sberbank received the Time of Innovation-2015 award in the Social Innovation of the Year nomination.

The Group's subsidiary banks operate a series of socially oriented products for children and teenagers, including opening of accounts, high interest deposits, and integrated service packages (for example "15+").

HOUSING LOANS

We believe that it is a part of our social mission to improve housing conditions. Sberbank was recognised as a housing lending leader in 2015 by issuing total mortgage loans worth over RUB 660 billion. We are cooperating with the Government at extending housing loans and are actively involved in the implementation of federal and regional programmemes that provide special conditions under mortgage loans for specific social groups.

| SBERBANK'S HOUSING LENDING PROGRAMMEMES

Product	Special conditions	2014 results	2015 results
Young family	Minimum initial payment (from 15%)	183,700 loans granted worth over RUB 284 billion	101,000 loans granted worth over RUB 153 billion
	Deferred principal payment in case of a child birth		
	Promotions		
Government-supported mortgage	Reduced interest rates to purchase flats in new houses (11.4%–11.9% over the year)	-	109,000 loans granted worth over RUB 187 billion
Mortgage plus maternity capital	Use of maternity capital (MC) for calculation of the maximum loan amount	Maternity capital used by 120,700 borrowers to repay loans for RUB 46.5 billion	Maternity capital used by 140,000 borrowers to repay loans for RUB 66.5 billion
Military mortgage	Rate of 12.5% p.a.	A total of 3,600 loans granted worth RUB 6.6 billion	A total of 11,400 loans granted worth RUB 20.0 billion
	Initial deposit – 20% over 20 years		
	Loans are repaid with targeted housing loans provided to soldiers by the government		
Building-and-loan associations (Popular Mortgage)	Fixed interest rate from 6% to 8% p.a.	10,000 accumulative deposits opened worth RUB 1.2 billion	9,000 accumulative deposits opened worth RUB 1.5 billion
	Subsidies from regional budgets (to 30% of the participants' savings)		
		A total of 48,000 loans granted worth RUB 29 billion	A total of 267,000 loans granted worth RUB 149 billion
State housing certificates (SHC)	Participation in the federal targeted Housing programmeme	A total of 9,700 SHC loans granted worth RUB 20.2 billion	A total of 8,000 SHC loans granted worth RUB 15.7 billion
Regional housing	Subsidies from regional and local government, as well as from employers	A total of 12,200 loans granted worth RUB 19 billion	A total of 13,000 loans granted worth RUB 19 billion

OTHER SOCIAL BANKING PRODUCTS

Sberbank has been servicing the national debt under guaranteed savings of Russian citizens since 1996 in accordance with the Federal Law on Restoration and Protection of the Savings of the Citizens of the Russian Federation. We paid compensations of RUB 6.4 billion in 2015 (compared to RUB 7.2 billion in 2014).

Sberbank has been working with the Deposit Insurance Agency Group since 2008 by making insurance payments under the deposits of the banks participating in the deposit insurance programme and suffering an insured event. Against the backdrop of the economic recession, in which a growing number of banks are losing their licences, Sberbank's role has increased. We paid more than RUB 167 billion in deposit insurance in 2015 to 338,000 depositors of 25 banks.

We also take an active part in the implementation of the government programmeme involving support to private farm holdings aimed at development of farming. The programmeme subsidises a portion of the interest rate with budgetary funds, which makes loans more affordable to customers. We granted about 3,500 loans in total worth RUB 740 million in 2015. Next year, in order to reduce the loan request periods and Sberbank's operational risks, we are planning to move this service to the Credit Factory platform¹.

TATARSTAN RESIDENT'S CARD

In 2015, Sberbank and the Republic of Tatarstan signed the Cashless Tatarstan cooperation agreement aimed at developing cashless transactions in the region. In particular, Sberbank will assist with issuance of Tatarstan resident's cards, which can be used for payment and identification. Users will access a number of informational and touch-free payment services, which will streamline their electronic access to municipal and social services. The project will be launched in Zelenodolsk in 2016.

¹ Credit Factory is a platform for granting loans to retail customers and small businesses based on automated processing of loan requests

SECURITY OF BANKING TRANSACTIONS

Security has become critically important with the increasing number of customers' remote transactions. We are continuously improving our security systems, taking into account the relevant risks and threats, and cooperating with law enforcement authorities on curbing criminal activity against Sberbank's customers. Our results in 2015:

- ✓ the activity of six cyber-criminal groups attacking Sberbank customers was stopped and 15 criminals were prosecuted;
- ✓ attempted fraud worth about RUB 0.6 billion was detected and prevented in trade outlets serviced by Sberbank;
- ✓ a total of 25 attempts of theft of corporate funds and over 154,000 attempts of theft of individuals' funds were prevented, with the damage prevented exceeding RUB 2.8 billion;
- ✓ the Red Button-AP fraud-monitoring (combating fraud in corporate lending) procedure identified risk factors for 181 loan requests and, as a result, loans worth RUB 6.9 billion were not granted to bad borrowers;
- ✓ audits and acceptance tests completed for key automated banking systems etc.

We implemented large-scale antiskimming efforts in 2015¹. In particular, we installed 12,000 active antiskimming equipment sets. The actions taken by Sberbank reduced the installation of fake devices by three times from 1,400 to 463 cases during the reporting period. Sberbank's economic security employees actively helped police officers to directly detain 36 people. Prevented skimming damage in 2015 was approximately RUB 3.2 billion.

¹. Skimming is a type of fraudulent action with bank cards that involves the use of various skimmers (reading devices) to copy information from the card's magnetic strip. Skimmers are usually attached to ATMs.

Apart from improving our security system, we maintain an active dialogue with our customers, explaining to them in a user-friendly manner what personal data security measures they should take when using remote banking services. Sberbank's Easy Security Rules are made available to the general public on Sberbank's website (http://www.sberbank.ru/ru/person/dist_services/warning).

JOINT SECURITY LESSON AT SCHOOL

In October 2015, Yandex.Money once again supported the Joint Internet Security Lesson initiative of the Federation Council. Children learned to analyse the reliability and authenticity of information on the Internet. Furthermore, the company helped to develop teaching aids and a video tutorial. The Ministry of Education used these materials during the lesson and included them in the information literacy improvement course to be launched in 2016. Overall, about 12,000 teachers used the materials and 4,000 schoolchildren took the course.

INVESTING IN HUMAN CAPITAL

One of Sberbank's five development priorities is Team and Culture. We are striving to make bank employees and corporate culture one of our competitive advantages. We are implementing an active policy to this end, developing both the professional skills of managers and employees required for implementation of strategic goals, and their competencies related to corporate values.

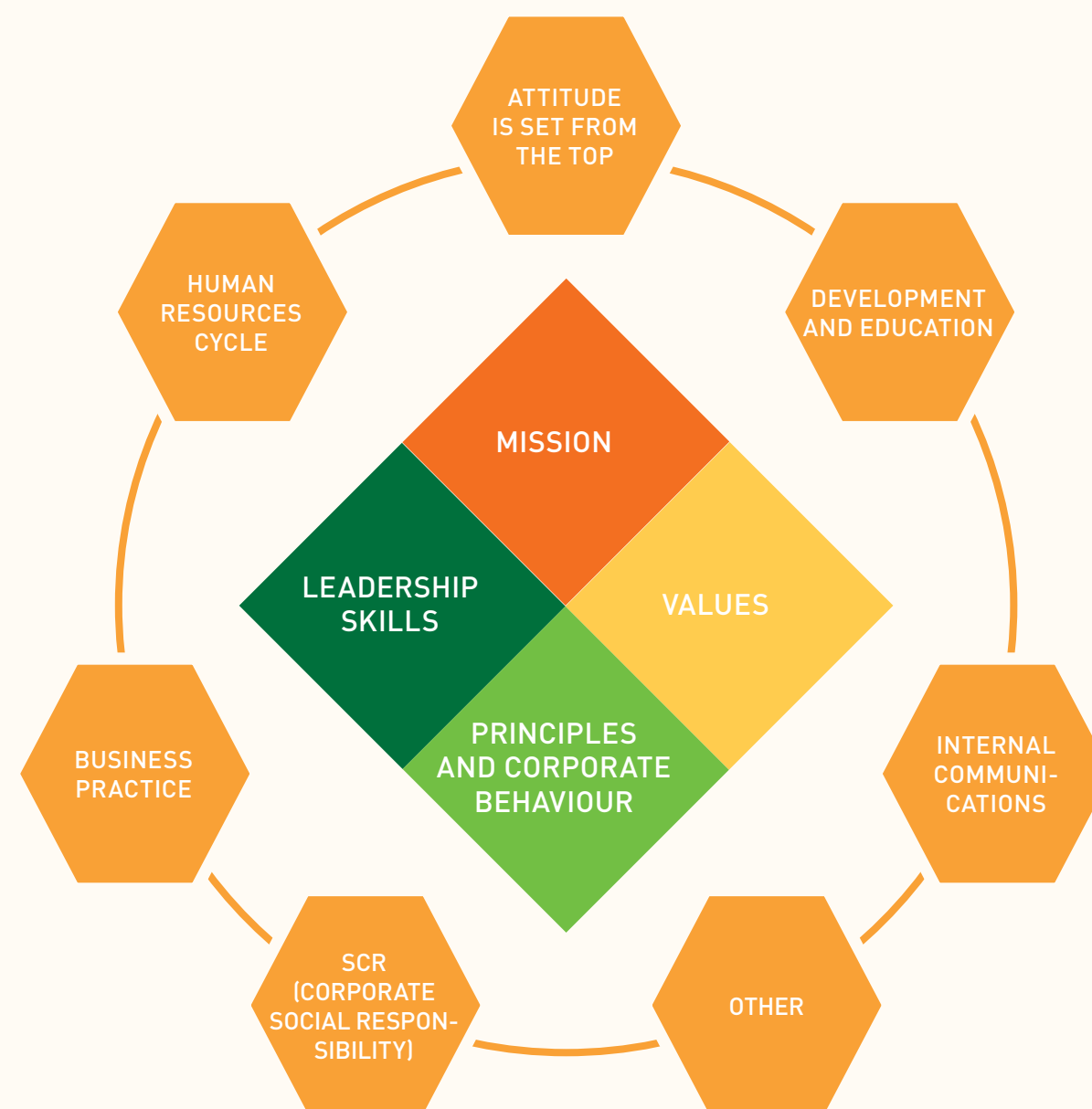
CORPORATE CULTURE DEVELOPMENT

Sberbank's corporate culture is a special environment that helps employees to become a better version of themselves in order to make their customers' lives and communities better. Our culture is based on three simple but important values, which are:

- ✓ I am a leader
- ✓ We are a team
- ✓ Everything for our customer

In 2015 we commenced a corporate culture development project aimed at strengthening the competitive advantage of the bank in the long term. We are focused on developing priority areas such as: "Responsibility and Self-Development," "Trust and Openness," "One Bank Team," and "Customer Interests at the Centre of Attention." Implementation of this task involves almost all elements of the corporate culture ecosystem of Sberbank.

| ECOSYSTEM OF SBERBANK'S CORPORATE CULTURE



In 2015, we focused our efforts on the development of a systemic approach to corporate culture management. We are confident that the transformation of culture should start at the top. For this reason we held top management meetings where we framed the key priorities for development, timeline of project implementation, and tools for changing our corporate culture.

before 2015 Uncontrolled process	2015 Systemic approach to management	2018 Culture is a part of the business model
Goal: build a culture of change	Goal: integrate the culture in all bank processes	Goal: build an environment to make employees better versions of themselves
✓ No common goal or motivation ✓ Strong sub-cultures and lack of continuity: each territorial unit acts as an individual principality ✓ No customer focus ✓ Strong hierarchy and red tape ✓ Diverse approaches to HR management business processes ✓ Mission and 16 values on paper only	✓ Manager is a role model for employees ✓ Book of Values is a tool and reference point ✓ Employee involvement survey is a corporate culture metric ✓ Management and employee training in corporate culture and emotional intelligence ✓ Integration of values in all HR management business processes ✓ Implementation of social projects and engagement of employees as volunteers in such projects	✓ Manager is a leader and mentor who leads by example ✓ All employees live and act based on common values ✓ Cross-functional interaction and common culture with the entire Bank a single team ✓ Customer focus in everything we do ✓ Continuous feedback ✓ Development of risk culture and compliance with the rules

We verified the above mentioned selected tools using our crowdsourcing platform in July 2015 to understand whether Sberbank employees share the same corporate culture. Employees submitted 1,400 proposals, 10,000 reviews, and 15,500 comments on the crowdsourcing platform. The following matters received the support of the majority of them:

- ✓ emotional intelligence trainings for managers and employees;
- ✓ teaching managers to recognise their employees and to motivate positively;
- ✓ improving transparency of corporate awards;
- ✓ developing corporate volunteering services;
- ✓ online training in corporate culture and values.

We carried out the following actions in 2015 to develop our corporate culture using the outlined approach.

| KEY CORPORATE CULTURE DEVELOPMENT EVENTS IMPLEMENTED IN 2015

Area	Events
Role models	✓ Coaching for top management in Sberbank’s corporate culture ✓ Launch of the “Team” feedback system for evaluating the quality of cooperation within the team (in 2015 at the level of top management) ✓ Organising a survey of employee involvement, during which managers’ leadership styles were evaluated for the first time
Communications	✓ Cross-functional cascading of the project for developing the corporate culture, Book of Values and the client-centred model ✓ Launch of the corporate culture hotline as part of the Code of Ethics ✓ Monthly leader meetings in the central office to discuss corporate culture
Changes in HR management	✓ Launch of an updated corporate value compliance assessment (“5+” Rating¹), including expanded recommendations for managers regarding communication about top performers in the team
Training	✓ First wave training in corporate culture and emotional intelligence for managers at Sberbank’s Corporate University
Social projects	✓ Launch of the Contribution to the Future Charity Fund at Sberbank ✓ Launch of the Teacher for Russia project ✓ First bank-wide “Open Doors Day for Children of Employees”

¹ More details about the “5+” Rating are provided in the Employee Performance Assessment and Incentives section.

SBERBANK'S BOOK OF VALUES

One of the corporate culture development tools is Sberbank's Book of Values, which aims to demonstrate the correct use of our values to employees. The Book is easy to read and user-friendly. All rules are grouped in a three-level structure of Values, Principles, and Actions. The Actions category includes necessary rules of conduct that our employees may check to assess if their decisions and actions are right.

The Book is based on real success stories of employees who are living examples of the right behaviours and guidelines for action. Over 60,000 employees took part in the preparation of the book. We also introduced symbols as icons to highlight the key ideas in each section.

We would like the Book of Values to become a real tool in shaping our employees' behaviour, and in 2015 we developed it in Sberbank's subdivisions for that purpose, together with the project for cascading corporate culture.

OPEN DOORS DAY FOR CHILDREN OF EMPLOYEES

In 2015 we started a new tradition: holding an Open Doors Day at bank branches. During this event we invite the children of employees to see where their mother and father work, and also find out more about how Sberbank works. Such events were held in various bank branches throughout the country. Just at head office more than 1,200 children aged between 3 and 17 participated during one day. The children were able to have a look at their parents' workplace, go to the museum, visit a cashing-in machine, participate in the bank's competition or get their hands on the bank's coinage.

We are continuing to hold similar events within the "Sberbank for Children and Parents" programme and, in future, we will assist employees in their parenting roles because we have seen their great interest on the themes of raising children and development.

EMPLOYEE INVOLVEMENT SURVEYS

We measure our corporate culture development results based on employee involvement surveys. We streamlined the survey process in 2015 and the survey was fully conducted online for the first time in history. This way we were able to invite more employees to participate and expand the geography to 346 cities. A total of 194,000 people participated in the survey in 2015, including the employees of ten subsidiaries (Sberbank Technologies, Sberbank Private Pension Fund, Sberbank's Corporate University, Sberbank Insurance, etc.).

The 2015 survey evaluation of factors that affect inclusion also included evaluation of corporate culture and risk culture, as well as managers' leadership styles. For the first time, employees were able to give open comments within the survey as enabled by the online survey method. As a result, around 30,000 open comments served as additional information in the analysis of employee opinions.

The involvement index in 2015 increased by 6.7% in comparison with the last year and reached 75.6%. Absolute numbers of the survey results are high at all values. We understand that, in addition to our contribution to building a comfortable environment, the survey results were impacted by the prevailing economic situation, which made people even more loyal to their employers. Therefore, we focus not only on the final score but on the quality components of the indicator. The most powerful drivers that impact Sberbank employee involvement are:

- ✓ quality of change management in the Bank (including the quality of change communications);
- ✓ top management style (open communications with employees, conditions for efficient interaction, compliance with corporate values);
- ✓ opportunities for high performance (fast decision-making, easy approval process, possibility to influence decisions, professional compliance with the employees' values).

The survey results helped us to frame a set of practical recommendations to develop Sberbank's corporate culture. We will further process involvement result surveys in 2016 as follows: improved quality of communications during change management, use of value ratings throughout the HR cycle during HR decision-making, unlocking the mentoring potential of leaders in everyday work, etc.

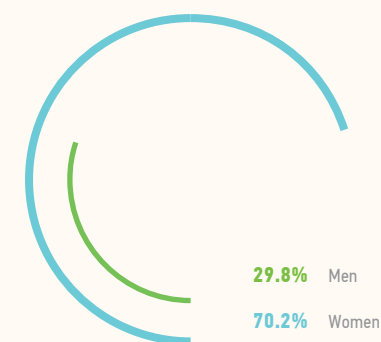
MANAGING THE EMPLOYEE DEVELOPMENT LIFE CYCLE

Actual headcount in the Group at the end of 2015 was 330,700 employees (IFRS reporting). This section includes consolidated information on personnel by major Group members having a significant impact in regions with Group operations. The scope differs from that in the financial statements and covers 96% of the total headcount according to IFRS¹.

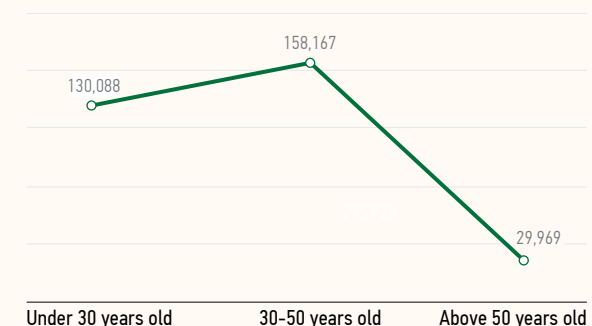
Most Group employees are employed at Sberbank and their headcount in 2015 amounted to 271,200 people (about 85% of the total Group headcount). The turnover in the Group decreased by 4 percentage points to 14% in the reporting period.

We are striving to provide our employees with attractive working conditions. Most of our employees have permanent contracts (98% of all personnel) and work on a full-time basis (91%). The share of the Group's employees covered by collective bargaining agreements is 87%.

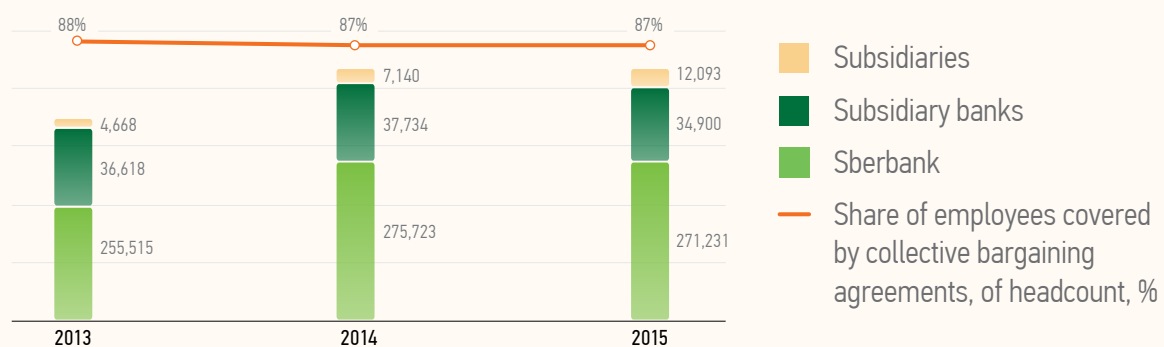
| GROUP HEADCOUNT IN 2015 BY GENDER



| GROUP HEADCOUNT IN 2015 BY AGE



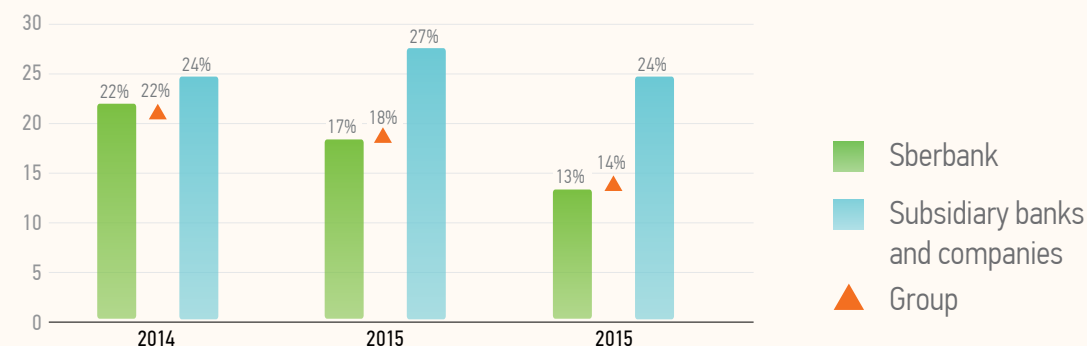
| HEADCOUNT OF GROUP EMPLOYEES AND THE SHARE OF EMPLOYEES COVERED BY COLLECTIVE BARGAINING AGREEMENTS



| GROUP GOVERNANCE BODIES¹ STRUCTURE IN 2015 BY GENDER AND AGE



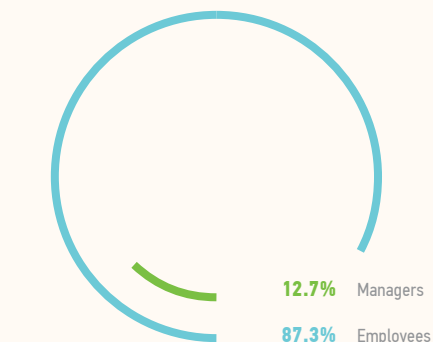
| PERSONNEL TURNOVER WITHIN THE GROUP



| GROUP'S TOTAL HEADCOUNT IN 2015 BY TYPE OF EMPLOYMENT, EMPLOYMENT CONTRACT AND CLASSIFICATION (IN-HOUSE/EXTERNAL²)



| GROUP HEADCOUNT IN 2015 BY EMPLOYEE CATEGORY



¹. Detailed information on consolidation is provided in the Information Disclosure Approach appendix to the Corporate Social Responsibility section.

¹. Governance bodies include the Supervisory Board, the Board of Directors, the Management Board and other bodies with the similar powers, classified as governance bodies by the Group companies.

². External employees include employees on maternity leave, employed under civil contracts, interns, and trainees.

RECRUITMENT AND ADAPTATION OF NEW HIRES

Our recruitment efforts are primarily aimed at employing young and motivated specialists interested in working at Sberbank. To this end, we are developing friendly business relationships with leading universities and colleges.

Sberbank signed 118 agreements with universities and 22 agreements with vocational colleges in 2015. Sberbank’s representatives read about 2,000 lectures and presented over 100 case contests as part of this cooperation. A total of 13,700 students had their internship at Sberbank in the reporting period.

Subsidiary banks and Group companies also cooperated with colleges and universities to recruit talented students.

EXAMPLES OF COOPERATION WITH COLLEGES AND UNIVERSITIES AND RECRUITMENT OF YOUNG TALENTS TO THE GROUP IN 2015

Group member	Initiatives implemented in 2015
BPS -Sberbank	Internship for students (253 interns) Digital Bank of the Future contest for the students of Polesk State University to generate ideas for electronic banking and selection of the best students for internship Assistance to Belarus State Economic University (BSE) with participation at the International Financial Conference in Paris held on March 12–14, 2015 Three-day introductory programmeme at the bank for 102 students from BSE
DenizBank	Summer internship covered by about 8,000 applications
Sberbank Kazakhstan	Internship for students (100 interns) Agreements with universities (8 agreements) Workshops (34) and job fairs (20) Changellenge Championship for students under the Development of Electronic Sales Channels in Kazakhstan business case
Sberbank Ukraine	Internship for students
Sberbank Insurance	Support of the Annual April Higher School of Economics Conference
Sberbank-Technologies	Trainings for the Moscow Engineering Physics Institute students (65 participants)
Yandex.Money	Internship for students (19 interns)

EDUCATION AND PROFESSIONAL DEVELOPMENT OF EMPLOYEES

Education of employees and managers at Sberbank

Sberbank today operates in a dramatically competitive environment, and the high professional competency of employees and ongoing skills development is one of the priorities of our HR policy. In 2015, Sberbank ran 164 educational programmemes and developed 254 new centralised programmemes. A total of 550,600 training events and courses were taken by Sberbank employees during the reporting period.

The key educational trends in the reporting period were:

- ✓ **Development of internal educational resources.** We are developing a multiplier process vesting high performers with certain authority to conduct trainings for Sberbank employees. We have engaged 1,200 people in this role so far. Further professional development of multiplier competency will be achieved by including them in an integrated trainer competency development course.
- ✓ **Creation of new training formats.** We organised a series of practical workshops, called Dialogue with an Expert, inviting experts from different functional units to share their expertise and skills on different subjects. The event lasts two to four hours. This format implies optional attendance and facilitates best practice sharing in the Bank.
- ✓ **Enhancing financial literacy of personnel.** We launched the Analyst’s Shop project whereby employees learn to analyse and structure large bodies of information and develop systems thinking. This is an integrated course consisting of bite-size, in-class and remote learning modules.
- ✓ **Succession.** In 2015, we started to develop our Management Technology annual programmeme aimed at building necessary knowledge and skills in employees acting as a successor/deputy to his/her manager in the current job. This will help to reduce employee adaptation time when appointed to a managing position.

When choosing educational courses, we include programmemes aimed at hard and soft skill development. We understand that communication and presentation skills and emotional intelligence are very important for our employees, with 46% of them being directly involved with customers. In particular, this approach is outlined in the Service Shop course, developed with the aim of demonstrating the mutual benefits of ideal service. Employees learn how to use an emotional connection (empathy) tools, apply different conflict resolution methods, develop an individual customer approach, etc.

In addition to courses for specialists, we propose a wide range of educational programmeme for managers who have training in Sberbank’s Corporate University. The programmeme portfolio of the Corporate University was finalised in 2015. A total of 25,000 managers (75% of all Sberbank’s managers) had training at the Corporate University during the reporting period. Each student spent an average of 55 academic hours (in class and remote learning). Furthermore, over 200 Sberbank managers took part in the Leaders Teach Leaders programmeme and shared their experience and expertise with their colleagues. Based on the year’s results, the Corporate University was recognised as the best educational centre in the Corporate Education Leaders rating published by RBC.

We are also implementing learning programmemes for managers together with large international business schools, specifically the London Business School and INSEAD. A total of 1,100 managers of the Group’s companies took part in these educational programmemes in 2015.

In addition to in-class courses, we also actively use remote learning, as this is the most convenient format for Sberbank employees. This format does not require employees to be physically present in class and reduces the company’s expenses. We organised 318 remote learning courses with an average duration of 2.3 academic hours in 2015.

The major information portal for employees presenting a wide range of remote learning courses is the Virtual School of Sberbank’s Corporate University. Our results for Virtual School development were as follows in 2015:

- ✓ the number of registered users increased by 11,600 people YOY to 47,700 students, with over 90% of them actively using their account;
- ✓ employees took 770,500 courses overall (about 16 courses per user);
- ✓ over 1,100 different tutorials were published on the website.

Training in the Group

When studying, the employees of subsidiary banks and Group companies acquire new skills required to understand the banking business, develop professional competencies, and improve service quality and enhance their personal and social skills.

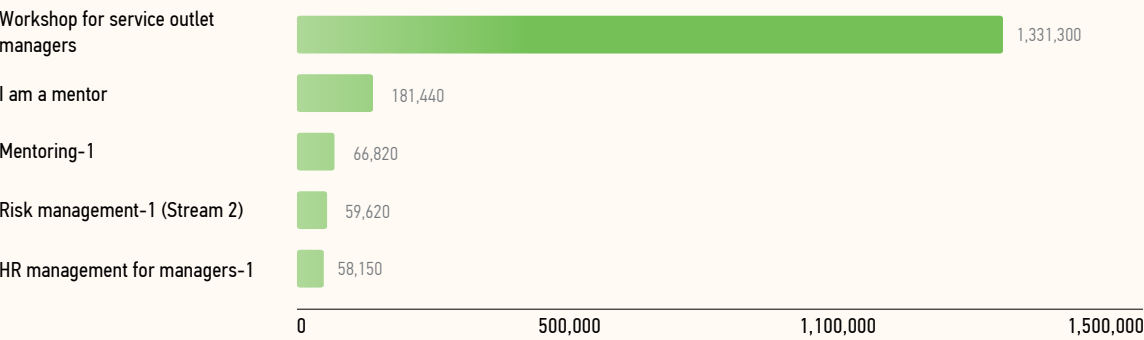
EXAMPLES OF EDUCATIONAL PROGRAMMEMES FOR GROUP EMPLOYEES IN 2015

Subsidiary bank/company	Course description	Number of participants and hours of study
BPS-Sberbank	Development of skills required to improve service quality and customer relations (with external and internal customers)	109 people, 8 hr
Sberbank Kazakhstan		141 people, 64 hr
Sberbank Ukraine		159 people, 8 hr
Cetelem Bank	Operation in the competitive environment (learning competitor relations strategies)	2,000 people, 8 hr
	Stress management	98 people, 8 hr
Sberbank Europe	Studying project management methodology and tools	23 people, 16 hr
Sberbank Insurance	Self-management: time management for implementing as many tasks as possible	35 people, 8 hr
Sberbank Technologies	Training and certification of the International Project Management Academy (IPMA)	345 people, 40 hr
Yandex.Money	Successful presentation technology	21 people, 8 hr
Sberbank Service	Service engineer (ATM maintenance and repair) course	16 people, 40 hr
ActiveBusinessCollection	Review of negotiating techniques and their practical application	364 people, 4 hr

Courses for the subsidiary banks’ managers aimed at development of leadership and efficient management and communication skills. Examples of courses in 2015 in the Group:

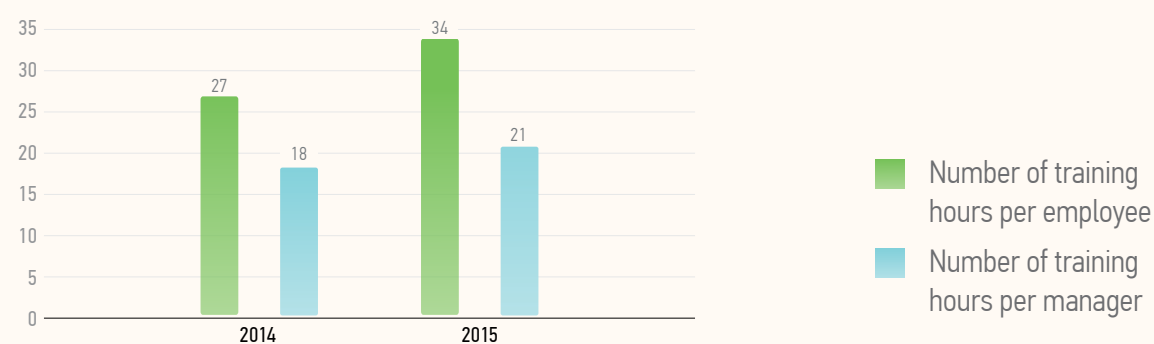
- ✓ MBA programmeme: DenizBank employees may get training at Bahçeşehir University or Sabanci University;
- ✓ International Rotation Programmeme: Sberbank Kazakhstan employees may have an internship in Moscow;
- ✓ interview skills development: BPS-Sberbank and Cetelem Bank managers learn to identify, assess, and recruit the most motivated job applicants.

THE MOST POPULAR COURSES OF THE VIRTUAL SCHOOL IN 2015, NUMBER OF VISITS OF PROGRAMMEME WEBPAGES



Sberbank Group also has a developed remote learning network for employees. Depending on the specific nature of a subsidiary, the subjects may vary. Thus, the employees in Sberbank Europe, Cetelem Bank, and BPS-Sberbank have business ethics, anti-corruption and AML/CFT trainings. The students of the Corporate University take remote English classes.

| DURATION OF TRAINING OF EMPLOYEES IN SUBSIDIARY BANKS AND COMPANIES OF THE GROUP



Development of the Tutorship Institute

In 2015, we were actively introducing a culture of tutorship in the Sberbank environment. Our objective is to improve the image of the tutor and to show that a readiness to share knowledge and expertise with employees and to develop leaders is an absolutely indispensable quality of a good manager. During the reporting period, we launched the tutorship process for senior and middle management. Within this process, 12,000 employees passed the training under the tutorship programme in 94% of territorial banks, leading to the creation of more than 4,000 “tutor and mentee” pairs. In the future, we plan to develop this practice in order for all Sberbank managers to use a tutoring style in their everyday work.

Besides the training for management, we are also expanding these practices for employees. The “Tutorship Workshop” programme was launched in 2015, which comprises studying various tools of tutorship, control and feedback methods, methods for assessing the supervisee’s current level, and training formats for people with various styles of motivation. In 2016, the systematic process of tutorship will be introduced for all line managers, with 5,000 managers set to be trained.

PERFORMANCE EVALUATION AND MOTIVATION OF EMPLOYEES

EMPLOYEE PERFORMANCE ASSESSMENT

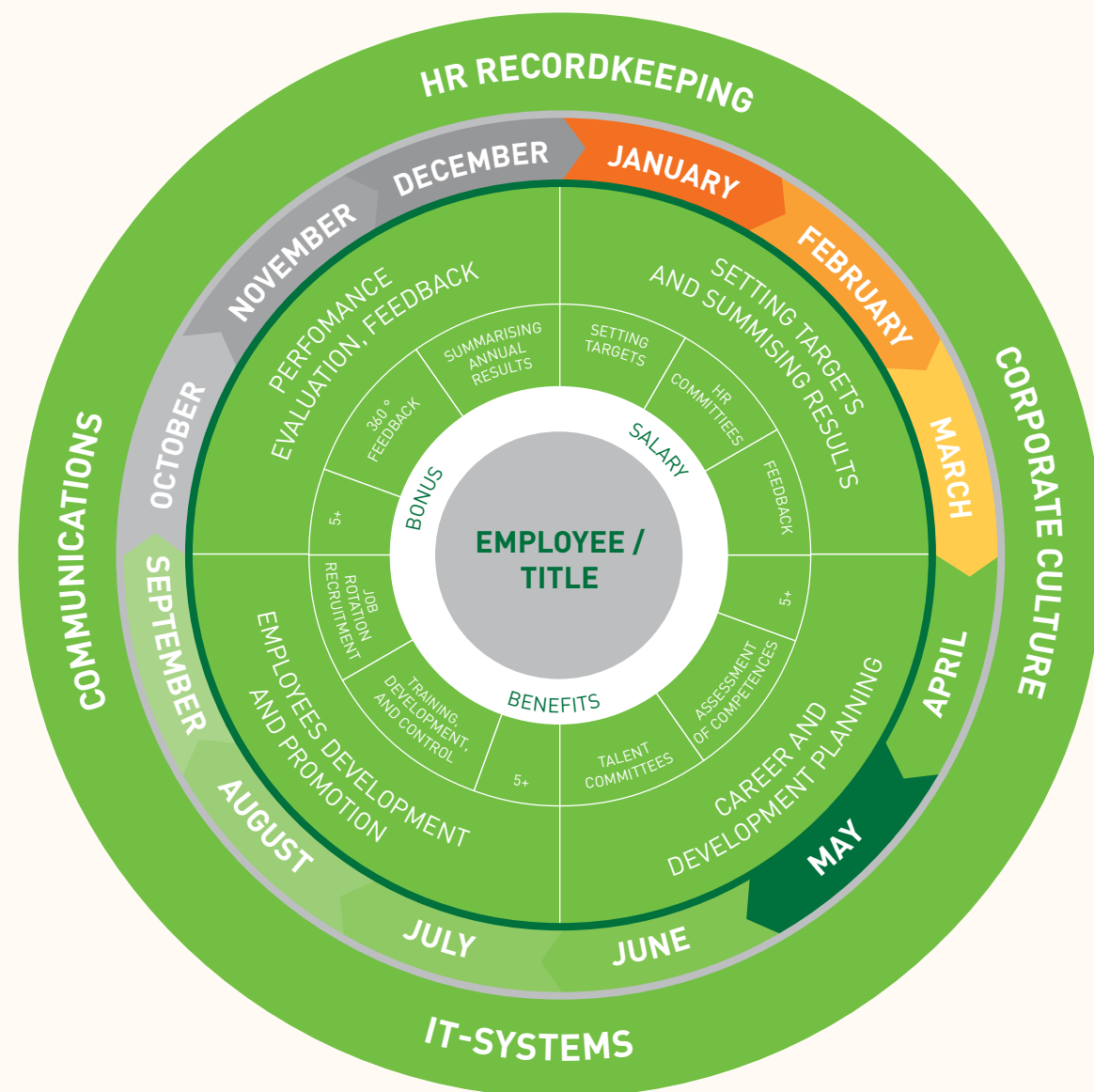
Sberbank has a unified annual cycle for setting targets, assessment of employee performance and potential, and career planning and development (HR-cycle). Quarterly and annual targets for the senior management are set at the beginning of the year based on the Development Strategy, and these targets are then transferred down to lower management levels and territorial banks.

Personal performance of employees is evaluated using the 5+ System. In 2015, the important decision was taken to change the motivation system and revise the assessment methodology. The methodology was divided into two components: assessment of employee performance and assessment of conformance to corporate values. Separate assessment of personal performance allowed managers and employees to focus on achievement of set targets, and the importance of this component was increased. The second component (assessment of value competences based on conformance to Sberbank values) enables development of unified standards of team behaviour.

Furthermore, we started working on methods to inform the personnel about the personal achievements of employees who received top marks for both components based on quarterly and annual results. We would like employees to be aware of which of their colleagues achieved the best performance results and who therefore could be used as a role model in their daily operations.

ANNUAL HR MANAGEMENT CYCLE IN SBERBANK

To assess the performance of Sberbank management, special HR committees are engaged to consider the potential and achievements of each senior manager. Proceeding from the results of this discussion, individual development plans are developed for each manager and the best employees are recommended for membership of the personnel pool for leadership positions in the Bank. In 2015, 20,000 managers (63% of all managers) passed the HR Committees. In 2016, all managers will pass through this evaluation process.

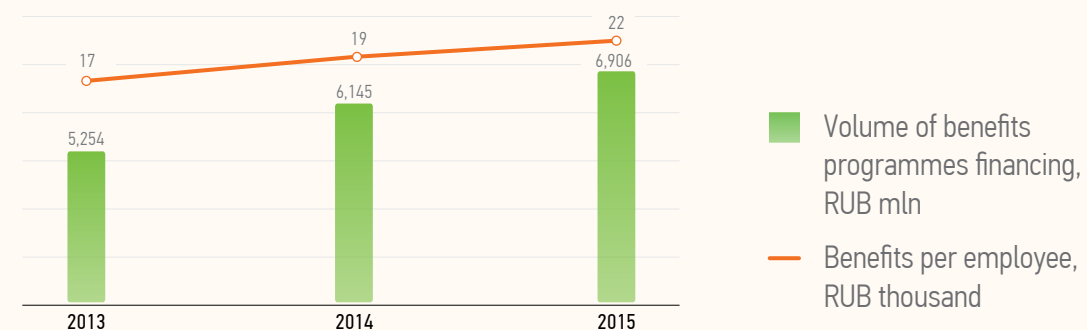


EMPLOYEE MOTIVATION SYSTEM

We are committed to improving the motivation and loyalty of our employees by ensuring a highly competitive salary level and a great social benefits package. In particular, we perform a study of our competitors' salary levels every year and, based on these results, increase our salary rate in the units where our salary is below market level. In 2015, the salary costs of the Group increased by 3.7% compared with the previous year.

Employees of the Group are provided with a package of corporate benefits which, depending on the company, may include voluntary medical insurance, a corporate pension plan, preferential mortgage and consumer credit terms, etc. In 2015, financing of the Group's benefits programme increased by 12%.

FINANCING THE GROUP'S BENEFIT PROGRAMMES



We strive to improve the Sberbank corporate benefits system. In 2015, for the first time, the best employees received holiday packages to health centres. Over 1,500 employees and their families made use of this opportunity during the reporting period.

OPERATOR WITH DISABILITIES OF THE YEAR

In 2015, there were 94 persons with disabilities working in the Unified Distribution Contact Centre (UDCC) of Sberbank. The majority were working in the department for call servicing, consulting customers about Sberbank products and services. Already for the second year our employees participated in the prestigious "Chrystal Headset" competition in the category "Operator with disabilities of the Year," which awards the best specialists with disabilities who work in contact centres. The prize in this category in 2015 went to Alexander Sokolov, who is an employee of the telemarketing department of the Volgograd contact centre.

| CORPORATE BENEFITS SYSTEM OF SBERBANK

Name of Programmeme	2013	2014	2015
Voluntary medical insurance			
Number of participants, persons	77,000	276,000	271,000
Volume of financing, RUB mln	850	1,581	1,917
Corporate pension plan			
Number of participants, persons	117,000	136,000	155,000
Volume of financing, RUB mln	2,138	2,611	2,660
Accident and critical illness insurance			
Number of participants, persons	255,000	276,000	271,000
Volume of financing, RUB mln	785	760	677
Preferential mortgage credit terms			
Number of participants, persons	14,024	20,070	13,349
Volume of financing, RUB mln	25,452	38,833	24,864
Preferential consumer credit terms			
Number of participants, persons	132,359	147,016	106,373
Volume of financing, RUB mln	27,961	32,188	20,047

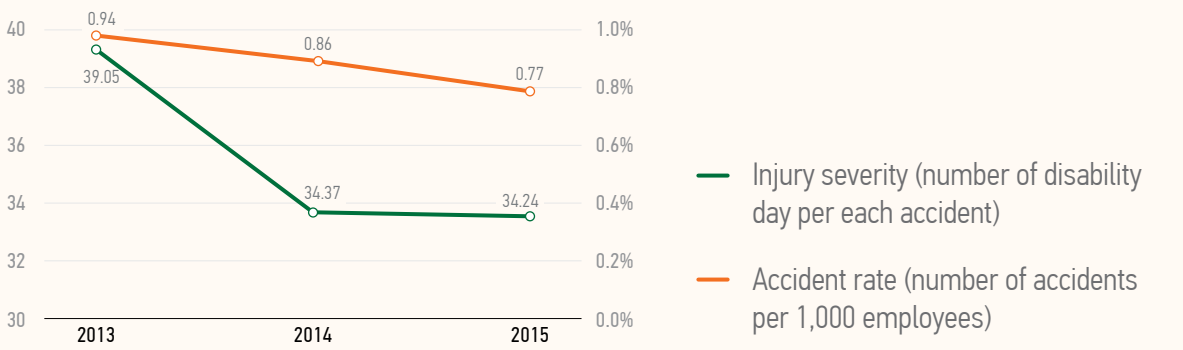
OCCUPATIONAL HEALTH AND SAFETY

APPROACH TO OCCUPATIONAL SAFETY

The Group’s key activities associated with occupational safety include assessment of work places, safety induction for new employees, occupational safety training for employees and managers, and updating the internal documents. In 2015, 206 accidents occurred in the Group (14% less than in 2014).

In 2015, 54,200 workplaces in Sberbank were evaluated and assigned the category of an acceptable workplace environment. Regular on-site inspections of occupational safety in regional banks and safety workshops and trainings for employees of units are provided. The accident rate and injury severity was reduced during the reporting period.

| SBERBANK ACCIDENT RATE AND INJURY SEVERITY IN 2013 - 2015



Although Sberbank generally has low frequency of workplace accidents, three fatalities during operations were recorded during the reporting period: two Sberbank employees died in a road accident and one cash-in-transit guard died as a result of third party wrongdoing. All accident investigation and registration procedures stipulated by Russian legislation were performed and extraordinary meetings were held to explain the circumstances and causes of the accident.

EMPLOYEE HEALTHCARE

In 2015, we held a range of corporate programmemes in which employees of Sberbank were given useful information on healthy lifestyles. The “To Work by Bicycle” programmeme was held within the framework of a municipal event arranged by the Moscow Department of Transportation. With assistance and support from Sberbank, the infrastructure required for bicycle transportation was prepared and bicycle sites were organised near the central office. 150 employees took part in this programmeme.

“DAY OF HEALTH” EVENT

In 2015, the Day of Health was held at Sberbank in order to draw attention to healthy lifestyles. 700 employees took part in the event. “Ready for Labour and Defence!” sport event was held, during which the employees reached qualifying sporting standards, attended “Office Yoga” training and a lecture on the impact of physical exercise on resilience to stress, and passed screening diagnostics to identify risk factors for stroke. The small “Vitamin Boom” event was held in the canteen with a special healthy menu and seasonal recommendations.

During the year, the bank has held four lectures on healthy nutrition, with participation of professional nutrition experts. 800 employees took part in these events. We supported the International No-Tobacco Day held on 31 May, 2015. Anti-smoking information materials were distributed to employees in the offices of the central administration and regional banks, and a corporate anti-smoking video was published.

Every month, Sberbank has a special “Health” section in its corporate magazine “My Sberbank” about healthy nutrition, physical exercises and stress resilience. The magazine has a target audience of 280,000 people.

During the reporting period, Sberbank-Technologies held the sport programmeme “Ready for Labour and Defence – Year of Your Achievements,” comprising competitions in shooting, swimming, running, pressing and pulling. Over 2,500 employees took part in this programmeme. Sberbank Private Pension Fund carries out a programmeme against smoking. 150 employees took part in the programmeme in 2015. ActiveBusinessCollection arranged a lecture against smoking attended by 614 people.

| MAIN EMPLOYEE HEALTHCARE INITIATIVES OF SUBSIDIARY BANKS OF THE GROUP IN 2015

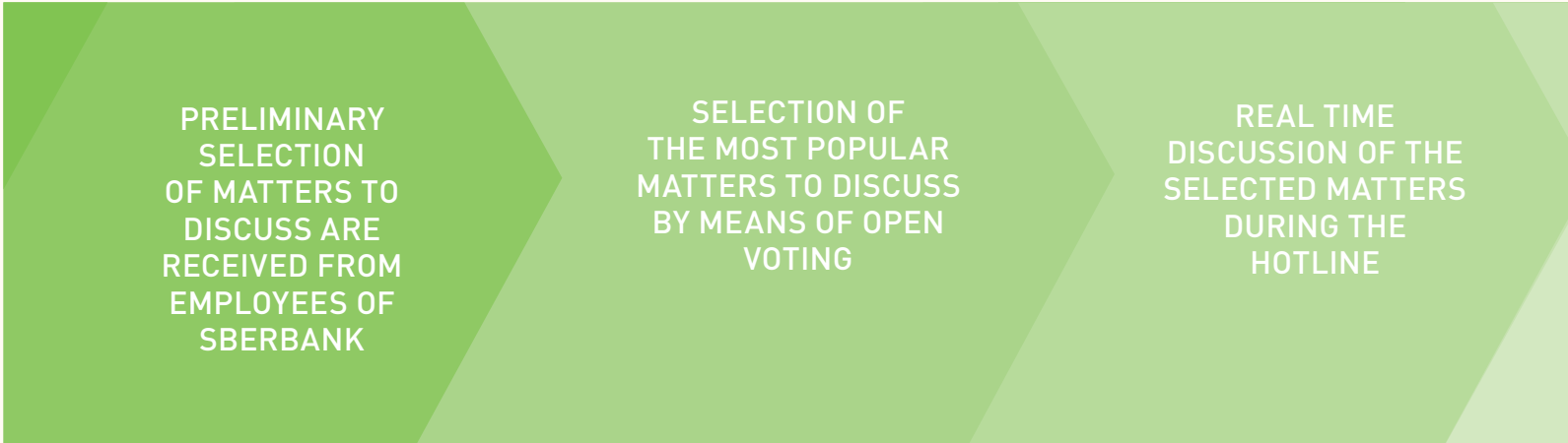
Subsidiary bank	Initiative	Description	Number of participants
BPS – Sberbank	“Are your veins healthy?” programmeme	Ultrasound survey and consultations with a vascular surgeon	106
	Health examination programmeme	Comprehensive medical examination	3,014
DenizBank	Consultations with an ophthalmologist	Survey for early identification of eye problems	1,468
	Consultations with a dietician	Meetings with a dietician and developing healthy nutrition principles	400
Cetelem Bank	Week of Health	Drawing the attention of employees to healthy lifestyles and rejecting bad habits	510
Sberbank Europe (Hungary)	Sport events	Supporting football, basketball, squash and regular jogging among employees	123

DIALOGUE WITH EMPLOYEES

Sberbank has an open system of corporate communications that takes into consideration the opinions of all employees. The Hotline with German Gref, Chairman of the Management Board, is used as a key communication channel between senior management and employees. In 2015, a special website was created for selection of matters to discuss during the Hotline (<https://dialog.sberbank21.ru/m>).

The employee Hotline of President of the Bank, German Gref, that was held in 2015, was awarded the silver prize at the IC Brilliance Awards in the “Best Employee Engagement” category, as an initiative that contributes to development of corporate culture and efficient engagement with employees.

FUNCTIONAL DIAGRAM OF “HOTLINE WITH GERMAN GREF”



In 2015, 4,200 matters for discussion were received from 6,400 employees using various corporate communication channels.

STATISTICS OF QUESTIONS RECEIVED FROM EMPLOYEES DURING PREPARATION FOR THE HOTLINE WITH HERMAN GREF IN 2015



| REPLIES TO MATTERS DISCUSSED DURING THE HOTLINE

Matter	Reply of Herman Gref
Are there plans to index salaries next year?	We are switching from the salary indexation approach to a differentiated approach, which means that the salary increase rate depends on employee performance and their conduct complying with Sberbank values. Despite the difficult economic situation, we plan to revise salaries in 2016.
Is it planned to limit the number of inquiries made by Sberbank? To which extent do these inquiries reflect the actual performance of Sberbank?	We believe that the inquiries are an important tool for qualitative evaluation of the organisation's efficiency. In particular, because it is only possible to evaluate the corporate culture by interviewing the employees. The more honest the answers that the person gives, the more realistic the results will be. That is why we are interested in employee participation in our inquiries. Moreover, it only takes 15-20 minutes each month to fill in the inquiry form. We are working on improvement of inquiries to eliminate the redundancy of questions and have developed an IT-system to make the participation process easier.
How developed is the culture of tolerance of mistakes in Sberbank?	We believe that it is very important to accept mistakes, discuss them in an open way and learn lessons. We ask our employees to admit mistakes in a timely manner instead of concealing them until negative consequences emerge. We strongly believe that managers should serve as an example for their staff. Therefore, we developed the "Tutorship" and "Emotional intelligence" programmes for corporate culture development training for management. We believe that these trainings will contribute to the management dialogue with their staff on mistakes committed.

The Voice of Internal Clients

Within activities in 2015 to increase the quality of internal services, Sberbank organised research into the level of satisfaction of internal customers, encompassing more than 80 internal services (for example provision of goods, organisation of corporate catering, voluntary medical insurance, and training and development of staff). Respondents included more than 40% of Sberbank employees. Based on the results of this research, the average satisfaction indicator of internal clients increased by 9 percentage points to 69%.

Increasing the quality of internal services is the result of the daily activities of the departments that are responsible for their provision. In 2015 more than 150 centralised initiatives were implemented to improve Sberbank's internal services and more than 500 were implemented at the level of regional offices.

CONTRIBUTION TO COMMUNITY DEVELOPMENT

Since the Group has a vast geography, we operate in regions with various specificities and levels of development. To account for these particular features, we apply various tools within our social policy. On the one hand, we use Sberbank banking products to finance projects that have significant commercial and social significance. On the other hand, we contribute to community development by implementing charity and sponsorship programmes and deploying activities to improve the financial literacy of residents.

FINANCING SOCIALLY-SIGNIFICANT PROJECTS

Within its core operations, Sberbank finances large-scale projects which are socially significant for both individual regions and for the country as a whole. These projects include construction of infrastructure facilities such as roads, traffic centres, accommodation, and hospitals. Furthermore, we provide credit to large companies for modernisation, expansion of production plants, and improvement of industrial and environmental safety. The key social effects of these projects are as follows:

- ✓ Creation of new jobs;
- ✓ Development of local production plants, import-substitution and reduction of consumer prices;
- ✓ Increase in tax deductions to budgets at all levels;
- ✓ Creation of infrastructure facilities and improvement of living standards in the regions where Sberbank operates.

EXAMPLES OF SOCIALLY SIGNIFICANT PROJECTS FINANCED BY SBERBANK IN 2015

Name of project	Project significance for the region of Sberbank operations	Investments
Construction of the first section of the Central Ring Highway	Construction of the 530 km long Central Ring Highway is a large-scale project for development of infrastructure in Moscow Region to solve the transportation challenges of the region. Construction will be completed in 2018.	RUB 15 bln
Construction of Novy Urengoy Gas Chemical Plant	Construction of Russia's largest polyethylene production plant for manufacturing various PE brands using advanced international technologies. The estimated capacity of the plant will be up to 400 thousand tonnes of PE per annum. Alongside the main products, the plant will produce wide hydrocarbon and methane fraction.	USD 760 mln EUR 240 mln

Name of project	Project significance for the region of Sberbank operations	Investments
Construction of the first stage of the "Novy Yaroslavl" residential complex	Construction of over 300 thousand square meters of economic housing will improve housing conditions for residents within the framework of the "Accommodation for the Russian Family" Federal Programme. 29 houses will be built within the framework of this project.	RUB 1.7 bln (to be paid in 2015: RUB 57 mln)
Financing construction of a wood-fibre board production plant	The objective of the project is to ensure import-substituting production in the wood processing industry. The project will contribute to improvement of timber management efficiency by ensuring continuous, sustainable and rational use of forests. Furthermore, the new plant will be one of the largest production plants in the Central Federal District.	RUB 3.6 bln

DENIZBANK

In 2015, DenizBank invested EUR 500 mln in construction of the third airport in Istanbul. The pass-through capacity of the new airport will be 150 mln passengers per annum which will be the highest capacity in Europe. This project will help to unload other airports of Istanbul and create over 100 thousand jobs.

Furthermore, DenizBank financed the construction of a large hospital in the framework of the state and private partnership for a total of EUR 200 mln. The medical centre will comprise nine multidisciplinary clinics, including clinics for oncology, cardiology, women and children. The total area of the centre will be 1.2 mln square meters. The centre will serve up to 12 mln patients per annum. The construction will be completed in 2016.

BPS-SBERBANK

In 2015, BPS-Sberbank financed the following projects in order to develop the local economy and the export potential of the Republic of Belarus:

- ✓ construction of an export-oriented milk processing plant for a total of EUR 34 mln;
- ✓ construction of an industrial plant for turkey meat products manufacturing for a total of EUR 24.8 mln;
- ✓ construction of an animal waste processing and utilisation plant for a total of EUR 12.7 mln (first stage) and EUR 3.9 mln (second stage).

SBERBANK KAZAKHSTAN

Sberbank Kazakhstan supported several large-scale projects to ensure sustainable operations of the transportation infrastructure:

- ✓ modernisation of utility machinery at Republican State Public Enterprise “Kazakhavtodor,” which is a guarantor of stable motor transportation in Kazakhstan, for a total amount of 400 mln tenge;
- ✓ launch of rail and beam production to meet the demand for rails by the National company “Kazakhstan Railways” and to create 800 jobs, for a total amount of 55.3 bln tenge.

Educational initiatives for representatives of national government authorities

Sberbank Corporate University welcomes leading Russian and foreign teachers in the field of management to teach representatives of national government authorities about the most advanced practices in public management. In 2015, the Corporate University held the following educational events aimed at the development of financial and management competences of representatives of state bodies:

- ✓ seminar entitled “Contemporary Economic and Political Agendas. Best Regional Practices,” with participation of senior representatives of subjects of the Russian Federation, representatives of legislative bodies of the state authorities of the subjects of the Russian Federation, and heads of large cities;
- ✓ seminar for representatives of the non-profit sector, with over 250 leaders of non-profit organisations in attendance, and support from the Presidential Administration of the Russian Federation;
- ✓ educational programme entitled “Modern Management Techniques” for the management of the Central Bank of Russia, and also “Modern Management Techniques and their Implementation in Reforming Public Management” for members of the Government of the Russian Federation;
- ✓ seminar entitled “Modern Principles of Effective Management” with participation of members of the Government of Moscow Region, leaders of state government bodies, and municipal entities of Moscow Region;
- ✓ seminar on issues relating to internal policies of high commissioners for human rights, children’s rights and protecting the rights of entrepreneurs in the subjects of the Russian Federation.

TRAINING FOR MANAGEMENT OF SINGLE-INDUSTRY CITIES

In 2015, Sberbank held a series of educational events for management of single-profile municipal entities of Russia. Corporate University assisted in arranging a conference on support and development of single-industry cities which was attended by representatives of 319 entities, experts and politicians. The key matters discussed during the conference were:

- ✓ Dialogue between the Federal authorities and expert community;
- ✓ Objectives and scenarios for future development of single-industry cities;
- ✓ The best practices of mono-industry city development in Russia and abroad.

Furthermore, results in training for management teams were drawn. Training covered preparation of diploma projects for economic diversification of single-industry cities. During the conference the teams delivered presentations on their diploma projects.

ENHANCING THE POPULATION’S FINANCIAL LITERACY

To improve the financial literacy of the population in regions with Sberbank presence, we arrange trainings where we provide information on the main banking products, explain how to use remote services and efficiently manage personal finances.

We implement programmes for large targeted audiences and special social groups. The targeted approach allows us to consider learning specifics of various groups and select the best format and tools for the training.

In 2015, Sberbank supported the All-Russian Savings Week with over 4 thousand participants. The programme consisted of three parts: information support of the national programme “Assistance for improvement of the population’s financial literacy and development of financial education in the Russian Federation,” events related to the population’s financial literacy, and training of Sberbank’s employees. Within the framework of the All-Russian Savings Week during the reporting period we arranged the following:

- ✓ Training workshops in 20 cities in Russia attended by 532 persons;
- ✓ The webinar “Health Finances. Start with the Most Important” on the Sberbank portal “Financy Prosto” (finprosto.ru) with 2.9 thousand participants;
- ✓ The opportunity provided to 820 employees of Sberbank to pass the financial literacy course of the Ministry of Finance of the Russian Federation.

In the reporting period, Sberbank also launched the internal motivation programme “I like Sberbank” to provide information on banking products to our employees and improve their loyalty to the brand. In 2015, an application for the V Kontakte social network was developed which can be used by Sberbank employees to recommend Sberbank to their friends and to take part in various quizzes on using services. Since the launch of the programme, the number of project participants was 946 persons, 70% of whom are active users of the application.

KEY INITIATIVES TO ENHANCE FINANCIAL LITERACY IN SBERBANK GROUP IN 2015

Initiative	Description	Results/coverage
Russia		
“Financy Prosto” portal (finprosto.ru)	Informing the population about banking products and services	Updating the portal, over 20 thousand registered users
Savings Week for Children and Youth	Educational events, seminars and master-classes for increasing the financial literacy of the younger generation	More than 15 thousand students and schoolchildren from 17 regions of Russia
“New opportunities club”	Workshops for pensioners to enhance their financial literacy	709 workshops, over 24.4 thousand participants
Series of articles on pensions (Sberbank Private Pension Fund)	Publishing articles on pensions and saving methods on the portal “Financy Prosto”	Over 3 thousand persons of Private Pension Fund
Workshops in high schools (Sberbank Private Pension Fund)	Lectures for students to inform them about pension savings	40 students of Moscow Aviation Institute
Belarus		
Financial Literacy Days for Youth and Pensioners	Workshops on banking services use to improve financial literacy of youth and pensioners	Over 2.5 thousand persons
Kazakhstan		
Posts in social networks	Publishing information about banking products twice a week	Over 100 thousand persons
Europe		
Bankers at school (Czech Republic)	Management workshops in universities on remote banking, security and perspectives of the banking industry	150+ students
Lectures about the basics of banking operations (Slovakia)	Training for children in primary schools in Slovakia	3 lectures, 120 persons
Open Day (Ukraine)	Familiarisation with the bank for students specialising in economy	100+ persons

CREATING THE CONTRIBUTION TO THE FUTURE FUND

Sberbank’s Contribution to the Future Charity Fund was created in November 2015, which allowed us to change the approach to charity activities by making it more systematic and bringing it to a higher strategic level.

The concept of this Fund is closely related to the social mission of Sberbank, namely to make people more confident, and improve their lives. The Fund operations are aimed at changing the educational paradigm, developing new training methods and creating a socialisation institute for disabled children. Currently the Fund is designing a portfolio of programmes in two key areas: cutting-edge education and inclusion.

AREAS OF FUND OPERATIONS

Support of Education

- ✓ Supporting development of innovative training methods in educational institutions, schools and universities
- ✓ Training on social and emotional intelligence
- ✓ Developing the advanced formats and technologies of education
- ✓ Forming the new role of the teacher (teacher-leader)
- ✓ Developing the parents’ competences

Development of Inclusive Environment

- ✓ Introducing the best educational practices in special institutions
- ✓ Developing and improving the accessibility of psychological, social and pedagogical support and development centres
- ✓ Developing the professional orientation centres and social entrepreneurship centres on their basis
- ✓ Implementing the employment support projects

In accordance with the Charter, the Fund operations may be financed by founder contributions, charity payments, receipts from borrowing operations, and other proceeds permitted by Russian law. The initiative of creating the Fund was actively supported by Sberbank employees, and over RUB10.5 mln has been received to the Fund account, not including the funds from the founder.

Within the area of education development, the Fund became the first partner of the “Teacher for Russia” project. The main objective of the project is to engage young and talented professionals who have graduated from universities to teaching in schools with a difficult social context. This approach not only increases the interest of students in school to educational process but also contributes to development of the professional potential of youth. During the first stage of the project, 41 teachers were employed in schools of Moscow city, and Moscow and Voronezh regions. During the two years of programme implementation, workshops and trainings with participation of the best professionals in the field of education from Russia will be held for young teachers, and an educational scholarship will be provided in addition to the salary. Although it is too early to speak about results of the project, the number of applications received shows that the project is certainly attracting significant interest from young teachers. 820 applications were received in October 2015 for the new stage of the programme, which is a twofold increase compared to the programme’s first stage.

In 2016, the “Emotional Intelligence at School” project will be launched. Its objective is to teach children from a young age how to control their emotions, develop communication skills and view various life situations in an optimistic way. Currently the Fund is actively working on developing a new school subject to be introduced in four schools. Development of the new subject will be facilitated by leading Russian experts and David Caruso, head of the Programme at Yale University.

In the field of supporting an inclusive environment, we are committed to development of infrastructure for socialisation, adaptation and employment of children who have graduated from orphanages and boarding schools. We believe that it is important to provide these children not only with material resources, but also to contribute to their future by providing an opportunity to access education.

KIND NEW YEAR GIFT

“Kind New Year Present” is the first project implemented by the Fund. Funds were collected for presents for children who have no parents and for children with special needs. This project is unique because the gifts did not include sweets, toys or clothes, but rather training courses. Using joint efforts, Sberbank employees collected over 3 mln roubles and spent them for 4 thousand personal and collective trainings for children from Moscow, St. Petersburg, Orenburg, Pskov and Krasnoyarsk cities, Moscow, Sverdlovsk and Samara regions, etc.

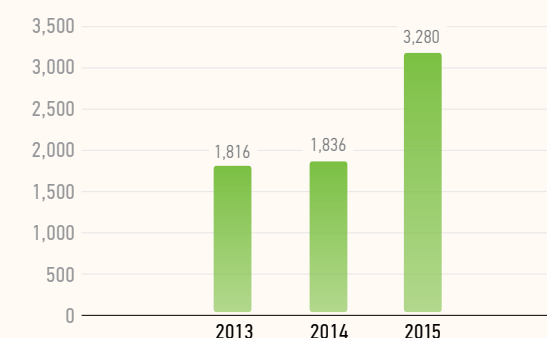
In 2016, we will continue developing selected areas, in particular:

- ✓ Developing activities under the programme “Sberbank for Children and Parents”;
- ✓ Engaging the Bank’s employees as volunteers in projects of the Fund;
- ✓ Introducing comprehensive bank charity projects.

IMPLEMENTATION OF CHARITY AND SPONSORSHIP PROJECTS

Besides creating the Fund, we continue to provide charity and sponsorship assistance in the areas traditionally supported by Sberbank. In 2015, the charitable contributions of the Group reached RUB 3.3 bln, which is an 80% increase compared to the previous year.

AMOUNT OF CHARITABLE CONTRIBUTIONS, RUB mln

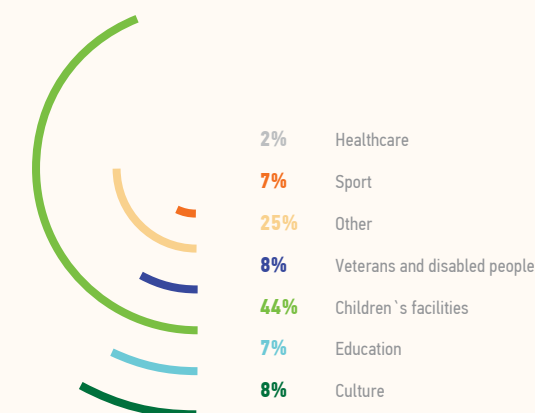


RUB 3.3 bln

OF CHARITABLE CONTRIBUTIONS
MADE BY THE GROUP

Key areas of charity support of the Group are support for children’s facilities, sport, culture, education, veterans, and disabled persons. These areas account for 70% of total charity programme financing. The increase of charitable contributions in 2015 is primarily due to the increased costs for supporting children’s institutions.

CHARITY COSTS OF THE GROUP IN 2015 WITH BREAKDOWN BY AREA



44%

OF CHARITABLE
CONTRIBUTIONS AIMED
AT SUPPORTING CHILDREN'S
FACILITIES

SUPPORT FOR CHILDREN'S FACILITIES

For many years, Sberbank has been cooperating with the Gift of Life (Podari Zhizn) Charity Foundation. Within the framework of this cooperation, we offer various banking services which may be used by our clients to provide support for children. In 2015, RUB 43.5 mln from Visa cards, RUB 29.8 mln from "Gift of Life" deposits, and RUB 374.3 mln through other channels of the Bank were allocated to the Fund.

In 2015, Sberbank became the official partner of International "VI Games of Winners" for children. These sport competitions are arranged every year for children who are cancer survivors. 500 people attended the Games with 48 teams from 15 countries taking part in competitions in swimming, athletics, shooting, table tennis, chess and mini-football.

During the reporting period Sberbank Insurance provided financial support to the creators of the animated series "Poznovalov's Team". These are animation films for children aged 6-14 about various bad habits they might face when they become adults. These educational films may prevent the children from committing mistakes and will help them to analyse and understand various life situations.

SUPPORT OF CULTURAL AND SPIRITUAL DEVELOPMENT

Sberbank has a close relationship with the Union of Theatre Workers of Russia, supports the Circus on Tsvetnoy Boulevard, and is a main partner of the tours of the Obraztsov puppet theatre, including performances for children from boarding schools in all regions of Russia.

In 2015, we provided financial support to the two largest cultural events in Russia. Sberbank supported the organisation of the two-month "Golden Mask" theatre festival. The awards ceremony was held in the Stanislavskiy and the Nemirovich-Danchenko Musical Theatre. Best dramas, opera, ballet and dance performances were presented by the jury. The winners of the 21st festival "Golden Mask" as is tradition received special masks, the design of which has remained the same for 20 years.

Furthermore, Sberbank contributed to the International "Zerkalo" (Mirror) Tarkovsky cinema festival. The festival comprised an international competition of fiction films, retrospectives, animation films and student films. Within the framework of the cinema festival, a scientific conference was held during the reporting period.

DenizBank supports academic concerts of Bashkent University orchestra. During the 2015 theatre season, concert audiences reached 1.5 thousand people.

SUPPORT OF SPORT

In 2015, the Sberbank Green Marathon was held for the fourth time. The marathon was attended by over 105 thousand people from 44 cities of Russia. The motto of the races was "Marathon of Our Accomplishments": before and on the day of the competition various environmental initiatives chosen by residents via an open Internet poll were held in the hosting cities, including volunteer clean-ups and tree planting. The Green Marathon was also held in Kazakhstan and Turkey.

Subsidiary banks also support sport events within their charity activities. In 2015, running races were held in Switzerland, Czech Republic and Kazakhstan, triathlon competitions were held in Serbia, and a bicycle marathon in Slovenia.

In order to develop high-level sports, we provide charity support to sport federations, clubs and facilities. Among the most significant initiatives is the issuing of the Olympics card, resulting in allocation of over 31.5 mln roubles to the Olympic Committee of Russia.

EDUCATION SUPPORT

In addition to educational initiatives of Sberbank Contribution to the Future Charity Fund, we provide education support programmemes within the framework of cooperation with leading universities of Russia. In particular, during this reporting period Sberbank contributed to over 2 thousand lectures and over 100 different case competitions, as well as the "Young Global Pioneers" programme.

THE "YOUNG GLOBAL PIONEERS" PROGRAMMEME

Within the "Young Global Pioneers" programme, a three-week educational trip to China was held for students of Russian high schools. The objective of this project was to study Chinese culture, enhance cooperation between the countries, cooperation with foreign business professional, and visiting leading universities and monuments. We provided three grants: for a child of a Sberbank employee, for a child from a boarding school, and for a talented student of a Russian university. These grants covered the costs associated with participation in the project and the travel costs to China.

In 2015, Sberbank Corporate University continued its cooperation with Tomsk State University with the aim of modernising the system of economic and management education, and to creating an Institute of Economics and Management that will command an international reputation. In addition, the Corporate University carried out an audit of three university faculties during the reporting period in order to assess existing resources and develop recommendations for creating educational programmemes. Also, a programme for increasing qualifications was developed entitled "Projection of Modern Master's Programmemes in the Field of Financial Management."

In 2015, subsidiary banks of the Group provided support to high schools with economic and banking specialisations, and to Russian schools for popularising the Russian language in Balkan countries.

| THE GROUP'S SUPPORT FOR EDUCATIONAL INSTITUTIONS IN 2015

Country	Initiative
Croatia	Support for Zagreb School of Economy and Management
Slovenia	Support for Russian language teachers and the Centre of Russian Culture, equipment and funding support for local schools
Ukraine	Support for Lvov Banking Institute
Bosnia and Herzegovina	Support for schools within the territory of the Republic of Serbia
Serbia	Supply of material resources for the Russian school in Sremsk - Mitrovitsa
Turkey	Support for the Turkish Education Association, including ensuring educational opportunities for children from rural area
Kazakhstan	Support for Irtysh School No.3

SUPPORT FOR BUSINESS INITIATIVES

Sberbank traditionally supports Russian and international business events to improve international cooperation, engage investors and improve the economic appeal of Russia.

| LARGEST BUSINESS INITIATIVES SUPPORTED BY SBERBANK IN 2015

Event	Objective	Number of participants	Signed agreements
International Investment Forum in Sochi	Discussing investment projects, development of the global economy and improvement of investment and innovation potential of Russia	9 300 politicians and business professionals, 1 100 representatives of mass media	102 agreements for a total of over RUB 136 bln
St. Petersburg International Economic Forum	Discussing key problems faced by Russia and the international community, looking for best solutions	10 000 participants 2 061 representatives of mass media 668 speakers	205 agreements for a total of RUB 293.4 bln
Eastern Economic Forum	Contributing to economic development of the Far East	1 500 representatives of businesses from 26 countries of South-Eastern Asia, Europe and America	80 contracts for a total of RUB 1.3 trillion

CORPORATE VOLUNTEERING

Sberbank's volunteer movement covers the territory of the whole of Russia. In 2015, regional banks provided 727 volunteer initiatives, including 484 events to support children's facilities, 62 events to support veterans, and 33 events to improve the environmental situation. Among successful volunteer initiatives we can mention:

Support for children's facilities

Employees of Sberbank's Far East unit actively participated in the initiative "Christmas Tree of Wishes," within which Christmas trees with the wishes of children in difficult situations were installed in the offices, in letters children wrote about the presents they were dreaming of receiving for New Year. All 45 letters were read during the first three hours and 100 employees proceeded to implement the children's wishes. Similar initiatives were held in other regions of Russia.

Support for Veterans

In Ryazan, on Victory Day our employees congratulated veterans of the Great Patriotic War who have worked in Sberbank. In Tyumen they organised a concert for veterans where employees and their children took the role of actors. In Moscow, a volunteer clean-up was held at the House of Veterans, with 110 employees cleaning the territory, arranging a concert and offering presents to elderly people.

Environmental Initiatives

On 1 May, 2015, trees were planted along the embankment by the Arkhangelsk unit of Sberbank. This initiative was supported by 100 employees. In Krasnoyarsk, trees were planted together with 140 sponsored children from orphanages, who were also invited to take part in the picnic.

Furthermore, Sberbank has a common practice of blood donorship. This initiative is centrally organised and run in all units several times a year.

GOOD DEEDS DAY

As part of our global charity "From Heart to Heart" programme, in October 2015 we held a "Good Deeds Day". . On this day, management, employees and clients of the Bank visited orphanages sponsored by the Bank and collected funds for charity. During the reporting period, dance master classes, an excursion to a horse club, sporting competitions, and a tour at a cash collection machine were held for children, and a film was made using children pictures. 3 thousand employees visited 85 children's facilities and 19 thousand employees took part in collecting funds. "Good Deeds Day" is traditionally widely covered in mass media and 510 publications appeared after the event in 2015.

ENVIRONMENTAL IMPACT

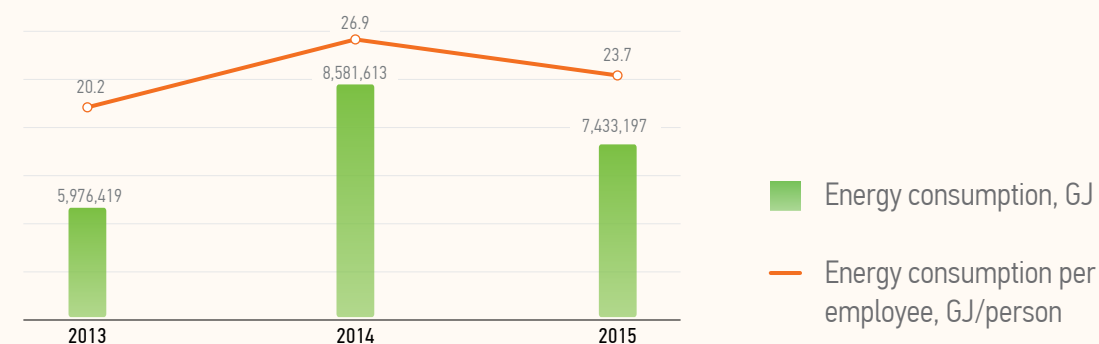
EFFICIENT RESOURCE CONSUMPTION

Our approach to environmental impact management is based on a model that creates shared value while minimising negative environmental impact and reducing operational costs of the Group.

For these aims, we are working on reducing excessive resource consumption and improving energy efficiency in our offices and customer service outlets, including:

- ✓ Installing LED lamps, lighting and movement sensors;
- ✓ Installing energy-efficient office appliances;
- ✓ Introducing electronic document processing and archiving;
- ✓ Implementing double-sided printing as the default setting;
- ✓ Installing contactless sensors on faucets to reduce water consumption, etc.

| ENERGY CONSUMPTION IN THE GROUP

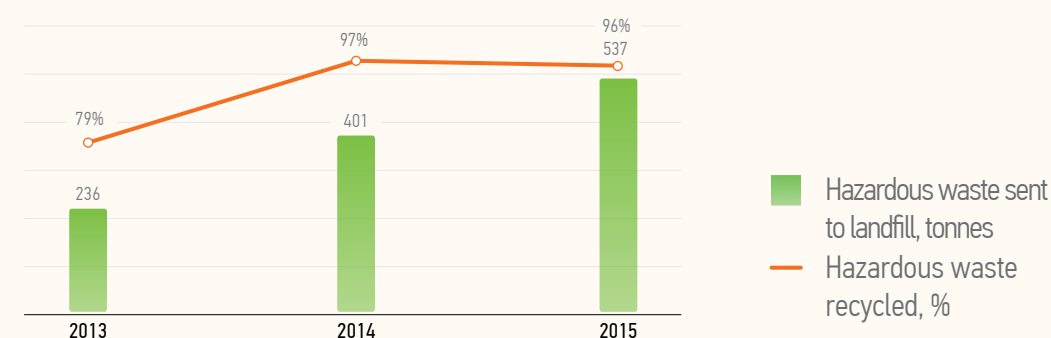


When constructing new buildings, we use up-to-date technologies, which results in minimisation of negative environmental impacts. For instance, in 2015 Sberbank completed the design of a new Data Processing Centre to be located in Skolkovo. Energy efficient technologies were applied during planning, thus helping to certify the building not lower than a Silver level LEED green construction.

RESPONSIBLE WASTE HANDLING

The specifics of our operations define that the main types of waste for the Group are worn-out office equipment, batteries, cartridges, and luminescent lamps which are considered hazardous waste. Over the past three years, we have been improving the hazardous waste handling system, thereby achieving a rate of 96% in hazardous waste processing and treatment.

| HAZARDOUS WASTE GENERATION AND RECYCLING IN THE GROUP

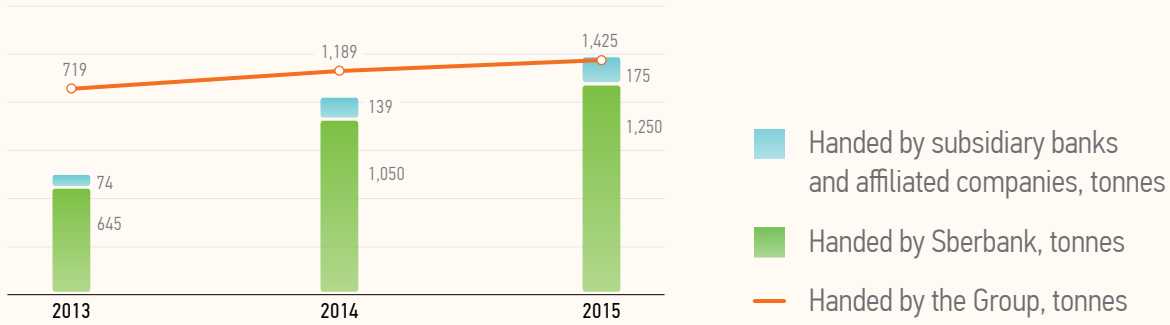


Office and utility waste (packaging, waste paper, etc.) of the Group is referred to as low-hazard waste. During the reporting period Sberbank sent 42 thousand tonnes of waste to landfill, which is a 2% decrease compared to 2014.

Interesting initiatives in utility waste handling were implemented by subsidiary banks of the Group. For instance, Sberbank Europe (Hungary) arranged collection of old office furniture and its transfer to municipal hospitals, while DenizBank recycles oil used for food preparation in the office canteen.

Furthermore, the reporting period saw an increased amount of paper collected for sending to recycling. In 2015, paper amount in the Group increased by almost 20% to 1.4 thousand tonnes.

| WEIGHT OF PAPER HANDLED FOR RECYCLING IN THE GROUP



In 2015, subsidiary banks of the Group also had positive achievements in paper consumption and recycling compared to the previous reporting period. For example:

- ✓ Sberbank Europe reduced paper consumption by 17.6%;
- ✓ BPS-Sberbank delivered 66% more paper for recycling;
- ✓ DenizBank doubled the volume of recycled paper.

PROMOTING ENVIRONMENTAL PROTECTION

In 2015, Sberbank in cooperation with the largest Russian companies supported the initiative “Russian Partnership for Climate Protection.” Its key objective is to draw public attention to the problems of global warming. Under this agreement, Sberbank supported the 21st United Nations Climate Change Conference in Paris, and invited the international community to sign the legal instrument to prevent an increase of average temperature by more than two degrees Celsius. The new framework climate agreement was approved by 195 countries on 12 December, 2015 through a process of general voting.

In November 2015, the IV International Forum for Energy Efficiency and Energy Savings was held in Moscow. The Forum was devoted to development of energy industry and new energy saving technologies. The Forum included a session entitled “International Cooperation: Joint Efforts for Energy Efficiency in the Economy and Energy Industry Development”. Chairman of the Sberbank Management Board, German Gref, spoke at this session. The Forum was attended by 11 thousand people.

DenizBank participates in responsible financing initiatives. When entering into credit agreements with companies, DenizBank provides an environmental audit of borrowers. For these activities the bank has received three awards from the European Bank of Reconstruction and Development in the category “The Best Bank for Responsible Financing”.

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CORPORATE GOVERNANCE

CORPORATE GOVERNANCE

DEAR SHAREHOLDERS:

This Supervisory Board Report on Corporate Governance constitutes an integral part of Sberbank's annual report for 2015 and discloses the impact of corporate governance on key aspects of the Sberbank's operations and the Supervisory Board's role in the system of corporate governance.

As Chairman of the Supervisory Board of the country's largest financial institution, I see my own role as creating the necessary conditions for effective teamwork among board members, molding and maintaining a culture of mutual trust and respect, and ensuring transparent and fair relations between Sberbank's executive bodies and the Supervisory Board.



A priority is to ensure that the membership of the Supervisory Board is balanced with regard to the experience, skills, and competencies that members of the Board need to make strategic decisions aimed at the long-term sustainable development of Sberbank and to implement effective supervision over business processes. No less important is the independent judgment of the company directors, which is what underlies the Supervisory Board's ability to exercise proper control over executive bodies.

The quality of corporate governance is vital for any company and constitutes a factor that enhances its competitiveness by facilitating access to capital markets and by creating a more comfortable environment for business. Sberbank is therefore carrying out continuous, purposeful work on the formation of an effective corporate governance system that is based on recommendations from the Corporate Governance Code of Bank of Russia, the Principles of the Basel Committee, and the best corporate governance practices. The key events of this process in 2015 were:

- ✓ The development and approval of Sberbank's Corporate Governance Code and the Group's Code of Ethics that set forth the fundamental principles for improving the system of corporate governance and the common ethics standards of Sberbank Group
- ✓ The harmonisation of Sberbank's corporate governance with the recommendations of the Corporate Governance Code of Bank of Russia and the Basel Committee's principles as concerns interaction with shareholders, information transparency, the activities of the Supervisory Board and its Committees, risk management, and the internal control system
- ✓ The updating of Sberbank's database of internal documents corresponding to the best corporate governance practices
- ✓ The cascading of standards and practices of Sberbank's corporate governance over controlled companies
- ✓ Ensuring compliance of the Sberbank's corporate governance practices with the requirements of the Moscow Exchange Listing Rules.

The Supervisory Board is consistently focused on the application and development of the best practices of corporate governance and considers such an approach to be the main tool of strategic management and a link connecting the Sberbank major business processes.

Best regards,

S.M. Ignatiev
Chairman of the Supervisory Board

»» APPROACH TO CORPORATE GOVERNANCE

We have been focused on the application and development of the best corporate governance practices relying on the fact that a well-balanced and transparent corporate governance system is a prerequisite for building trust in our customers, shareholders, and investors and the key driver of sustainable business development.

The circulation of the Sberbank's shares on MICEX and its depositary receipts on London and Frankfurt trading platforms imposes additional responsibility on Sberbank and requires compliance with the stock exchange rules and investor requirements.

Sberbank's Supervisory Board is continuously seeking to establish mechanisms for further improvement of the corporate governance system to ensure the rights and legitimate interests of shareholders, increase business efficiency, increase the transparency and investment attractiveness of Sberbank, and preserve and enhancing equity capital.

Consistent improvement of the corporate governance system and enhancing its efficiency is part of our development strategy.

The existing corporate governance system is built in accordance with the statutory requirements of the laws of the Russian Federation; regulatory bodies; the rules of the MICEX, London, and Frankfurt stock exchanges; and the recommendations of the Basel Committee on Banking Supervision, the Financial Sustainability Council to financial institutions, and the Code of Corporate Management of Bank of Russia.

Rating ISS¹

According to an ISS estimate, Sberbank's corporate governance risks are at the minimal level (1 point on a 10-point scale). ISS assessed the structure of the SB, the remuneration principles of the SB and management, shareholders' rights, and audit.

Sberbank's corporate governance code and the Group's Code of ethics are posted on Sberbank's corporate website at:
<http://sberbank.com/ru/investor-relations/disclosure/regulative-documents>

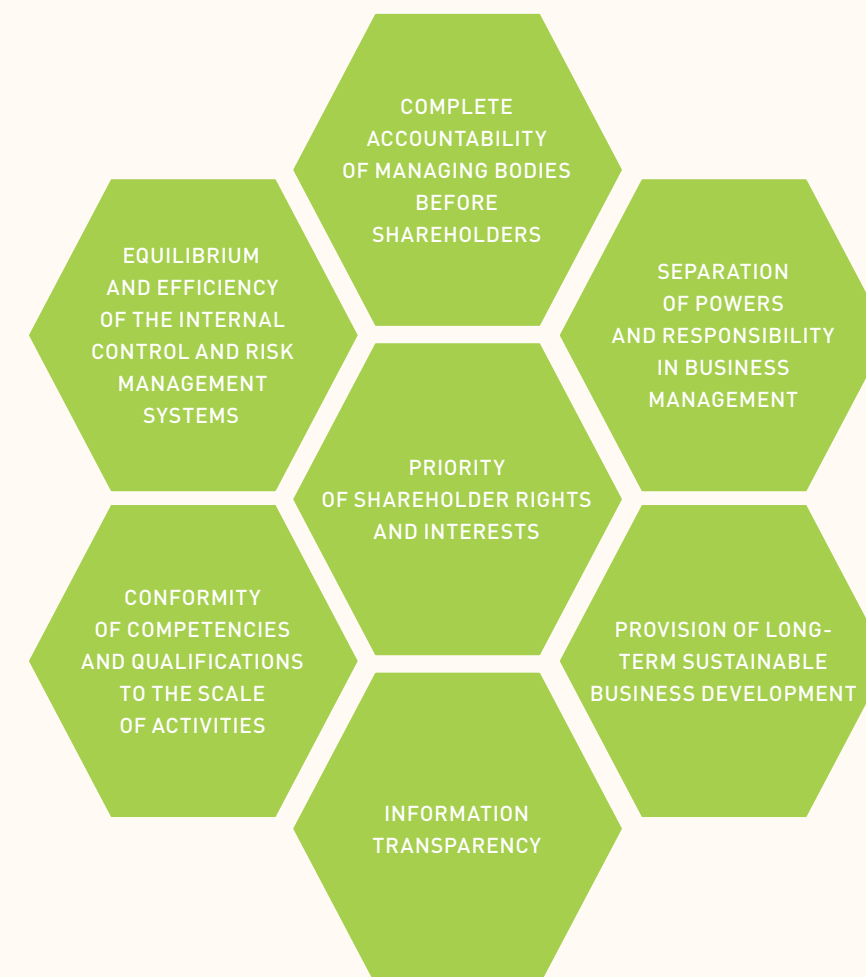


¹. ISS is the world's leading consultant rendering advisory services to institutional investors related to corporate governance and socially responsible investments.

»» CORPORATE GOVERNANCE SYSTEM

Sberbank's corporate governance system is based on an organisational model designed to regulate the relationship between the managers, the Supervisory Board, and the shareholders and which sets forth the corporate decision-making rules and procedures that ensure the management and control of Sberbank's activities.

| THE CORPORATE GOVERNANCE SYSTEM IS BASED ON THE CORPORATE GOVERNANCE PRINCIPLES DEVELOPED BY SBERBANK.



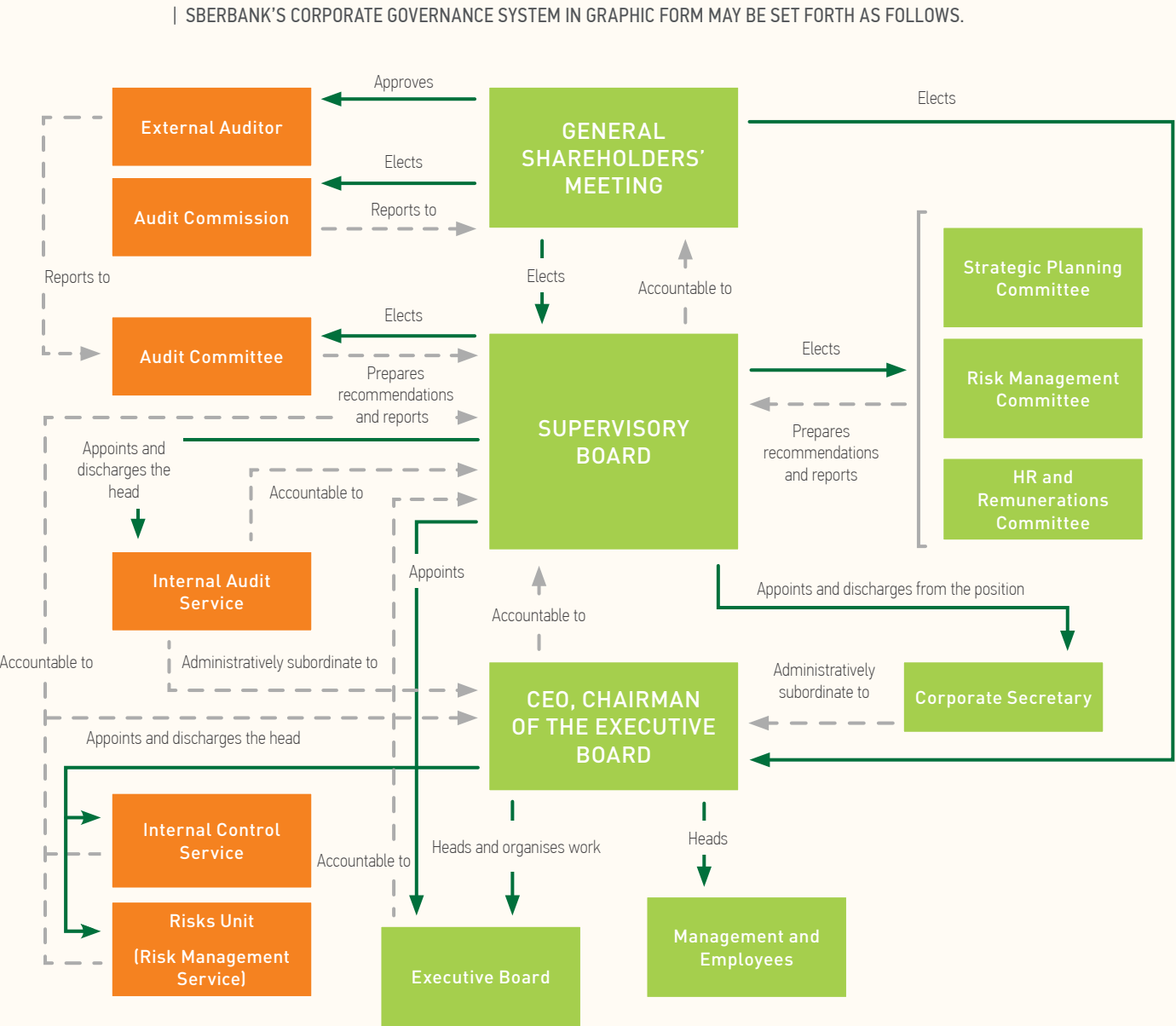
SUPERVISORY BOARD

THE ROLE OF THE SUPERVISORY BOARD

The Supervisory Board performs overall management over Sberbank’s activities, except for the resolution of issues reserved to the General Shareholders’ Meeting under the law and the Sberbank Articles of Association.

The Supervisory Board’s competencies are defined in the Articles of Association and separated from the competencies of the executive bodies (no issues reserved to the Supervisory Board shall be transferred for decision to the Sberbank executive bodies).

The Supervisory Board constitutes a key element of the corporate governance system and is responsible for the development of three key functions: governance, control, and communications.



Governance	Implementation – Monitoring – Development – Establishment of:	
	✓ strategy implementation control	✓ the talent management system and the staffing of governing bodies
	✓ corporate governance system performance	✓ key employee motivation policy
Control	Control – Assessment – Approval of:	
	✓ the Executive Board’s and CEO’s performance	✓ the risk management and internal control system
	✓ compliance with the approved strategy	✓ the Bank’s financial statements, including internal auditing
	✓ the work quality of the Supervisory Board and the Executive Board	✓ conflicts of interest
Communications	Communications and ensuring the transparency of the Bank’s activities:	
	✓ information policy	✓ stakeholder communications
	✓ full and prompt information disclosure	✓ free access of shareholders to the Bank’s documents

The effective performance of the Supervisory Board relies on an understanding of business needs and the Supervisory Board's role in the Group's development, its ability to engage the best professionals, a well-balanced system of motivation and remuneration of the Supervisory Board members, possibilities for their further professional growth, efficient communications both within the Supervisory Board and with Sberbank's shareholders, top managers, and other key stakeholders.

The Supervisory Board determines the rules for the bank's corporate governance system by approval of internal regulations governing the principles and procedures of operation of its individual elements and by implementing control of each element and the corporate governance system performance as a whole.

The Supervisory Board is accountable to the General Shareholders' Meeting, and information regarding its operations is disclosed as part of the annual report.

CHAIRMAN OF THE SUPERVISORY BOARD

The Bank's Supervisory Board is headed by the Chairman who is to be elected from among Supervisory Board members at the first board's meeting (following the election at the General Shareholders' Meeting). The Chairman of the Supervisory Board may not simultaneously act as CEO or Chairman of the Executive Board of the Bank.

The Chairman directs the work of the Supervisory Board, organises the development of its work plan, approves the agenda of board meetings, and presides over the General Shareholders' Meeting of the Sberbank.

During meetings of the Supervisory Board, the Chairman ensures the free discussion of issues on the agenda, promotes the development of informed decisions, and maintains a constructive and friendly atmosphere.

INDEPENDENT DIRECTORS AND THEIR ROLE. SENIOR INDEPENDENT DIRECTOR

To ensure the effectiveness of decisions made and to support an equilibrium of interests of different shareholder groups, independent directors are included as part of the Supervisory Board's membership.

In accordance with the Regulation on the Supervisory Board, the number of independent directors shall be not less than 1/3 of the elected members of the Supervisory Board.

An independent director is a Supervisory Board member possessing enough professionalism, experience, and independence to form their own opinion, who is able to express unbiased and conscientious judgments that do not depend on the influence of the executive bodies of the Bank, certain groups of shareholders, or other interested parties.

The Supervisory Board will evaluate the independent status of candidates and is entitled to recognise a candidate (director) as independent even if they formally meet criteria for nonindependence if the presence of such criteria does not affect the director's ability to express independent and unbiased judgments.

Pursuant to the decision of the Supervisory Board, a senior independent director is appointed from among independent directors whose main tasks will be to assist the Chairman of the Supervisory Board, arrange the assessment of its work, coordinate interaction between independent directors, and develop a consolidated opinion of independent directors on the issue under consideration, when necessary. For the first time, a senior independent director was elected to Sberbank's Supervisory Board in 2015.

THE EFFICIENCY OF THE SUPERVISORY BOARD

The make-up of the Supervisory Board is balanced in terms of skills, experience, and independence, which allows board members to effectively perform their functions.

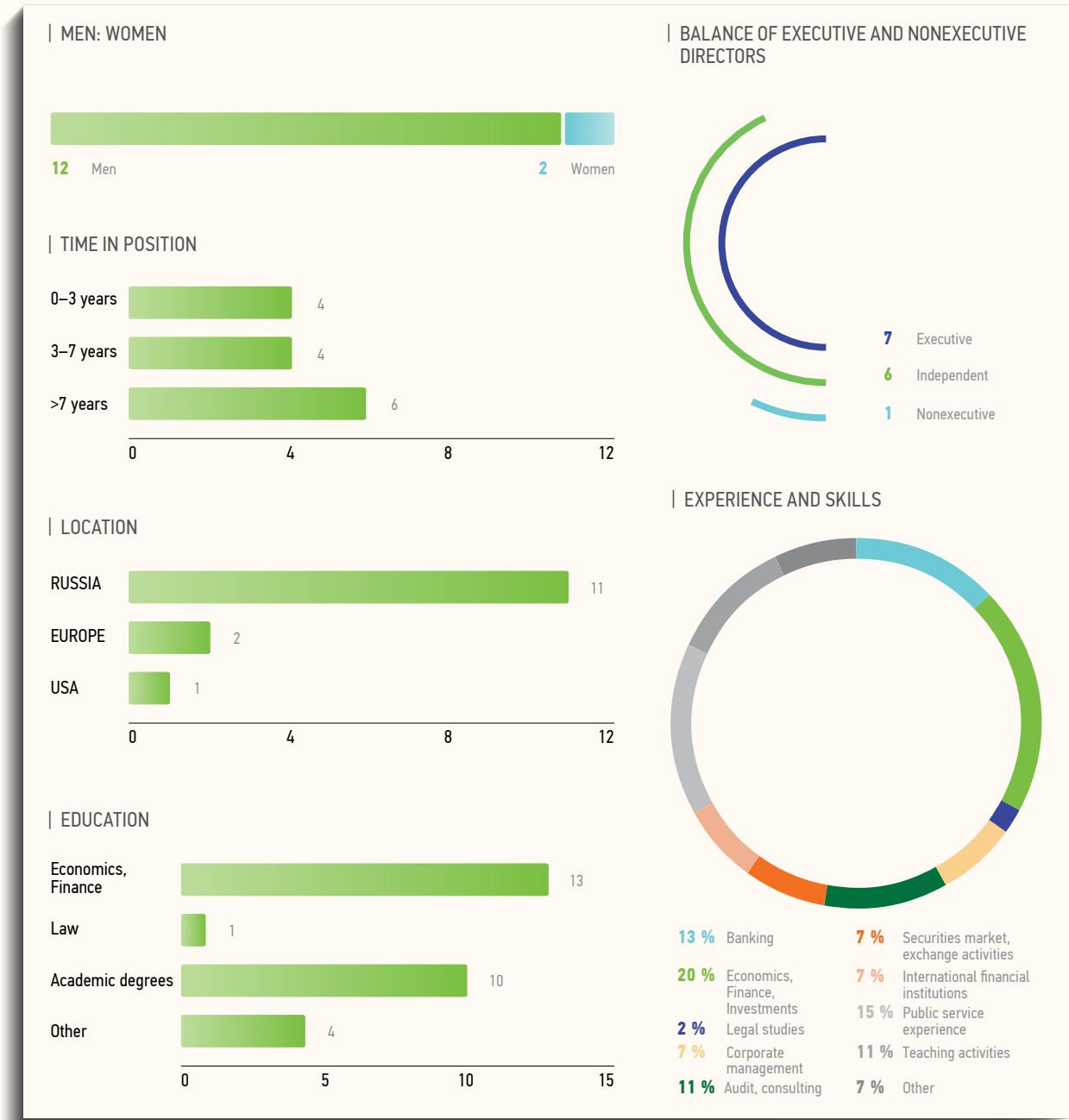
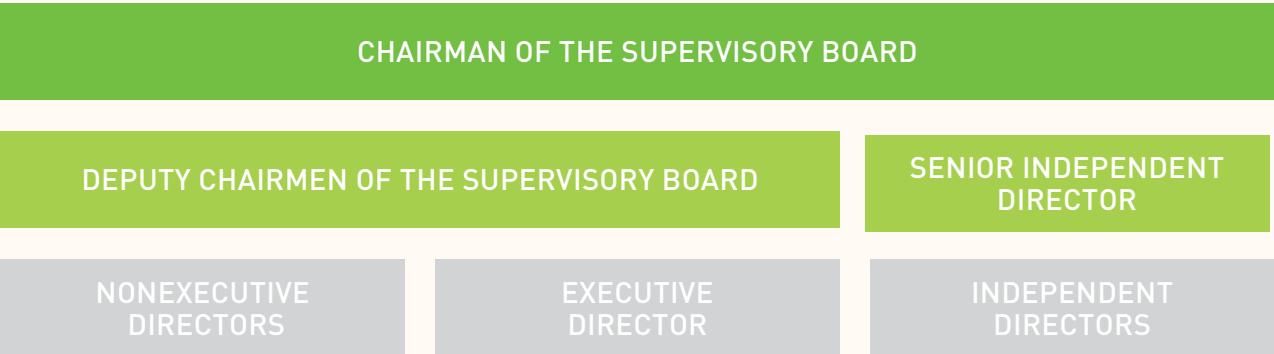
Supervisory Board members meet qualification and business reputation requirements as established by applicable laws, have an excellent professional and business reputation, ample knowledge and experience in the areas appropriate to Sberbank's main activities (finance, banking operations, regulation of banking activities, corporate governance, risk management, internal control, audit, and compliance).

Supervisory Board members also have the knowledge of the functional specifics of working at various positions in different companies and an understanding of the specifics of international markets and the way business is done in foreign cultures and are of different ages, genders, and nationalities.

The Supervisory Board of the Bank consists of executive (bound by employment relations with the bank), nonexecutive (not bound by employment relations with the bank) and independent directors (directors not bound to the bank who are able to make independent judgments without bias and in good faith and independent of other groups or persons).

To enhance performance, the Supervisory Board (as proposed by the HR and Remunerations Committee) shall draw up the list of candidates recommended to shareholders in advance. Upon expiry of the nomination period (75 days from the end of the financial year), the Supervisory Board (as proposed by the HR and Remunerations Committee) shall approve the list of candidates for election at the regular shareholders' meeting, review their professional qualifications and reputation, assess the independent status of candidates, develop recommendations for voting, and disclose information related to persons proposing each candidate and details on each such person (work experience, competencies, relations with Sberbank, etc.).

SUPERVISORY BOARD DIVERSITY AND STRUCTURE



MEMBERS OF THE SUPERVISORY BOARD

SERGEY IGNATIEV

Chairman of the Supervisory Board

Nonexecutive Director

Place of birth: Leningrad
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2000–2015
Membership in Committees: no membership in Committees

Education:

1975: Lomonosov Moscow State University, majoring in Political Economy

1978: Postgraduate education in Lomonosov Moscow State University, Candidate of Economic Sciences

Work experience: ¹

From 2002, he held the position of the Chairman of Bank of Russia. From June 2013 until present time, he is Adviser of the Chairman of Bank of Russia. He has extensive experience in teaching and research work and is an author of many scientific papers.

List of other nonexecutive professional commitments:

Member of the Board of Directors of Bank of Russia and Deposit Insurance Agency State Corporation

GEORGY LUNTOVSKIY

Deputy Chairman of the Supervisory Board
Nonexecutive director

Date of birth: 12 April, 1950
Place of birth: Kursk
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2000–2015
Membership in Committees: Chairman of the HR and Remunerations Committee

Education:

1978: All-Union Correspondence Financial and Economic Institute, majoring in Finance and Credit

1997: Russian Presidential Academy of National Economy and Public Administration, majoring in Management in Market Conditions

1998: Moscow State University of Economics, Statistics and Informatics, Candidate of Economic Sciences

Work experience:

From 2005 to the present time, he has been the First Deputy Chairman of Bank of Russia. His sphere of professional competence includes issues relating to the organisation of cash circulation, personnel policy and work with personnel, the organisation and functioning of the national payment system, and operations of the Russian Encashment Association.

List of other nonexecutive professional commitments:

Member of the Boards of Directors of Bank of Russia and Interstate Bank. Chairman of the Supervisory Boards of the Russian Encashment Association (ROSINKAS) and National Payment Card System JSC

¹ Here and elsewhere, information on the Executive Board member's professional activity over the last five years is presented.

ALEKSEI KUDRIN

Deputy Chairman of the Supervisory Board
Nonexecutive director

Date of birth: 12 October, 1960
Place of birth: Dobeles, Latvian SSR
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 1997, 2000–2003, 2005–2010, 2013–2015
Membership in Committees: Chairman of the Strategic Planning Committee

Education:

1983: Zhdanov Leningrad State University, majoring in Political Economy

1987: Postgraduate education of the Institute of Economics of the USSR Academy of Sciences, Candidate of Economic Sciences

Work experience:

From 2000 through 2011, held the office of Deputy Chairman of the Government of the Russian Federation – Minister of Finance. While holding this position, he was named the Finance Minister of the Year three times (in 2004 by the British journal The Banker, in 2006 by the British newspaper Emerging Markets, and in 2010 by the British journal Euromoney). From June 2011 to the present, he has been the Dean of the Department of Liberal Arts and Sciences of Saint Petersburg State University. Author of more than 30 scientific papers related to economics and finance.

List of other nonexecutive professional commitments:

Chairman of the Supervisory Board of Moscow Exchange PJSC. Chairman of the Board of Directors at Meditsina PJSC and Future Private Pension Fund JSC

MARTIN GRANT GILMAN

Member of the Supervisory Board
Independent Director

Date of birth: 11 August, 1948
Place of birth: Memphis, USA
Citizenship: USA
Year(s) of election to the Supervisory Board: 2014–2015

Membership in Committees:

Member of the Strategic Planning Committee, Member of the Risk Management Committee

Education:

1970: University of Pennsylvania, Bachelor of Science (BS) in Economics (Wharton School), and Bachelor of Arts (BA) in Political Science (College of Liberal Arts)

1971: Certificate of International Studies at the School of International Studies at Johns Hopkins University in Bologna

1972: London School of Economics, MSc

1981: London School of Economics, PhD in Economics

Work experience:

From September 2005 to April 2015, held the office of Director of the Centre for Advanced Studies of the National Research University – Higher School of Economics (Moscow, Russia). Currently is a Professor in the Department of Economics and Advisor to the Rector of National Research University – Higher School of Economics (Moscow, Russia) He has more than 20 years of experience in the International Monetary Fund (1996–2002: IMF Resident Representative in Russia).

List of other nonexecutive professional commitments:

Member of the Board of Directors at ROSBANK PJSC

HERMAN GREF

CEO, Chairman of the Executive Board
Member of the Supervisory Board
Executive director

Date of birth: 8 February, 1964
Place of birth: Panfilovo village, Irtysh District, Pavlodar Region, Kazakh SSR
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2005–2015

Membership in Committees:
Member of the Strategic Planning Committee

Education:

1990: Dostoyevsky Omsk State University, majoring in Legal Studies

1993: Postgraduate education at the Faculty of Law of Saint Petersburg State University

1985: Candidate of Economic Sciences

Work experience:

From November 2007 to the present, CEO, Chairman of the Executive Board of Sberbank. In 2000–2007, he was Minister of Economic Development and Trade of the Russian Federation.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Yandex N.V. Member of Supervisory Boards at the Autonomous Nonprofit Organisation Centre for Expert Reviews on Issues of the World Trade Organisation, National Research University – Higher School of Economics, and Autonomous Nonprofit Organisation Agency of Strategic Initiatives to Promote New Projects. Chairman of the Boards of Directors at a number of subsidiary banks of Sberbank.

NADEZHDA IVANOVA

Member of the Supervisory Board
Nonexecutive director

Date of birth: 13 June, 1953
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2002–2015

Membership in Committees:

Member of the Audit Committee, Member of the Risk Management Committee

Education:

1975: Moscow Financial Institute, majoring in Finance & Credit

Work experience:

From 1995, Director of the Consolidated Economic Department of Bank of Russia. From June 2013 to the present, Deputy Chairman – Director of the Consolidated Economic Department of Bank of Russia.

List of other nonexecutive professional commitments:

Member of the Board of Directors of Bank of Russia.

VLADIMIR MAU

Member of the Supervisory Board
Independent Director

Date of birth: 29 December, 1959
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2008–2015
Membership in Committees:
Chairman of the Audit Committee, Member of the Human Resources and Remuneration Committee

Education:

1981: Plekhanov Moscow National Economy Institute, Faculty of Economics

1987: Institute of Economics of the USSR Academy of Sciences, Candidate of Economic Sciences

1994: Institute of Economics of the USSR Academy of Sciences, PhD in Economics

1999: Pierre Mendès-France University, Grenoble (France), PhD in Economics

Work experience:

From 2002 to the present, he has been the Rector of the Russian Presidential Academy of National Economy and Public Administration. Expert in economic theory, history of economic thought, and national economics. Participated in the development and practical implementation of economic reforms in the Russian Federation.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Transcapitalbank PJSC, Gazprom PJSC, Severstal PJSC

GENNADY MELIKYAN

Member of the Supervisory Board
Senior independent director

Date of birth: 27 November, 1947
Place of birth: Kropotkin, Krasnodar Territory
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2014–2015

Membership in Committees:
Chairman of the Risk Management Committee, Member of the Strategic Planning Committee

Education:

1974: Lomonosov Moscow State University, majoring in Political Economy

1977: Postgraduate education in Lomonosov Moscow State University, Candidate of Economic Sciences

Work experience:

From 2003 to 2011, held the office of Deputy Chairman of Bank of Russia/Head of the Main Inspectorate of Credit Institutions and afterwards held office as the First Deputy Chairman of Bank of Russia. In 1992–1997, was a Minister of Labour and Social Development of the Russian Federation.

List of other nonexecutive professional commitments:

Member of the Boards of Directors at Energotransbank Commercial Bank (AVTOTOR Group) and Mezhsudarstvennaya neftyanaya kompaniya Soyuzneftegaz CJSC

ALESSANDRO PROFUMO

Member of the Supervisory Board
Independent Director

Date of birth: 17 February, 1957
Place of birth: Genoa, Italy
Citizenship: Italy
Year(s) of election to the Supervisory Board: 2011–2015
Membership in Committees:
Member of the Strategic Planning Committee, Member of the Risk Management Committee

Education:

1987: Bocconi University (Italy), MSc (Business Administration)

Work experience:

From 1997 to 2010, he was the President of Unicredit Group. From 2012 to August 2015, Chairman of Monte dei Paschi di Siena Bank (Italy). A specialist in the field of mergers and acquisitions.

List of other nonexecutive professional commitments:

Chairman of the Board of Directors at Appeal Strategy & Finance S.r.l., Equita SIM Spa, Turati 9, Nicla S.P.A. Member of the Board of Directors at TOG, Mossi Aziende agricole vitivinicole S.r.l.

ANTON SILUANOV

Member of the Supervisory Board
Nonexecutive director

Date of birth: 12 April, 1963
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board: 2015
Membership in Committees:
No membership in Committees

Education:

1985: Moscow Financial Institute, majoring in Finance & Credit

1995: Candidate of Economic Sciences

2012: Doctor of Economics

Work experience:

From 2005 to 2011, held office as the Deputy Finance Minister. From December 2011 to the present, Minister of Finance of the Russian Federation. Since June 2013, Associate Professor of the Finance and Economics Department at the Financial University under the Government of the Russian Federation.

List of other nonexecutive professional commitments:

Member of the Supervisory Boards of ALROSA Diamond Mining Company, Rostec Group of Companies, Russian Direct Investment Fund, Bank for Development and Foreign Economic Affairs Group of Companies (Vnesheconombank). Chairman of the Board of Directors at Deposit Insurance Agency Group of Companies; Chairman of the Financial Council of Bank of Russia; Manager for the Russian Federation at the International Monetary Fund, the International Bank for Reconstruction and Development, the Multilateral Investment Guarantee Agency, and the BRICS New Development Bank. Plenipotentiary of the Russian Federation in the Eurasian Development Bank

SERGEY SINELNIKOV-MURYLEV

Member of the Supervisory Board
Independent Director

Date of birth: 11 July, 1960
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board:
2011–2015
Membership in Committees:
Member of the Audit Committee, Member
of the HR and Remunerations Committee,
Member of the Risk Management Committee

Education:

1982: Lomonosov Moscow State University,
majoring in Economic Cybernetics

1985: Candidate of Economic Sciences

1996: Doctor of Economics

2005: received a diploma that entitles him to lead
scientific research in economics (Le diplôme
de l'habilitation à diriger des Recherches en
"SCIENCES ECONOMIQUES")

2007: earned full Professorship

Work experience:

From 2000 to present, professor of the System
Economy Analysis Chamber of Moscow Physical
and Technical Institute (State University). From
2002 to present, Vice Rector of the Russian
Presidential Academy of National Economy and
Public Administration. From 2008 to present,
Academic Advisor at the Yegor Gaidar Foundation
for Economic Policy. From 2007 to present, Rector
of the Russian Foreign Trade Academy of the
Ministry of Economic Development of the Russian
Federation. Has extensive experience in teaching
and research activities. A specialist in the field of
macroeconomics, fiscal, budgetary, and monetary
policy.

List of other nonexecutive professional commitments:

Member of the Board of Directors of Rosagrolizing
OJSC and the Yegor Gaidar Institute for Economic
Policy Foundation

DMITRY TULIN

Member of the Supervisory Board
Nonexecutive director

Date of birth: 26 March, 1956
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board:
1997–1998, 2012–2015
Membership in Committees:
Member of the Audit Committee, Member of the
Human Resources and Remuneration Committee

Education:

1978: Moscow Financial Institute, majoring in
International Economic Relations

1985: Candidate of Economic Sciences

Work experience:

In 2006–2012, he was a partner of Deloitte &
Touche CIS. From 2012 to present, Associate
Professor of the Finance, Credit, and Insurance
Department at the Russian Academy of
Entrepreneurship. From January 2015 to the
present, he has been the First Deputy Chairman
of Bank of Russia.

List of other nonexecutive professional commitments:

Member of the Board of Directors of Bank of
Russia

NADIA WELLS

Member of the Supervisory Board
Independent Director

Date of birth: 24 December, 1970
Place of birth: London, United Kingdom
Citizenship: Great Britain
Year(s) of election to the Supervisory Board:
2014–2015
Membership in Committees:
Member of the Audit Committee, Member of the
Strategic Planning Committee, Member of the
Risk Management Committee

Education:

1993: MA graduate of Oxford University (with
Honors), majoring in Modern History and Modern
Language

2000: MBA, INSEAD Business School (France)

Work experience:

From 2001 to 2014, held office as Vice President,
Portfolio Manager, and Investment Analyst for
Global Emerging Markets, Capital International
SA. She is currently an independent professional
investment and corporate governance advisor.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Barings
Emerging Europe Plc.

SERGEI SHVETSOV

Member of the Supervisory Board
Nonexecutive director

Date of birth: 27 December, 1970
Place of birth: Moscow
Citizenship: Russian Federation
Year(s) of election to the Supervisory Board:
2010–2015

Membership in Committees:
Member of the Strategic Planning Committee

Education:

1993: Lomonosov Moscow State University,
majoring in Economic Cybernetics

Work experience:

In 2003–2011, Director of the Financial Market
Operations Department, Bank of Russia. In
2011–2013, Deputy Chairman of Bank of Russia.
From September 2013, holds the office of First
Deputy Chairman of Bank of Russia.

List of other nonexecutive professional commitments:

Member of the Board of Directors of Bank of
Russia

INTRODUCTION OF NEW SUPERVISORY BOARD MEMBERS

For the purpose of the quickest and most effective induction of newly elected members of the Supervisory Board the bank takes the following measures:

- ✓ Sending the Supervisory Board Member Handbook in electronic form with the main current information on the bank, its organisation structure and corporate management system, the main rights and obligations of the members of the Supervisory Board, compliance recommendations, useful work contacts, etc.
- ✓ Conducting meetings with the President, Chairman of the Executive Board, and other key top managers of the bank
- ✓ Sending analytical materials and press reviews
- ✓ Participation in corporate management sessions organised by the bank
- ✓ Visiting a gemba

D&O LIABILITY INSURANCE

The liability of all Supervisory Board members is insured under a liability insurance agreement entered into between Sberbank and Ingosstrakh Insurance Company.

The aggregate limit of D&O liability insurance (except for independent directors) amounts to RUB 3 billion.

Aggregate additional coverage for independent directors is RUB 150 million.

INFORMATION ON THE OWNERSHIP OF SBERBANK SHARES

Full name	Share in the authorised capital (%)	Percentage of ordinary shares (%)	Information on the settlement of transactions with Bank shares in 2015
Sergey Ignatiev	–	–	No transactions settled
Georgy Luntovskiy	–	–	No transactions settled
Aleksei Kudrin	–	–	No transactions settled
Martin Grant Gilman	0.00018	0.00019	No transactions settled
Herman Gref	0.0031	0.003	No transactions settled
Nadezhda Ivanova	–	–	No transactions settled
Vladimir Mau	–	–	No transactions settled
Gennady Melikyan	0.0001	0.0001	No transactions settled
Alessandro Profumo	–	–	No transactions settled
Anton Siluanov	–	–	No transactions settled
Sergey Sinelnikov-Murylev	–	–	No transactions settled
Dmitry Tulin	–	–	No transactions settled
Nadia Wells	–	–	No transactions settled
Sergei Shvetsov	–	–	No transactions settled
TOTAL (cumulative percentage of shares)	0.0034	0.0033	

ASSESSMENT OF SUPERVISORY BOARD PERFORMANCE

To identify additional points of focus in the operations of the Supervisory Board and its Committees and areas of potential improvement and development, the Supervisory Board will engage an independent external consultant to assess its performance at least once every three years and will conduct an annual self-assessment of the quality of its own performance at a different time.

To conduct an external assessment of the efficiency of the Supervisory Board and the performance of its Committees in 2015, we engaged the Oliver Wyman international consulting company pursuant to the Supervisory Board's decision.

This assessment is the second external assessment of the efficiency of the Supervisory Board's performance. As a result of its efforts, there have been markedly substantial improvements in Sberbank's corporate governance practices since the previous external assessment in 2012: the size and composition of the Supervisory Board have been optimised, the Risk Management Committee has been established, a senior independent director has been appointed, and the Supervisory Board's role regarding Ethics and Business Conduct has been strengthened.

The external assessment has confirmed corporate governance conformity of Sberbank to the recommendations of the Corporate Governance Code of Bank of Russia and international standards. In addition, according to the results of the external assessment, areas have been identified for the further improvement of the efficiency of the Supervisory Board's performance, including a systematisation of operations on the setup of the Supervisory Board, improvements to training programmes for Supervisory Board members, improvements to the efficiency of preparation and holding of meetings, as well as a strengthening of the Supervisory Board's particular functions.

Assessment of Supervisory Board performance

helps determine the staffing needs of the Supervisory Board and identify its strengths and weaknesses and areas for improvements to its performance.

REPORT ON THE SUPERVISORY BOARD'S ACTIVITIES

In 2015, 7 attendee and 60 absentee Supervisory Board meetings were held.

A total of 143 issues were considered at the meetings.

In accordance with its key functions, the following topics were considered (the following cases were resolved) by the Supervisory Board in 2015:

- ✓ On the status of implementation and updating the targets of Sberbank's Development Strategy for 2014–2018
- ✓ On areas for development of the Sberbank Management Model
- ✓ On progress in implementing corporate and investment business development projects
- ✓ On progress in the implementation of projects for the development of retail business, including mortgage lending
- ✓ On working with Corporate Corporate block customers
- ✓ On funding the foreign subsidiary banks
- ✓ On innovative activity in Sberbank (in retail and corporate business, as well as payment systems)

Hearing of management reports on the results of the Sberbank's activities

- ✓ On the annual accountancy (financial) reports of Sberbank and preliminary results of the work of the Group for 2014 according to International Financial Reporting Standards (IFRS)
- ✓ On the Financial Results of Sberbank for 2014
- ✓ On the preliminary approval of the Annual Report of Sberbank for 2014
- ✓ On the Consolidated Results of Sberbank according to IFRS for 2014
- ✓ Results of Sberbank in the first half of 2015 and financial results for 8 months of 2015
- ✓ Results of Sberbank for 9 months of 2015 and financial results for 10 months of 2015

On the convocation of the Annual General Shareholders' Meeting (AGSM)

- ✓ On reviewing the proposals received from shareholders of Sberbank on nomination of candidates to the Supervisory Board and the Audit Commission for election at the AGSM for 2014
- ✓ On auditor selection
- ✓ On convening the AGSM for 2014
- ✓ On distributing profits and recommendations on the amount of dividends paid out for 2014 and the record date for determining the persons entitled to receive dividends
- ✓ On approval of the form and text of the AGSM voting ballot for 2014
- ✓ On establishing the list of information (materials) provided for review to persons entitled to participate in the AGSM for 2014 and the procedure for its provision
- ✓ On considering the Draft New Version of the Articles of Association (for subsequent approval by the AGSM)
- ✓ On drafts of the Provision on the Supervisory Board, the Provision on the General Shareholders' Meeting, and the Provision on Remuneration and Compensation paid to the members of the Supervisory Board in new versions (for subsequent approval by the AGSM)

On the termination of powers of Executive Board members. Approval of the participation of other legal entities in governing bodies

- ✓ On the termination of the powers of Executive Board member D.A. Bugrov
- ✓ On approving the participation of members of the Executive Board in the management bodies of other legal entities

Placement of bonds

- ✓ On adopting a resolution on the placement of exchange-traded bonds, approving resolutions on the issue of exchange-traded bonds and the prospectus of the exchange-traded bonds
- ✓ On placing the exchange-traded bonds by adopting the first part of the resolution on the issue (Exchange-Traded Bond Programme) and approving the prospectus of the exchange-traded bonds
- ✓ On placing Series 01 bonds, approving the resolution on the issue of Series 01 bonds and the prospectus of Series 01 bonds

Approval of internal documents

Approved documents:

- ✓ Dividend policy (new version)
- ✓ Provision on Supervisory Board Committees (new version)
- ✓ Corporate Governance Code of Sberbank
- ✓ Code of Corporate Ethics of Sberbank
- ✓ Conflict of Interest Management Policy
- ✓ Group Risk and Equity Management Strategy
- ✓ HR Policy
- ✓ Wage Policy
- ✓ Rules for informing the Supervisory Board of Sberbank of Russia on the results of audits conducted by Bank of Russia

Branch closings

- ✓ On closing a Sberbank branch (Severo-Kavkazsky Bank)

Passing resolutions on the liabilities of Supervisory Board members, establishment of Supervisory Board Committees

- ✓ Electing the Chairman of the Supervisory Board
- ✓ Electing the Deputy Chairmen of the Supervisory Board
- ✓ Electing the Senior Independent Director
- ✓ On the membership of the Committees of the Supervisory Board
- ✓ Preliminary work plan of the Supervisory Board for 2015–2016

Consideration of issues related to risk and capital management strategies

- ✓ On submitting an application to Bank of Russia to obtain permission to use the Bank's own risk management methodologies and quantitative risk assessment models to determine the internal ratings-based amount of credit risk for the purposes of calculating the capital adequacy ratios
- ✓ On the practicability of establishing a Risk Management Committee of the Supervisory Board
- ✓ On risk management in Sberbank

Overseeing corporate governance practices

- ✓ On the Corporate Management System in Sberbank
- ✓ On approaches to selecting candidates to the Supervisory Board
- ✓ On the independent assessment of the activities of the Supervisory Board for 2015
- ✓ Interim report on the activities of the Committee for Minority Shareholder Relations of Sberbank of Russia

Review of Internal Audit Service Reports. Compliance system

- ✓ Results of audits conducted by the Internal Audit Service in the fourth quarter of 2014 and for 2014 in general
- ✓ Report on compliance with the legal requirements for combating the misuse of insider information and market manipulation
- ✓ Report on work performed by the inspector of a professional participant of the securities market for the third and fourth quarters of 2014 as well as for the first, second, and third quarters of 2015
- ✓ On the results of the audit of Sberbank by Bank of Russia
- ✓ On results of audits conducted by the Internal Audit Service in the first half of 2015
- ✓ On results of audits conducted by the Internal Control Department for 9 months of 2015 and approving the Audit Plan of the Internal Control Department for 2016
- ✓ On compliance with the legal requirements for combating the misuse of insider information and market manipulation
- ✓ On development of the Compliance System, including implemented and planned compliance risk management measures

Approving non-arm's-length transactions

- ✓ The Board considered 75 issues on approving transactions the Bank had an interest in

SUPERVISORY BOARD COMMITTEES

The Supervisory Board has established the following standing Committees:

- ✓ Audit Committee
- ✓ HR and Remuneration Committee
- ✓ Strategic Planning Committee
- ✓ Risk Management Committee.

The Committees are bodies of the Supervisory Board established for preliminary consideration of the most important issues of Group activity related to the competence of the Supervisory Board and to prepare recommendations to the Supervisory Board for making decisions on such issues.

ACTIVITIES OF THE AUDIT COMMITTEE

The main objectives of the Committee are to increase the effectiveness of internal control and corporate governance systems, ensure the performance of the management and control functions of the Supervisory Board regarding the functioning of these systems, and exercise control over the reliability of accounting (financial) statements and the activities of external auditors and the Internal Audit Service.

4 attendee meetings of the Committee were held in 2015.
A total of 11 issues were considered at the meetings.

In 2015, within the scope of its competencies, the Audit Committee reviewed a number of substantive issues.

Monitoring of the reliability of accounting (financial) statements

- ✓ Assessment of auditor opinions regarding the annual accounting (financial) statements of Sberbank for 2014
- ✓ The opinion of the Audit Committee following the Audit of Sberbank's Financial and Economic Activities in 2014
- ✓ Preliminary consideration of the issue of profit distribution and recommendations on the amount of dividends paid out in 2014

External audit results

- ✓ On the results of the audit of Sberbank by Bank of Russia

External auditor activities

- ✓ On Sberbank's auditor for 2015 and the first quarter of 2016

- ✓ On the results of the auditing company's operations in the first half of 2015 and recommendations following the audit for 2014

The Internal Audit Service's activities

- ✓ On the results of audits conducted by the Internal Audit Service in the fourth quarter and for 2014 as a whole, in the first half of 2015 and for 9 months of 2015
- ✓ On the Audit Plan for audits to be held by the Internal Audit Service in 2016

Procedural issues of the Audit Committee's activities

- ✓ On the approval of the Audit Committee's Operational Plan for 2015–2016

ACTIVITIES OF THE HR AND REMUNERATION COMMITTEE

The main objectives of the HR and Remuneration Committee are to strengthen and plan the continuity of membership of the Sberbank executive bodies and members of the Supervisory Board and prepare proposals on the development of an effective system of remuneration for Supervisory Board members, Sberbank executive bodies, and other key executives.

In 2015, within the scope of its competencies, the HR and Remuneration Committee reviewed the following substantive issues.

In 2015, 6 attendee and 1 absentee Committee meetings were held.

A total of 12 issues were considered at the meetings.

Planning for the continuity of membership of the Supervisory Board and the executive bodies of Sberbank

- ✓ On suggestions from Sberbank shareholders for candidates to the Supervisory Board, President, and Chairman of the Board
- ✓ On the list of candidates recommended to shareholders for nomination to the Supervisory Board
- ✓ On approaches to the selection of Supervisory Board candidates and the preliminary list of candidates recommended to shareholders for the Supervisory Board

Development of an effective system of remuneration for members of the Supervisory Board, executive bodies of Sberbank, and other key executive employees

- ✓ Remuneration of the Board members, the President, and Chairman of the Board of the Bank for the reporting periods
- ✓ Recommendations of the Committee to the Supervisory Board on the approval and submission for confirmation to the General Shareholders' Meeting of the new draft of Regulations on Remuneration and Compensation Paid to the Members of the Supervisory Board
- ✓ On approving internal regulations regarding the remuneration and long-term remuneration of Sberbank employees (HR Policy, Wage Policy)

Assessment of Supervisory Board performance

- ✓ On the results of self-assessment of the performance of the Supervisory Board and its Committees for 2014
- ✓ On the independent assessment of the activities of the Supervisory Board for 2015

Procedural issues of the HR and Remuneration Committee's activities

- ✓ On the approval of the HR and Remuneration Committee Operational Plan for 2015–2016

ACTIVITIES OF THE STRATEGIC PLANNING COMMITTEE

The main objectives of the Strategic Planning Committee are to prepare and present recommendations to the Supervisory Board on matters of the Sberbank's strategic development.

In 2015, within the scope of its competencies, the Strategic Planning Committee reviewed the following substantive issues:

4 attendee meetings of the Committee were held in 2015.

A total of 10 issues were considered at the meetings.

Implementation of the Sberbank Development Strategy

- ✓ On progress made in 2015 in implementing the Sberbank Development Strategy for 2014–2018

Long-term effectiveness of the Sberbank’s activities

- ✓ On preliminary consideration of Sberbank’s retail business development projects in 2014, including mortgage lending
- ✓ On consideration of a new version of the Dividend Policy
- ✓ On preliminary consideration of the matter of developing a network of Sberbank internal structural branches
- ✓ On areas for development of the Sberbank Management Model
- ✓ On developing a model of sales and service in retail internal structural units of Sberbank (ISU 3.0 model)
- ✓ On developing Sberbank’s regional network management model
- ✓ On developing a management model to support functions (on creating a single Sberbank service organisation)
- ✓ On the procedure for funding subsidiary banks.

Procedural issues of the Strategic Planning Committee’s activities

- ✓ On the approval of the Strategic Planning Committee Operational Plan for 2015–2016

ACTIVITIES OF THE RISK MANAGEMENT COMMITTEE

The main objectives of the Risk Management Committee are the preliminary review of the Group’s strategy for risk management and risk appetite and monitoring the implementation of Risk Management Strategies and risk appetite compliance. The “youngest” Committee of the Supervisory Board was established in May 2015.

In 2015, 3 attendee and 1 absentee Committee meetings were held.
A total of 8 issues were considered at the meetings.

In 2015, within the scope of its competencies, the Risk Management Committee reviewed the following substantive issues.

Preliminary review of the Group’s Strategy for Risk Management, risk appetite, monitoring of the implementation of Risk Management Strategies, and risk appetite compliance

- ✓ On the Risk Management System in Sberbank
- ✓ On the preliminary review of the Strategy for Risk and Capital Management (including consideration of Sberbank’s risk appetite)
- ✓ On consideration of a report on the main risk types for the third quarter of 2015
- ✓ On credit risk management
- ✓ On operational risk management
- ✓ On compliance risk management
- ✓ On compliance with the requirements of Bank of Russia Directive No. 3624-U dated 15 April, 2015, On the Requirements for the Risk and Capital Management System of a Credit Institution and Banking Group

Procedural issues of the Risk Management Committee’s activities

- ✓ On the approval of the Risk Management Committee Operational Plan for 2015–2016

CHANGES TO THE MEMBERSHIP OF THE SUPERVISORY BOARD IN 2015

From January to 28 May, 2015, the Supervisory Board acted pursuant to the Annual General Shareholders’ Meeting Resolution dated 6 June, 2014, and was composed of 17 members. During the above-mentioned period, 27 Board meetings were conducted, 2 of them in presentia and 25 in absentia.

1. S.M. Ignatiev
2. N.Yu. Ivanova
3. G.I. Luntovskiy
4. A.L. Kudrin
5. A. Profumo
6. V.P. Goreglyad
7. S.A. Shvetsov
8. H.O. Gref
9. B.I. Zlatkis
10. M.G. Gilman
11. Ye.T. Gurvich
12. P. Kralich
13. V.A. Mau
14. S.G. Sinelnikov-Murylev
15. D.V. Tulin
16. G.G. Melikyan
17. N. Wells

According to changes to the Group’s Articles of Association based on the results of the annual General Shareholders’ Meeting dated 6 June, 2014, the number of Supervisory Board members was reduced from 17 to 14 members. Thus, 14 members were elected to the Supervisory Board at the Annual General Shareholders’ Meeting of Sberbank on 29 May, 2015. From May 29 through December 2015, the Board conducted 40 meetings, 5 of them in presentia and 35 in absentia.

1. S.M. Ignatiev
2. N.Yu. Ivanova
3. G.I. Luntovskiy
4. A.L. Kudrin
5. A.D. Siluanov
6. D.V. Tulin
7. S.A. Shvetsov
8. H.O. Gref
9. M.G. Gilman
10. V.A. Mau
11. G.G. Melikyan
12. A. Profumo
13. S.G. Sinelnikov-Murylev
14. N. Wells

CHANGES TO THE AUDIT COMMITTEE’S MEMBERSHIP IN 2015

Composition of the Audit Committee
from January through May 2015

V.A. Mau (Chairman, Independent Director)
V.P. Goreglyad
N.Yu. Ivanova
Ye.T. Gurevich (Independent Director)
D.V. Tulin

Composition of the Audit Committee
from June to December 2015

V.A. Mau (Chairman, Independent Director)
N. Wells (Independent Director)
N.Yu. Ivanova
S.G. Sinelnikov-Murylev (Independent Director)
D.V. Tulin

2 attendee meetings were held

CHANGES TO THE MEMBERSHIP OF THE HR AND REMUNERATIONS COMMITTEE IN 2015

Composition of the HR and Remunerations Committee from January through May 2015

G. I. Luntovskiy (Chairman)
V. A. Mau (Independent Director)
S. G. Sinelnikov-Murylev (Independent Director)
D. V. Tulin

4 meetings held:

3 attendee and 1 absentee

Composition of the HR and Remunerations Committee from June through December 2015

G. I. Luntovskiy (Chairman)
V. A. Mau (Independent Director)
S. G. Sinelnikov-Murylev (Independent Director)
D. V. Tulin

3 attendee meetings were held

CHANGES TO THE STRATEGIC PLANNING COMMITTEE’S MEMBERSHIP IN 2015

Composition of the Strategic Planning Committee from January through May 2015

A.L. Kudrin (Chairman)
H.O. Gref
M.G. Gilman (Independent Director)
P. Kralich (Independent Director)
G.G. Melikyan (Independent Director)
A. Profumo
S.G. Sinelnikov-Murylev (Independent Director)
N. Wells (Independent Director)
S.A. Shvetsov

1 attendee meeting was held

Composition of the Strategic Planning Committee from June through December 2015

A.L. Kudrin (Chairman)
M.G. Gilman (Independent Director)
H.O. Gref
G.G. Melikyan (Senior Independent Director)
A. Profumo (Independent Director)
N. Wells (Independent Director)
S.A. Shvetsov

3 attendee meetings were held

CHANGES TO THE RISK MANAGEMENT COMMITTEE’S MEMBERSHIP IN 2015

Members of the Risk Management Committee
Before May 2015 the Committee had not been formed.
No meetings were held
Members of the Risk Management Committee from May to December 2015
G.G. Melikyan (Chairman, Senior Independent Director)
M.G. Gilman (Independent Director)
A. Profumo (Independent Director)
S.G. Sinelnikov-Murylev (Independent Director)
N. Wells (Independent Director)
N.Yu. Ivanova
4 meetings held:
3 attendee and 1 absentee

CONFLICT OF INTEREST

Members of the Supervisory Board shall refrain from activities which will lead to or could potentially lead to a conflict of interests, and in the case of the presence or occurrence of such a conflict they shall inform the Supervisory Board to this effect.

Members of the Supervisory Board shall abstain from voting on issues where they have a personal interest.

INFORMATION ON THE PARTICIPATION OF MEMBERS OF THE SUPERVISORY BOARD IN MEETINGS IN 2015

PARTICIPATION OF THE MEMBERS OF THE SUPERVISORY BOARD IN MEETINGS FROM JANUARY UNTIL 28 MAY, 2015 (SB MEMBERSHIP UNTIL THE HOLDING OF THE ANNUAL GENERAL SHAREHOLDERS' MEETING)

Member of the SB	Number of attendee SB meetings attended (out of the 2 conducted during the period indicated)	Number of Audit Committee meetings attended (out of the 2 conducted during the period indicated)	Number of attended HR and Remunerations Committee meetings (out of the 4 conducted during the period indicated)	Number of attended Strategic Planning Committee meetings (out of the 1 conducted during the period indicated)
S. Ignatiev	2			
N. Ivanova	2	2		
G. Luntovskiy	2		4	
A. Kudrin	2			1
D. Tulin	2	2	4	
S. Shvetsov	2			1
H. Gref	2			1
M. Gilman	2			1
V. Mau	2	2	4	
G. Melikyan	2			1
A. Profumo	2			1
S. Sinelnikov-Murylev	2		4	1
N. Wells	2			1
V. Goreglyad	2	2		
Ye. Gurvich	2	2		
B. Zlatkis	2			
P. Kraljic	2			1

| PARTICIPATION OF THE MEMBERS OF THE SUPERVISORY BOARD IN MEETINGS FROM 29 MAY THROUGH DECEMBER 2015 (SB MEMBERSHIP AFTER THE CONDUCTING OF THE ANNUAL GENERAL SHAREHOLDERS' MEETING)

Member of the SB	Number of SB attendee meetings attended (out of the 5 conducted within the period indicated)	Number of Audit Committee meetings attended (out of the 2 conducted during the period indicated)	Number of attended HR and Remuneration Committee meetings (out of the 3 conducted during the period indicated)	Number of attended Strategic Planning Committee meetings (out of the 3 conducted during the period indicated)	Number of Risk Management Committee meetings attended (out of the 4 conducted during the period indicated)
S. Ignatiev	5				
N. Ivanova	5	2	3		4
G. Luntovskiy	5				
A. Kudrin	5			3	
A. Siluanov	3				
D. Tulin	4	2	3		
S. Shvetsov	5			3	
H. Gref	5			3	
M. Gilman	5			3	4
V. Mau	5	2	3		
G. Melikyan	5			3	4
A. Profumo	5			3	4
S. Sinelnikov-Murylev	5	2	3		4
N. Wells	5	2		3	4

CORPORATE SECRETARY

For the purpose of ensuring the compliance of the governance bodies and executives of the Sberbank's with corporate governance procedures, the requirements of current legislation, the Articles of Association, Sberbank's Corporate Governance Code, and internal documents of the Group that guarantee the implementation of the rights and legitimate interests of shareholders, Sberbank provides for the position of a corporate secretary.

The Corporate Secretary shall be appointed to office pursuant to the decision of, be accountable to, and operate under the control of the Supervisory Board and will be administratively subordinate to the CEO and Chairman of the Sberbank Executive Board. The activities of the Corporate Secretary are governed by the Regulation on the Corporate Secretary approved by Sberbank Supervisory Board.

The Corporate Secretary's main objective is to ensure the implementation of the bank's policy as concerns corporate governance and to coordinate all actions during the bank's implementation of corporate governance processes and their improvements, which includes exercising functions of methodology, control, and monitoring over the conformity of individual processes to such a policy. The main functions of the corporate secretary include:

- ✓ Participation in the preparation and holding of general shareholders' meetings
- ✓ Supporting the activities of the Supervisory Board and Supervisory Board Committees
- ✓ Information disclosure and participation in implementing the disclosure policy
- ✓ Cooperation with shareholders and ensuring the implementation of procedures providing for the rights and legal interests of shareholders and monitoring their execution.

OLEG TSVETKOV

Corporate Secretary

Date of birth: 1 December, 1973

Place of birth: Sokol, Vologda Region

Citizenship: Russian Federation

Year of appointment: 2014

Education:

2000: Moscow State Law Academy, majoring in Legal Studies

2002: Candidate of Philological Sciences (English)

2008: The Business School of the University of Northumbria (UK), MBA

Work experience:

In 2006–2014, he held the office of corporate secretary of Severstal OJSC, including the period of 2011–2014 when he was the head of the Department of Corporate Relations in Severstal OJSC. Since January 2014, Head of the Corporate Secretary Service, Sberbank. On 12 September, 2014, appointed to the position of Corporate Secretary of Sberbank.

List of other nonexecutive professional commitments:

Board Chairman of the All-Russian Public Organisation the National Association of Corporate Secretaries

CONTROL AND REPORTING

ACCOUNTABILITY

The Supervisory Board is accountable to the General Shareholders' Meeting of Sberbank. The CEO, Chairman of the Board and the bank's Executive Board are accountable to the bank's Supervisory Board and the General Shareholders' Meeting.

DISCLOSURE OF INFORMATION ON THE BANK'S ACTIVITIES

Being a public company, we strive to increase the transparency of our activities by conducting an active open dialogue with our shareholders, investors, customers, and other key stakeholders.

Information is disclosed based on the principles of the completeness, reliability, availability, regularity, and timeliness of its disclosure.

Our executive bodies ensure the timeliness and preciseness of information disclosure on all material aspects of Sberbank's activities in the form of an annual report, annual and interim consolidated and separate financial reporting, and information to be disclosed by securities issuers and additional information about the bank. The Supervisory Board effects control over activities.

Channels of information disclosure are selected such as to provide for the unhindered access of stakeholders to the disclosed information. Access to public information (except for the cases set out by legislation) shall be provided by Sberbank free of charge and shall not require special procedures (obtaining passwords, registration or other technical restrictions) to read it.

The main channels of information disclosure are our official websites: www.sberbank.ru and www.sberbank.com, with disclosure effected both in Russian and English.

The volume, content, and means of information disclosure are determined with due regard to the requirements to maintain banking and commercial secrets, the safekeeping of other confidential information and information security requirements.

THE AUDIT COMMITTEE AND ITS ROLE

The main purpose of the Audit Committee is to ensure effective control of the Supervisory Board over the financial and economic activities of the bank.

The main objectives of the Audit Committee are to increase the effectiveness of the internal control, risk management and corporate management systems; ensure performance of management and control functions of the Supervisory Board regarding the functioning of these systems; and to exercise control over the reliability of accounting (financial) statements and the activities of external and internal audit.

The competencies of the Audit Committee include consideration (preparation of recommendations) in the following areas:

- ✓ Accounting (financial) statements
- ✓ Risk management, internal control, and corporate management
- ✓ Internal and external audit
- ✓ Counteraction of unscrupulous practices of Group employees and third parties as well as Consideration of the Audit Committee's opinion on the results of the financial and economic activity of Sberbank and other information and documents provided by the Audit Committee not related to the Results of the annual audit of the financial and economic activities of Sberbank
- ✓ Reviewing of information on cases of acceptance of increased risks by Sberbank management
- ✓ Elaboration of recommendations on changes and amendments to the Sberbank's internal documents regulating the activities of the Audit Commission
- ✓ Interacts with the Audit Commission, companies that provide auditing services to the Group, and the Internal Controls Office of Sberbank for elaboration of joint recommendations on material issues of financial and economic activities of Sberbank.

THE INTERNAL CONTROL AND RISK MANAGEMENT SYSTEM

The Internal Control System is the total system of bodies and areas of internal control that ensure compliance with the procedure for meeting and implementing objectives stipulated by the laws of the Russian Federation and the constitutional and internal documents of the Group.

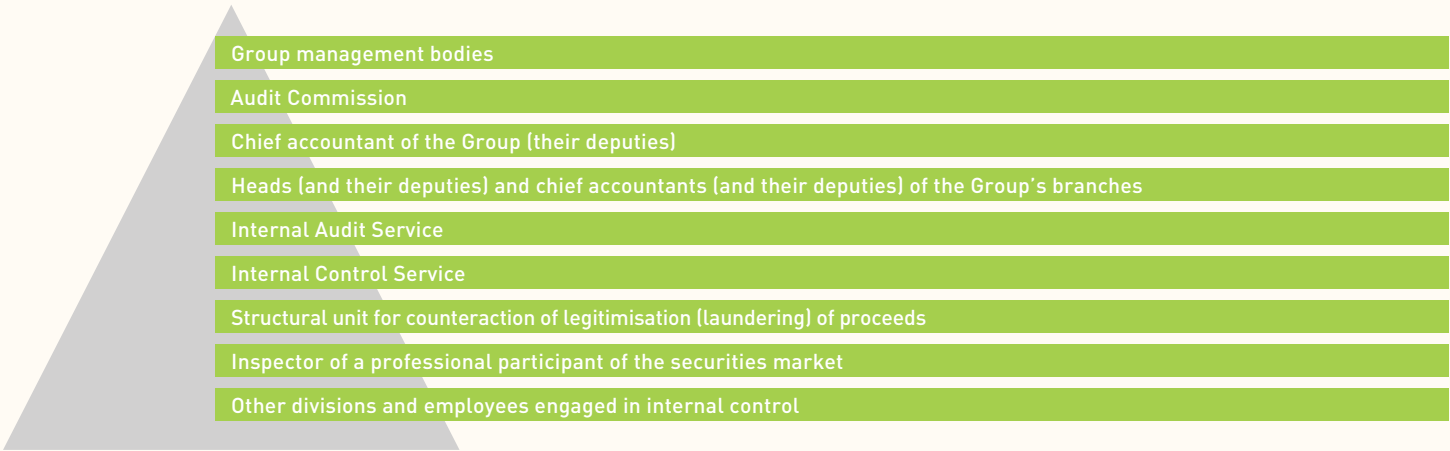
The Supervisory Board is responsible for defining the principles of and approaches to the organisation of internal control and risk management systems at the Group.

The executive bodies create, maintain the correct functioning of efficient internal control and risk management systems at Sberbank and are responsible for implementing Supervisory Board decisions in these areas.

The internal control and risk management systems of Sberbank are built by using Three Lines of Defense, a model where:

- ✓ The First Line is the business units responsible for the daily effective implementation of internal control and taking ongoing measures to manage risks associated with their activities. These measures are part of the everyday activities of the business units; therefore, they ensure continuous processes for identifying, assessing, and monitoring risks.
- ✓ The Second Line is the responsible business units of Sberbank that are in charge of elaborating and implementing the rules and procedures for internal control, determine risk management standards, guidelines, limits, and restrictions, monitor the risk levels, prepare reports, verify the conformity of risk level to risk appetite, advise, simulate, and aggregate the total risk profile.
- ✓ The Third Line is internal auditing tasked with the independent evaluation of the effectiveness of internal control and risk management systems.

THE STRUCTURE OF THE INTERNAL CONTROL SYSTEM



Organisation of the Risk Management Process

The risk management system we use is based on standards and tools recommended by the Basel Committee on Banking Supervision and conforms to the requirements of the world's best practices. The main objectives of the system of integrated risk management as an integral part of the process of bank management are the introduction of risk management standards, principles, limits, and restrictions, monitoring of the level of risk and the generation of reporting on risks, provisions for the level of conformity of assumed risks to risk appetite limits, and the modelling and creation of a common risk profile.

To ensure the effective planning and control of accepted risks, risk management functions are distributed among the Supervisory Board, the Chairman of the Executive Board, the Group CEO, the Executive Board, the supervisor of the Group's Risks Unit (Head of the Risk Management Office of the Bank), specialised Committees of the Executive Board, departments of the Risks Unit, and other business units of Sberbank and members of the Group.

The distribution of authority in the risk management system meets the requirements and recommendations of Bank of Russia and international financial institutions.

Internal Audit Service

The Internal Audit Service is intended to support Sberbank governing bodies in achieving goals, ensuring the efficiency and high performance of the Group's activities, and operating in compliance with the principles of stability of activities, independence, impartiality, fairness, objectivity, and professional competence. The Internal Audit Service is an independent structural unit that performs inspections of the entire system of internal control, is accountable to the Supervisory Board, and is administratively subordinate to the CEO, Chairman of the Executive Board. The Head of the Internal Audit Service is appointed to and removed from office by the Supervisory Board.

We shall take the necessary measures to ensure the independence and fairness of the Internal Audit Service and the seamless and efficient performance of the Internal Audit Service's functions.

The Internal Audit Service conducts audits in all areas of Sberbank's activities and monitors the effectiveness of measures taken by departments and governing bodies to reduce identified risks following audit results.

The Head of the Internal Audit Service provides the Supervisory Board with the Service's reports on the implementation of the yearly plan of audits as approved by the Supervisory Board and on the results of audits of the Group for the respective periods.

As part of its operations, the Internal Audit Service uses the best internal audit practices, including international fundamentals of professional internal audits.

OLEG CHISTYAKOV

Head of the Internal Audit Service

Date of birth: 22 October, 1964

Year of appointment: 2014

Education:

1986: Ordzhonikidze Moscow Management Institute, majoring in Engineering Economics

Work experience:

From 2009 to present, Director of the Internal Control, Inspection and Audit Administration of Sberbank. On 12 September, 2014, appointed to the office of Head of the Internal Audit Service of Sberbank.

Internal Control Service

To implement internal controls, assist the Sberbank management bodies in ensuring the compliance of Sberbank's activities to laws, regulations, and best practices, and to create and apply effective methods and mechanisms for managing the risk of losses incurred by Sberbank as a result of noncompliance with the laws of the Russian Federation, internal documents of the Bank, standards of self-regulatory organisations, and/or sanctions, and/or other enforcement measures on the part of the supervisory authorities, Sberbank established its Internal Control Service that includes the aggregate of structural business units and employees of the Group acting in accordance with the Regulations on the Internal Control Service.

The Internal Control Office acts in accordance with the principles of independence, continuity, objectivity, impartiality, and professional competence.

The Internal Control Service is accountable to the Supervisory Board, the CEO, Chairman of the Executive Board, and the Executive Board of Sberbank. At least once a year, the Internal Control Service provides reports on work completed to the Sberbank's executive bodies and (in certain cases) to the Supervisory Board.

LARISA ZALOMIKHINA

Head of the Internal Control Service

Year of Birth: 4 January, 1973

Year of appointment: 2014

Education:

1996: Moscow Institute of Physics and Technology (MIPT), majoring in Applied Mathematics and Physics

Work experience:

From 2004 to December 2012, CEO of Troika Dialog Financial Broker CJSC and part-time Deputy Director of Sberbank's Compliance Division. From December 2012 to present, Director of the Compliance Division. Since September 2014, Head of Sberbank's Internal Control Service.

Risk Management Service

To manage risks, Sberbank established the Risk Management Service, which is a combination of structural units and Committees of the Group whose main function is to manage risks.

To avoid any conflict of interest, Sberbank ensured the independence of business units responsible for risk management from business units engaged in operations/ transactions exposed to risks.

ALEXANDER A. VEDYAKHIN

Head of the Risk Management Service

Year of Birth: 20 February, 1977

Year of appointment: 2015

Education:

1999: Volgograd State Technical University, majoring in World Economics

2001: Candidate of Economic Sciences

2010: Academy of the National Economy under the Government of the Russian Federation, Bank MBA Programme

Work experience:

From 2008 to 2012, First Deputy Chairman of the Executive Board of SBERBANK PJSC (Ukraine). From December 2012 to July 2015, Executive Director of the Risk Department, Managing Director of Sberbank's Risk Unit Administration. From June 2015 to the present, Senior Vice President.

EXTERNAL AUDITOR

To verify and confirm the reliability of financial (accounting) statements compiled both under Russian and foreign standards, we employ an independent audit organisation with international recognition.

Our Bank holds an annual open tender to select an auditing organisation for the right to audit the Bank. Tender documentation for the open tender is approved by the tender committee and published on the official website of Sberbank. The auditing organisation selected following the open tender is approved by the Executive Board, the Audit Committee of the Supervisory Board, and the Supervisory Board and submitted for approval to the annual General Shareholders’ Meeting of the bank.

On 29 May, 2015, the Annual General Shareholders’ Meeting of Sberbank approved Ernst & Young LLC as Sberbank’s auditor for 2015 and the first quarter of 2016. In accordance with the audit agreement, Ernst & Young conducted the following types of operations:

- ✓ Auditing of the Sberbank’s annual accounting (financial) statements prepared in accordance with the requirements of Russian legislation for 2015
- ✓ Auditing of the Sberbank’s consolidated financial statements prepared in accordance with IFRS for 2015
- ✓ Reviews of the Sberbank’s interim consolidated financial statements for 6 and 9 months of 2015 and for the first quarter of 2016 prepared in accordance with IFRS
- ✓ Auditing of the Group’s interim accounting (financial) statements for 6 months of 2015 prepared in accordance with the requirements of Russian legislation

| THE GROUP’S EXTERNAL AUDIT EXPENSES BREAKDOWN

RUB mln	2014	2015
Audit of annual financial statements (including regulatory reporting, IFRS reporting, consolidated and separate financial statements)	174.3	245.4
Interim audits and reviews	100.9	116.6
Tax consulting services	66.8	94.4
Other consulting services (not related to taxation)	129.5	156.9

AUDIT COMMISSION

The Annual General Shareholders’ Meeting appoints the Audit Commission to monitor the financial and economic activities of the Sberbank.

In accordance with the Sberbank Articles of Association, the number of members of the Audit Commission is seven. Members of the Audit Commission may not simultaneously act as members of the Supervisory Board or hold other positions in the Sberbank’s governing bodies.

On 29 May, 2015, the Annual General Shareholders’ Meeting of Sberbank elected 3 external representatives and 4 representatives of Sberbank to the Audit Commission.

Role in the Audit Commission	Full name	Administrative position at the main place of work
Chairman of the Audit Commission	Galina A. Golubenkova	First Deputy Director of the Internal Audit Department of Bank of Russia
Member of the Audit Commission	Natalya P. Borodina	Deputy Director of the Internal Audit Department of Bank of Russia
Member of the Audit Commission	Vladimir M. Volkov	Deputy Chief Accountant, Bank of Russia – Deputy Director of the Accounting and Reporting Department
Member of the Audit Commission	Tatyana A. Domanskaya	Head of the Division for Interaction with External Controlling Authorities of the Internal Audit Department of Sberbank
Member of the Audit Commission	Yulia Yu. Isakhanova	Senior Managing Director – Head of the Financial Control Directorate of the Finance Department of Sberbank
Member of the Audit Commission	Alexey Ye. Minenko	Managing Director – Deputy Chief Accountant, Deputy Director of the Accounting and Reporting Department of Sberbank
Member of the Audit Commission	Natalya V. Revina	Senior Managing Director – Director of the Integrated Risk Management Department of Sberbank

EXECUTIVE BODIES

The Audit Commission performs year-end inspections (audits) of the financial and business activities of Sberbank, or at any other time as requested by the bodies and persons set forth in Federal Law No. 208-FZ dated 26 December, 1995, On Joint-Stock Companies, the Articles of Association of Sberbank, and the Regulation on the Audit Commission of Sberbank.

The Audit Commission evaluates the accuracy of data included in the annual report and contained in the annual accounting (financial) statements of Sberbank, may call for the convening of an extraordinary General Shareholders' Meeting or meetings of the Sberbank's Supervisory Board when any breaches in financial and economic activities are revealed during the audit, or a real threat to the bank's (or depositors') interests requires the adoption of resolutions on matters that fall within the competence of such bodies of Sberbank.

Payment of remuneration to members of the Audit Commission of the bank and the compensation of expenses connected with their participation in the operations of this control body shall be made in the amount and under the procedure established by the Regulations on the Audit Commission, which is an internal document of Sberbank approved by the annual General Shareholders' Meeting on 6 June, 2014. For the performance of their duties, the Chairman of the Audit Commission shall be paid remuneration in the amount of RUB 1 million, and the members of the Audit Commission shall be paid 750,000 roubles each.

The total remuneration paid to the members of the Audit Commission in 2015 in connection with their participation in Sberbank's controlling body amounted to RUB 2.5 million.

The Executive Board of Sberbank is a collective executive governing body headed by the CEO, Chairman of the Executive Board, which is responsible for the general management of the Sberbank's current activities.

At least once a year, the Executive Board will provide the Supervisory Board with a report on the progress of the bank's implementation of its strategies and the execution of the decisions of the Supervisory Board and General Shareholders' Meeting, and on a quarterly basis it will provide a report on the bank's financial and economic performance and the level of risks assumed by Sberbank.

The main principles of the activities of the Board are professionalism, reasonableness, fair practice, prudence, and timeliness.

Executive Board members are appointed to and dismissed from office pursuant to the decision of the Supervisory Board.

Candidates for membership in the Executive Board shall comply with the requirements of the legislation of the Russian Federation made for such persons (qualification, business, and personal reputation) and enjoy the trust of the members of the Supervisory Board. The term of office of members of the Executive Board is unlimited.

The CEO, Chairman of the Executive Board of the bank heads the Executive Board and manages its activities, manages the operations of the bank, ensures the implementation of decisions of the Supervisory Board and General Shareholders' Meetings, organises the work of the Executive Board, distributes obligations among members of the Executive Board, and heads the meetings of the Executive Board.

The CEO, Chairman of the Executive Board is elected at the General Shareholders' Meeting for 4 years.

The CEO, Chairman of the Executive Board is responsible for organising the system for the preparation and reliability of the bank's accounting (financial) statements, the timely disclosure of information, and providing its shareholders, Sberbank customers, and other interested parties with information about the Sberbank's activities.

CONTINUITY PLANNING

Together with the administration of the HR department of Sberbank, the HR and Remuneration Committee of the Supervisory Board assumes direct responsibility for timely preparation of continuity plans, the precise definition of management HR requirements and development of existing competencies, and searching for and engaging the most appropriate candidates, primarily from internal resources, for which purpose a staff reserve is formed.

During continuity planning, the HR and Remuneration Committee considers the results of the regular performance assessment of each of the Executive Board members taking into consideration the performance of Sberbank in general.

SBERBANK EXECUTIVE BOARD MEMBERS¹

HERMAN GREF

CEO, Chairman of the Executive Board

Member of the Supervisory Board

Date of birth: 8 February, 1964
Place of birth: Panfilovo village, Irtysh District, Pavlodar Region, Kazakh SSR
Citizenship: Russian Federation
Year membership on the Executive Board was attained: 2007

Education:

1990: Dostoevsky Omsk State University, majoring in Legal Studies
1993: Postgraduate education at the Faculty of Law of Saint Petersburg State University
1985: Candidate of Economic Sciences

Work experience:²

From November 2007 to the present, CEO, Chairman of the Executive Board of Sberbank. In 2000–2007, Minister of Economic Development and Trade of the Russian Federation.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Yandex N.V. Member of Supervisory Boards at the Autonomous Nonprofit Organisation Centre for Expert Reviews on Issues of the World Trade Organisation, National Research University – Higher School of Economics, and Autonomous Nonprofit Organisation Agency of Strategic Initiatives to Promote New Projects. Chairman of the Supervisory Board for SBERBANK PJSC (Ukraine). Chairman of the Board of Directors at DenizBank A.Ş. (Turkey)

MAXIM POLETAEV

First Deputy Chairman of the Executive Board

Date of birth: 6 April, 1971
Place of birth: Yaroslavl
Citizenship: Russian Federation
Year membership on the Executive Board was attained: 2013

Education:

1993: Yaroslavl State University with a degree in Accounting, Control, and Analysis of Business Activity

Work experience:

From October 2009 to June 2013, Vice President – Chairman of the Moscow Bank of Sberbank. In June 2013, he was appointed First Deputy Chairman of the Executive Board of Sberbank. He supervises and coordinates the work of the Regional Development Unit, the Retail Business Unit, the Corporate Business Unit, and the CIB Unit.

List of other nonexecutive professional commitments:

Chairman of the Board of Directors at Sberbank Capital LLC, Sberbank Real Estate Centre LLC, Russian Auction House JSC. Chairman of the Supervisory Board at Sberbank Asset Management JSC. Member of the Board of Directors at Grand Baikal LLC.

LEV KHASIS

First Deputy Chairman of the Executive Board

Date of birth: 5 June, 1966
Place of birth: Kuibyshev (now Samara)
Citizenship: Russian Federation
Year membership on the Executive Board was attained: 2013

Education:

1989: Korolev Kuibyshev Aviation Institute of the Order of the Red Banner of Labour, majoring in Aircraft Engineering
In 1995: Institute of Professional Development and Advanced Training in Finance and Banking under the Academy of Finance of the Government of the Russian Federation, majoring in Banking
2001: Saint Petersburg University of the Ministry of Internal Affairs of Russia, majoring in Law
2007: Institute for Systems Analysis in the Russian Academy of Sciences, Doctor of Economics

Work experience:

From May 2010 to June 2011, held the office of Chief Executive Officer at PEREKRESTOK Trading House JSC. From October 2011 to August 2013, Senior Vice President, Wal-Mart Stores Inc. In September 2013, appointed as First Deputy Chairman of the Executive Board at Sberbank. Supervises and coordinates the work of the Information Technologies Unit, the Operations Unit, the Administrative Unit, the Digital Business Development Directorate, the Promising Lines of Business Centre, and a number of other areas of Sberbank.

List of other nonexecutive professional commitments:

Chairman of the Boards of Directors at Loyalty Programmes Centre JSC and Sberbank – Automated System for Trading CJSC. Member of the Boards of Directors at PS Yandex.Money LLC and Jet.com, Inc.

OLEG GANEEV

Deputy Chairman of the Executive Board

Date of birth: 5 October, 1972
Place of birth: Ufa, Republic of Bashkortostan
Citizenship: Russian Federation
Year membership on the Executive Board was attained: 2014

Education:

1995: Ufa State Aviation Technical University, majoring in Automated Design Engineering Systems
1997: Bashkir State University, majoring in Economic and Social Planning
2010: Academy of the National Economy under the Government of the Russian Federation, MBA, Strategic Management and Marketing
2014: London Business School, Management and Finance for Bankers

Work experience:

From October 2008 to January 2011, Head of Office, and then Deputy Chairman of the Executive Board of Rus-Bank PJSC. From February 2011 to September 2012, Manager at Sberbank Bashkir Branch No. 8598. From September 2012 to November 2014, Vice President, Senior Vice President of Sberbank. In November 2014, appointed to office as the First Deputy Chairman of the Executive Board. Currently holds the position of Head of the CIB Unit.

List of other nonexecutive professional commitments:

None.

¹. As of 31 December, 2015.

². Here and elsewhere, information on the Executive Board member's professional activity over the last five years is presented.

SERGEY GORKOV**Deputy Chairman of the Executive Board**

Date of birth: 1 December, 1968
 Place of birth: Gay, Orenburg Region
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2010
 Year Executive Board membership was terminated: 2016

Education:

1994: Academy of the Federal Security Service of the Russian Federation, majoring in Legal Studies
 2002: Plekhanov Russian Economic Academy, majoring in Finance & Credit.

Work experience:

From 2008 to 2010, held office as the Director of the HR Policy Department, Sberbank of Russia. From October 2010 to February 2016, Member of the Executive Board, Deputy Chairman of the Executive Board of Sberbank. On 29 February, 2016, pursuant to the resolution of the Supervisory Board, removed from the Executive Board due to the transition to another job (Appointed as Chairman of the State Corporation Bank for Development and Foreign Economic Affairs (Vnesheconombank), pursuant to a Decree of the President of the Russian Federation).

List of other nonexecutive professional commitments:

Chairman of the Supervisory Board at DenizBank AG (Vienna, Austria). Chairman of the Board of Directors at SB Sberbank JSC (Kazakhstan). Deputy Chairman of the Supervisory Boards at SBERBANK PJSC (Ukraine), BPS-Sberbank PJSC (Republic of Belarus), and Sberbank Europe AG. Member of the Board of Directors at DenizBank A.Ş. (Turkey).

BELLA ZLATKIS**Deputy Chairman of the Executive Board**

Date of birth: 5 July, 1948
 Place of birth: Moscow
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2004

Education:

1970: Moscow Financial Institute, majoring in Finance & Credit
 1978: Postgraduate education of the All-Union Correspondence Financial and Economic Institute, Candidate of Economic Sciences

Work experience:

From 2004 to the present, Deputy Chairman of the Executive Board of Sberbank. Supervises and coordinates the work of the GR, Legal Issues, Compliance and Subsidiaries Unit and the Internal Audit Directorate.

List of other nonexecutive professional commitments:

Chairman of the Supervisory Board of National Settlement Depository Nonbank Lending Institution (CJSC NSD). Member of the Supervisory Board of the Moscow Stock Exchange MICEX-RTS PJSC

STANISLAV KUZNETSOV**Deputy Chairman of the Executive Board**

Date of birth: 25 July, 1962
 Place of birth: Leipzig (GDR)
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2008

Education:

1984: Military Institute with a Military and Political Specialisation including the study of foreign languages (German and Czech)
 2002: Legal Institute of the Ministry of Internal Affairs of Russia, majoring in Law
 2005: Cand.Sc. (Law)

Work experience:

From January 2008 to October 2010, Senior Vice President of Sberbank. In October 2010, appointed to the office of First Deputy Chairman of the Executive Board. Supervises the work of the Administrative Unit, the Administrative Support Centre, and the Moscow Regional Directorate of the Cashflow Management Centre. Coordinates the work of Sberbank's security subdivisions.

List of other nonexecutive professional commitments:

Chairman of the Boards of Directors at Krasnaya Polyana NJSC, Rublevo-Arkhangelskoe JSC, and Savings Capital LLC. Member of the Board of Directors at Sberbank – Automated System for Trading CJSC

VADIM KULIK**Deputy Chairman of the Executive Board**

Date of birth: 14 August, 1972
 Place of birth: Nalchik, Kabardino-Balkar ASSR
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2013

Education:

1995: Mendeleyev Russian Chemical Engineering University, majoring in Chemical Technology of Materials in Modern Power Engineering

Work experience:

From February 2010 to May 2013, held the offices of Director of the Risks Department, Vice President – Director of the Risks Department, Senior Vice President of Sberbank. In May 2013, appointed to the office of First Deputy Chairman of the Executive Board. Supervises and coordinates the work of the Information Technologies Unit, the Risks Unit, the IT Support Centre, and a number of other departments.

List of other nonexecutive professional commitments:

Chairman of the Board of Directors at Sberbank Technologies JSC. Member of the Board of Directors at Sberbank Leasing JSC, DenizBank A.Ş. (Turkey)

ALEXANDER MOROZOV**Deputy Chairman of the Executive Board**

Date of birth: 9 March, 1969
 Place of birth: Moscow
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2008

Education:

1995: Lomonosov Moscow State University, majoring in Economic Theory
 2004: Harvard Business School, MBA Programme

Work experience:

In 2009–2012, Vice President – Director of the Finance Department of Sberbank. Since January 2013, Deputy Chairman of the Executive Board. Supervises and coordinates the work of the Finance Unit.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Cetelem Bank LLC, DenizBank A.Ş. (Turkey), Sberbank (Switzerland) AG. Member of the Supervisory Board at SBERBANK PJSC (Ukraine), Sberbank Europe AG

ALEXANDER TORBAKHOV**Deputy Chairman of the Executive Board**

Date of birth: 22 August, 1971
 Place of birth: Moscow
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2010

Education:

1994: Ordzhonikidze Moscow Aviation Institute, majoring in Gyroscopic Instruments and Systems of Orientation, Navigation, and Stabilisation
 1997: Moscow State Institute of International Relations, majoring in International Economic Relations
 2005: The University of Chicago (USA), MBA Programme

Work experience:

From 2010 to present, Deputy Chairman of the Executive Board of Sberbank. Supervises the work of the Retail Business Unit.

List of other nonexecutive professional commitments:

Chairman of the Boards of Directors at Cetelem Bank LLC, Universal Electronic Card JSC, PS Yandex.Money LLC. Deputy Chairman of the Boards of Directors at Loyalty Programmes Centre JSC and Sberbank Real Estate Centre LLC

ALEXANDER BAZAROV**Senior Vice President**

Date of birth: 5 August, 1962
 Place of birth: Kiev, Ukrainian SSR
 Citizenship: Ukraine
 Year membership on the Executive Board was attained: 2008

Education:

1984: Shevchenko Kyiv State University, majoring in Political Economy
 1987: Postgraduate education at Taras Shevchenko Kyiv State University, Candidate of Economic Sciences
 1995: University of Pennsylvania (USA), MBA Programme

Work experience:

From May 2009 to December 2012, Vice President – Director of the Major Customer Relations Department of Sberbank. From January 2013 to present, Senior Vice President. Holds the position of Co-head of the CIB Unit.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Sberbank (Switzerland) AG. Member of the Supervisory Board for SBERBANK PJSC (Ukraine)

NIKOLAY TSEKHOMSKIY**Senior Vice President – Director of the Finance Department**

Date of birth: 21 March, 1974
 Place of birth: Leningrad
 Citizenship: Russian Federation
 Year membership on the Executive Board was attained: 2013
 Year Executive Board membership was terminated: 2016

Education:

1996: Saint Petersburg State Academy of Engineering and Economics, majoring in Economics and Management in Engineering
 1999: Saint Petersburg State Engineering and Economic Academy, Candidate of Economic Sciences

Work experience:

In 2009–2011, Chairman of the Executive Board of Barclays Bank LLC. From November 2012, Advisor to the CEO of Sberbank. From January 2013 to July 2014, Vice President – Director of the Finance Department at Sberbank. From July 2014 to February 2016, Senior Vice President – Director of the Finance Department. On February 29, 2016, pursuant to the resolution of the Supervisory Board, removed from the Executive Board due to the transition to another job.

List of other nonexecutive professional commitments:

Member of the Board of Directors at Sberbank – Automated System for Trading CJSC, Government Defense Order Automated Trading System LLC, Loyalty Programmes Centre JSC, Sberbank Investments LLC, Insurance Company Sberbank Life Insurance LLC, Insurance Company Sberbank Insurance LLC, Sberbank Insurance Broker LLC, Sberbank Leasing JSC, PS Yandex.Money LLC, and Sberbank Real Estate Centre LLC

CHANGES IN EXECUTIVE BOARD MEMBERSHIP

During the period from 1 January to 31 December, 2015, the following changes occurred in the structure of the Executive Board of Sberbank.

- ✓ In accordance with the resolution of the Supervisory Board dated 20 March, 2015, Denis A. Bugrov, Senior Vice President, was removed from the Executive Board, and his powers were terminated.

During the period from 1 January to 31 March, 2016, the following changes occurred in the structure of the Executive Board of Sberbank.

- ✓ In accordance with the resolution of the Supervisory Board dated 29 February, 2016, Sergey N. Gorkov, Deputy Chairman of the Executive Board, was removed from the Executive Board, and his powers were terminated;
- ✓ In accordance with the resolution of the Supervisory Board dated 29 February, 2016, Nikolay V. Tsekhomskiy, Director of the Finance Department, was removed from the Executive Board, and his powers were terminated.

INFORMATION ON THE OWNERSHIP OF SBERBANK SHARES

Full name	Share in the authorised capital (%)	Percentage of ordinary shares (%)	Information on the settlement of transactions with Bank shares in 2015
Herman Gref	0.0031	0.003	No transactions settled
Maxim Poletaev	0.0001	–	No transactions settled
Lev Khasis	0.0012	0.0013	Settled a transaction for the sale of ordinary shares [09.29.2015]
Oleg Ganeev	–	–	No transactions settled
Sergey Gorkov	–	–	No transactions settled
Bella Zlatkis	0.0004	0.0005	No transactions settled
Stanislav Kuznetsov	–	–	No transactions settled
Vadim Kulik	–	–	No transactions settled
Alexander Morozov	0.0014	0.0009	No transactions settled
Alexander Torbakhov	–	–	No transactions settled
Alexander Bazarov	0.0022	0.0023	No transactions settled
Nikolay Tsekhomskiy	0.00007	0.00007	No transactions settled
TOTAL (cumulative percentage of shares)	0.008	0.008	

REMUNERATION FOR THE SUPERVISORY BOARD AND MANAGEMENT

ROLE OF THE HR AND REMUNERATION COMMITTEE

In terms of forming an effective system of remuneration of the members of Supervisory Board, executive bodies, and other Sberbank’s employees, the main functions of the HR and Remuneration Committee are the following:

- ✓ Development and periodic reviewing of the bank’s remuneration policy regarding the members of the Supervisory Board, executive bodies, and other Sberbank’s employees
- ✓ Development of criteria for determining the amount of remuneration of members of the Supervisory Board and executive bodies of the bank and development of criteria for the programme of long-term remuneration of members of executive bodies of the bank
- ✓ Analysis and elaboration of recommendations to the Supervisory Board regarding each constituent part of remuneration of the members of executive bodies and other employees of Sberbank as well as their proportion
- ✓ Preliminary review of the work of the executive bodies and other employees of the Sberbank according to the results of the year in accordance with the criteria included in the remuneration policy and preparation of proposals to the Supervisory Board as to the amount of adjustment of remuneration under the programme of long-term remuneration of the members of executive bodies of the Bank
- ✓ Elaboration of proposals on determination of material conditions of the agreements entered into with the members of executive bodies of the bank, including the conditions of their early termination (including all material obligations of the bank and the conditions of their provision)
- ✓ Elaboration of proposals on selecting an independent consultant on the issues of remuneration of the members of executive bodies and other employees of Sberbank
- ✓ Elaboration of recommendations to the Supervisory Board on determining the amount of remuneration and principles for giving bonuses to the Corporate Secretary of Sberbank and preliminary evaluation of the performance of the Corporate Secretary according to the results of the year.

REMUNERATION FOR MEMBERS OF THE SUPERVISORY BOARD

Payment of remuneration to members of the Supervisory Board and compensation of expenses connected with their participation in the work of the Supervisory Board shall be made in the amount and according to the procedure established by the Group's internal document—that is, the Regulation on Remuneration and Compensation to the Members of the Supervisory Board approved by the annual General Shareholders' Meeting on 31 May, 2013.

Remuneration consists of a base part (RUB 4.2 million) paid to a member of the Supervisory Board, provided that they have participated in at least half of the Supervisory Board meetings held in the accounting period, and additional remuneration for work in Committees (+10 percent of the base remuneration), for chairing Committees and fulfilment of duties of a senior independent director (+20 percent of the base remuneration), or for chairing the Supervisory Board (+30 percent of the base remuneration).

The total amount of remuneration paid to members of the Supervisory Board for 2015 for their participation in the management body of the Group was RUB 59.9 million (in 2014, RUB 53.0), including:

- ✓ RUB 52.76 million as base remuneration (13 persons)
- ✓ RUB 1.7 million for performing the duties of Committee chairpersons (RUB 840,000 to each chairperson)
- ✓ RUB 5.5 million for performing the duties of Committee members (RUB 420,000 to each member)

Operating expenses connected with the performance of functions of board members were compensated to one member of the Supervisory Board in the amount of RUB 35,300.

Information about payment of remuneration and compensation of expenses in 2015 is provided for members of the Supervisory Board who expressed their consent in writing during the specified period to receive compensation and who submitted written requests for the compensation of expenses to Sberbank.

The total sum of remuneration received by members of the Supervisory Board in 2014 for their participation in this Sberbank's governing body amounted to RUB 53 million:

- ✓ RUB 46.2 million as base remuneration (11 persons)
- ✓ RUB 1.7 roubles for performance of the duties of two Committee chairpersons (RUB 840,000 to each chairperson)
- ✓ RUB 4.2 million for performance of the duties of the members of the Committees (10 persons, 420,000 roubles to each person)

Operating expenses connected with the performance of the functions of board members were compensated to three members of the Supervisory Board in the amount of RUB 879,000.

Information on the payment of remuneration and compensation of expenses in 2014 is provided with regard to the members of the Supervisory Board who expressed their consent in writing in 2014 to receive compensation and who submitted written requests to the Bank for compensation of expenses.

REMUNERATIONS FOR EXECUTIVE BOARD MEMBERS

For the year ended 31 December 2015, regular remuneration of the members of the Executive Board comprised salaries and bonuses totalling RUB 2.5 billion (for the year ended 31 December 2014: RUB 2.8 billion) including:

- ✓ Fixed remuneration (official salary, paid leave, payment of average earnings during business trips) in the amount of RUB 0.64 bln (RUB 0.65 bln in 2014)
- ✓ Variable remuneration (bonuses, remuneration based on year-end results) in the amount of RUB 1.85 bln (for 2014, RUB 2.14 bln)
- ✓ Remuneration paid to Executive Board members for performing the functions of Supervisory Board members amounted to RUB 0.01 bln (for 2014, RUB 0.01 bln)

The amount of all payments accrued to the members of the Executive Board includes salaries, bonuses, payment of annual leave and sick leave, payment of average earnings during business trips, social payments, payments for years of service, remuneration at the end of the year, remuneration for participation in the activities of the Supervisory Board, and other payments established by the laws and regulations of Sberbank. The annual remuneration is reflected for the period used in the performance evaluation.

ASSESSMENT OF THE CORPORATE GOVERNANCE SYSTEM

Sberbank's Policy for the remuneration of Executive Board members provides for the dependence of remuneration on the results of the Group's performance and each Executive Board member's personal contribution to the achievement of such a result through the use of tools for regular performance evaluations through a system of balanced performance indicators. The wage structure includes fixed and variable components. Variable remuneration is directly associated with the results of the achievement and overachievement of a set of key performance indicators: individual and group, financial and nonfinancial. The basic elements of the variable component of remuneration are quarterly bonuses and remuneration depending on performance results for the year.

Also in 2015 the Bank introduced a long term cash settled motivation programme for the key management personnel with share-based features. The programme was designed within a framework of risk oriented remuneration and was in full compliance with the requirements of the Bank of Russia on the remuneration system for Russian credit institutions. The programme parameters are as follows:

- ✓ 40% of the variable part of the annual compensation is deferred and is paid in 3 annual installments;
- ✓ payments to the participants of the programme are contingent upon the Bank's positive performance, e.g. if the Bank has a loss in any of the 3 years following the year in which the award was granted, payments to the participants are forfeited for that particular year;
- ✓ awards may be fully or partially forfeited, for example, due to individual misconduct (including a breach of regulations) or termination for cause and also due to negative individual contributions to the Bank's results.

For the year ended 31 December 2015 share-based long term compensation amounted to RUB 0.6 billion (for the year ended 31 December 2014: nil).

Share-based long term compensation is payable in cash, and is remeasured to fair value at each reporting date based on the average value of the Bank's ordinary shares for the preceding 6 months. The related obligations are included in other financial liabilities in the consolidated statement of financial position until paid.

Even before the formalisation of Russian corporate governance standards, we began to introduce independent directors to the Supervisory Board, built a system of internal control, effectively distributed competences between governing bodies, formed the Sberbank's Mid-Term Development Strategy, sought to provide shareholders with the most comfortable conditions for participation in the shareholders' meetings and the opportunity to receive annual dividends on placed shares, put into practice international accounting standards, and observed the principle of maximum transparency and openness of its activities for shareholders, investors, and other interested parties. One of the incentives for the development of standards and practices of corporate governance was the 1997 release of Sberbank's shares to the organised Russian stock market, which were already included in the First Level Quotation List at that time.

In June 2002, the General Shareholders' Meeting of Sberbank approved Sberbank's first Corporate Governance Code that signified the Group's transition to a higher level of development of existing corporate relations.

When implementing our mission (providing banking services of high quality and reliability, ensuring sustainable functioning of the Russian banking system, preserving household deposits, and investing them in the real sector of the Russian economy), we strictly followed the principles laid down in our own Code and at the same time improved some of its components in accordance with the best practices.

In 2014, after Bank of Russia approved the new Corporate Governance Code recommended for use by joint-stock companies and included Sberbank—at the suggestion of the Ministry of Economic Development of Russia (Order of the First Deputy Prime Minister of the Russian Federation I. I. Shuvalov No. ISh-P13-5859 dated 31 June, 2014)—in the list of 13 state-owned companies which should implement the provisions of the new Corporate Governance Code as a priority, we held a comprehensive assessment of all the components of the corporate governance system for compliance with the recommendations of the Corporate Governance Code of Bank of Russia and the Basel Committee on Banking Supervision and to the requirements of the MICEX Stock Exchange JSC Listing Rules for an issuer's corporate governance.

During the process of analysis, all Code recommendations were divided into several groups:

- ✓ Those that Sberbank observes in full (more that 2/3 of recommendations)
- ✓ Those which need to be implemented
- ✓ Open-ended questions that require the preparation of proposals/additional discussion about the possibility of their implementation (due to the specifics of Sberbank's activity)

The central components of effective corporate governance have been defined, and appropriate proposals for their implementation in Sberbank's processes have been formulated.

The following implementation tools have been defined:

- ✓ The Articles of Association and internal documents of Sberbank
- ✓ A detailed plan for the implementation of the Code's provisions (Sberbank's roadmap)

A key role was assigned to the development of an updated version of Sberbank's Corporate Governance Code, whose creation is primarily aimed at the aspiration to describe the current system of corporate governance and establish a mechanism for its further improvement for the purpose of ensuring the rights and legitimate interests of shareholders, increasing business performance, increasing the transparency and investment attractiveness of Sberbank, and preserving and increasing equity capital.

Sberbank's Corporate Governance Code was approved by the Supervisory Board on 20 April, 2015.

The Code included:

- ✓ Wording of the main approaches, requirements, and principles of functioning of Sberbank's corporate governance system
- ✓ Definitions of the role and functions of each element of Sberbank's corporate governance system and the basic principles of the remuneration system of Sberbank's management
- ✓ Disclosure of the standards of Sberbank's policy regarding the potential and current conflicts of interest, confidential and insider information, and anticorruption activities

- ✓ Definitions of the elements of the internal control system and risk management system and definitions of the internal and external communication policy regarding risks

- ✓ Sberbank's openness defined as a key factor in strengthening trust toward Sberbank on the part of investors, shareholders, and other stakeholders.

For us, the commitment to ethical standards is also important, and constitutes part of our corporate culture.

For the purpose of establishing unified Group standards in terms of ethics and business conduct, on 29 October, 2015, the Supervisory Board approved a new Sberbank Code of Corporate Ethics with the most important rules and principles of conducting business: honest work, a respectful attitude toward customers and colleagues, strict compliance with security rules, and zero tolerance for corruption.

The Code provisions take into account the requirements of Russian and international law, the recommendations of the Basel Committee on Banking Supervision, and the best practices in the field of corporate ethics.

The Code is mandatory for all employees and members of Sberbank's management bodies. Furthermore, the Code applies to all companies of the Group, regardless of their location.

Additional responsibility shall be allocated to Sberbank's executives. Executives of all levels need to show adherence to the principles of ethics by personal example and to maintain a culture of behaviour which enables employees to know and understand their responsibilities and speak freely about their doubts and problems.

» FURTHER PLANS FOR IMPROVING THE BANK'S CORPORATE GOVERNANCE

REFORM OF CORPORATE ACTIONS

Processes carried out by Sberbank in relation to rights vested in shares (corporate activities) exercised by its shareholders are being reformed by means of their unification, the implementation of electronic procedures, cascade usage, and replacement of paperwork with e-documents to provide accessible, secure, and transparent conditions for shareholders to exercise their rights, mitigate risks, and reduce the costs of the bank. The new system for corporate actions will be based on accepted modern international standards.

IMPLEMENTATION OF THE SBERBANK CODE OF CORPORATE ETHICS

A key aspect of proper corporate governance is a strong corporate culture that ensures the execution of appropriate standards, employee encouragement, and responsible behaviour. Based on this knowledge, we plan to implement a new Sberbank Code of Corporate Ethics based on our mission and values and intended to guarantee fair and just relations with colleagues, clients, partners, and investors and to comply with the laws and internal policies of Sberbank.

THE CASCADING OF SBERBANK'S CORPORATE GOVERNANCE STANDARDS AND CORPORATE ETHICS TO CONTROLLED COMPANIES

The Bank aims for the balanced development of its controlled companies, so it strives to implement modern standards of corporate governance and ethics into their practices. The implementation of such standards will be carried out with due regard for the nature, scale, and complications of risks that controlled companies are subject to.

In the short term, we plan to develop and implement new IT solutions in the activities of collegial bodies, create an automated platform for the corporate relations of the Group, formalise procedures for the nomination and succession of members of the Supervisory Board, and approve and implement Sberbank's new information policy.

SBERBANK IN THE MOSCOW STOCK EXCHANGE'S ANNUAL REPORT COMPETITION

2010: second place in the category Best Information Disclosure in an Annual Report by Companies with Capitalisation Exceeding RUB 100 billion

2011: third place in the category Best Information Disclosure in an Annual Report by Companies with Capitalisation Exceeding RUB 100 billion, also the winner for Best Interactive Report

2013: the winner in the category Best Annual Report in the Financial Sector of the Economy

¹ Bank of Letter Russia No. 14-T dated February 6, 2012, On Recommendations of the Basel Committee on Banking Supervision "Principles for Enhancing Corporate Governance."

» DEVELOPMENT OF THE BANK'S CORPORATE MANAGEMENT

In 2015, Sberbank paid special attention to improving the system of internal corporate and external communications and the development of corporate traditions.

CORPORATE GOVERNANCE CONFERENCE

For the second time, Sberbank held a Conference on corporate governance organised with the participation of the Association of Independent Directors (Russia), the Institute of Directors (Great Britain), and the Transparency International – Russia Centre.

Members of the Sberbank Supervisory Board, the Executive Board, directors of departments, CEOs of subsidiaries of the Group, and representatives of Bank of Russia took part in the Conference. Leading Russian and foreign experts in the field of corporate governance and representatives of Sberbank spoke at the Conference.

The programme of the Conference included complex issues on Ethics and Business Conduct, development of the corporate culture of companies, Russian and international practices in this field, and topical issues on corporate governance practices (new recommendations of the Basel Committee on Banking Supervision on fundamentals of credit institutions' corporate governance; the role of the Board of directors in the management of multinational companies and companies with multidivisional structure of subsidiaries; issues in strategic planning and organisation of corporate governance in public and nonpublic companies and holdings; plans for further development of corporate governance at Sberbank).

STATEMENT ON COMPLIANCE WITH THE CORPORATE GOVERNANCE CODE

DIRECTOR OF THE YEAR

Also, for the second time, we became a strategic partner and an active member in annual events related to corporate governance, including the Fifth All-Russian Corporate Governance Forum and the Tenth Anniversary National Award for Director of the Year. The event organisers have traditionally been the Association of Independent Directors and the Russian Union of Industrialists and Entrepreneurs, in cooperation with the audit company PwC and the Moscow Stock Exchange.

The National Award for Director of the Year started in 2006 and is intended to acknowledge the personal contribution of directors to the development of corporate governance. Winners and holders of the Award are determined by an Expert Council comprised of representatives of regulators, business, investment communities, and Award winners from previous years.

A special session on corporate governance titled Improving Management Efficiency and the Investment Appeal of Russian Companies was held as part of the Forum supported by Sberbank.

SBERBANK AT DIRECTOR OF THE YEAR

2013: B. Zlatkis, Deputy Chairman of the Executive Board of Sberbank, won the "Executive Board Chairman" category (as Chairman of the Supervisory Board of NSD CJSC)

2014: V. Mau, Independent Director of the Supervisory Board of Sberbank, won in the Independent Director category

2015: N. Wells, Independent Director of the Supervisory Board of Sberbank, won the Independent Director category

Being a public company whose securities are freely traded on the Moscow Stock Exchange, we followed the principles and recommendations of the Corporate Governance Code of Bank of Russia in 2015.

The Recommendations for the Preparation of the Report on Compliance with the Principles and Recommendations set forth in the Corporate Governance Code (appendix to Bank of Russia Letter No. IN-06-52/8 dated 17 February, 2016) were used as the methodology in accordance with which the Bank assessed its compliance with corporate governance principles.



[Read the Report on Compliance with the Corporate Governance Code of Bank of Russia on page 298](#)

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FOR SHAREHOLDERS AND INVESTORS

SHARE CAPITAL STRUCTURE, EXCHANGES, AND QUOTATIONS

SHAREHOLDER STRUCTURE: CHANGES OVER 3 YEARS

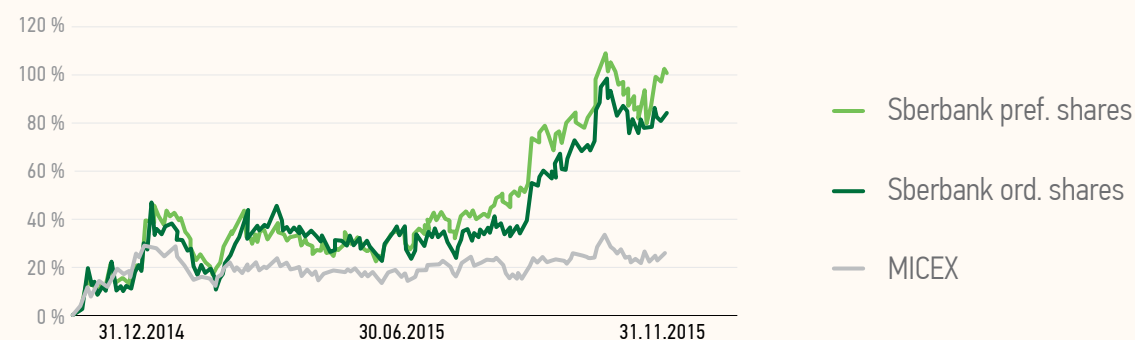
Share in the Authorised Capital	2013	2014	2015	Changes (2015-2014)
Strategic Investor (Bank of Russia)	50,0% +1	50,0 % +1	50,0 % +1	-
Nonresident Corporate Investors	44,00%	43,52 %	43,26 %	-0,26 p.p.
Resident Corporate Investors	2,30%	2,52 %	2,83 %	+0,31 p.p.
Private Investors	3,70%	3,69 %	3,61 %	-0,05 p.p.

Ordinary and preferred shares of the bank have been quoted on Russian exchanges since 1996. They are included in the quotation list of the first (top) level by CJSC MICEX Stock Exchange. American Depositary Receipts (ADR) for ordinary shares of Sberbank are quoted on the London and Frankfurt stock exchanges and are accepted for trading on the US over-the-counter market since June 2011. The major shareholder and founder of Sberbank is the Central Bank of the Russian Federation that holds 50% of the authorised capital plus 1 voting share. Other shareholders of the Bank comprise international and Russian institutional investors and individuals.

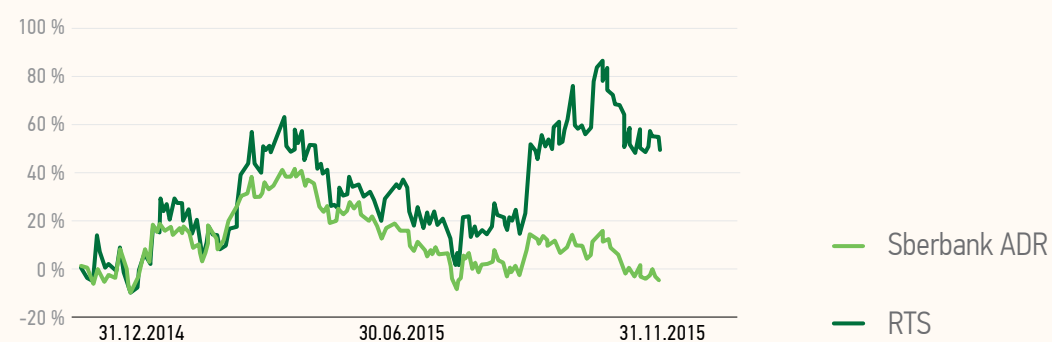
During 2015, Sberbank ordinary shares outperformed the MICEX index and finished the year with a 84.4% growth. Strong growth at the beginning of the year was largely associated with the low base effect as the banking sector lost more than others in December 2014 and with the stabilisation in the external relations of Russia. Growth of Sberbank shares in the second six months accelerated owing to recovery of the Bank's profitability and to the increased interest on the part of foreign investors to securities driven by improvement of earnings expectations. Investor Day held in October 2015, when Sberbank top management confirmed performance in line with the targets of the Strategic Development until 2018, was a strong catalyst as well.

Sberbank securities still remain the most liquid stock on the domestic trading platforms: for example, the trading volume of ordinary and preferred shares of Sberbank on MICEX in 2015 amounted to more than RUB 2.5 trillion, which was around 30% of the total trading volume on MICEX (RUB 8.3 trillion) and is comparable with the trading volume of the largest Russian "blue chips" (Gazprom, Lukoil, and Rosneft) combined.

QUOTATION CHART



QUOTATION CHART



INTERACTION WITH SHAREHOLDERS AND INVESTORS

INTERACTION WITH INSTITUTIONAL INVESTORS

Investor relations team leads in working with the shareholders and investors in the banking sector. The team receives the Best IR in banking sector award of IR Magazine for the second year running. The team actively uses different formats of interaction with the investors:

- ✓ Meetings with the investors at the investment conferences
- ✓ Non-Deal roadshows
- ✓ Conference calls
- ✓ Investor day
- ✓ Analyst Day

Investor team held more than 300 meetings with the institutional investors in the USA, Great Britain, UAE, and in the Asian countries and participated in 16 investment conferences during 2015.

The Investor Relations Department conducts annual perception study since 2011. The findings show a continuous improvement of financial communications, disclosure, presentation materials, and increased access to and recognisability of the Bank management in the investment community, which has a positive impact on the investment history.

INVESTOR DAY

One of the most significant events in 2015 was Investor Day in London. This event was dedicated to the discussion of the goals of the Strategic Development until 2018.

Despite the fact that the Strategy was approved in completely different macroeconomic environment (before the deterioration of macroeconomic indicators, geopolitical situation, and imposition of sanctions), our purpose was to demonstrate to the market that we can achieve our previously stated objectives thanks to large-scale personalisation of the product offers, IT development, and structural changes aimed at increasing the operational efficiency.

In all, more than 800 participants took part in the event, with 110 participating in person and the rest of the audience watching live broadcast at sberbankinvestorday.com.

Herman Gref, Chairman of the Board and CEO of Sberbank, and members of the Board of Sberbank, and the investor team addressed the investors.

After the event, a survey and feedback analysis were conducted, actually all the reviews being positive.

”

“... I was totally floored by the entire management team’s passion for innovation and the technology and expense initiatives outlined. This was unexpected and certainly not ‘normal’ for most banks, let alone one with an already dominant position and quasi-state sponsorship. I think Sberbank is perhaps the most innovative bank in the world right now, in addition to being the cheapest one and with the best deposit base... I really appreciate the effort that went into such a successful event, and I just wanted to thank you for including me. We are very happy shareholders.”

Investor 1

”

“Tech initiative and focus are just super impressive, not many banks are so ahead of the game in their thinking”

Investor 2

COMMITTEE FOR INTERACTION WITH MINORITY SHAREHOLDERS

To maintain ongoing communications with minority shareholders, the Committee for Interaction with Minority Shareholders continues its activity at Sberbank presided over by A.V. Danilov-Danilyan. In 2015, the Committee thoroughly engaged itself in the study of the activities of individual business units as well as aspects of corporate governance.

At the meetings of the Committee held in Moscow, reports and presentations were heard on the development of the corporate and retail blocks, on the development and improvement of the Compliance Division, and on the financial results of the Bank operations. Particular attention was paid to the issues of corporate governance and the new version of the bank’s Corporate Governance Code, dividend policy, and to the Supervisory Board activity. The final meeting of the Committee was held in 2015 in Sberbank Corporate University with the participation of member of the Supervisory Board G.G. Melikyan.

Within the Committee’s regional coverage, a meeting in the Far Eastern Regional Bank (Dalnevostochny Bank) was arranged for more than 200 shareholders of the region.

DIVIDEND POLICY

In March 2015, the Supervisory Board of Sberbank approved a new Regulation on the Dividend Policy¹ replacing the previous one effective to 2015.

The Regulation on Dividend Policy:

- ✓ sets forth the aim to pay equal dividend on ordinary and preferred shares;
- ✓ defines factors determining the dividend pay-out.
- ✓ Conditions for dividend payment:
- ✓ The dividend amount is set as not exceeding the dividend pay-out recommended by the Supervisory Board of the Bank.

When resolving the matter of making a recommendation to the General Shareholders' Meeting of the Bank on the dividend pay-out, the Supervisory Board takes the following factors into consideration:

- ✓ Recognised net profit determined on the basis of the consolidated financial reports of the Bank in accordance with International Financial Reporting Standards (IFRS) for the relevant period
- ✓ The Bank's demand for capital to develop business and implement its Development Strategy after dividend payments to comply with the current and expected requirements of the current legislation of the Russian Federation and Bank of Russia, local regulators in the countries of presence, and the Basel Committee recommendations
- ✓ Significant deterioration of the macroeconomic environment or other internal and external developments that have or may have a negative impact on the Bank operations and force majeure circumstances, including acts of God and wars
- ✓ Maintaining the balance of the interests of the Bank and its shareholders considering the need to increase investment attractiveness and to observe the shareholders' rights

REPORT ON DECLARED AND ACCRUED DIVIDENDS

In 2015, based on the results of 2014 operations, the Bank allocated 3.5% of its net profit calculated on the basis of the annual consolidated financial statements under IFRS for the payment of dividends. In accordance with the Regulation on Dividend Policy of the Bank (new version), the specified amount of allocations from net profits will allow the Bank to pay the same dividend to the holders of common and preferred shares (RUB 0.45 per share). Given a high level of macroeconomic uncertainty, this dividend pay-out makes it possible to maintain capital adequacy of the Bank that experienced significant pressure amid the devaluation of the rouble.

Nevertheless, the Bank considers it practicable to keep its target dividend pay-out set in the Bank's Development Strategy up to 2018 at the level of 20% of net profit under IFRS.

The issue of payment of dividend by the results of 2015 was considered by the Supervisory Board on 12 April, 2016. Upon consideration at the meeting, the Supervisory Board recommended to the annual General Shareholders' Meeting to vote for dividend in the amount of RUB 1.97 per ordinary share and RUB 1.97. per preferred share. 20% of the IFRS net profit of the Bank will be payed out as dividend. Information on the resolutions approved by the General Shareholders' Meeting will be made public in accordance with the legislation on Sberbank's official website at www.sberbank.com. Below is a history of dividend payment on Sberbank shares for the past two years:

| DIVIDEND PAYMENTS HISTORY

Payment year	Based on annual results	Ordinary shares, RUB per share	Nominal cost of an ordinary share, RUB	Privileged shares, RUB per share	Nominal privileged share cost, RUB
2010	2009	0.08	3	0.45	3
2011	2010	0.92	3	1.15	3
2012	2011	2.08	3	2.59	3
2013	2012	2.57	3	3.20	3
2014	2013	3.20	3	3.20	3
2015	2014	0.45	3	0.45	3

¹. The document is posted on the website at www.sberbank.com

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FINANCIAL RESULTS

INDEPENDENT AUDITORS' REPORT ON THE SUMMARISED CONSOLIDATED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS AND SUPERVISORY BOARD OF SBERBANK

The accompanying summary consolidated financial statements, which comprise the consolidated statement of financial position as at 31 December 2015, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year 2015, are derived from the audited consolidated financial statements of Sberbank and its subsidiaries (the "Group") as at 31 December 2015 and for the year 2015. We expressed an unmodified audit opinion on those consolidated financial statements in our report dated 14 March 2016.

The summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards. Reading the summary consolidated financial statements, therefore, is not a substitute for reading the audited consolidated financial statements of the Group.

MANAGEMENT'S RESPONSIBILITY FOR THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the preparation of a summary of the audited consolidated financial statements on the basis described in footnote to the each statement comprising the summary consolidated financial statements.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on the summary consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810, Engagements to Report on Summary Financial statements.

OPINION

In our opinion, the summary consolidated financial statements derived from the audited consolidated financial statements of the Group as at 31 December 2015 and for the year 2015 are consistent, in all material respects, with those audited consolidated financial statements, on the basis described in footnote to each statement comprising the summary consolidated financial statements.

S.M. Taskaev,
Partner

Ernst & Young LLC
14 March 2016

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

in billions of Russian Roubles	Note	31 December 2015	31 December 2014
ASSETS			
Cash and cash equivalents	7	2,333.6	2,308.8
Mandatory cash balances with central banks		387.9	365.7
Financial assets at fair value through profit or loss	8	866.8	921.7
Due from banks	9	750.6	240.8
Loans and advances to customers	10	18,727.8	17,756.6
Securities pledged under repurchase agreements	11	222.0	1,169.3
Investment securities available-for-sale	12	1,874.3	829.7
Investment securities held-to-maturity	13	477.7	117.9
Deferred tax asset	31	17.3	19.1
Premises and equipment	14	499.2	496.4
Assets of the disposal group and non-current assets held for sale	15	212.7	72.0
Other financial assets	16	664.5	562.9
Other non-financial assets	16	300.3	339.9
TOTAL ASSETS		27,334.7	25,200.8
LIABILITIES			
Due to banks	17	1,045.9	3,640.0
Due to individuals	18	12,043.7	9,328.4
Due to corporate customers	18	7,754.6	6,234.5
Debt securities in issue	19	1,378.5	1,302.6
Other borrowed funds	20	398.0	537.2
Financial liabilities at fair value through profit or loss except for debt securities in issue	21	426.6	769.1
Deferred tax liability	31	132.0	45.3
Liabilities of the disposal group	15	185.9	58.2
Other financial liabilities	22	718.4	444.5
Other non-financial liabilities	22	69.6	51.4
Subordinated debt	23	806.5	769.5
TOTAL LIABILITIES		24,959.7	23,180.7

in billions of Russian Roubles	Note	31 December 2015	31 December 2014
EQUITY			
Share capital	24	87.7	87.7
Treasury shares	24	(6.7)	(7.6)
Share premium		232.6	232.6
Revaluation reserve for office premises		69.3	72.3
Fair value reserve for investment securities available-for-sale		(45.7)	(171.4)
Foreign currency translation reserve		101.1	83.2
Remeasurement of defined benefit pension plans		(0.7)	—
Retained earnings		1,935.2	1,718.8
Total equity attributable to shareholders of the Bank		2,372.8	2,015.6
Non-controlling interest		2.2	4.5
TOTAL EQUITY		2,375.0	2,020.1
TOTAL LIABILITIES AND EQUITY		27,334.7	25,200.8

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

Year ended 31 December

in billions of Russian Roubles	Note	2015	2014
Interest income	25	2,279.6	1,837.9
Interest expense	25	(1,253.2)	(785.1)
Deposit insurance expenses	25	(38.4)	(33.1)
Net interest income		988.0	1,019.7
Net provision charge for impairment of debt financial assets	10,13	(475.2)	(361.4)
Net interest income after provision charge for impairment of debt financial assets		512.8	658.3
Fee and commission income	26	384.1	306.4
Fee and commission expense	26	(65.1)	(47.2)
Net gains / (losses) arising from trading securities		5.8	(7.1)
Net gains / (losses) arising from securities designated as at fair value through profit or loss		12.5	(8.4)
Net gains arising from investment securities available-for-sale		4.8	6.2
Impairment of investment securities available-for-sale		(0.1)	(0.8)
Net gains arising from trading in foreign currencies, operations with foreign currency derivatives and foreign exchange translation	27	83.1	8.1
Net losses arising from operations with precious metals, precious metals derivatives and precious metals accounts translation		(1.0)	(18.8)
Net gains arising from operations with other derivatives		8.4	27.0
Impairment of fixed assets and intangible assets	14,16	(2.8)	(0.3)
Goodwill impairment	16	(6.0)	(1.2)
Losses on initial recognition of financial instruments and on loans restructuring		(6.2)	—
Net charge for other provisions	16,22	(6.3)	(18.4)
Revenue of non-banking business activities	28	24.4	27.5
Cost of sales and other expenses of non-banking business activities	28	(25.4)	(31.2)
Revenue from insurance and pension fund operations	29	216.1	61.7
Expenses related to insurance and pension fund operations	29	(206.9)	(31.0)
Other net operating income		22.4	8.5
Operating income		954.6	939.3
Operating expenses	30	(623.4)	(565.1)
Profit before tax		331.2	374.2
Income tax expense	31	(108.3)	(83.9)
Profit for the year		222.9	290.3
Attributable to:			
- shareholders of the Bank		223.3	292.2
- non-controlling interest		(0.4)	(1.9)
Earnings per ordinary share attributable to the shareholders of the Bank, basic and diluted	32	10.36	13.45
(expressed in RUB per share)			

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December

in billions of Russian Roubles	2015	2014
Profit for the year	222.9	290.3
Other comprehensive income:		
Items to be reclassified to profit or loss in subsequent periods		
Investment securities available-for-sale:		
- Net gains / (losses) on revaluation of investment securities	129.4	(169.5)
available-for-sale, net of tax	129.4	(169.5)
- Impairment of investment securities available-for-sale transferred to statement of profit or loss, net of tax	0.1	0.6
- Accumulated gains transferred to statement of profit or loss upon disposal of investment securities available-for-sale, net of tax	(3.8)	(3.8)
Net foreign currency translation effect	17.9	97.0
Total other comprehensive income / (loss) to be reclassified to profit or loss in subsequent periods, net of tax	143.6	(75.7)
Items that will not be reclassified to profit or loss in subsequent periods		
Remeasurement of defined benefit pension plans, net of tax	(0.7)	—
Total other comprehensive loss that will not be reclassified to profit or loss in subsequent periods, net of tax	(0.7)	—
Total other comprehensive income / (loss)	142.9	(75.7)
Total comprehensive income for the year	365.8	214.6
Attributable to:		
- shareholders of the Bank	366.2	216.4
- non-controlling interest	(0.4)	(1.8)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Attributable to shareholders of the Bank						Attributable to shareholders of the Bank						
in billions of Russian Roubles	Note	Share capital	Treasury shares	Share premium	Revaluation reserve for office premises	Fair value reserve for investment securities available-for-sale	Foreign currency translation reserve	Remeasurement of defined benefit pension plans	Retained earnings	Total	Non-controlling interest	Total equity
Balance as at 31 December 2013		87.7	(7.2)	232.6	75.8	1.3	(13.7)	—	1,495.2	1,871.7	9.7	1,881.4
Changes in equity for the year ended 31 December 2014												
Net result from treasury shares transactions		—	(0.4)	—	—	—	—	—	—	(0.4)	—	(0.4)
Dividends declared	32	—	—	—	—	—	—	—	(72.1)	(72.1)	—	(72.1)
Transfer of revaluation reserve for office premises upon disposal or depreciation		—	—	—	(3.5)	—	—	—	3.5	—	—	—
Changes in ownership interest in subsidiaries		—	—	—	—	—	—	—	—	—	(3.4)	(3.4)
Profit / (loss) for the year		—	—	—	—	—	—	—	292.2	292.2	(1.9)	290.3
Other comprehensive (loss) / income for the year		—	—	—	—	(172.7)	96.9	—	—	(75.8)	0.1	(75.7)
Total comprehensive income / (loss) for the year		—	—	—	—	(172.7)	96.9	—	292.2	216.4	(1.8)	214.6
Balance as at 31 December 2014		87.7	(7.6)	232.6	72.3	(171.4)	83.2	—	1,718.8	2,015.6	4.5	2,020.1
Changes in equity for the year ended 31 December 2015												
Net result from treasury shares transactions		—	0.9	—	—	—	—	—	0.4	1.3	—	1.3
Dividends declared	32	—	—	—	—	—	—	—	(10.2)	(10.2)	—	(10.2)
Transfer of revaluation reserve for office premises upon disposal or depreciation		—	—	—	(3.0)	—	—	—	3.0	—	—	—
Changes in ownership interest in subsidiaries		—	—	—	—	—	—	—	—	—	(1.9)	(1.9)
Other movements related to pension fund operations		—	—	—	—	—	—	—	(0.1)	(0.1)	—	(0.1)
Profit / (loss) for the year		—	—	—	—	—	—	—	223.3	223.3	(0.4)	222.9
Other comprehensive income / (loss) for the year		—	—	—	—	125.7	17.9	(0.7)	—	142.9	—	142.9
Total comprehensive income / (loss) for the year		—	—	—	—	125.7	17.9	(0.7)	223.3	366.2	(0.4)	365.8
Balance as at 31 December 2015		87.7	(6.7)	232.6	69.3	(45.7)	101.1	(0.7)	1,935.2	2,372.8	2.2	2,375.0

CONSOLIDATED STATEMENT OF CASH FLOWS

Year ended 31 December

in billions of Russian Roubles	Note	2015	2014
Cash flows from operating activities before changes in operating assets and liabilities			
Interest received		2,220.3	1,809.4
Interest paid		(1,105.3)	(675.1)
Expenses paid directly attributable to deposit insurance		(36.3)	(31.9)
Fees and commissions received		379.8	305.1
Fees and commissions paid		(63.6)	(44.6)
Net losses incurred on trading securities		(3.1)	(1.3)
Dividends received		1.6	2.0
Net (losses incurred) / gains received on securities designated as at fair value through profit or loss		(1.5)	1.0
Net losses incurred from trading in foreign currencies and from operations with foreign currency derivatives		(25.1)	(147.4)
Net (losses incurred) / gains received from operations with other derivatives		(1.2)	20.0
Net losses incurred from operations with precious metals and precious metals derivatives		(2.9)	(26.2)
Revenue received from non-banking business activities		26.7	26.3
Expenses paid on non-banking business activities		(25.0)	(25.5)
Insurance premiums received		61.0	57.9
Payments on insurance operations		(1.3)	(0.2)
Payments on pension insurance agreements received		162.3	2.4
Payments on pension fund operations		(8.0)	(0.3)
Other operating income received		13.4	10.1
Operating expenses paid		(550.6)	(465.7)
Income tax paid		(1.5)	(88.4)
Cash flows from operating activities before changes in operating assets and liabilities		1,039.7	727.6
Changes in operating assets and liabilities			
Net increase in mandatory cash balances with central banks		(18.6)	(34.9)
Net (increase) / decrease in financial assets at fair value through profit or loss		(164.5)	56.2
Net (increase) / decrease in due from banks		(471.2)	173.2
Net increase in loans and advances to customers		(157.5)	(2,615.5)
Net increase in other assets		(117.2)	(175.9)
Net (decrease) / increase in due to banks		(2,624.3)	1,156.6
Net increase / (decrease) in due to individuals		2,127.6	(96.0)
Net increase in due to corporate customers		655.4	1,569.4
Net increase in debt securities in issue		106.5	20.9
Net increase in financial liabilities at fair value through profit or loss except for debt securities in issue		7.6	0.2
Net increase in other liabilities		57.9	50.1

Year ended 31 December

in billions of Russian Roubles	Note	2015	2014
Net cash from operating activities		441.4	831.9
Cash flows from investing activities			
Purchase of investment securities available-for-sale		(850.9)	(717.9)
Proceeds from disposal and redemption of investment securities available-for-sale		742.4	682.7
Purchase of investment securities held-to-maturity		(122.2)	(6.3)
Proceeds from redemption of investment securities held-to-maturity		58.3	81.0
Acquisition of premises and equipment and intangible assets		(74.3)	(127.0)
Proceeds from disposal of premises and equipment and intangible assets including insurance payments		9.9	13.7
Acquisition of investment property		(0.6)	(0.3)
Proceeds from disposal of investment property		0.3	1.5
Acquisition of associates		(1.2)	—
Acquisition of subsidiaries net of cash acquired		—	9.6
Proceeds from disposal of subsidiaries net of cash disposed		0.7	1.4
Net cash used in investing activities		(237.6)	(61.6)
Cash flows from financing activities			
Other borrowed funds received		151.9	182.4
Redemption of other borrowed funds		(377.2)	(388.5)
Repayment of interest on other borrowed funds		(10.6)	(13.7)
Funds received from subordinated debt issued or reissued		0.6	238.9
Redemption of subordinated debt		(27.4)	—
Repayment of interest on subordinated debt		(47.2)	(34.5)
Funds received from loan participation notes issued or reissued / other bonds issued		12.2	106.8
Redemption of loan participation notes / other bonds issued		(166.7)	(36.9)
Repayment of interest on loan participation notes / other bonds issued		(38.2)	(23.8)
Purchase of treasury shares		(6.5)	(34.5)
Proceeds from disposal of treasury shares		7.8	34.9
Dividends paid	32	(10.3)	(72.0)
Net cash used in financing activities		(511.6)	(40.9)
Effect of exchange rate changes on cash and cash equivalents		333.1	254.0
Effect of hyperinflation on cash and cash equivalents		—	1.5
Net increase in cash and cash equivalents		25.3	984.9
Cash and cash equivalents as at the beginning of the year		2,308.8	1,327.0
Net effect of changes in cash and cash equivalents included in disposal group		(0.5)	(3.1)
Cash and cash equivalents as at the end of the year	7	2,333.6	2,308.8

DYNAMICS OF SBERBANK GROUP 'S KEY FIGURES OVER THE PAST FIVE YEARS IN ACCORDANCE WITH IFRS

	Years					
	2011	2012	2013	2014	2015	Change, %
For the year, RUB bln						
Operating income before provisions	733.7	915.3	1,094.8	1,300.7	1,429.8	9.9
Provision charge for loan impairment	1.2	(21.5)	(133.5)	(357.0)	(473.1)	32.5
Operating income	734.9	893.8	959.9	939.3	954.6	1.6
Operating expenses	(339.2)	(445.9)	(504.2)	(565.1)	(623.4)	10.3
Profit before tax	395.7	447.9	455.7	374.2	331.2	-11.5
Net profit	315.9	347.9	362.0	290.3	222.9	-23.2
As of 31 December, RUB bln						
Loans and advances to customers, net	7,720	10,499	12,934	17,757	18,728	5.5
Loans and advances to customers before provision for loan impairment	8,382	11,064	13,544	18,626	19,924	7.0
Total assets	10,835	15,097	18,210	25,201	27,335	8.5
Due to individuals and corporate customers	7,932	10,179	12,064	15,563	19,798	27.2
Total liabilities	9,567	13,474	16,329	23,181	24,960	7.7
Total equity	1,268	1,624	1,881	2,020	2,375	17.6
Per share, RUB per share						
Basic and diluted earnings	14.60	16.03	16.78	13.45	10.36	-23.0
Dividends per ordinary share declared during the year	0.9	2.1	2.6	3.2	0.5	-85.9
Net assets per ordinary share	58.7	75.2	87.5	94.0	110.5	17.6
Financial ratios, %						
Profitability ratios						
Return on assets (ROA)	3.2	2.7	2.2	1.4	0.9	-0.5 p.p.
Return on equity (ROE)	28	24.2	20.8	14.8	10.2	-4.6 p.p.
Spread (return on assets less cost of funds)	6.1	5.8	5.7	5.5	4.1	-1.4 p.p.
Net interest margin (net interest income to average earning assets)	6.4	6.1	5.9	5.6	4.4	-1.2 p.p.
Operating expenses to operating income before provisions	46.2	48.7	46.1	43.4	43.6	0.2 p.p.
Loans and advances to customers before provision for loan impairment to current accounts and term deposits of individuals and corporate customers and savings certificates	97.2	100.9	104.2	110.8	91.9	-18.9 p.p.
Capital adequacy ratios, %						
Core capital ratio (Tier I)	11.6	10.4	10.6	8.6	8.9	0.3 p.p.
Total capital ratio (Tier I and Tier II)	15.2	13.7	13.4	12.1	12.6	0.5 p.p.

	Years					
	2011	2012	2013	2014	2015	Change, %
Equity to total assets	11.7	10.8	10.3	8.0	8.7	0.7 p.p.
Asset quality ratios						
Non-performing loans to total loans outstanding	4.9	3.2	2.9	3.2	5.0	1.8 p.p.
Provision for loan impairment to non-performing loans (times)	1.6	1.6	1.5	1.4	1.2	-0.2
Provision for loan impairment to total gross loans to customers	7.9	5.1	4.5	4.7	6.0	1.3 p.p.

PROFIT AND LOSS STATEMENT ANALYSIS

GENERAL TRENDS

Sberbank (hereafter "the Group") net profit for 2015 under IFRS financial statements decreased by 23.2% compared to FY2014 and came at RUB 222.9 bln. The Group net operating income before provision for loan impairment for the year increased by 9.9% and reached RUB 1,429.8 bln mainly driven by net fee and commission income from banking business and net gains arising from financial markets operations.

Operating expenses growth slowed down in 2015 compared to previous year and increased by 10.3% to RUB 623.4 bln, whereas inflation for the same period amounted to 12.9%. The Group's net provision charge for debt instruments impairment for 2015 totalled RUB 475.2 bln compared to RUB 361.4 bln in 2014. The main drivers of the higher risk charge in 2015 were attributable to the FX effect of provisions for foreign currency loans, additional provisions for Ukrainian borrowers due to deterioration of the Ukrainian economy and general deterioration of the Group loan book due to recession in the Russian economy.

| FACTOR ANALYSIS OF CHANGES IN NET INTEREST INCOME

	Year		Change, %
	2014	2015	
Net profit, RUB bln	290.3	222.9	-23.2
Operating income before provisions, RUB bln	1,300.7	1,429.8	9.9
Operating expenses, RUB bln	-565.1	-623.4	10.3
Net provision charge for debt instruments impairment, RUB bln	-361.4	-475.2	31.5
Provision charge for loan impairment, RUB bln	-357.0	-473.1	32.5

NET INTEREST INCOME

The Group's interest income increased in 2015 by 24% to RUB 2,279.6 bln. The main driver for interest income growth was increase of corporate loan book.

| THE GROUP'S INTEREST INCOME IN 2014-2015

	Year		Change, %
	2014	2015	
Interest income, RUB bln	1,837.9	2,279.6	24.0

| FACTOR ANALYSIS OF CHANGES IN INTEREST INCOME, RUB bln

	Changes in volume	Changes in rates	Change in interest income/expenses
ASSETS			
Loans to corporate customers	250.70	89.50	340.20
Loans to individuals	93.00	(16.90)	76.10
Due from other banks	21.30	(14.70)	6.60
Debt securities	12.90	5.90	18.80
Change in interest income	377.90	63.80	441.70
Due to individuals	(72.10)	(140.50)	(212.60)
Due to corporate customers	(90.60)	(63.50)	(154.10)
Subordinated debt	(10.30)	(0.80)	(11.10)
Other borrowed funds	2.80	(2.80)	-
Debt securities in issue	(17.90)	(20.90)	(38.80)
Due to banks	20.40	(77.20)	(56.80)
Change in interest expenses	(167.70)	(305.70)	(473.40)
CHANGE IN NET INTEREST INCOME/EXPENSE	210.20	(241.90)	(31.70)

| FACTOR ANALYSIS OF CHANGES IN INTEREST INCOME

	2014			2015		
	Average amount for the period	Interest income	Average yield, %	Average amount for the period	Interest income	Average yield, %
Loans to corporate customers	11,089.90	1,031.10	9.3	13,786.30	1,371.30	9.9
Loans to individuals	4,214.70	637.60	15.1	4,829.30	713.70	14.8
Due from other banks	750.80	19.20	2.6	1,583.50	25.80	1.6
Debt securities	2,118.10	150.00	7.1	2,300.00	168.80	7.3
Total	18,173.50	1,837.90	10.1	22,499.10	2,279.60	10.1
	-736.10			-1,042.90		
Provision for loan impairment of debt financial assets	2,783.70			3,570.90		
Other assets	20,221.10			25,027.10		
Total assets						

| THE GROUP'S INTEREST EXPENSES IN 2014-2015

	Year		Change, %
	2014	2015	
Interest expenses (including expenses related to insurance), RUB bln	-818.2	-1,291.6	57.9

Interest expenses increased in 2015 by 57.9% relative to 2014 and totalled RUB 1,291.6 bln. Retail deposits remain key source of funding for the Group and comprise 44.4% of total interest expenses. Retail and corporate deposits were the main drivers for interest expenses growth. Increase of retail and corporate deposits volume and cost contributed to 44.9% and 32.6% growth of interest expenses respectively in 2015. Substantial increase of interest expenses on retail deposits was driven by significant growth of cost of funding in 2015 where interest rates increase stood for 66.1% of total retail funding interest expenses growth.

| FACTOR ANALYSIS OF CHANGES IN INTEREST EXPENSE

	2014			2015		
	Average amount for the year	Interest expenses	Average cost, %	Average amount for the year	Interest expenses	Average cost, %
Due to individuals	8,558.20	(360.70)	-4.2	10,268.70	(573.30)	-5.6
Due to corporate customers	4,489.50	(189.20)	-4.2	6,639.60	(343.30)	-5.2
Subordinated debt	614.50	(35.90)	-5.8	791.50	(47.00)	-5.9
Other borrowed funds	552.50	(12.80)	-2.3	431.80	(12.80)	-3.0
Debt securities in issue	993.40	(52.70)	-5.3	1,330.00	(91.50)	-6.9
Due to banks	2,390.90	(166.90)	-7.0	2,098.70	(223.70)	-10.7
Total	17,599.00	(818.20)	-4.6	21,560.30	(1 291.60)	-6.0
Other liabilities	660.6			1,291.1		
Total liabilities	18,259.6			22,851.4		

| QUARTERLY LOAN YIELDS, %

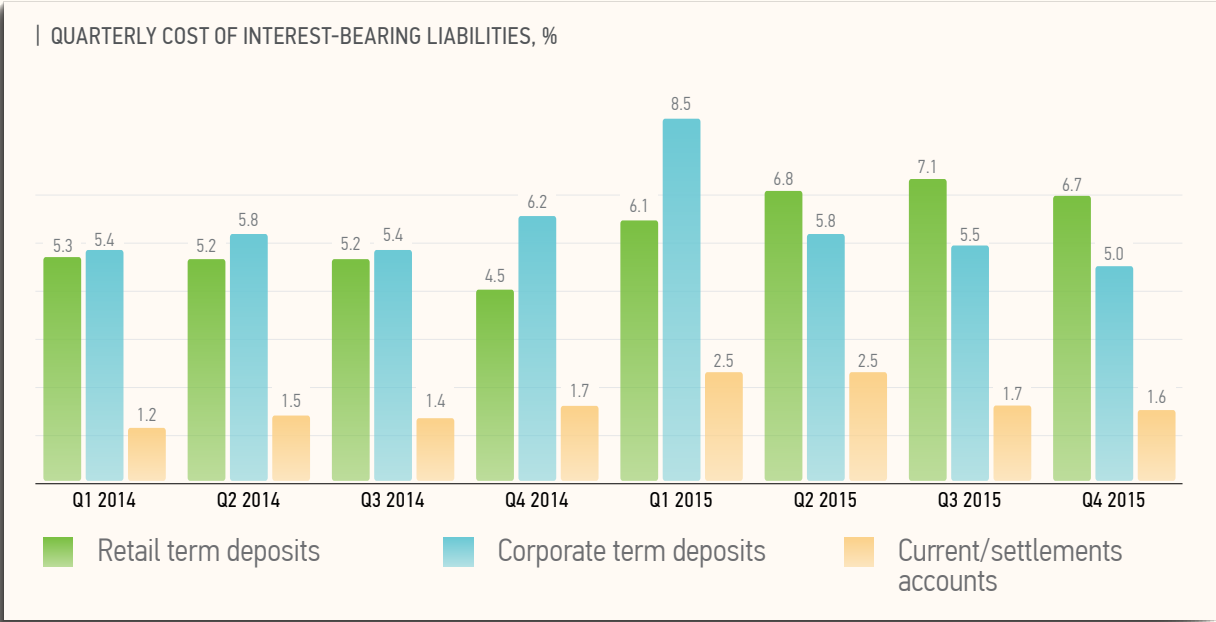


¹ Average interest earning assets

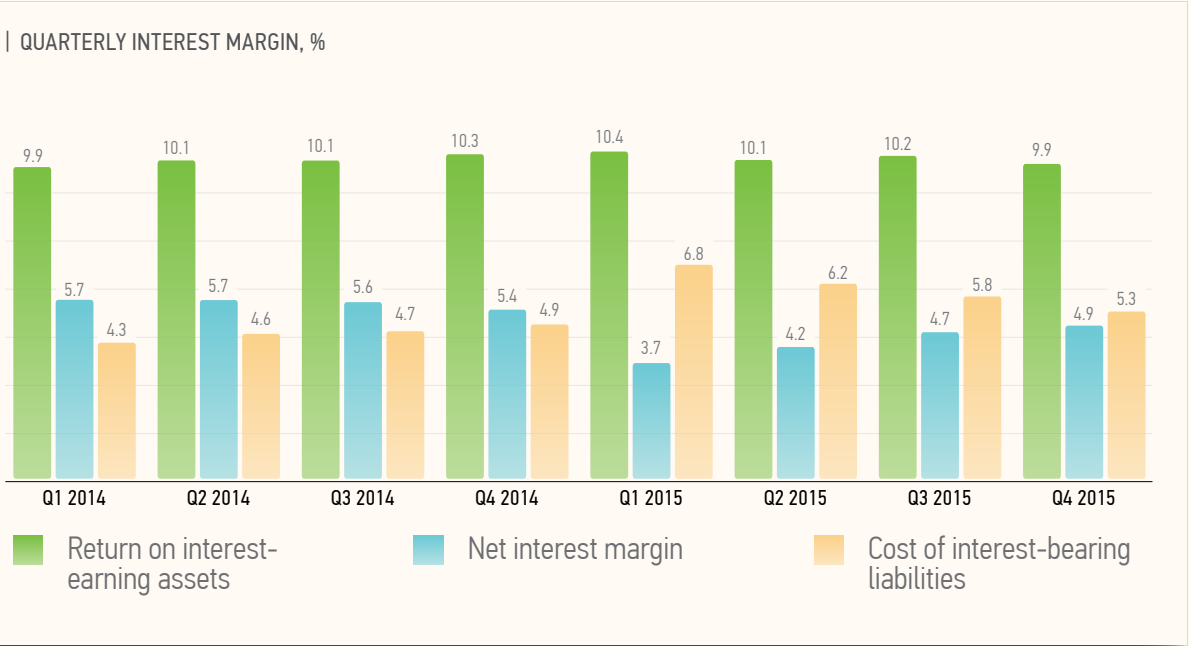
Cost of retail term deposits was growing for three consequent quarters starting from 1Q 2015. Rate decrease was demonstrated only in 4Q 2015 relative to 3Q 2015. As a result cost of retail term deposits increased from 4.5% in 4Q 2014 to 6.7% in 4Q 2015. As for cost of corporate deposit sharp increase in cost of corporate funding in 1Q 2015 was followed by strong decrease in 2Q 2015 with the downward trend persisting until the end of 2015. As a result cost of corporate deposits fell to 5.0% in 4Q 2015 from 6.2% in 4Q 2014 and 8.5% in 1Q 2015. Compound effect from these factors led to increase of interest expenses on corporate deposits by RUB 63.5 bln on the back of interest rate increase.

| THE FOLLOWING FACTORS AFFECTED NET INTEREST MARGIN IN 2015

2014 net interest margin	5.6%
Return on corporate loans	0.4%
Return on retail loans	-0.1%
Return on amounts due from other banks	-0.1%
Return on securities	0.0%
Structure of interest earning assets	-0.3%
Cost of amounts due to corporate customers	-0.3%
Cost of amounts due to individuals	-0.6%
Cost of amounts due to other banks	-0.3%
Cost of issued securities and subordinated debt	-0.1%
Structure of interest-bearing liabilities	0.1%
Ratio of interest-earning assets to interest-bearing liabilities	0.1%
2015 net interest margin	4.4%



The Group’s net interest margin decreased by 1.2 p.p. in 2015 and reached 4.4%. Net interest margin decrease was driven by accelerated growth of cost of funding in the first half of 2015 that was not offset by corresponding increase of interest income. The biggest drop in net interest margin took place in 1Q 2015. In the consequent quarters net interest margin was recovering on the back of gradual decrease of cost of funding relative to the beginning of the year.



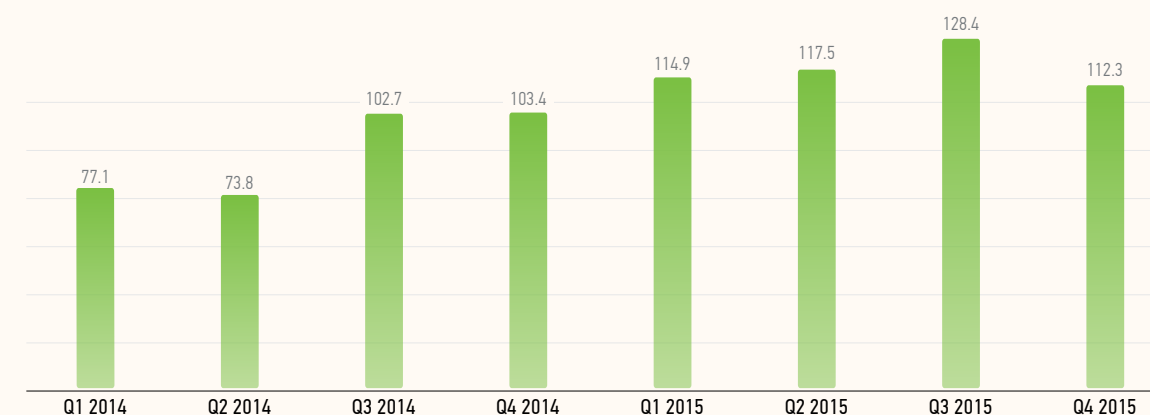
FEE AND COMMISSION INCOME AND EXPENSE

In 2015 net fee and commission income of the Group increased by 23.1% and reached RUB 319.0 bln. Main contributors to net fee and commission income growth were fees for cash and settlement transactions with individuals and legal entities that amounted to RUB 294.8 bln growing by 25.9% in a year. Fees from operations with foreign currencies and precious metals as well as documentary and agent commissions demonstrated marginal growth in 2015.

| FEE AND COMMISSION INCOME AND EXPENSE

RUB bln	Year		Change	Change, %
	2014	2015		
Cash and settlements transactions with legal entities	165.2	205.0	39.8	24.1
Cash and settlements transactions with individuals	68.9	89.8	20.9	30.3
Operations with foreign currencies and precious metals	33.2	40.1	6.9	20.8
Documentary commissions	18.6	23.1	4.5	24.2
Agent commissions	4.3	8.4	4.1	95.3
Cash collection	6.5	7.1	0.6	9.2
Operations on financial markets on behalf of clients and investment banking operations	4.6	5.0	0.4	8.7
Other	5.1	5.6	0.5	9.8
Fee and commission expense on settlement transactions	(43.3)	(60.2)	(16.9)	39.0
Other and commission expense	(3.9)	(4.9)	(1.0)	25.6
Net fee and commission income	259.2	319.0	59.8	23.1

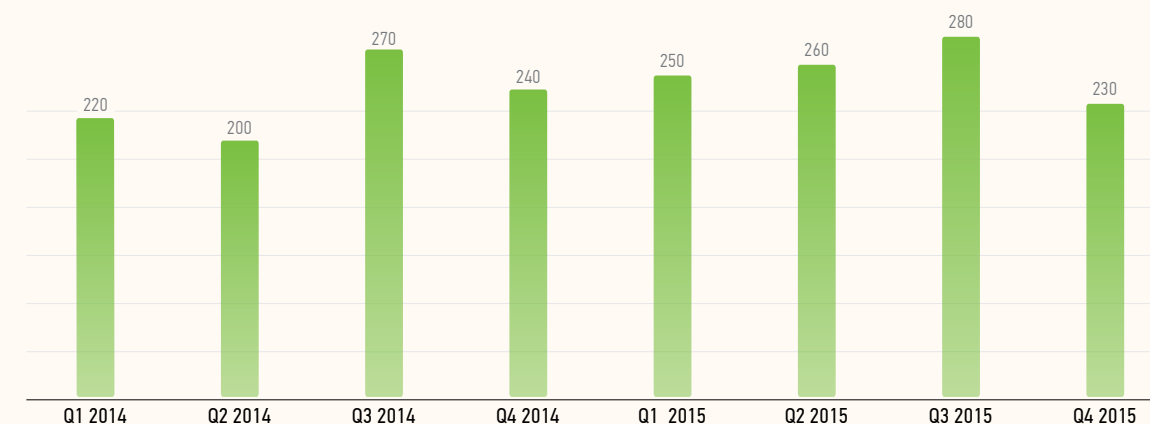
| QUARTERLY PROVISION CHARGE FOR LOAN IMPAIRMENT



The Group's net provision charge for loan impairment for 2015 totalled RUB 473.1 bln compared to RUB 357.0 bln in 2014. The main drivers of the higher risk charge in 2015 were attributable to the FX effect of provisions for foreign currency loans, additional provisions for Ukrainian borrowers due to deterioration of the Ukrainian economy and general deterioration of the Group loan book due to recession in the Russian economy.

This level of provision charge corresponds to 250 basis points of annualised cost of risk (230 bp in 2014). Cost of risk for corporate portfolio increased by 40 basis points versus previous year reaching 270 basis points. Cost of risk for retail portfolio increased by 30 basis points relative to previous year reaching 210 basis points in 2015. In 4Q 2015 deterioration of retail portfolio started to slow down with cost of risk for retail loans decreasing by 162 basis points relative to the previous quarter of 2015 to 50 basis points.

| QUARTERLY CREDIT RISK COST



STRUCTURE OF SBERBANK GROUP'S ASSETS UNDER IFRS

OTHER OPERATING INCOME

Other operating income that includes net gains / (losses) arising from trading securities, derivatives, foreign currencies as well as revenues from insurance and pension fund operations totalled RUB 122.8 bln in 2015 relative to RUB 21.8 bln in 2014. Increase of other operating income was driven by growth of revenues from trading securities, foreign currencies and foreign currency derivatives.

OPERATING EXPENSES

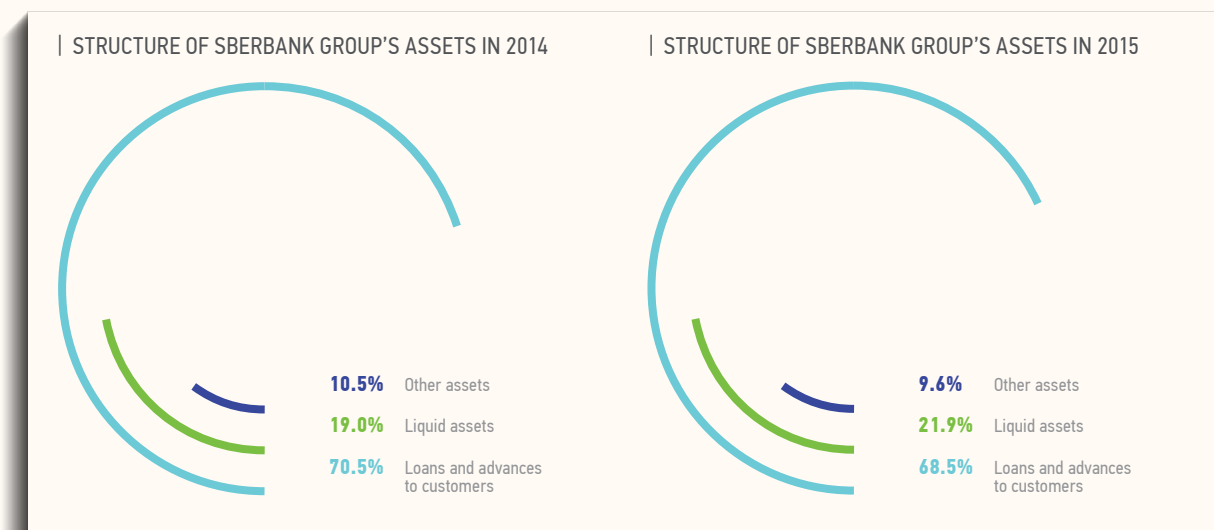
In 2015 the growth of operating expenses was 10.3%. The most significant increase in absolute numbers was in staff costs (RUB 27.2 bln) which are the main component of the operating expenses. However the cost to income ratio remained almost flat and grew only by 0.2 pp to 43.6% as of 31 December, 2015.

| OPERATING EXPENSES

RUB bln	Year		Change	Change, %
	2014	2015		
Staff costs	318.8	346.0	27.2	8.5
Depreciation of premises and equipment	58.7	60.2	1.5	2.6
Repairs and maintenance of premises and equipment	36.3	39.9	3.6	9.9
Administrative expenses	35.3	38.3	3.0	8.5
Taxes other than on income	29.7	36.0	6.3	21.2
Operating lease expenses	22.9	28.1	5.2	22.7
Telecommunication expenses	18.8	27.1	8.3	44.1
Amortisation of intangible assets	15.0	20.6	5.6	37.3
Consulting and assurance services	11.2	10.5	(0.7)	-6.2
Advertising and marketing services	9.6	7.3	(2.3)	-24.0
Other	8.8	9.4	0.6	6.8
Total operating expenses	565.1	623.4	58.3	10.3

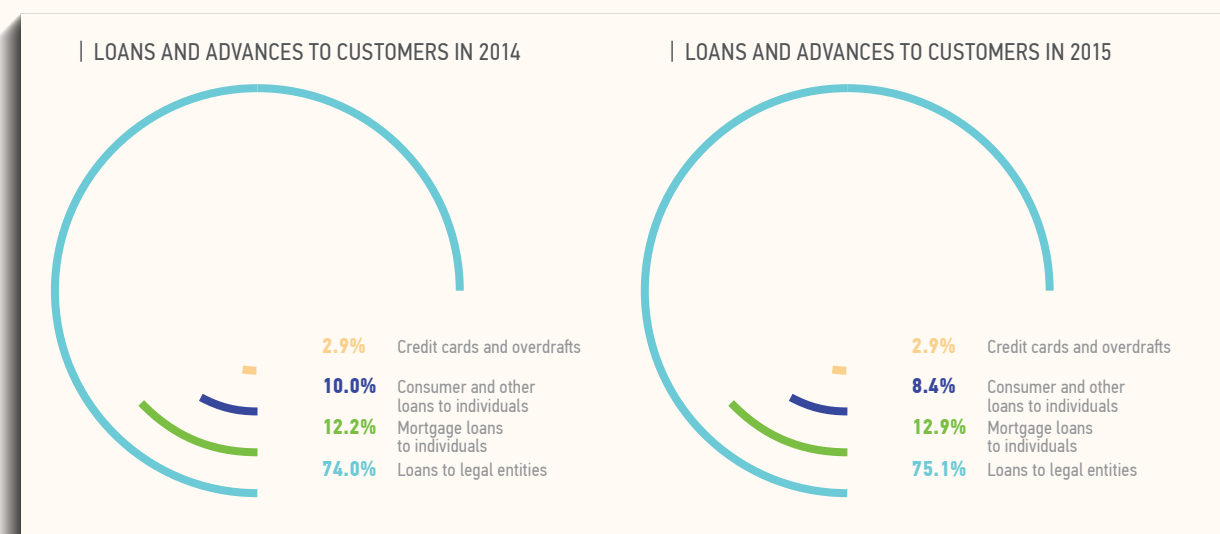
GENERAL TRENDS

In 2015 the Group's assets increased by 8.5% to RUB 27.3 trillion. Loans and advances to customers remain the largest assets' category: their share in the Group's total assets as at 31 December 2015 amounted to 68.5%. The proportion of liquid assets which include cash and cash equivalents, due from banks, securities portfolio, comprised 21.9%. In 2015 the securities portfolio increased by 30.2% and reached RUB 2.9 trillion. The portfolio comprises mostly bonds and is used primarily for liquidity management.



LOANS AND ADVANCES TO CUSTOMERS

The loan portfolio of the Group before provision for loan impairment grew by 7.0% y-o-y to RUB 19.9 trillion. Corporate loans were the key driver of the loan portfolio growth: in 2015 corporate loans increased by 8.6% compared to 2.4% growth in retail lending. The growth in corporate lending was largely driven by revaluation of loans granted in foreign currencies. The share of corporate loans in total loan portfolio of the Group slightly increased to 75.1% (2014: 74.0%).



Retail loan portfolio grew by 2.4% y-o-y in 2015 and comprised RUB 5.0 trillion. The reduction of household income and shift to the savings pattern of behaviour by the population during the recession were the drivers for the decline in retail lending growth in 2015 compared to 2014 (when retail loans grew by 29.3%). Mortgage lending became the main driver of retail loan portfolio growth in 2015, making 12.5% increase y-o-y. Mortgage loans remained the main component of the Group's retail loan portfolio in 2015: their share comprised 51.4% showing increase of 4.6 p.p. in 2015. The share of mortgage loans in total loan portfolio comprised 12.9%. Sberbank's domestic market share in mortgage loans reached 55.0%.

| LOAN PORTFOLIO BREAKDOWN

	31 December, 2014		31 December, 2015	
	RUB bln	% of total	RUB bln	% of total
Commercial loans to legal entities	9,026.5	48.5	10,368.0	52.1
Specialised loans to legal entities	4,752.3	25.5	4,590.7	23.0
Mortgage loans to individuals	2,269.8	12.2	2,554.6	12.9
Consumer and other loans to individuals	1,868.3	10.0	1,681.8	8.4
Credit cards and overdrafts	538.8	2.9	587.2	2.9
Car loans to individuals	170.4	0.9	142.0	0.7
Total loans and advances to customers before provision for loan impairment	18,626.1	100.0	19,924.3	100.0

Corporate loan portfolio increased by 8.6% to RUB 14.9 trillion. Growth of corporate loans was influenced mainly by revaluation of loans in foreign currency as well as by some corporate lending growth.

CREDIT QUALITY

The provision coverage of the total loan portfolio before provision for loan impairment amounted to 6.0% as at 2015 year end making increase compared to 2014 year end (4.7%). In 2015 the proportion of NPL90+ (non-performing loans with interest payments or principal overdue more than 90 days) in the total loan portfolio of the Group grew to 5.0% from 3.2%. At the same time the share of NPL90+ decreased during 4th quarter 2015 from 5.4% largely due to corporate segment. The provision coverage of non-performing loans in 2015 remained on a comfortable level - 120%. Renegotiated loan portfolio grew by 39.6% y-o-y to RUB 3.4 trillion while its proportion in total loan portfolio comprised 17.2% as at 31 December 2015 compared to 13.2% as at 31 December 2014.

SECURITIES PORTFOLIO

The Group's securities portfolio consists mainly of debt financial instruments (97.9%) and is used primarily for liquidity management. The proportion of shares in securities portfolio remained almost unchanged compared to 2014 and amounted to 1.9% at 2015 year-end. The proportion of corporate bonds in the portfolio structure comprised 39.9% at 2015 year-end with 8.0 p.p. increase y-o-y.

The share of corporate bonds with investment rating comprised 39.1% compared to 63.0% at 2014 year-end. The share of securities pledged under repurchase agreements decreased from 52.4% to 7.6% in 2015. This decrease is a result of significant reduction in dependence on the Bank of Russia funding which became possible due to flexible interest policy and increase in customer deposits volumes.

| LOAN PORTFOLIO STRUCTURE

	2014	Share, %	2015	Share, %
Federal loan bonds (OFZ bonds)	807.9	36.3	872.2	30.0
Corporate bonds	712.7	31.9	1,156.9	39.9
Foreign government and foreign municipal bonds	355.5	15.9	413.0	14.2
Russian Federation Eurobonds	217.3	9.7	325.7	11.2
Municipal and subfederal bonds	93.3	4.2	76.4	2.6
Promissory notes	0.4	0.0	0.4	0.0
Total debt securities	2,187.1	98.0	2,844.6	97.9
Corporate shares	40.2	1.8	56.2	1.9
Investments in mutual funds	4.6	0.2	5.2	0.2
Total securities	2,231.9	100.0	2,906.0	100.0

STRUCTURE OF SBERBANK GROUP'S LIABILITIES AND EQUITY UNDER IFRS

GENERAL TRENDS

The Group's liabilities structure is dominated by amounts due to individuals and corporate customers, which amounted to RUB 19.8 trillion as at 31 December 2015, or 79.3% of liabilities. Amounts of due to banks decreased by 71.3% y-o-y in 2015 and was largely influenced by reduction in volumes of funding received from the Bank of Russia.

CUSTOMER DEPOSITS

Amounts due to customers increased by 27.2% y-o-y to RUB 19.8 trillion in 2015. Amounts due to individuals remain the key component of the Group's funding. In 2015 the share of due to individuals comprised 48.3% in the total liabilities of the Group. The volume of individual deposits grew by 29.1% to RUB 12 trillion, the volume of corporate funds by 24.4% to RUB 7.8 trillion. As a result the proportion of due to individuals in the total amounts of due to customers comprised 60.8%.

BREAKDOWN OF AMOUNTS DUE TO CUSTOMERS

	31 December, 2014		31 December, 2015	
	RUB bln	%	RUB bln	%
Due to individuals				
Current/demand accounts	1,886.2	12.1	2,415.4	12.2
Term deposits	7,442.2	47.8	9,628.3	48.6
Total due to individuals	9,328.4	59.9	12,043.7	60.8
Due to corporate customers				
Current/settlement accounts	1,819.7	11.7	2,361.2	11.9
Term deposits	4,414.8	28.4	5,393.4	27.3
Total due to corporate customers	6,234.5	40.1	7,754.6	39.2
Total	15,562.9	100.0	19,798.3	100.0

CREDIT RATING LOAN PORTFOLIO BREAKDOWN

	2014	Share, %	2015	Share, %
Investment rating	1,790.3	81.9	1,672.9	58.8
Speculative rating	312.5	14.3	1,079.1	37.9
Not rated	84.3	3.8	92.6	3.3
Total debt securities	2,187.1	100.0	2,844.6	100.0

| DEBT SECURITIES ISSUED

	31 December, 2014 RUB bln	31 December, 2015 RUB bln	Change	
			RUB bln	%
Loan participation notes issued under the MTN programme of Sberbank	629.9	607.0	(22.9)	-3.6
Savings certificates	456.8	577.7	120.9	26.5
Bonds issued:				
- on the local market	80.2	70.1	(10.1)	-12.6
- on international capital markets	33.0	34.5	1.5	4.5
Promissory notes	73.3	80.7	7.4	10.1
Bonds issued under mortgage securitisation programme of Sberbank	9.7	7.2	(2.5)	-25.8
Deposit certificates	2.7	1.3	(1.4)	-51.9
Notes issued under the ECP programme of Sberbank	15.9	0	(15.9)	-100.0
Equity linked notes and credit linked notes	1.1	0	(1.1)	-100.0

The volume of debt securities in issue increased by 5.8% y-o-y in 2015. Savings certificates were the only component which increased significantly in 2015, by RUB 120.9 billion, or 26.5% y-o-y. Promissory notes balances also demonstrated growth of 10.1%. At the same time loan participation notes issued under the MTN programme of Sberbank decreased by RUB 22.9 billion due to repayment of several issues upon maturity. The reason for only a slight reduction in the balances of these notes despite the repayments was a significant weakening of Russian Rouble to the main foreign currencies. Also, notes issued under the ECP programme of Sberbank were fully repaid in 2015.

| EQUITY

	31 December, 2014 bln RUB	31 December, 2015 bln RUB	Change,	
			bln RUB	%
Share capital	87.7	87.7	-	-
Treasury shares	(7.6)	(6.7)	0.9	-11.8
Share premium	232.6	232.6	-	-
Revaluation reserve for office premises	72.3	69.3	(3.0)	-4.1
Fair value reserve for investment securities available-for-sale	(171.4)	(45.7)	125.7	-73.3
Foreign currency translation reserve	83.2	101.1	17.9	21.5
Remeasurments of defined benefit pension plans	-	(0.7)	(0.7)	-
Retained earnings	1,718.8	1,935.2	216.4	12.6
Total equity attributable to shareholders of the Bank	2,015.6	2,372.8	357.2	17.7
Non-controlling interest	4.5	2.2	(2.3)	-51.1
TOTAL EQUITY	2,020.1	2,375.0	354.9	17.6

The Group's equity increased by 17.6% to RUB 2.4 trillion in 2015. The growth is attributed to the Group's profit earned as well as to gains from revaluation of investment securities available-for-sale recognised in other comprehensive income.

| CAPITAL ADEQUACY RATIO

	31 December, 2014 RUB bln	31 December, 2015 RUB bln
Tier 1 capital		
Share capital	87.7	87.7
Share premium	232.6	232.6
Retained earnings	1,718.8	1,935.2
Treasury shares	(7.6)	(6.7)
less Goodwill	(23.7)	(22.1)
Total Tier 1 capital	2,007.80	2,226.70
Tier 2 capital		
Revaluation reserve for premises	72.3	69.3
Fair value reserve for investment securities available-for-sale	(77.1)	(20.6)
Foreign currency translation reserve	83.2	101.1
Eligible subordinated debt	753.4	781.2
less Investments in associates	(4.3)	(6.5)
Total Tier 2 capital	827.5	924.5
Total capital	2,835.30	3,151.20
Risk weighted assets (RWA)		
Credit risk	22,845.30	24,225.70
Market risk	519.70	769.80
Total risk weighted assets (RWA)	23,365.00	24,995.50
Core capital adequacy ratio (Total Tier 1 capital to Total RWA)	8.6	8.9
Total capital adequacy ratio (Total capital to Total RWA)	12.1	12.6

Core capital adequacy ratio comprised 8.9% as at 31 December 2015. Total capital adequacy ratio amounted to 12.6% at 2015 year-end, which is significantly higher than the baseline set by Basel Committee (8%). At the same time capital adequacy ratios demonstrated growth in 2015 compared to 2014 as a result of the Group's total capital growth.

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APPENDICES

GLOSSARY

BRaille ALPHABET means a tactile writing system used by people who are blind or visually impaired for writing and reading.

CASH MANAGEMENT means a set of banking and accounting services provided by individual banks (or their associations) to corporate clients for the management of their cash for the purpose of optimising internal financial flows and corporate planning in order to maximise their income.

CIB means the corporate and investment unit, which has been operating under the Sberbank CIB brand since October 8, 2012.

COMPLIANCE CONTROL means internal control over the compliance of activity in the financial markets with the laws on financial markets in the credit institution. It is a part of the internal control system of a credit institution.

CONTACT CENTER means a special internal unit of the bank which supports interaction with clients using means of telecommunication (telephone, web) with regard to different issues of service.

CORPORATE SOCIAL RESPONSIBILITY means a set of principles and liabilities the bank complies with in the course of its activity with regard to:

- ✓ management of interaction with stakeholders;
- ✓ assessment and management of impact on the national economy, social sphere and environment.

COST/INCOME means a financial indicator of the performance of companies, the ratio of cost to income.

CREDIT FACTORY means a lending process for retail customers and small business entities which is based on the centralised and automated processing of credit applications followed by a decision on the possibility of lending.

CROSS CURRENCY means

CROWDSOURCING means the meeting of objectives significant for the bank through the engagement of intellectual resources of a wide circle of volunteers, usually using information technology.

CUSTOMER POINTS OF SERVICE means additional and operating offices, operating cash desks outside the cash unit, and mobile cash transaction units where the customer may receive some or all bank services.

DDoS Attack – distributed denial of service attack.

DIVIDEND means a part of the income earned by a business entity which is distributed among its shareholders.

DUE DILIGENCE means the procedure for building an unbiased idea of an object of investment.

EMPLOYEE ENGAGEMENT means an employee's emotional and intellectual state in which they try to perform their work in the best possible way and are willing to contribute to the company's development and success.

ENVIRONMENT means the natural surroundings where the organisation is functioning, including the air, water, earth, natural resources, flora, fauna, people, and their relationships.

EXECUTIVES means employees holding senior executive positions according to the job pyramid of Sberbank and employees whose positions provide for the possibility to have subordinates and to lead a team during project activity (in subsidiaries and companies of the Group).

EXIAR means Export Insurance Agency of Russia.

FINELENT means a platform for corporate data management and business process management at the enterprise.

FRAUD MONITORING SYSTEMS means systems that enable automatic detection and blocking of suspicious transactions in accordance with preset rules (fraud—unauthorised access to communication services or receiving services as a result of unauthorised access).

GEMBA means (Japanese) an approach according to which it is necessary to visit the site of a work process to collect facts and to make a decision directly onsite.

GEOMARKETING means a marketing study technique based on the methods of geographic analysis of different geographically dispersed objects and phenomena that is used to determine the target audience in the desired territorial unit, discover the best location for a new object, develop a concept for an existing or planned object, etc. A detailed description of the geomarketing technique is given in the Sberbank Corporate Social Responsibility Report 2013.

HAZARDOUS WASTE means toxic, explosive, or flammable wastes, wastes with high reactive capacity, wastes containing pathogens, and waste that may represent actual or potential hazard for the environment and human health, whether independently or in contact with other substances.

IMPACT means positive or negative changes in the society, economy, or environment which fully or partially result from the bank's activity.

LOCAL SUPPLIERS means organisations or legal entities that supply products or services to a Group participant and are registered in the same country as such participant.

MASS-JOB EMPLOYEES means employees engaged in providing service to retail customers and small- and microbusiness; employees of the unified cash settlement centre; the employees of customer transaction support centres; employees of the cash collection service, cash units and centres; specialists engaged in handling of toxic assets, underwriting, etc.



ABBREVIATIONS

MINORITY SHAREHOLDER (MINORITY) means a company shareholder (individual or legal entity) the size of whose holding does not allow them to directly participate in company management (e.g., by way of forming the board of directors). Such shareholding is called “noncontrolling.”

OFFICE REFORMATTING means modernisation and re-equipping of an office to give it a new format that meets today’s requirements.

OUTPLACEMENT means a programme for the management of career endings and further employment of employees.

OUTSOURCING means a method of workflow management where certain functions are delegated to external specialised contracting companies, while the main company earns additional income from its intangible asset—organisational capital.

OVERDRAFT means bank lending to a client’s settlement account for payments under payment documents in case of the insufficiency of funds in the settlement account of the borrowing client.

OVERNIGHT means a form of short-term corporate deposit.

QUANTO SWAP means a differential swap; a swap of two LIBOR rates, when payments are made in a single currency.

REMOTE SERVICE CHANNELS means ATMs, text service, Mobile Banking, Sberbank Online.

SECURITISATION means the process that allows the replacement of bank borrowings and lending with the issue of Eurobonds. The Bank will borrow money from its savers (investors) and will lend it to borrowers charging a fee for both transactions alongside the accrual of interest. The possibility for the borrower to receive money directly from investors by way of issuing and offering them bonds (or shares) makes it possible to reduce the borrowers’ and the creditors’ costs.

SKIMMING means a kind of fraud with bank cards using special devices (skimmers) for reading the information from the card, e.g., the magnetic strip or PIN.

STAKEHOLDERS means private clients and legal entities or groups of entities that influence the bank and its activity and/or are influenced by the bank (clients, employees, shareholders, governmental authorities, nonprofit organisations, etc.).

TOP MANAGERS means the CEO, Chairman of the Executive Board of the Bank, Deputy Chairmen of the Executive Board of the Bank, Senior Vice Presidents, Vice Presidents, and Heads of Departments.

A.Ş. – joint-stock company (Turkish, Anonim Sirketi)

AG – joint-stock company (German, Aktiengesellschaft)

AGSM – Annual General Shareholders’ Meeting

ALM – asset-liability management

ALMC – Assets and Liabilities Management Committee

ANO – autonomous noncommercial organisation

AS – analytical system

BA – Bachelor of Arts

Bank of Russia – the Central Bank of the Russian Federation

BDC – business development centre

BRICS – Brazil, Russia, India, China, South Africa

BS – Bachelor of Science

CB – commercial bank

CCG – Code of Corporate Governance

CJSC – closed joint-stock company

CLP/FT – countering the legalisation (laundering) of proceeds from crime and financing of – terrorism

CO – central office

CRM – Customer Relationship Management system

CSB – Chairman of the Supervisory Board

CSI – customer satisfaction index

CSR – corporate social responsibility

CSS – cash and settlement service

CSU – centrally subordinated units

CTA – current transactions account (current account)

CTF – commodity trade finance

DCM – primary offering of debt securities (debt capital market)

DIA – deposit insurance agency

DLP – data leak/loss prevention

DPC – data processing centre

EARD – events after the reporting date

ECA – export and credit agencies

ECM – lines for primary offering of shares (equity capital market)

ECP Programme – the eurocommercial paper issuance programme

EMIR – the European Market Infrastructure Regulation designated as Regulation (EU) – 648/2012, adopted 4 July, 2012, on OTP derivatives, central counterparties and – trade repositories, and associated regulations, including regulations supplementing – and implementing the above regulation

EVM – an international standard for transactions with bank cards with a chip designed – together by Europay, MasterCard, and Visa

EXIAR – Export Insurance Agency of Russia

FCCM – Financial Crime and Compliance Management, a system for monitoring the – customers' transactions based on the Oracle platform

FLB – federal loan bonds

FRS – Federal Reserve System

FTS of Russia – Federal Tax Service

GDP – gross domestic product

GDR – German Democratic Republic (a country in the Central Europe that existed from – 7 October, 1949, to 3 October, 1990)

GRI – Global Reporting Initiative

HUF – housing and utility facilities

IC – insurance company

ICS – intelligent control system

iFOBS – interactive front office banking system

IFRS – International Financial Reporting Standards

IMF – International Monetary Fund

ISO 26000 – the international standard for Social Responsibility

ISO 27001 – the international standard for information security developed jointly by the – International Organisation for Standardisation and the International – Electrotechnical Commission

ISU – internal structural units

IT – information technology

JSC – joint-stock company

KPI – key performance indicators

LIBOR – London Inter Bank Offering Rate

LLC – limited liability company

MSc – Master of Science

MA – Master of Arts

MBA – Master of Business Administration

MED of Russia – Ministry of Economic Development of the Russian Federation

MIA of Russia – Ministry of Interior Affairs of the Russian Federation

MICEX – Moscow International Currency Exchange

MM – mass media

MPI – mandatory pension insurance

MTN Programme – medium term note programme

MUR – minor and underdeveloped regions

NBU – National Bank of Ukraine

NCI – nonbank credit institution

NJSC – nonpublic joint stock company

NPF – nongovernment pension fund

NPL90+ – the share of nonperforming loans with payments on interest or principal debt – which are past-due for over 90 days

NPS – Net Promoter Score, an index that shows the customer's willingness to recommend Sberbank to its friends and acquaintances. It has been adopted in global practice as a key customer loyalty indicator

NSD – National Settlement Depository

NWF – National Wealth Fund of Russia

OCP – open currency position

OIJSC – open insurance joint-stock company

OJSC – open joint-stock company

OUIF – open unit investment fund

PEMS – performance efficiency management system

PFR – Pension Fund of the Russian Federation

PhD – Doctor of Philosophy

PJSC – public joint-stock company

PLA – people with limited abilities

Plc. – public limited company

PRC – People’s Republic of China

PS – payment system

QMS – queue management system

RBS – remote banking service

RF – Russian Federation

ROA – return on assets

ROAE – return on average equity

ROE – return on equity, the ratio of retained profit for a period to the average equity (not – including subordinated loans)

ROSINCAS – Russian Cash Collecting Association

RTS – Russian Trading System

SB – subsidiary bank

SB – Supervisory Board

SBE – Sberbank Europe AG

SC – state corporation

SLA – service level agreements

SMB (SME) – small and medium business (small and medium enterprises)

SMS – savings and mortgage system

SST – self-service terminal

TB – territorial bank

UAH – Ukrainian hryvnias

UDCC – Unified Distributed Contact Centre

USA – United States of America

VAT – value added tax

VHI – voluntary health insurance

RISK MANAGEMENT REPORT

CREDIT RISKS

Credit Risk is the downside risk associated with the loss of value of a financial asset (loan, debt securities held to maturity) due to the default or deterioration in the credit quality of the counterparty/issuer.

Counterparty risk in financial market operations is a risk associated with the counterparty's unwillingness or inability to perform liabilities under a transaction completely and in a timely manner.

Concentration Risk (in terms of Credit Risk) is associated with the provision of large loans to a single borrower/group of related borrowers; the concentration of debt in individual sectors of the economy, segments, portfolios, geographic regions; and similarly, by investments in securities.

Residual risk is the risk that the risk reduction measures may not produce the desired effect in connection with the implementation concerning the legal risk, liquidity risk.

GENERAL DESCRIPTION OF CREDIT RISK MANAGEMENT

The purpose of credit risk management is to identify and ensure the level of risk required to ensure the sustainable development of the Group, as determined by the Banking Group development strategy and the macroeconomic parameters.

Objectives of the Group in credit risk management are as follows:

- ✓ To implement a systematic approach, to optimise the sectoral, regional, and product portfolio structure in order to reduce the level of credit risk
- ✓ To increase the competitive advantages of the Group due to more accurate assessment of the accepted risks and the implementation of risk management measures, including a decrease in realised credit risks
- ✓ To maintain stability when introducing new products, including more complex ones

The Group applies the following methods of credit risk management:

- ✓ Preventing risk before the operation
- ✓ Planning the risk level by means of evaluation of the level of expected losses
- ✓ Limiting credit risk by setting limits
- ✓ Creating provisions for possible losses from loans issued
- ✓ Structuring of transactions
- ✓ Managing the collateral for transactions
- ✓ Using the system of authorities when making decisions
- ✓ Monitoring and controlling the risk level

Credit risk assessment is carried out for the Bank as a whole and for individual portfolios of assets as well as broken down by individual counterparties, countries, regions, and industries. The assessment is based on statistical models of credit risk quantification.

The Bank has created a unified system of internal ratings based on economic and mathematical models for evaluating risk parameters. Models are reviewed periodically based on historical data.

In 2015, Sberbank was the first bank in the Russian Federation to petition Bank of Russia to use its internal ratings to assess credit risk for the purpose of calculating capital adequacy standards.

In 2016, the Bank will continue to develop its internal risk assessment models by using elements of artificial intelligence, including self-learning scoring models and automated adaptation to new situations in real time.

Assessment of individual counterparty risks of the transactions is conducted for:

- ✓ Corporate customers, banks, small business entities, countries, subjects of the Russian Federation, municipal formations, insurance and leasing companies based on the system of credit ratings, and by building models of predicted cash flows or other important indicators
- ✓ For individuals and microbusinesses based on the scoring assessment of a counterparty's solvency in accordance with Bank rules and express assessment

Risk limitation and the control of expected losses due to the default of the counterparty is provided through a system of limitations for transactions involving credit risk. The scope of the limit is determined by the level of the counterparty's risk that depends on the borrower's financial position and other factors, such as external influence, management quality, and assessment of business reputation. Country limits are subject to specific qualification.

To improve the quality of its loan portfolio, the Bank developed and approved sectoral strategies in 2015.

Proceeding from the principles of caution and the balance of probabilities and in order to cover the losses expected from a realisation of credit risk for assets exposed to credit risk, the Bank and the Group as a whole create provisions for possible losses from loans and other possible losses. These provisions are created in accordance with the requirements of Bank of Russia, Bank Regulators, International Financial Reporting Standards, and the internal regulations of the Bank and the Group as a whole, which provide for a regular monetary evaluation of credit risk (the losses expected in case credit risk is realised) taking into account the internal credit risks of counterparties.

To ensure the proper adequacy of procedures for evaluating the credit risk level and determining the amount of provisions for possible losses from loans, as well as lowering material and labour costs when classifying the total loans granted by the Bank and the Group as a whole, similar loans are classified as portfolios of similar loans; the provisions for such similar loans are created without seeking separate professional judgment on the credit risk level for each individual loan.

The Group controls the concentration of large credit risks and compliance with prudential requirements and predicts the level of credit risks. For this purpose, a list of related groups of borrowers is maintained at the Group member level, limits on borrowers are set, and the portfolio is analysed by segments and products.

The main tool for reducing credit risk is collateral. The need to accept collateral and the volume of accepted collateral depends on the risk of the borrower/transaction and is fixed in the terms of the loan products.

To hedge credit risks, the Bank has developed and implemented a collateral policy defining the basic principles and elements of dealing with collateral in lending. The Collateral Policy is aimed at enhancing the quality of the credit portfolio as regards collateral security. The collateral quality is determined by the probability of receiving cash and cash equivalents in the amount of the expected collateral value when enforcing upon the collateral or upon its sale. The collateral quality is indirectly characterised by the list and materiality of risks associated with the collateral and is determined by a number of factors: liquidity, accuracy of determining value, risk of depreciation, exposure to risks of loss and damage, legal risks, etc.

Collateral value is appraised based on an internal expert appraisal by the Bank's professionals, an appraisal by independent appraisers, or based on the cost of the collateral item in the borrower's accounting reporting, with discount applied. Guarantees for financially reliable legal entities as securities also require evaluation of risks of both the guarantor and the borrower. The Bank performs regular monitoring of pledged assets to ensure control over quantitative, qualitative, and cost parameters of the pledged assets, their legal affiliation, and conditions of storage and upkeep. Frequency of monitoring is defined by the requirements of Bank of Russia regulations, the conditions of credit product issuance, and the type of collateral.

The existing systems of limits and authorities optimise the credit process and duly manage all credit risk. A risk profile that determines authority for decision making based on the risk category of the application is assigned to each territorial subdivision/ Group bank. In turn, the application category depends on the borrower's risk, the aggregate limit on the borrower/group of related borrowers, and the transaction risk.

In 2016, the Bank plans to optimise decision making regarding corporate customers and CIB customers, including building systems that enable certain categories of customers to make their decision within one day (in real time).

As regards the management of troubled debt, in 2015, the Bank introduced behaviour scoring to the procedure for the remote collection of overdue individual loan debts. In 2016, the Bank plans to introduce a unified centralised retail collection system that covers the entire range of troubled debt settlement tools (remote, contact tools, and outsourcing).

| OVERDUE RECEIVABLES¹

		1 Jan, '16			
RUB million	Total	up to 30 days	From 31 to 90 days	From 91 to 180 days	over 180 days
Legal entities	567,974	121,172	80,158	78,615	288,030
Individuals	303,386	79,961	35,626	26,123	161,676
Credit institutions	64	64	—	—	—
Total overdue debt	871,424	201,196	115,784	104,737	449,706

		1 Jan, '15			
RUB million	Total	up to 30 days	From 31 to 90 days	From 91 to 180 days	over 180 days
Legal entities	442,218	161,815	60,619	23,867	195,917
Individuals	253,007	87,228	37,128	28,640	100,011
Credit institutions	5,315	5,315	—	—	—
Total overdue debt	700,540	254,358	97,747	52,507	295

RESTRUCTURED LOANS

As of 1 January, 2016, the amount of restructured corporate loans amounts to RUB 2,907.5 billion, and their share in the corporate credit portfolio is 12.8% (as of 1 January, 2015, RUB 2,212.0 billion and 10.2 %, respectively). Restructuring means such alteration of the original material terms and conditions of the loan agreement made with the debtor to make them more favourable to the debtor than was provided for in the original material terms and conditions of the loan agreement.

As of 1 January, 2016, the amount of restructured loans to individuals in the credit portfolio amounted to RUB 149.2 billion, and their share in assets was 0.7% (as of 1 January, 2015, RUB 72.5 billion and 0.3%, respectively). The standard restructuring options provide for an increase in the period for using the loan, a change in the loan repayment procedure, full or partial waiver of penalties, and change in the currency of the loan.

¹ Here and further in the Risk management report according to the Russian accounting standards

LEVEL OF CONCENTRATION OF MAJOR CREDIT RISKS

The Bank pays close attention to controlling the level of concentration of major credit risks. The Bank conducts daily monitoring of major credit risks and forecasts compliance with the requirements imposed by Bank of Russia for¹ N6 (maximum exposure per borrower or group of affiliated borrowers) and N7 (limit on major credit risks) ratios. For these purposes, the List of Major and Related Borrowers of the Bank is maintained and monitored.

The share of loans of the 20 largest borrowers (groups of borrowers)² for 2015 changed from 24.5% to 27.8% of the customer loan portfolio. The Bank’s major borrowers come from various sectors of the economy; therefore, the credit risk is adequately diversified.

CREDIT RISK COVERAGE

The amount of loan provisions formed in 2015 increased by RUB 186.8 billion at the expense of the revaluation of currency loans and due to credit portfolio deterioration as a result of changes in macroeconomic indicators, including:

- ✓ Provision for loans to legal entities: by RUB 119.7 billion
- ✓ Provision for loans to individuals: by RUB 67.1 billion

An adequately high level of coverage exceeding the figure for the banking sector as of 1 January, 2016, was maintained.³

| SBERBANK CREDIT RISK COVERAGE INDICATORS

	1 Jan, '16	1 Jan, '15
Ratio of provisions to the total customer credit portfolio, %	6.1	5.1
Coverage of overdue debt by provisions, times	1.9 times	2.6 times

¹ Bank of Russia Instruction No. 139-I dated 3 December, 2012, On Obligatory Ratios of the Banks (as revised on 25 October, 2013).
² When calculating the figure, the data from Form 0409118 is used: the loan debt of the 20 largest borrowers (groups of companies) refers to the balance of the loan portfolio of legal entities and individuals; both the numerator and denominator include fixed-term, overdue debt, and cession agreements; the debt of the 20 largest companies includes the debt of Sberbank’s subsidiaries, while the debt of banks is ignored.
³ Data is taken from Table 16 of the express issue of the RF Banking Sector Overview, No. 161, 2016.

LIQUIDITY RISK

Liquidity risk management helps secure the bank’s ability to perform its liabilities to clients and contractors unconditionally and in due time in compliance with the regulations of Bank of Russia concerning the management of liquidity risk, either in normal business conditions or in crisis situations. In the process of managing liquidity risk, the Bank differentiates the risks of normative, physical, and structural liquidity.

Regulatory liquidity risk includes the violation of regulatory limits for obligatory liquidity ratios set by Bank of Russia (N2, N3, N4, and LCR). To manage regulatory liquidity risk, the Bank carries out a weekly monitoring and forecast of mandatory liquidity standards for various time horizons. In addition, Sberbank has established a system of limits for the values of statutory liquidity ratios that ensures compliance with the restrictions set by Bank of Russia both on the reporting dates and on interim dates taking into account possible fluctuations of certain balance sheet items.

Physical liquidity risk means the Bank’s inability to fulfil its obligations to contractors in any currency due to a lack of funds: the impossibility of making a payment, issuing a loan, etc. The tools for physical liquidity risk management in the short-term include a cash flow prediction model broken down by principal currencies and monitoring of accessible bank liquidity reserves. To cover a possible liquidity shortage in excess of available funds, the Bank can tap into liquidity provisions that include direct REPO transactions with Bank of Russia, the Federal Treasury, and market counterparties secured by securities, Federal Treasury deposits, currency swaps, and precious metal swaps; and borrowings from Bank of Russia secured by nonmarket assets and the guarantees of credit institutions.

Structural liquidity risk (the risk of concentration) means the probability of significant deterioration of physical or normative liquidity due to an imbalance in the asset and liability structure, including a strong dependence of the Bank’s liability base on one or more clients or funding sources in a certain currency or in a certain period.

The approach to liquidity management in 2015 was largely determined by the existing macroeconomic situation and the state of the Russian financial sector (sanctions imposed on Russia by the EU and USA, the volatility of the exchange rate of the rouble, and other factors). However, thanks to its flexible interest rate policy and effective management of the assets and liabilities base, in 2015, the Bank managed to reduce the amount of funds borrowed from Bank of Russia by RUB 3.0 trillion to RUB 0.8 trillion mainly by attracting funds from customers and by reducing the volume of cash as part of the optimisation of cash balance management. As of 1 January, 2016, the Bank maintains rouble and foreign currency reserves at an adequate level to respond to a deterioration in the liquidity situation.

In 2015, Bank of Russia announced the establishment of the Basel III liquidity coverage ratio (LCR, N26) as a prudential ratio starting 1 January, 2016. The minimum admissible value of the ratio in 2016 stands at 70%, with another 10% annual increase until reaching 100% starting 1 January, 2019. The ratio for Sberbank shall be calculated at the level of Sberbank Group. Sberbank’s business plan requires strict compliance with liquidity standards throughout 2016.

As of 1 January, 2016, Sberbank more than complies with the mandatory liquidity standard limits established by Bank of Russia.

| COMPLIANCE WITH LIQUIDITY REQUIREMENTS

Liquidity requirements	Limit established by Bank of Russia	Cap established by Sberbank	Limit as of reporting date	
			1 Jan, '16	1 Jan, '15
N2	more than 15%	20%	116.4%	74.3%
N3	over 50%	55%	154.4%	66.4%
N4	less than 120%	115%	65.5%	111.2%

COUNTRY RISK

Transfer risk is the risk of losses due to the inability of counterparties from a specific country (except sovereign counterparties) to fulfil their obligations in a currency that differs from the currency of the counterparty's country for reasons other than standard risks (for reasons that depend on the government of the country, not the counterparty).

Risk of national economies is a loss risk concerning the inability or unwillingness of a sovereign counterparty of a specific country or the inability of other counterparties from this country to satisfy their obligations in the national currency for reasons that differ from standard risks (for reasons that depend on the government of the country, not the counterparty).

To limit and manage the risks accepted by the Group with regard to certain countries, the Bank has developed a system of country risk limits. These limits restrict the total concentration of transactions with counterparties from a given country, including sovereign borrowers/issuers and public authorities.

Transfer risk is assessed and capitalised within the Bank's Capital Adequacy Assessment Process, thus ensuring that sufficient financial resources are available to the Bank to cover possible losses in case of the realisation of this risk.

| COUNTRY CONCENTRATION OF THE BANK'S ASSETS AND LIABILITIES

RUB million	1 Jan, '16				
	Russia	CIS	Countries from the Group of Developed Countries	Other Countries	Total
Assets					
1. Cash and cash equivalents	732,790	—	—	—	732,790
2. Mandatory cash balances with the Central Bank of the Russian Federation	586,685	—	—	—	586,685
3. Funds in credit institutions	7,356	514	328,626	19,489	355,985
4. Financial assets carried at fair value through profit or loss	176,416	19	21,254	208,288	405,978
5. Net loan debts	14,169,959	433,395	1,601,808	664,641	16,869,803
6. Net investments in securities and other financial assets available for sale	1,774,654	56,010	155,698	329,994	2,316,357
7. Net investments in securities held to maturity	410,978	5,119	20,376	—	436,472
8. Current profit tax claims	19,774	—	—	—	19,774
9. Deferred tax asset	—	—	—	—	—
10. Fixed assets, intangible assets, and inventories	477,344	—	—	11	477,355
11. Other assets	468,151	2,435	9,603	25,527	505,716
12. Total assets	18,824,108	497,492	2,137,365	1,247,950	22,706,916
Liabilities					
13. Loans, deposits, and other funds of Bank of Russia	768,989	—	—	—	768,989
14. Funds of credit institutions	393,702	20,091	144,112	60,459	618,364
15. Funds from customers other than credit institutions	16,434,973	45,480	1,060,079	181,892	17,722,423
16. Financial liabilities carried at fair value through profit or loss	103,528	—	59,819	64,820	228,167
17. Issued debt obligations	647,694	—	—	—	647,694
18. Current profit tax liability	5,404	—	—	—	5,404
19. Deferred tax liability	93,348	—	—	—	93,348
20. Other liabilities	215,849	381	22,007	18,331	256,567
21. Provisions for possible losses on credit contingencies and other losses	36,366	1,070	0	369	37,805
22. Total liabilities	18,699,857	67,021	1,286,017	325,871	20,378,763
Net position	124,252	430,471	851,348	922,080	2,328,153

¹ The countries of the Group of Developed Countries include: Australia, the Republic of Austria, the Grand Duchy of Luxembourg, the Hellenic Republic, Ireland, the Italian Republic, Canada, the Kingdom of Belgium, the Kingdom of Denmark, the Kingdom of Spain, the Kingdom of the Netherlands, the Kingdom of Norway, the Kingdom of Sweden, New Zealand, the Portuguese Republic, the United Kingdom of Great Britain and Northern Ireland, the United States of America, the Federal Republic of Germany, the Republic of Finland, the French Republic, the Swiss Confederation, and Japan.

RUB million	1 Jan, '15				
	Russia	CIS	Countries from the Group of Developed Countries	Other Countries	Total
Assets					
1. Cash and cash equivalents	1,240,712	—	—	—	1,240,712
2. Mandatory cash balances with the Central Bank of the Russian Federation	369,676	—	—	—	369,676
3. Funds in credit institutions	35,826	866	192,524	127,271	356,487
4. Financial assets carried at fair value through profit or loss	508,589	107	48,740	268,252	825,688
5. Net loan debts	13,505,010	322,150	910,970	1,151,249	15,889,379
6. Net investments in securities and other financial assets available for sale	1,456,626	46,883	115,211	126,770	1,745,490
7. Net investments in securities held to maturity	342,398	6,316	17,760	—	366,474
8. Current profit tax claims	67,058	—	—	—	67,058
9. Fixed assets, intangible assets, and inventories	478,598	—	—	14	478,612
10. Other assets	310,005	2,716	67,819	26,644	407,184
11. Total assets	18,314,498	379,038	1,353,024	1,700,200	21,746,760
Liabilities					
12. Loans, deposits, and other funds of Bank of Russia	3,515,818	—	—	—	3,515,818
13. Funds of credit institutions	299,725	52,206	343,563	99,362	794,856
14. Funds from customers other than credit institutions	12,869,762	31,196	925,475	200,291	14,026,724
15. Financial liabilities carried at fair value through profit or loss	210,912	10	113,428	293,595	617,945
16. Issued debt obligations	513,402	—	—	—	513,402
17. Current profit tax liability	2	—	—	—	2
18. Deferred tax liability	42,891	—	—	—	42,891
19. Other liabilities	182,665	262	25,766	7,560	216,253
20. Provisions for possible losses on credit contingencies and other losses	35,325	43	—	1,163	36,531
21. Total liabilities	17,670,502	83,717	1,408,232	601,971	19,764,422
Net position	643,996	295,321	-55,208	1,098,229	1,982,338

FINANCIAL MARKET RISKS

This category includes the following types of risks:

- ✓ Interest risk for the debt securities portfolio of the trade book is the risk arising as a result of adverse changes in market rates.
- ✓ Stock risk of the trade book is risk arising as a result of adverse changes in equity security quotations.
- ✓ Currency risk of the trade book is risk arising as a result of adverse changes in foreign exchange rates and precious metals prices.
- ✓ Commodity risk is risk arising as a result of adverse changes in prices for commodity instruments.
- ✓ Market credit spread risk is a risk of losses due to unfavourable changes in the market prices of financial instruments whose current fair value depends on the market appraisal of credit quality of a debt security issuer/transaction party (related name) (of an instrument profitability component reflecting the level of the issuer/contractor's credit risk), with deterioration of credit quality of the issuer/contractor, including their default.
- ✓ Volatility risk is a risk of losses or reduction of profit associated with changes in the volatility of the price of a financial instrument underlying asset.

The level of trading position risks is assessed by the Bank based on the VaR [Value-at-Risk]¹ model using the historical simulation method with a confidence probability of 99% at a 10-day horizon, with mark-ups factored in for the inherent risk related to change in the prices for individual instruments due to reasons other than a change in the overall market situation.

MARKET RISK²

Risk type	Risk level RUB billion		Risk level % of capital	
	1 Jan, '16	1 Jan, '15	1 Jan, '16	1 Jan, '15
Market risk	96.6	47.6	3.61	2.11
On portfolio of debt securities	83.5	46.7	3.12	2.07
Stock market risk	0.0	1.0	0.00	0.04
Currency risk	13.2	2.8	0.49	0.12
Effect from diversification of investments	-0.1	-3.0	0.00	-0.13

¹ VaR means Value at Risk.

² Calculated based on the Bank's total position of financial instruments, including the banking book position, and on the Bank's total open foreign exchange position.

The increase in market risk as of 1 January, 2016, compared to 1 January, 2015, is the result of an increase in volatility caused by a shift of the historical volatility window used in modelling possible scenarios of how the value of instruments in a portfolio may change. According to the procedure for market risk level assessment, such scenarios are modelled using a historical window corresponding to a two-year period prior to the date of calculation. In addition, the rise of market risk is attributed to an expanded range of financial instruments covered as part of the VaR calculation.

The absence of stock market risk is caused by the liquidation of stock positions in the trading book held on the balance sheet of Sberbank in accordance with the decision to approve the stock portfolio management strategy.

INTEREST RATE AND CURRENCY RISKS OF THE BANKING BOOK

Interest rate and currency risks of the banking book are the risks of the Bank incurring financial losses under banking book positions due to a negative change in interest rates, foreign currency exchange rates, and prices for precious metals.

The main objectives of managing these types of risk are:

- ✓ Minimising potential losses from a realisation of interest rate and currency risks
- ✓ Compliance with regulators' requirements
- ✓ Risk-return optimisation

INTEREST RATE RISK OF THE BANKING BOOK

Definition and sources of risk. The Bank assumes the interest rate risk associated with the effects of fluctuations in the market interest rates on cash flows. Interest rate risk of the banking book includes:

- ✓ The interest rate risk arising due to maturity mismatches (repricing of interest rates) of assets and liabilities that are sensitive to changes in interest rates when shifting in parallel, changing the slope and shape of the yield curve
- ✓ The basis risk arising from a mismatch in the degree of change in interest rates of assets and liabilities that are sensitive to changes in interest rates with similar maturity (interest rate repricing period)
- ✓ Prepayment (interest rate revision) risk regarding assets and liabilities that are sensitive to interest rate changes

Interest rate risk management during aggravation of the political situation.

In 2015, Sberbank mitigated rouble interest rate risk by implementing a set of anticrisis measures adopted by the Bank. Starting in 2016, as part of its interest risk management, the Bank shall establish a target position for interest risk compliance in Sberbank Business Plan; to reach this target, indicators have been established related to the monitoring of the volumes and maturity structure of products, which is subject to regular discussion by the Assets and Liabilities Management Committee.

Interest rate risk assessment. In accordance with the recommendations of the Basel Committee, a standardised shock shall be used to measure interest rate risk. Forecasting of possible changes in interest rates is carried out separately with respect to the rouble position and is aggregated by the currency position. Interest rate shock is calculated as the 1% and 99% quantiles of the distribution of the average interest rate change obtained by the method of historical simulations according to data for at least the last 5 years. As a base interest rate for the assessment of rouble interest rate shock, an indicative rate of rouble interest rate swaps for a period of 2 years (RUB IRS 2Y) is used, as well as the LIBOR 3M for the currency position.

The table below shows the impact of the growth and decline of interest rates on the Bank's profit before tax on a 1-year horizon as of 1 January, 2016, compared to 1 January, 2015:

	Decline in interest rates		Growth of interest rates	
	1 Jan, '16	1 Jan, '15	1 Jan, '16	1 Jan, '15
RUB				
Change in interest rates, b.p.	-411	-626	722	1,130
Change in profit before tax, RUB million	128,962	261,393	-226,514	-472,196
Turkish lira				
Change in interest rates, b.p.	-402	-353	689	626
Change in profit before tax, RUB million	28,298	10,047	-48,459	-17,813
Other currencies				
Change in interest rates, b.p.	-36	-15	124	56
Change in profit before tax, RUB million	-3,198	-174	10,883	634

The change of the interest rate in the bank book in Russian roubles as of 1 January, 2016, when compared to 1 January, 2015, was mainly attributable to:

- ✓ A reduction in short-term borrowings from Bank of Russia
- ✓ An increase in the portfolio of individual funds
- ✓ A decrease in the volatility of interest rates in Russian roubles

The change of interest rate risk in the banking book in Turkish lira as of 1 January, 2016, in relation to 1 January, 2015, is largely driven by growing interest rates in Turkish lira and an increase in the Denizbank Group’s balance.

The change of interest rate risk in the banking book in other foreign currencies as of 1 January, 2016, in relation to 1 January, 2015, is largely driven by:

- ✓ The growth of volatility for interest rates in US dollars
- ✓ Sberbank’s termination of raising public funding in US dollars
- ✓ A reduction in the maturity of the legal entities loan portfolio

CURRENCY RISK OF THE BANKING BOOK

The Bank is exposed to currency risk due to the presence of open currency positions.¹ The main sources of banking book OCPs are: lending and raising funds in foreign currency and income earned in foreign currencies. Currency risk is realised due to unfavourable changes in exchange rates.

The Treasury undertakes daily aggregation of OCPs and manages the Bank’s open currency position in the banking book to reduce the currency risk. The Bank uses spot settlement exchange transactions, forward contracts, and USD futures contracts traded on MICEX as the main instruments for risk management.

In 2014–2015, the Bank closed the currency positions of the bank book; consequently, the Bank did not suffer any losses due to the considerable weakening of the exchange rate of the Russian rouble compared to foreign currencies on banking book positions.

| THE CUMULATIVE VALUE OF THE BANK’S OCPS FOR THE BANKING AND TRADING BOOK²

Currency	1 Jan, '16				1 Jan, '15	
	USD	CHF	EUR	EUR	USD	CHF
Amount of OCPs, RUB million	73,190	11,175	9,928	31,968	(18,666)	13,450
Amount of OCPs, % of capital	2.77	0.42	0.38	1.41	0.82	0.59

¹. OCP means open currency position.
². The table cumulatively provides the 3 biggest OCP values regarding the banking and trading book as calculated in accordance with Bank of Russia Instruction No. 124-I.

OPERATIONAL RISK

Operational risk is the risk of the bank incurring losses as a result of shortcomings/ errors in the organisation of processes of the bank, employee error, or misuse by third parties, failures in operation of information systems, and due to external events.

As part of operational risk management, the Bank has introduced the processes of collecting internal data on incidents of operational risk, conducting self-assessment, and scenario analysis. Regulatory documents for these processes have been approved.

The Bank is performing work in stages on connecting users of different functional blocks to the automated operational risk management system designed to identify and assess risk impact and collect and process information on measures for mitigation of risks by Bank units.

Allocation of the amount of damage from serious incidents of operational risk among the Bank’s responsible units is performed on a regular basis. For the purpose of enhancing the quality of operational risk management, the allocated damage data is recorded in the scope of key performance indicators of the heads of functional units in the central office and of the heads of territorial banks. Furthermore, the Bank has approved approaches for the calculation of internal structural units’ rating by level of operational risks and an action plan for mitigating these risks. Uniform principles for taking disciplinary action against employees committing errors or illegal actions and against their superiors have been developed. For the purpose of building prompt interaction on a constant basis, the Bank raises risk coordinators’ awareness of the identification and management of operational risks and imposes disciplinary action on those risk coordinators who commit violations in providing information about the incidents and their causes.

During the general operational risk management processes in the Group, the subsidiaries Denizbank AS, Sberbank of Russia JSC (Ukraine), BPS-Sberbank OJSC (Belarus), Sberbank JSC (Kazakhstan), Sberbank Leasing CJSC, and Cetelem Bank LLC have implemented the presentation of monthly reports on operational risk incidents in a general group format.

For the purpose of enhancing the proactiveness of Bank employees in risk identification and elaboration of measures for risk mitigation, the Bank chooses the best proposals from Sberbank employees for operational risk mitigation and implements measures for the encouragement of such employees. To minimise risks of the Bank associated with the failure to perform/improper performance of agreements for the supply of goods and services by suppliers, the tender commission applies a scoring model for the assessment of such risks and for determining a potential loss of the Bank.

As part of operational risk mitigation measures, the Bank has finished the implementation and replication of the Client Session technology, which makes it possible to exclude settlement of transactions without the customer’s consent. To avoid the settling of transactions on accounts via remote service channels without customer authorisation, a fraud monitoring system has been implemented in Sberbank Online,

and the service “Mobile Banking” is blocked automatically for inactive cell telephones of clients or on the basis of data on infection with malicious software. The Bank clients using mobile applications on Android can use a full-service Sberbank Online mobile app with an integrated security component.

For the purpose of enhancing cash discipline, the Bank has implemented a cash transactions control system and improved its cash liquidity management process. The Bank has also implemented improvements in its automated systems that exclude the possibility of double crediting of loan proceeds to the accounts of individuals.

RISK OF LOSSES DUE TO A CHANGE OF THE PROPERTY VALUE

Risk of losses due to a change of immovable property value is a risk of losses due to unfavourable change of the cost of property owned by the Bank (for instance, its own buildings or buildings obtained as a part of bankruptcy proceedings).

The key risk metric characterising the risk of loss due to a change of cost of the immovable property is economic capital. The main purpose of calculating the economic capital is to assess the potential amount of unexpected losses in the event of realisation of a risk to define the proper level of available financial resources of the Bank to provide coverage with a defined reliability level (confidence coefficient) at a 1-year horizon.

RUB billion	1 Jan, '16	1 Jan, '15
Real estate portfolio volume	359.6	350.0
Growth rate of the real estate portfolio volume	2.8%	
Nondiversified economic capital	67.5	53.3
Diversified economic capital	41.1	30.6
Growth rate of the diversified economic capital	34.3%	
Share in the diversified economic capital	1.9%	1.8%

The weight of this type of risk in the general structure of the Bank’s economic capital remains stably low. Economic capital growth is caused by the current market situation (the decline of prices for real estate).

COMPLIANCE RISK

Compliance risk means the risk of legal sanctions or sanctions of regulators, significant financial loss or loss of reputation of the Bank or other Group member as a result of their noncompliance with laws, regulations, rules, standards of self-regulatory organisations, or codes of conduct and ethical norms of business.

The main directions of the activities of the Bank and the Group members in compliance risk management are:

- ✓ Prevention of misuse of authority and corruption actions of employees of the Bank and Group members
- ✓ Prevention and settlement of conflicts of interest arising in the course of performance by the Bank and Group members of their activities
- ✓ Counteracting money laundering and financing of terrorism
- ✓ Compliance with licence requirements and other regulatory requirements related to financial markets
- ✓ Providing for market conduct and fair competition when performing transactions on financial markets, prevention of unscrupulous business practices on financial markets (use of insider information, price manipulation, etc.)
- ✓ Compliance with economic sanctions and restrictions established by the Russian Federation and international organisations and certain countries
- ✓ Protection of the rights of clients, including as regards investment activities

In furtherance of the above areas, the Bank has developed and approved internal regulatory documents and introduced review procedures. Compliance control is organised systematically involving all employees of the Bank and participants of the Group; it is performed continuously.

Throughout 2015, the Bank was actively improving and automating the review procedures for compliance activities, adapting the best international practices of compliance control, and bringing the compliance methodology of the Bank into conformity with new legislation and internal regulatory documents of the Bank. In particular, the IT service for monitoring controlled transactions, “Countering the Legalisation of Proceeds and the Financing of Terrorism (Oracle FCCM),” was commissioned. As part of its training activities, in 2015, the Bank started mass training of its employees in conflict of interest management and anticorruption practices.

In 2015, the Code of Corporate Ethics of Sberbank Group was approved. It sets out unified rules of business ethics and business conduct for all companies of the Group. The Code applies to all employees of the Bank and the Group, regardless of their positions, and to members of the Bank’s Supervisory Board.

LEGAL RISK

Legal risk is the possibility of the Bank suffering financial losses, unplanned expenses or the possibility of reducing projected revenues as a result of:

- ✓ Nonconformity of internal regulations, organisational and administrative documents of the bank/Group member with the requirements of legislation, legal acts, and law enforcement practice
- ✓ Failure to take into account (ignoring) judicial and law enforcement practice
- ✓ Deficiencies of the legal system (contradictory laws, lack of legal norms on regulating certain issues arising in the activities of the Bank)
- ✓ Legal errors made in carrying out activities (incorrect legal advice or improper preparation of contracts or the Bank's internal documents)

The purpose of legal risk management is to ensure the conformity of the activities and products of the Bank/Group members with the requirements of the law and law enforcement practice.

The main factors/events that can reinforce the impact and scale of legal risk are:

- ✓ Changes in legislation, requirements of regulatory authorities, judicial and law enforcement practice
- ✓ Inconsistency of judicial and law enforcement practice and regulatory collisions
- ✓ Complication of financial instruments and strategies and/or the mastering of new products and technologies

To support decision making and to respond in a timely manner to changes at the level of legal risk, the Group generates timely and standardised reporting of incidences of losses (damages) related to the realisation of legal risk, the current level of legal risk, the legal risk management level, and current status of measures for legal risk minimisation.

The level of legal risk is compared with the data for previous reporting periods; when there are significant deviations, the reasons for the sharp increase or decrease in the corresponding figure are analysed, and—if necessary—proposals for amending the banking processes are prepared.

In 2015, the Group members approved their Legal Risk Management Policies. From the beginning of 2015, the Group members prepare and submit reports to the Legal Department on a quarterly basis on legal risks and legal risk incidents for analysis of legal risk events in Group members as well as at the level of the Group as a whole.

At present, the legal risk management processes of Group members are being harmonised with Bank requirements.

REGULATORY RISK

Regulatory risk is the risk of the occurrence of negative financial and other consequences for the Bank and Group if a competent authority exercises its right to develop a statutory regulation, and there is a possibility of its adoption.

To create an effective process for managing regulatory risk, the Bank has adopted internal regulations governing this process and provided for the minimisation of regulatory risk with respect to the key draft regulations of the Bank.

As part of the process of managing the regulatory risk, the Bank has regulated the activity of its officials and subdivisions with respect to prevention and reduction of the possibility of a regulatory risk. The Bank has organised the process of internal interaction when preparing proposals to create a comfortable legal environment for conducting business with the Bank and to minimise the consequences of detected regulatory risk.

The Bank has a collective advisory body—that is, a work group on the improvement of the legislative control and the creation of a favourable legal environment to provide implementation of the development strategy. A consolidated position of the Bank with respect to the regulatory initiatives and draft laws bearing regulatory risks is being elaborated in the Working Group.

In the reporting period of 2015, the Bank was forming a consolidated position for key regulatory areas in accordance with the plan of regulatory initiatives.

TAX RISK

Tax risk is uncertainty as to achievement of business goals as a result of the influence of factors associated with the taxation process that may appear as financial losses or any other adverse effects.

The goal of Sberbank Group in the area of tax risk management is to limit the negative effects of its implementation (fiscal, reputational, financial, and other) and ensure that members of the Group achieve their business goals in compliance with the requirements of tax laws.

As part of implementation of the development strategy, the Bank has created a successfully functioning multilevel tax risk management system that includes, among other things:

- ✓ Business tax support “from A to Z” (from the preliminary expert tax assessment of suggested transaction terms to defending the Bank’s interest in tax agencies and in court)
- ✓ Implementation of internal control procedures for the purpose of prompt discovery and elimination of incorrect application of rules/fulfilment of requirements of laws on taxes and charges
- ✓ Discovery and elimination of internal sources of tax inefficiency which indirectly affect the tax load level and, as a result, the Bank’s achievement of set business targets: processing of primary documents, automation of tax processes, synchronisation of pace of development of the tax function and Bank business
- ✓ Continuous monitoring of legislative initiatives and interaction with the controlling, regulatory, and legislative bodies for the development and application of laws on taxes and charges

The efficiency of this system is confirmed by the results of a field tax audit of Sberbank for 2011–2012 performed in 2014–2015: the amount of additional charges does not exceed 0.1% (0.00003%) of the total amount of taxes and fees paid for the respective periods.

Starting from 2014, the unified approaches toward assessment and management of tax risk implemented in the Bank are being gradually implemented in the members of Sberbank Group. Tax risk management is carried out independently by each Group member within the functions and authority assigned to such member and based on common requirements and procedures while taking into account the specific characteristics of its activities and the requirements of local regulators.

Following the results of 2014–2015, the current tax risk level in the Bank and in the Group is within the limits ensuring compliance with the direct requirements of tax laws and retention of the tax reputation of each Group member.

As of 1 January, 2016, the general group processes of tax risk management have been implemented in all subsidiary banks and in one-third of all noncredit institutions included in the system scope. In 2016, the Bank will continue to establish a unified tax risk management system for the banking group.

STRATEGIC RISK

Strategic risk is the risk of the Group incurring losses in more than 1 year’s time as a result of errors made at the time decisions were made which determine the development strategy. The errors may involve insufficient consideration of a potential hazard for the Group’s activity, incorrect identification of promising lines of business where the Group could achieve a competitive position, or an incomplete provision of the resources and administrative decisions that should enable the achievement of the strategic goals.

Business risk is defined as the risk of losses that may be incurred by the Group in up to 1 year’s time due to changes in the external environment, including changes in the Group’s earning capacity, for example, because of a drop in sales or increased operating expenses.

In November 2013, a Sberbank Development Strategy was approved for the period up to 2018. While developing the Strategy, possible scenarios for the development of the macroeconomic situation were analysed, and a number of forecast scenarios for development of the Russian economy was elaborated, with the conditions for transition between them defined.

The Development Strategy landmarks are based on an in-depth study of socioeconomic and technological tendencies in Russia and worldwide, an analysis of the attractiveness of some business areas, and an evaluation of compliance of the Bank’s system with world standards.

Operationalisation of the Development Strategy’s objectives, analysis of the “gaps” between the current and target state, implementation of initiatives related to their elimination, and clarification of the tasks in the short term take place in each cycle of business planning implemented on the basis of three-year rolling planning with annual updating. When developing a business plan, Sberbank pays special attention to the analysis of Development Strategy implementation to ensure the attainment of the strategic objectives of the Group.

In general, despite the changes in the economic and geopolitical landscape, the key focus areas of development outlined in the Development Strategy as a priority require no changes.

In the current economic conditions, Sberbank identifies the following main factors that may impact on the implementation of the Strategy.

Factors	Possible impact on Sberbank	Minimisation measures
State of the global economy and geopolitical risks	✓ The Group’s financial result may differ from the strategic plans	✓ Updating the forecasts for the development of the economy and banking markets as well as triggers for the transition between scenarios ✓ Clarification of the initiatives aimed at eliminating “gaps” between the current situation and the Development Strategy objectives
Slowdown of key banking markets and deterioration of asset quality in the banking markets	✓ Reduced performance of the Group’s business ✓ Increasing “bad” debt of the Group, reduced profitability	✓ Rescheduling of a number of the initiatives in pursuit of the most urgent tasks aimed at providing for the Bank’s activities during the crisis period (risk management, working with troubled assets, and development of Big Data)

Despite the complicated external conditions, the main qualitative KPIs set out in the Development Strategy are being met. Implementation of the Development Strategy is supported by the organised processes of strategic and business planning, project activities management, and an executive performance management system based on the above.

The range of key programmes and projects implemented with a view to meeting the objectives of the Development Strategy is still considered relevant. Under new economic conditions, Sberbank sees new opportunities for successful implementation of the Strategy by strengthening the technical component of a number of key initiatives:

- ✓ Strengthening positions in the Russian market and increasing the level of customer trust and loyalty (through knowledge about customers and feedback)
- ✓ Higher rates of restructuring of the sales system and management system with lower risks associated with scaling of transformations (individual price formation)
- ✓ Maintaining the potential for implementing strategic development projects at a time when competitors face problems with even supporting the current parameters of business
- ✓ Strengthening of technological leadership and improvement of reliability and availability of services for customers by accelerating market launch of new products and the systemic introduction of Big Data technologies
- ✓ A radical increase in the level of operating efficiency in each area of the Bank's operations through more efficient management of costs and the risk and return ratio and a reduced level of operational risk
- ✓ Further modernisation of the Group's management systems, qualitative improvement in managing services, processes, and projects based on a customer-centric approach and ensuring cross-functional interaction
- ✓ Creation of a single integrated management information system making it possible to identify and predict the appearance of gaps and "bottlenecks" to ensure a preventive response to opportunities and deviations
- ✓ Developing and training the team: creation of new skills, development of competences, and introduction of a new corporate culture.

On a regular basis, the Group and Group members evaluate the results of implementing the Development Strategy and attaining the targets set in the business plan. The analysis of deviations between actual and target indicators, the forecast of the strategy and business plan fulfilment subject to newly discovered circumstances form, among other things, the basis for decisions on adjusting the strategy or business plan making it possible to reduce the potentially adverse effect from strategic and business risks.

MODEL RISK

Model risk arises from uncertainty/errors in models (including risk measurement, appraisal of the cost of securities and financial instruments, liquidity assessment), including the risk of model parameters changing over time.

The aim of assessing the level of model risk is to identify the models that need to be reworked. Once identified, the model is reworked and validated again. The system of risk level indicators depends on the type of risk and is described in separate methodologies.

Following the results of 2015, 174 models have been validated, 23 of which required improvement.

REPORT ON COMPLIANCE WITH THE PRINCIPLES AND RECOMMENDATIONS OF THE CODE OF CORPORATE GOVERNANCE

This Report on compliance with the principles and recommendations of the Code of Corporate Governance was reviewed by Sberbank's Supervisory Board at the meeting held on 12 April, 2015, Minutes No. 16.

The Board of Directors confirms that the information presented in this Report contains complete and reliable information regarding the company's compliance with the principles and recommendations of the Corporate Governance Code for 2015.

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
1.1	The company shall provide for equal and fair treatment toward all the shareholders when exercising their right to participate in the company's management.			
	The Company creates the most favourable conditions for shareholder participation in the General Meeting and conditions for working out an evidence-based position on General Meeting agenda items, coordinating their activities, and the opportunity to express their views on the issues under consideration.	1. There exists a publicly available internal document of the company approved by the General Shareholders' Meeting and regulating the procedures for holding the General Meeting. 2. The Company provides an accessible way to communicate with the company, such as a hot line, e-mail, or forum on the Internet that allows shareholders to express their opinions and send in questions regarding the agenda during the preparation process for holding the General Meeting. Said steps were taken by the company before each General Meeting held in the reporting period.	✓ complied with	
1.1.2	The procedure for notification of the holding of the General Meeting and for the provision of materials to the General Meeting gives shareholders the opportunity to properly prepare for their participation in it.	1. Notification on the holding of a General Shareholders' Meeting is posted (published) on the website not later than 30 days before the date of the General Meeting. 2. Notification on the holding of the Meeting specifies the location of the meeting and the documents required for admission into the building. 3. Shareholders were provided with access to information about who proposed agenda items and who proposed nominees to the Board of Directors and Audit Commission of the company.	✓ complied with	

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1.1.3	During the course of preparation and the actual General Meeting, shareholders were able to receive information about the meeting and its related materials freely and in a timely manner, ask questions of the executive bodies and members of the Board of Directors of the company, and communicate with each other.	1. During the reporting period shareholders were given the opportunity to ask members of the executive bodies and members of the Board of Directors of the company questions before and during the Annual General Meeting. 2. The Board of Director's position (including special opinions included in the Minutes) on each item of the agenda of the General Meetings conducted during previous reporting periods was included in the materials for the General Shareholders' Meeting. 3. The Company provided the duly entitled shareholders with access to the list of persons entitled to participate in the General Meeting starting from the date of its receipt by the company for every General Meeting held in the reporting period.	✓ complied with	
1.1.4	The exercise of the shareholder right to demand convocation of the General Meeting, to nominate candidates to the governing bodies, and to make proposals to be included in the agenda of the General Meeting did not involve undue difficulties.	1. During the reporting period, shareholders had the opportunity within at least 60 days following the end of the respective calendar year to make proposals to be included in the agenda of the Annual General Meeting. 2. During the reporting period the company did not reject any proposals to the agenda or candidates for the company's governing bodies due to typos or other nonessential flaws present in the shareholder's proposal.	✓ complied with	
1.1.5	Each shareholder had the opportunity to freely exercise their right to vote using the easiest and most convenient way.	1. The internal document (internal policy) of the company contains provisions pursuant to which each participant of the General Meeting is entitled, before the completion of the relevant meeting, to request a copy of its completed ballot certified by the Counting Commission.	✓ complied with	

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1.1.6	The General Meeting procedure established by the company provides equal opportunity for all persons attending the meeting to express their opinions and ask any questions they want.	1. During the General Shareholders' Meetings held in the reporting period in the form of a meeting (collective attendance of shareholders), there was sufficient time provided for reports concerning the agenda issues and time to discuss such issues. 2. Candidates for the Company's governance and control bodies were available to answer questions asked by shareholders at the meeting where their nominations were voted upon. 3. The Board of Directors, when making decisions related to the preparation and holding of General Shareholders' Meetings, discussed the use of telecommunications facilities to provide shareholders remote access for participation in General Meetings during the reporting period.	✓ complied with	Providing shareholders with remote access for participation in General Shareholders' Meetings has been practiced by Sberbank since 2011 and is set forth in the Regulations on the General Shareholders' Meeting, the approval of which is reserved to the competence of the General Meeting.
1.2	Shareholders were given an equal and fair opportunity to be a part of the company's profits by receiving dividends.			
1.2.1	The Company has developed and implemented a transparent and clear mechanism for determining the amount of dividends and paying them.	1. The Bank's dividend policy has been developed by the Board of Directors and disclosed. 2. If the dividend policy of the company uses indicators from the company's reporting to determine the amount of dividends, the relevant dividend policy provisions take the indicators of consolidated financial statements into account.	✓ complied with	
1.2.2	The company does not make a decision on the payment of dividends if such a decision, without constituting a formal violation of the restrictions imposed by law, is economically unreasonable and may lead to the formation of misconceptions about the company's activities.	1. The company's dividend policy provides clear guidance on the financial/economic circumstances where the company should not pay dividends.	• partially complied with	The company's dividend policy provides clear guidance as to which internal and external conditions should be considered and analyzed by Sberbank when deciding on dividend payments. A decision on the possibility of payment (nonpayment) of dividends and the amount of dividends is only made on the basis of an analysis of said conditions.

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1.2.3	The company does not allow for the deterioration of dividend rights for existing shareholders.	1. During the reporting period, the company did not take any action leading to the deterioration of the dividend rights of existing shareholders.	✓ complied with	
1.2.4	The company is committed to excluding shareholders' use of other ways to make profit (income) at the expense of the company besides dividends and liquidation value.	1. For the purpose of excluding shareholders' use of other ways to earn profit (income) at the expense of the company besides dividends and liquidation value, the company's internal documents establish control mechanisms that ensure the timely identification and procedure for the approval of transactions with persons affiliated (associated) with substantial shareholders (persons entitled to dispose of votes from voting shares), in cases where the law does not formally recognise such transactions as related party transactions.	✓ complied with	
1.3	The corporate governance system and its practices ensure equal conditions for all shareholders holding shares of one category (type), including minority (small) shareholders and foreign shareholders, as well as their equal treatment by the company.			
1.3.1	The company has created conditions for the fair treatment of each shareholder by the company's governing and control bodies, including conditions that ensure the inadmissibility of major shareholder abuses in relation to minority shareholders.	1. During the reporting period, the procedures for managing potential conflicts of substantial shareholders' interests are considered effective, and the conflicts between shareholders, if there were any, were given due attention by the Board of Directors.	✓ complied with	
1.3.2	The company takes no actions that lead or may lead to an artificial redistribution of corporate control.	1. Quasitreaury shares are absent or did not vote during the reporting period.	✓ complied with	
1.4	Shareholders are provided with reliable and effective methods of accounting for rights to shares and with the possibility for free and unhindered disposal of the shares they hold.			
1.4.1	Shareholders are provided with reliable and effective methods of accounting for rights to shares and with the possibility for free and unhindered disposal of the shares they hold.	1. The quality and reliability of the company's registrar activities for maintaining the register of securities holders meet the needs of the company and its shareholders.	✓ complied with	

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2.1	The Board of Directors carries out the company's strategic management, defines the basic principles and approaches to the company's risk management and internal control system, controls the operations of executive bodies, and exercises other key functions.			
2.1.1	The Board of Directors is responsible for making decisions related to the appointment to and release from executive body offices, inter alia, due to a failure of such bodies to perform their duties properly. The Board of Directors also supervises to ensure that the company's executive bodies act in accordance with the approved development strategy and main lines of the company's activity.	1. The Board of Directors has statutory powers to appoint to, release from office, and to define the contract terms for executive body members. 2. The Board of Directors has reviewed the report(s) of the sole executive body and the members of the collegial executive body on the company's implementation of strategy.	partially complied with	Since Sberbank went public (in the 1990s), the issue of election of a sole executive body (CEO, Chairman of the Executive Board of the Bank) is reserved by the Articles of Association to the competence of the General Shareholders' Meeting. To date, the implementation of recommendations for the transfer of the Meeting's powers for the election of a sole executive body to the Supervisory Board is limited by the probability of these actions being recognised as a restriction of shareholder rights (in accordance with the current standards of law).
2.1.2	The Board of Directors establishes the basic guidelines of the company's activities in the long term, evaluates and approves the key performance indicators and core business objectives of the company, and evaluates and approves the strategy and business plans for the company's core activities.	1. During the reporting period, the Board of Directors meetings discussed issues related to the implementation and actualisation progress of the strategy, the approval of the financial and economic plan (budget) of the company, and the consideration of criteria and indicators (including the interim ones) of the company's strategy and implementation of its business plan.	partially complied with	The approval of the business plan and budget and the monitoring of their implementation fall within the Executive Board's competence pursuant to the Regulations on the Executive Board, as approved by the General Shareholders' Meeting.
2.1.3	The Board of Directors determines the principles of and approaches to the organisation of the risk management and internal control system of the company.	1. The Board of Directors has determined the principles of and approaches to the organisation of the risk management and internal control system of the company. 2. The Board of Directors has assessed the risk management and internal control system of the company during the reporting period.	✓ complied with	

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2.1.4	The Board of Directors determines the company's policy on the remuneration and/or reimbursement of expenditures (compensations) for the members of the Board of Directors, executive bodies, and other key executives of the company.	1. The company has developed and implemented the policy (policies) on the remuneration and/or reimbursement of expenditure (compensations) for members of the Board of Directors, executive bodies, and other key executives of the company approved by the Board of Directors. 2. The issues related to such policy (policies) were examined during the reporting period at the Board of Directors meetings.	✓ complied with	
2.1.5	The Board of Directors plays a key role in the prevention, detection, and resolution of internal conflicts between the company's bodies, the company's shareholders, and the company's employees.	The Board of Directors plays a key role in the prevention, detection, and resolution of internal conflicts. 2. The company has created a system of identification for transactions associated with conflicts of interests and a system of measures aimed at resolving such conflicts.	✓ complied with	
2.1.6	The Board of Directors plays a key role in ensuring the transparency of the company, the timeliness and completeness of the company's disclosure of information, and unhindered shareholder access to the company's documents.	1. The Board of Directors has approved the Regulation on Information Policy.	✓ complied with	The issues concerning information disclosure and information interaction are currently governed by the Regulation on Disclosure approved by the Supervisory Board in 2013. The approval of the Information policy ensuring the efficient information interaction of the Bank, shareholders, investors, and other stakeholders is scheduled for 2016.
2.1.7	The Board of Directors oversees the company's corporate governance practice and plays a key role in the company's significant corporate events.	1. During the reporting period, the Board of Directors examined the issue of corporate governance practices in the company.	✓ complied with	
2.2	The Board of Directors is accountable to the company's shareholders.			
2.2.1	Information about the operations of the Board of Directors is disclosed and submitted to shareholders.	1. The company's annual report for the reporting period includes information on the attendance of Board and Committee meetings by individual directors.	✓ complied with	

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2.2.2	The Chairman of the Board of Directors is available for communication with the company's shareholders.	1. The company has a transparent procedure that enables shareholders to submit questions to the Chairman of the Board of Directors and their own position regarding such questions.	✓ complied with	
2.3	The Board of Directors is an effective and professional management body of the company capable of making objective independent judgments and decisions in the interest of the company and its shareholders.			
2.3.1	Only persons who have an excellent business and personal reputation as well as the knowledge, skills, and experience required to make decisions within the competence of the Board of Directors and required for the effective performance of its functions shall be elected as Board of Directors members.	1. The procedure for assessing the Board of Director's performance adopted by the company includes, inter alia, the assessment of the professional qualifications of Board of Directors members. 2. During the reporting period, the Board of Directors (or its Nomination Committee) assessed candidates for the Board of Directors from the perspective of whether or not they have sufficient experience, knowledge, business reputation, and no conflicts of interest, etc.	✓ complied with	
2.3.2	The members of the Board of Directors are elected using a transparent procedure that allows shareholders to receive candidate-related information sufficient to provide insight into their personal and professional qualities.	1. In all cases of holding the General Shareholders' Meeting in the reporting period where the agenda included the issue of Board of Directors elections, the company submitted to shareholders biographical data on all candidates for the position, results of the assessment of candidates conducted by the Board of Directors (or the Nomination Committee), and information on a candidate's adherence to the criteria of independence in accordance with recommendations 102–107 of the Code and the written consent of the candidates for election to the Board of Directors.	✓ complied with	
2.3.3	The Board of Directors composition is balanced, inter alia, in terms of the qualifications of its members, their experience, knowledge, and business qualities and enjoys the trust of shareholders.	1. Within the framework of the procedure for the Board of Directors performance assessment held in the reporting period, the Board of Directors has analysed its own needs related to professional qualifications, experience, and business skills.	✓ complied with	

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2.3.4	The quantitative composition of the Board of Directors presents the opportunity to organise the activities of the Board of Directors in the most efficient manner, including the possibility of the formation of Board committees; it also enables a substantial minority of shareholders of the company to elect a candidate they vote for to the Board of Directors.	1. Within the framework of the procedure for the assessment of the Board of Directors held during the reporting period, the Board of Directors has examined the issue concerning the quantitative composition of the Board of Directors meeting the company's needs and shareholder interests.	✓ complied with	
2.4	The members of the Board of Directors include an adequate number of independent directors.			
2.4.1	An independent director is a person possessing enough professionalism, experience, and independence to form their own opinion and who is able to express unbiased and scrupulous judgments that do not depend on the influence of executive bodies of the company, certain groups of shareholders, or other stakeholders. In addition, it should be noted that a candidate (selected to be a member of the Board of Directors) normally cannot be considered as independent if they are associated with the company, its major shareholder, contractor, or competitor or associated with the state.	1. During the reporting period, all independent members of the Board of Directors met all independence criteria set forth in recommendations 102–107 of the Code or were recognised as independent upon the decision of the Board of Directors.	✓ complied with	

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2.4.2	An assessment of whether the candidates to the Board of Directors comply with independence criteria is carried out, and the regular analysis of whether independent members of the Board of Directors comply with the independence criteria is carried out. When carrying out this assessment, substance shall take precedence over form.	1. During the reporting period, the Board of Directors (or the Nomination Committee of the Board of Directors) has formed an opinion on the independence of each candidate to the Board of Directors and has provided shareholders with the corresponding report. 2. During the reporting period, the Board of Directors (or the Nomination Committee of the Board of Directors) has considered the independence of existing members of the Board of Directors whom the company states in the annual report are independent directors at least once. 3. The company has developed procedures determining the necessary actions of a member of the Board of Directors to qualify as no longer independent, including the obligation to promptly report the fact to the Board of Directors.	✓ complied with	
2.4.3	Independent directors shall make up not less than one-third of the elected membership of the Board of Directors.	1. Independent directors shall make up not less than one-third of the membership of the Board of Directors.	✓ complied with	
2.4.4	Independent directors play a key role in preventing internal conflicts in the company and carrying out some of the company's significant corporate actions.	1. Independent directors (having no conflicts of interest) preevaluate significant corporate actions related to possible conflict of interests and provide the Board of Directors with the results of this evaluation.	✓ complied with	
2.5	The Chairman of the Board of Directors shall facilitate the most effective fulfilment of the functions entrusted to the Board of Directors.			
2.5.1	The Chairman of the Board of Directors shall be an independent director, or a senior independent director shall be determined from among the selected independent directors who coordinates the work of the independent directors and cooperates with the Chairman of the Board of Directors.	1. The Chairman of the Board of Directors is an independent director, or a senior independent director has been determined from among the independent directors. 2. The role, rights, and liabilities of the Chairman of the Board of Directors (and the senior independent director, if applicable) are defined as appropriate in the internal documents of the company.	✓ complied with	The Chairman of the Supervisory Board is a Nonexecutive Director (a representative of the majority shareholder). The position of senior independent director has been introduced to strengthen the role of independent directors and coordinate their interaction in the development of a consolidated opinion, when necessary, and to assist the Chairman of the Supervisory Board.

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2.5.2	The Chairman of the Board of Directors maintains a constructive atmosphere during meetings, ensures the free discussion of issues on the agenda, and controls over the execution of resolutions adopted by the Board of Directors.	1. The effectiveness of the Chairman of the Board of Directors has been evaluated within the procedure of evaluation for the Chairman of the Board's effectiveness in the reporting period.	✓ complied with	
2.5.3	The Chairman of the Board of Directors takes the necessary measures to provide the members of the Board of Directors in a timely manner with the necessary information to adopt decisions on Agenda items.	1. The internal documents of the company establish the obligation of the Chairman of the Board of Directors to take measures to provide the members of the Board of Directors in a timely manner with materials on the Agenda items of the Meeting of the Board of Directors.	✓ complied with	
2.6	The members of the Board of Directors shall reasonably, in good faith, and with due care and discretion perform their duties in the interests of the Company.			
2.6.1	The members of the Board of Directors shall make decisions taking into account all information, having no conflict of interests, and demonstrating equal treatment toward shareholders of the company as a part of usual business risks.	1. The internal documents of the company establish that members of the Board of Directors are obligated to notify the Board of Directors if they have a conflict of interest regarding any item on the agenda of the meeting of the Board of Directors or the committee of the Board of Directors before starting discussion on the relevant agenda issue. 2. The internal documents of the company stipulate that members of the Board of Directors shall abstain from voting on any issue where there is a conflict of interest. 3. The company has established a procedure allowing the Board of Directors to obtain professional advice on issues related to its competence at the expense of the company.	✓ complied with	
2.6.2	The internal documents of the company establish and clearly set forth the rights and obligations of the members of the Board of Directors.	1. The company has adopted and released an internal document that clearly defines the rights and obligations of the members of the Board of Directors.	✓ complied with	

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2.6.3	The members of the Board of Directors have enough time to fulfil their obligations.	1. Individual attendance of the meetings of the Board and committees and the time allocated for the preparation of attendance at the meetings have been taken into account as part of the procedure of evaluation for the Board of Directors in the reporting period. 2. In accordance with the internal documents of the company, members of the Board of Directors are obligated to notify the Board of Directors of their intention to be a member of the management bodies of other entities (in addition to subsidiaries and dependent entities of the company) and of the fact of such an assignment.	✓ complied with	
2.6.4	All members of the Board of Directors have equal opportunities to access the documents and information of the company. Newly elected members of the Board of Directors are provided with sufficient information about the company and the activities of the Board of Directors within the shortest time possible.	1. In accordance with the internal documents of the company, members of the Board of Directors have the right to obtain access to documents and to make a request concerning the company and its subsidiaries; the executive bodies of the company are obligated to provide the relevant information and documents. 2. The company has a formal programme of informational meetings for newly elected members of the Board of Directors.	✓ complied with	
2.7	The Meeting of the Board of Directors and the preparation and participation of the members of the Board of Directors in it shall ensure the effective operation of the Board of Directors.			
2.7.1	Meetings of the Board of Directors are held as required taking into account the scale of activities and challenges the company faces from time to time.	1. The Board of Directors held at least six meetings in the reporting year.	✓ complied with	
2.7.2	The internal documents of the company establish the procedure for preparing and conducting meetings of the Board of Directors and provide for the opportunity of members of the Board of Directors to properly prepare for them.	1. The company has approved an internal document defining the procedure for preparing and conducting meetings of the Board of Directors, which also establishes that notice of the meeting shall be given not less than 5 days before the date of the meeting.	✓ complied with	

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2.7.3	The form of the meeting of the Board of Directors is determined based on the importance of the agenda items. The most important issues are solved at meetings held by personal attendance.	1. The Articles of Association or internal documents of the company stipulate that the most important issues (according to the list provided in recommendation 168 of the Code) shall be considered at the Board meetings held by personal attendance.	✓ complied with	
2.7.4	Resolutions on the most important issues of the company's activities are adopted at the meeting of the Board of Directors by the qualified majority or a majority of votes of all elected members of the Board of Directors.	1. The Articles of Association of the company stipulate that resolutions on the most important issues stated in recommendation 170 of the Code shall be adopted at the meeting of the Board of Directors by the qualified majority (not less than three-quarters of the votes) or a majority of votes of all elected members of the Board of Directors.	✓ complied with	
2.8	The Board of Directors shall establish committees for preliminary consideration of the most important issues of the company's activities.			
2.8.1	An Audit Committee consisting of independent directors has been created for the preliminary consideration of issues related to control over the financial and economic activities of the company.	1. The Board of Directors has established an Audit Committee consisting solely of independent directors. 2. The internal documents of the company determine the tasks of the Audit Committee, including tasks from recommendation 172 of the Code. 3. At least one member of the Audit Committee who is an independent director has experience and knowledge in the preparation, analysis, assessment, and audit of accounting (financial) reports. 4. Meetings of the Audit Committee were held at least once a quarter during the reporting period.	• partially complied with	The representation of individual directors within the Supervisory Board is more than 1/3 of elected members (six out of 14 directors). In accordance with Regulations on the Committees of the Supervisory Board, the Audit Committee can be formed from independent directors (not less than the majority of the members of the Committee) and nonexecutive directors. The Chairman of the Audit Committee shall be an independent director. The Audit Committee is headed by an independent director; the majority of the members of the Committee (three out of five) are independent directors, and the others are nonexecutive directors.

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2.8.2	A Remuneration Committee, consisting of independent directors and headed by an independent director (not the Chairman of the Board of Directors), has been created for the preliminary consideration of issues related to the formation of effective and transparent practices of remuneration.	1. The Board of Directors has established a Remuneration Committee that consists only of independent directors. 2. The Chairman of the Remuneration Committee is an independent director who is not the Chairman of the Board of Directors. 3. The internal documents of the company define the tasks of the Remuneration Committee, including tasks from recommendation 180 of the Code.	partially complied with	In accordance with the Regulations on the Committees of the Supervisory Board, the HR and Remuneration Committee can be formed from independent directors (not less than the majority of the members of the Committee) and nonexecutive directors. The Chairman of the HR and Remuneration Committee shall be an independent director or nonexecutive director. The HR and Remuneration Committee is headed by a nonexecutive director who is not the Chairman of the Supervisory Board. Half of the members of the Committee (two out of four) are independent directors.
2.8.3	A Nomination (HR, Appointment) Committee consisting of independent directors (the majority of members) has been created for the preliminary consideration of issues related to staff planning (succession planning), occupational structure, and the performance of the Board of Directors.	1. The Board of Directors has established a Nomination Committee (or its tasks as stated in recommendation 186 of the Code are carried out in another Committee) the majority of whose members are independent directors. 2. The internal documents of the company define the tasks of the Nomination Committee (or the respective Committee with combined functions), including tasks from recommendation 186 of the Code.	partially complied with	An HR and Remunerations Committee, which combines the functions of the Remuneration Committee and the Nomination Committee, has been created in the Supervisory Board. Half of the members of the stated Committee (two out of four) are independent directors, and the others are nonexecutive directors.

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2.8.4	Tacking into account the scale of activities and the risk level, the Board of Directors has ascertained that the members of its committees fully comply with the goals of the company's activities. Additional committees have been either created or deemed unnecessary (Strategy Committee, Corporate Management Committee, Ethics Committee, Risk Management Committee, Budget Committee, Health, Safety and Environment Committee, etc.).	1. During the reporting period, the Board of Directors of the company considered an issue on the appropriateness of the membership of its committees with the tasks of the Board of Directors and the goals of the company's activities. Additional committees have been either created or deemed unnecessary.	✓ complied with	The list of other committees created under the Supervisory Board: ✓ Strategic Planning Committee ✓ Risk Management Committee
2.8.5	The composition of the committees is determined to allow the full discussion of preliminarily considered issues taking into account all different opinions.	1. The committees of the Board of Directors are headed by independent directors. 2. The internal documents (policies) of the company include provisions under which persons who are not members of the Audit Committee, the Nomination Committee, or the Remuneration Committee can attend committee meetings only on invitation of the Chairman of the relevant committee.	partially complied with	Four Committees have been created under the Supervisory Board. In accordance with the Regulations on the Committees of the Supervisory Board, the Chairpersons of the Audit and Risk Management Committees shall be independent directors (complied with). The chairpersons of the HR & Remuneration and Strategic Planning Committees shall be independent or nonexecutive directors (complied with; the chairpersons are nonexecutive directors).
2.8.6	Chairpersons shall regularly inform the Board of Directors and its Chairperson on the activities of their committees.	1. During the reporting period the chairpersons shall regularly report on the activities of their committees to the Board of Directors.	✓ complied with	

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2.9	The Board of Directors shall provide a quality assessment of the activities of the Board of Directors along with its Committees and members.			
2.9.1	The quality assessment of the activities of the Board of Directors aims to define the performance of the Board of Directors, committees, and members of the Board of Directors and the conformity of their activities with the developmental needs of the company, and to intensify the activities of the Board of Directors to detect areas where such activities may be improved.	1. Self-assessment or external assessment of the Board of Directors conducted during the reporting period included a performance assessment of committees, members of the Board of Directors, and the Board of Directors as a whole.	✓ complied with	
2.9.2	Performance of the Board of Directors and the committees and members of the Board of Directors shall be assessed regularly at least once annually. A third-party organisation (consultant) shall be engaged to conduct an independent performance assessment of the Board of Directors at least once every three years.	1. To conduct an independent performance assessment of the Board of Directors, the company engaged a third-party organisation (consultant) at least once in the last three reporting periods.	✓ complied with	
3.1	The Corporate Secretary of the company shall ensure current effective interaction with shareholders and the coordination of company activities to protect the rights and interests of its shareholders and provide support for the effective performance of the Board of Directors.			
3.1.1	The Corporate Secretary shall have sufficient knowledge, experience, and qualifications to perform the obligations imposed on them, an impeccable reputation, and also enjoy the confidence of shareholders.	1. The company has adopted and disclosed an internal document, the Regulations on the Corporate Secretary. 2. The company website and annual report shall contain the biography of the Corporate Secretary with the same level of detail as that of members of the Board of Directors and the executive management of the company.	✓ complied with	
3.1.2	The Corporate Secretary shall have sufficient independence from executive bodies of the company and the authorities and resources required to perform their tasks.	1. The Board of Directors shall approve the assignment, dismissal, and additional remuneration of the Corporate Secretary.	✓ complied with	

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4.1	The amount of remuneration paid by the company shall be sufficient to engage, motivate, and retain persons with the competences and skills necessary for the company. Members of the Board of Directors, executive bodies, and other key executive employees of the company shall be remunerated in accordance with the remuneration policy accepted in the company.			
4.1.1	The amount of remuneration paid by the company to members of the Board of Directors, executive bodies, and other key managers shall create sufficient motivation for their effective performance, thus allowing the company to attract and retain competent and qualified specialists. At the same time, the company avoids remuneration exceeding the necessary level as well as an unreasonably large gap between the remuneration amounts of said persons and the employees of the company.	1. The company has adopted an internal document (documents) with the remuneration policy (policies) for members of the Board of Directors, executive bodies, and other key managers that clearly defines approaches to the remuneration of said officers.	✓ complied with	
4.1.2	The remuneration policy of the company was drafted by the Remuneration Committee and approved by the Board of Directors. The Board of Directors, assisted by the Remuneration Committee, shall provide control over the introduction and implementation of the remuneration policy and, if needed, review, and make amendments thereto.	1. During the reporting period, the Remuneration Committee considered the remuneration policy (policies) and implementation practices and submitted appropriate recommendations to the Board of Directors where applicable.	✓ complied with	
4.1.3	The Company's Remuneration Policy contains transparent mechanisms for determining the amount of remuneration for members of the Board of Directors, executive bodies, and for other key managers of the Company and regulates all payments, benefits, and privileges provided to the officers mentioned above.	1. The Company's Remuneration Policy (Policies) contain(s) transparent mechanisms for determining the amount of remuneration for members of the Board of Directors, executive bodies, and other key managers of the Company and regulate(s) all payments, benefits, and privileges provided to the officers mentioned above.	✓ complied with	

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
4.1.4	The company shall define its reimbursement (compensation) policy, specifying the list of expenses subject to compensation and the service level to which members of the Board of Directors, executive bodies, and for other key managers of the Company are entitled. Such a policy may be a part of the Company's remuneration policy.	1. The Company's remuneration policy (policies) or other internal documents establish(es) the compensation rules for members of the Board of Directors, executive bodies, and for other key managers of the Company.	✓ complied with	
4.2	The system for remuneration of the members of the Board of Directors shall ensure that the financial interests of the directors are brought closer to the long-term financial interests of the shareholders.			
4.2.1	The company shall pay fixed annual remuneration to the members of the Board of Directors. The company shall not pay remuneration for participation in individual meetings of the Board of Directors or committees thereof. The company shall not use short-term motivation or additional material incentives in relation to members of the Board of Directors.	1. Fixed annual remuneration was the only monetary remuneration provided to members of the Board of Directors for their activities therein during the reporting period.	✓ complied with	
4.2.2	Long-term possession of shares best facilitates bringing the financial interests of the directors closer to the long-term financial interests of the shareholders. At the same time, the company shall not attach the condition of achievement of a certain level of performance to the right to sell shares, and the members of the Board of Directors shall not participate in option programmes.	1. If the internal document(s) on the remuneration policy (policies) stipulate(s) provision of the company's shares to the members of the Board of Directors, the company shall set forth and disclose clear rules for shareholding by the members of the Board of Directors aimed at encouraging long-term possession of such shares.	✓ complied with	Members of the Supervisory Board shall not participate in option programmes.

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
4.2.3	The company shall not provide any additional payments or compensations in case of the early termination of powers of members of the Board of Directors due to a change of control over the company or other circumstances.	1. The company shall not provide any additional payments or compensations in the case of the early termination of powers of members of the Board of Directors due to a change of control over the company or other circumstances.	✓ complied with	
4.3	The system for remuneration of members of executive bodies and other key executive employees of the company shall provide for the dependence of the amount of remuneration on the performance results of the company and their personal contribution to achieving these results.			
4.3.1	Remuneration for members of executive bodies and other key executive employees shall be determined in such a way as to ensure a reasonable and justified ratio between the fixed part of remuneration and the variable part thereof, which depends on company performance results and the personal (individual) contribution of the employee to the final result.	1. During the reporting period, annual performance indicators approved by the Board of Directors were used to determine the amount of variable remuneration for members of executive bodies and other key executive employees. 2. In the course of the last assessment of the system for the remuneration of the members of executive bodies and other key executive employees, the Board of Directors (Remuneration Committee) ascertained that the company uses an effective ratio between the fixed and variable parts of remuneration. 3. The company applies a procedure that ensures the return of bonuses wrongly obtained by members of executive bodies and other key executive employees.	✓ complied with	

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
4.3.2	The company has implemented a long-term incentive programme for members of executive bodies and other key executive employees using company shares (options or other derivative financial instruments whose underlying asset is company shares).	1. The company has implemented a long-term incentive programme for members of executive bodies and other key executive employees using company shares (financial instruments based on company shares). 2. The long-term incentive programme for members of executive bodies and other key executive employees stipulates that the right to sell the shares or other financial instruments used in such a programme may be exercised not earlier than in three years from the provision thereof. At the same time, the right to sell them is conditional upon the company's achievement of certain performance indicators.	✓ complied with	

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
4.3.3	The amount of compensation (golden parachute) paid to the members of executive bodies or key executive employees in the case of the early termination of their powers at the initiative of the company, provided there have been no unethical acts on the part of the officers mentioned, shall not exceed double the amount of the fixed part of their annual remuneration.	1. The amount of compensation (golden parachute) paid to the members of executive bodies or key executive employees during the reporting period in case of the early termination of their powers at the initiative of the company, provided there have been no unethical acts on the part of the officers mentioned, did not exceed double the amount of the fixed part of their annual remuneration.	✓ complied with	Compensation to the members of executive bodies or key executive employees in the case of early termination of their powers at the initiative of the Bank, provided there have been no unethical acts on the part of the officers mentioned, is not provided for. The cases set forth in the Labour Code of the Russian Federation in relation to the executives of the company and reflected in labour contracts with members of the Executive Board constitute an exception. Such cases include: termination of labour contracts due to a change of ownership of the bank (Art. 181 of the RF Labour Code) or due to a decision to terminate the labour contract made by an authorised body of the bank's Executive Board, provided there have been no unethical acts on the part of the employee (Art. 279 of the RF Labour Code). In the said cases, the RF Labour Code stipulates that the compensation shall constitute at least triple the amount of the average monthly wage of the employee. Labour contracts define the minimum possible size, which is triple the amount. In the 2015 reporting year, no such cases occurred.
5.1	The company has established an effective risk management and internal control system aimed at providing reasonable confidence in achieving the objectives set by the company.			
5.1.1	The Board of Directors has defined principles and approaches to the organisation of risk management and the internal control system in the company.	1. The functions of the Company's various executive bodies and units in the risk management system and internal control have been clearly defined in the internal documents/relevant policy approved by the Board of Directors.	✓ complied with	

№	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
5.1.2	The executive bodies of the company shall ensure the creation and maintenance of an effective risk management and internal control system.	1. The executive bodies of the company have ensured the distribution of functions and powers for risk management and internal control between subordinate managers (heads) of units and departments.	✓ complied with	
5.1.3	The risk management and internal control system of the company shall ensure an objective, fair and clear vision of the current condition and perspectives of the company, reporting integrity and transparency, and the reasonableness and admissibility of the risks accepted by the company.	1. The company has approved an anticorruption policy. 2. The company has established an accessible means of informing the Board of Directors or the Audit Committee thereof about violations of the law, internal procedures, or the Code of Ethics of the company.	✓ complied with	
5.1.4	The Board of Directors of the company shall take the measures necessary to ensure that the current risk management and internal control system complies with the organisational principles and approaches defined by the Board of Directors and functions effectively.	1. During the reporting period, the Board of Directors or the Audit Committee thereof has assessed the effectiveness of the risk management and internal control system applied in the company. Information on the main results of such assessment have been included in the annual report.	✓ complied with	The risk management and internal control system applied in Sberbank fully complies with the requirements of Bank of Russia and the legislation of the Russian Federation taking into account the recommendations of the Basel Committee on Banking Supervision and the European Community. In 2015, the Supervisory Board established the Risk Management Committee and approved the Risk and Capital Management Strategy of Sberbank; during its meetings several times a year, the Supervisory Board considers matters related to the management of various types of risks. As a credit institution, the Bank regularly discloses information on the risks accepted by Sberbank Group and the procedure for their assessment and for management of its risks and capital of the Group on its official website in accordance with the requirements of Bank of Russia.

№	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
5.2	To conduct a systematic independent assessment of the reliability and effectiveness of the risk management and internal control system and corporate management practices, the company shall arrange for internal auditing.			
5.2.1	To conduct internal auditing, the company has established a separate structural unit or engaged an independent external organisation. The functional and administrative accountability of the internal audit unit shall be clearly delineated. The internal audit unit shall functionally report to the Board of Directors.	1. To conduct internal auditing, the company has established a separate structural unit functionally subordinate to the Board of Directors or the Audit Committee or engaged an independent external organisation following the same accountability principle.	✓ complied with	
5.2.2	The internal audit unit shall conduct an assessment of the effectiveness of the internal control system, the risk management system, and the corporate governance system. The company shall apply generally accepted internal auditing standards.	1. During the reporting period, an internal audit provided an assessment of the effectiveness of the internal control and risk management system. 2. The company uses generally accepted approaches to internal control and risk management.	✓ complied with	
6.1	The company and its activities are transparent to the shareholders, investors, and other stakeholders.			
6.1.1	The company has elaborated and introduced an information policy that ensures effective information exchange between the company, shareholders, investors, and other stakeholders.	1. The Board of Directors of the company has approved an information policy based on the Code's recommendations. 2. The Board of Directors (or one of its committees) considered issues related to the company's compliance with its information policy at least once during the reporting period.	• partially complied with	Approval of the Information Policy is planned in 2016. At present, the Information Disclosure Regulation approved by the Supervisory Board in 2013 is in force.

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
6.1.2	The company discloses information on the system and practice of corporate governance, including detailed information on compliance with the principles and recommendations set forth in the Code.	1. The company discloses information on its corporate governance system and the general principles of corporate governance applied in the company, including on its website. 2. The company discloses information on the membership of executive bodies and the Board of Directors, the independence of the members of the Board and their membership in committees of the Board of Directors (as defined in the Code). 3. If there is a person who controls the company, the latter shall publish a memorandum of the controlling person on the plans of such a person related to corporate governance in the company.	✓ complied with	The memorandum will be published if prepared by the controlling person.
6.2	The company shall disclose full, relevant, and reliable information on the company in a timely manner to provide the shareholders of the company and investors with the opportunity to make sound decisions.			
6.2.1	The company shall disclose information in accordance with the principles of regularity, consistency, and promptness as well as accessibility, reliability, fullness, and comparability of the data disclosed.	1. The information policy of the company shall define approaches and criteria for defining information that can significantly influence the assessment of the company and the cost of its securities, as well as procedures for ensuring the timely disclosure of such information. 2. If the securities of the company are traded in foreign organised markets, essential information shall be disclosed simultaneously and equivalently in the Russian Federation and in such markets during the reporting year. 3. If foreign shareholders hold a significant number of the company's shares, during the reporting period, information was disclosed both in Russian and in one of the most widespread foreign languages.	✓ complied with	At present, the provisions mentioned above are specified in the Information Disclosure Regulation approved by the Supervisory Board in 2013. Approval of the Information Policy is planned in 2016.

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
6.2.2	The company avoids a formal approach to information disclosure and divulges essential information on its activities even if the disclosure of such information is not stipulated by the law.	1. During the reporting period, the company disclosed annual and semiannual financial statements prepared as per IFRS. The annual report for the reporting period includes annual financial statements prepared as per IFRS along with the auditor's report. 2. The company discloses full information on the capital structure as per Recommendation 290 of the Code both in the annual report and on its website.	• partially complied with	The capital structure is disclosed to a lesser extent than that recommended by the Code of Corporate Governance (CCG). Sberbank will strive to expand the amount of disclosed information.
6.2.3	The annual report, as one of the most important instruments of information exchange with shareholders and other stakeholders, shall contain information making it possible to evaluate the results of the company's activities for the year.	1. The annual report of the company contains information about the key aspects of its operation activities and financial results. 2. The annual report contains information about environmental and social aspects of the company's activities.	✓ complied with	Information about the environmental and social aspects of Sberbank's activities is disclosed in the Annual Report on Corporate Social Responsibility.
6.3	The company provides information and documents at the request of shareholders in accordance with the principles of equal and unhindered access.			
6.3.1	Provision of information and documents by the company at the request of shareholders in accordance with the principles of equal and unhindered access.	1. The company's information policy defines the procedure for providing shareholders with unhindered access to information, including information about controlled legal entities, at the shareholders' request.	✓ complied with	The Regulation on Information Disclosure approved by the Supervisory Board in 2013 defines the procedure for unhindered access to information. Approval of the Information Policy is planned in 2016.
6.3.2	Provision of information to shareholders ensures a reasonable balance between the interests of certain shareholders and the interests of the company itself, which is concerned with the confidentiality of important commercial information that could significantly influence its competitiveness.	1. During the reporting period, the company did not refuse to satisfy shareholders' information requests or such refusals were reasonable. 2. In cases defined by the Company's Information Policy, shareholders are informed about the confidential nature of information and undertake to keep it in secret.	✓ complied with	

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
7.1	Actions which significantly impact or could significantly impact the share capital structure and financial state of the company and, consequently, the position of the shareholders (significant corporate actions) shall be taken in a fair manner, ensuring the observation of the rights and interests of the shareholders and other stakeholders.			
7.1.1	Reorganisation of the Company, acquisition of 30 percent or more of its voting shares (takeover), performance of significant transactions, an increase or decrease in the Company's share capital, listing or delisting of shares, and other actions that could result in significant changes to the shareholders' rights or violations of their interests are deemed significant corporate actions. The Articles of Association of the company define the list (criteria) of transactions or other actions which are significant corporate actions, and such matters are reserved to the Board of Directors of the company.	1. The Articles of Association of the Company define the list of transactions or other actions which are significant corporate actions and the criteria for defining such actions. Decision making on major corporate actions falls within the competence of the Board of Directors. In cases when such corporate actions are expressly reserved by law to the competence of the General Shareholders' Meeting, the Board of Directors shall provide shareholders with appropriate recommendations. 2. The Articles of Association of the Company deem at least the following actions to be major corporate actions: reorganisation of the Company, acquisition of 30 percent or more of its voting shares (takeover), performance of significant transactions by the Company, an increase or decrease in the Company's share capital, and listing and delisting of its shares.	• partially complied with	The list of significant corporate actions is defined by the Sberbank Code of Corporate Governance. The Articles of Association of the Group establish that decisions on significant corporate actions shall be made by the qualified majority of the Supervisory Board (by at least three-fourths of the votes).
7.1.2	The Board of Directors plays a key role in decision making or preparation of recommendations on significant corporate actions; the Board of Directors relies on the position of the Company's independent directors.	1. The Company provides for a procedure for the independent directors to declare their position on significant corporate actions before the approval thereof.	✓ complied with	The Supervisory Board plays an important role in decision making as regards significant corporate actions. Sberbank's Code of Corporate Governance provides for the possibility of establishing an ad hoc interim committee for preliminary consideration of issues regarding significant corporate actions.

Nº	Corporate Governance Principles	Criteria for assessing compliance with corporate governance principles	Status <1> compliance with corporate governance principles	Explanations <2> deviations from the criteria for assessing compliance with corporate governance principles
7.1.3	When performing significant corporate actions relating to the rights and legal interests of shareholders, the Company ensures equal terms for all the shareholders of the company, and if legislation provides insufficient mechanisms for the protection of shareholders' rights, the Company takes additional measures to protect the rights and legal interests of its shareholders. In this case, the Company relies both on compliance with the formal requirements of the law and the principles of corporate governance set forth in the Code.	1. With due regard to particular aspects of the Company's activities, the Articles of Association determine criteria for classifying the Company's transactions as significant corporate transactions that are lower than the minimal criteria determined by the law. 2. During the reporting period, all significant corporate actions underwent the approval procedure before they were taken.	• partially complied with	At present, there is no need for Sberbank to introduce additional measures to protect the rights and legal interests of shareholders.
7.2	The company ensures a procedure for taking significant corporate actions which enables shareholders to obtain full information on such actions in a timely manner, provides them with the opportunity to influence such actions, and guarantees the observation and adequate protection of their rights when such actions are taken.			
7.2.1	Information on significant corporate actions includes the reasons, conditions, and results of such actions.	1. During the reporting period, the Company promptly disclosed detailed information on its significant corporate actions, including the grounds and terms thereof.	✓ complied with	
7.2.2	Rules and procedures related to significant corporate actions taken by the Company are defined in its internal documents.	1. The internal documents of the Company stipulate the procedure for engagement of an independent appraiser to determine the value of property alienated or acquired under a major transaction or an interested party transaction. 2. The internal documents of the Company stipulate the procedure for engagement of an independent appraiser to determine the value of share acquisition and repurchase. 3. The Company's internal documents stipulate an extended list of grounds for deeming members of its Board of Directors and other persons specified by the law to be parties interested in the Company's transactions.	✓ complied with	

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APPROACH TO INFORMATION DISCLOSURE IN THE SECTION ON CORPORATE SOCIAL RESPONSIBILITY

The Corporate Social Responsibility section contains information on operations of Sberbank Group associated with sustainable development and describes the Group’s impact on the economy, society and environment. The information is disclosed in accordance with G4 Sustainability Reporting Guidelines (core level) and the Financial Services Sector Disclosures.

SCOPE

The scope of sustainable development information disclosure is different from the scope of financial reporting, as this section consolidates the information of the largest entities which have significant impact on the regions where the Group operates. The criteria for adding the Group’s affiliated companies to the CSR section are as follows:

- ✓ Control of Sberbank affiliated companies (over 50% of shares);
- ✓ Headcount (60+ employees);
- ✓ Financial operations associated with the main operations of the Group or auxiliary functions necessary for the core operations of Sberbank.

Compared to the previous reporting period, the following companies were added: Sberbank Service, Modern Technologies, and ActiveBusinessCollection. These amendments may result in deviations from the information published in the CSR Report for 2014. Therefore, the Report comprises information on operations of:

- ✓ Sberbank, comprising the central administration and regional banks within the Russian Federation;
- ✓ Subsidiary banks listed in Table List of the Group entities included in the CSR section;
- ✓ Affiliated companies listed in Table List of the Group entities included in the CSR section.

The list of companies included in the scope of reported indicators is outlined in the description, name of tables and diagrams. Within the CSR section, “the Group” means Sberbank and all participants listed in the Table below.

| LIST OF THE GROUP ENTITIES INCLUDED IN THE CSR SECTION

Name	Description in the Report
Subsidiary banks	
DENIZBANK A.S.	DenizBank
Sberbank Europe A.G.	Sberbank Europe
BPS-Sberbank (Republic of Belarus)	BPS-Sberbank
Sberbank (Kazakhstan)	Sberbank Kazakhstan
SBERBANK OF RUSSIA (Ukraine)	Sberbank Ukraine
Cetelem Bank	Cetelem Bank
Sberbank Switzerland A.G.	Sberbank Switzerland
Affiliated companies	
Sberbank-Technologies	Sberbank-Technologies
Sberbank Leasing	Sberbank Leasing
Sberbank Private Pension Fund	Sberbank Private Pension Fund
Yandex.Money	Yandex.Money
Sberbank Life Insurance	Sberbank Insurance
Sberbank-AST	Sberbank-AST
Sberbank Corporate University	Corporate University
Business Environment	Business Environment
Sberbank Service	Sberbank Service
Modern Technologies	Modern Technologies
ActiveBusinessCollection	ActiveBusinessCollection

GRI STANDARD DISCLOSURES CONTENT INDEX

IDENTIFICATION OF MATERIAL ASPECTS

To ensure compliance of the information disclosed in the CSR section with the information needs of our stakeholders, we provide a materiality analysis of CSR-related matters. For the first time, a comprehensive materiality study has been done when preparing the CSR Report for 2014, covering:

- ✓ Analysis of sustainable development standards (GRI, ISO26000 and the Equator principles);
- ✓ Analysis of the best reports of peer companies;
- ✓ Online opinion poll of 260 persons, including the bank's clients and employees;
- ✓ Opinion poll of Sberbank's 10 top managers;
- ✓ Assessment of the identified aspects by experts in the field of Sberbank's strategic development.

Results of our analysis are shown as a materiality matrix in the CSR Management System section of the previous report and are published on the Sberbank Website at: <http://2014.report-sberbank.ru/ru/sr/csr-management-system/identifying-material-aspects/>.

When preparing the CSR section for 2015, we updated the materiality analysis results upon the discussions of the actual matters via the key feedback channels (analysis of client claims, employee involvement survey, the Hotline with German Gref). In 2015 we were focused on the development of corporate culture, introduction of a culture of tutorship, and creation of the Contribution to the Future Charity Fund. These new matters were added to the CSR section of this report.

Indicator	Indicator Description	Section / Source	Page
Strategy and Analysis			
G4-1	Statement from the most senior decision-maker of the organisation about the relevance of sustainability to the organisation and the organisation's strategy	Opening Statement From CEO And Chairman of the Executive Board	22-25
Organisational Profile			
G4-3	Name of the organisation	http://www.sberbank.ru/ru/about/today/requisites	
G4-4	Primary brands, products, and services	Structure and Business Model	32-33
G4-5	Location of the organisation's headquarters	http://www.sberbank.ru/ru/about/today/requisites	
G4-6	Countries where the organisation operates	Sberbank Today	4-5
G4-7	Nature of ownership and legal form	http://data.sberbank.ru/moscow/ru/about/today/requisites/	
G4-8	Markets served	Structure and Business Model	32-33
G4-9	Scale of the organisation	Main Results for 2015	6
		Managing the employee development life cycle	128-129
		Ensuring the availability of financial services	112, 114
G4-10	Number of employees	Managing the employee development life cycle	128-129
G4-11	Percentage of total employees covered by collective bargaining agreements	Managing the employee development life cycle	128
G4-12	Organisation's supply chain	Dealing With Suppliers	100
G4-13	Significant changes regarding the organisation's size, structure, ownership, or its supply chain	Dealing With Suppliers	100
G4-14	Precautionary principle	The Group does not directly employ the precautionary principle in relation to its activities.	
G4-15	Economic, environmental and social charters, principles, or other initiatives	In 2015 Sberbank and the other members of Sberbank Group did not join any externally developed economic, environmental and social charters, principles, or other initiatives.	
G4-16	Membership of associations and national or international advocacy organisations	Appendix. Association Memberships	336-339
Identified Material Aspects and Boundaries			
G4-17	Entities included in the organisation's consolidated financial statements	Annual Consolidated Financial Statements under IFRS for 2015 http://www.sberbank.com/ru/investor-relations/reports-and-publications/ifrs	
G4-18	Process of defining material Aspects and scope	Approach to Information Disclosure in the section on Corporate Social Responsibility	328-329
G4-19	List of all the material Aspects	http://2014.report-sberbank.ru/ru/sr/csr-management-system/identifying-material-aspects/	
G4-20	Boundary of each material Aspect within the organisation	Approach to Information Disclosure in the section on Corporate Social Responsibility	330
G4-21	Boundary of each material Aspect outside the organisation	Boundaries for all Aspects include only the entities within the Group	
G4-22	Restatements of information provided in previous reports, and the reasons for such restatements	No restatement of information compared to the previous reporting period was provided	
G4-23	Significant changes from previous reporting periods in the Scope and Aspect Boundaries	Approach to Information Disclosure in the section on Corporate Social Responsibility	328

Indicator	Indicator Description	Section / Source	Page
Stakeholder Relations			
G4-24	List of stakeholder groups	http://www.sberbank.com/ru/responsibility/stakeholders Policy for Corporate Social Responsibility of Sberbank of Russia OJSC http://www.sberbank.com/ru/responsibility/our-approach	
G4-25	Basis for identification and selection of stakeholders with whom to engage	http://www.sberbank.com/ru/responsibility/stakeholders Policy for Corporate Social Responsibility of Sberbank of Russia OJSC http://www.sberbank.com/ru/responsibility/our-approach	
G4-26	Organisation's approach to stakeholder engagement	Dialogue with Employees Improving client servicing quality	141-143 106
G4-27	Key topics and concerns that have been raised through stakeholder engagement	Dialogue with employees improving client servicing quality	141-143 109-110
Report Profile			
G4-28	Reporting period	Calendar year 2015	
G4-29	Date of most recent previous sustainable development report publication	April 2015	
G4-30	Reporting cycle	Annual	
G4-31	Contact point for questions regarding the report or its contents	csr@sberbank.ru	
G4-32	Option of report preparation and table showing standard elements in the report	The Report was prepared in accordance with the GRI Guidelines – Core level	
G4-33	Policy and current practice with regard to seeking external assurance for the report	External assurance was not conducted in the reporting period	
Corporate Governance			
G4-34	Governance structure of the organisation, including committees of the highest governance body and any committees responsible for decision-making on economic, environmental and social impacts	Corporate governance Currently, Supervisory Board Committees are not directly responsible for decision-making on environmental and social impacts.	166
Ethics and Integrity			
G4-56	Organisation's values, principles, standards and norms of behaviour such as codes of conduct and codes of ethics	Corporate culture development Assessment of the corporate governance system Report on compliance with the principles and recommendations of the Code of corporate governance http://sberbank.com/ru/investor-relations/disclosure/regulative-documents	124-126 219 298-327
Indirect Economic Impact			
G4-DMA	Disclosures on management approach	Financing Socially-Significant Projects	144-147
G4-EC7	Development and impact of infrastructure investments and services supported	Financing Socially-Significant Projects Implementation of charity and sponsorship projects Creating the Contribution to the Future Fund	144-147 151 149-150
G4-EC8	Significant indirect economic impacts, including the extent of impacts	Financing Socially-Significant Projects	144
Procurement Practices			
G4-DMA	Disclosure of management approach	Dealing With Suppliers	99
G4-EC9	Proportion of spending on local suppliers at significant locations of operation	Dealing With Suppliers	100
Employment			
G4-DMA	Disclosures on management approach	Managing the employee development life cycle	130-140

Indicator	Indicator Description	Section / Source	Page
G4-LA1	Total number and rates of new employee hires and employee turnover by age, gender and region	Managing the employee development life cycle Appendix. Number of hired and dismissed employees in the Group	128 335
G4-LA2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Managing the employee development life cycle	137-138
Labour/ Management Relations			
G4-DMA	Disclosures on management approach	Dialogue with employees	141-143
G4-LA4	Minimum notice periods regarding operational changes, including whether these are specified in collective agreements	The current version of the Collective bargaining agreement of Sberbank does not prescribe a minimum notice period for notifying employees about significant changes in the bank's activities. Employees are notified in accordance with the labour laws of the countries where they are located. In particular, according to the Labour Code of the Russian Federation, the employer must notify the employee in writing form no later than two months in advance about any upcoming changes in the conditions of the employment contract as well as about the reasons for these changes.	
Occupational Health and Safety			
G4-DMA	Disclosures on management approach	Occupational Health and Safety	138-140
G4-LA6	Types of injury, occupational diseases, lost days, and absenteeism, and total number of work-related fatalities, by region and by gender	Occupational Health and Safety	138-139
Training and Education			
G4-DMA	Disclosures on management approach	Managing the employee development life cycle Performance Evaluation and Motivation of Employees	130-134 135-136
G4-LA9	Average hours of training per year per employee by gender, and by employee category	Education and professional development of employees	134
G4-LA11	Percentage of employees receiving regular performance and career development reviews, by gender and by employee category	Performance Evaluation and Motivation of Employees In 2015 all senior managers and employees of Sberbank passed the performance evaluation. In the Group's subsidiaries the share of management and employees who passed evaluation was 78% and 65% respectively.	135-136
Diversity and Equal Opportunity			
G4-DMA	Disclosures on management approach	Managing the employee development life cycle	129
G4-LA12	Composition of governance bodies and breakdown of employees per employee category according to gender, age group, minority group membership, and other indicators of diversity	Managing the employee development life cycle	129
Anticorruption			
G4-DMA	Disclosures on management approach	Risk management report (Compliance risk) Dealing with suppliers (Measures to prevent corruption in procurement)	289 101
G4-S04	Communication and training on anti-corruption policies and procedures	Risk management report (Compliance risk)	289
Local Communities			
G4-DMA	Disclosures on management approach	Ensuring the availability of financial services	112-115

Indicator	Indicator Description	Section / Source	Page
FS13	Access points in low-populated or economically disadvantaged areas by type	Ensuring the availability of financial services	112
FS14	Access points for disadvantaged people to services of the organisation	Ensuring the availability of financial services	114
Product and Service Labelling			
DMA	Disclosures on management approach	Enhancing financial literacy	147-148
G4-PR5	Results of surveys measuring customer satisfaction	Customer service improvement	106-108
Customer Privacy			
DMA	Disclosures on management approach	Security of banking transactions	120-121
G4-PR8	Ensuring client security and fraud prevention	In 2015 the total number of identified leaks, thefts or losses of customer data in Sberbank Group was 6. Yandex.Money experienced 3,217 cases in the reporting period.	
Energy			
DMA	Disclosures on management approach	Efficient Resource Consumption	156
G4-EN5	Energy intensity	Efficient Resource Consumption	156
Effluents and Waste			
DMA	Disclosures on management approach	Responsible Waste Handling	157-158
G4-EN23	Total weight of waste by type and disposal method	Responsible Waste Handling	157-158
Product Portfolio			
FS7	Monetary value of products and services designed to deliver a specific social benefit	Development of socially-oriented products	116-119



NUMBER OF HIRED AND DISMISSED EMPLOYEES IN THE GROUP¹

	2013	2014	2015
Number of employees employed, including:	105,047	96,175	71,594
by gender			
women	66%	61,8%	68.7%
men	34%	38.2%	31.3%
by age			
under 30 years	70.3%	69.9%	73.2%
30-50 years	28.5%	28.1%	23.4%
over 50 years	1.2%	2%	3.4%
Number of withdrawn employees	83,454	72,341	69,229



NUMBER OF CUSTOMER SERVICE OUTLETS OF THE GROUP'S SUBSIDIARY BANKS

Subsidiary	2013	2014	2015
DenizBank	689	716	692
Sberbank Europe	277	294	281
Sberbank Ukraine	218	189	154
Sberbank Kazakhstan	105	117	117
BPS-Sberbank	159	139	99

¹ Breakdown by gender and age for the years 2013-2014, excluding Sberbank figures.



ASSOCIATION
MEMBERSHIPS

Sberbank

Association of Russian Banks (ARB)
Russian National SWIFT Association, ROSSWIFT
Association of MasterCard Members (non-profit organisation)
Association of Bill Market Participants (ABMP)
U.S.-Russia Business Council (USRBC)
Non-profit association of legal entities Russian-American Business Cooperation Council (RABCC)
Non-profit partnership Russian-Chinese Business Council (NP RCBC)
World Economic Forum (WEF)
International Monetary Conference (IMC)
International Banking Security Association (IBSA)
International Capital Market Association (ICMA)
National Association of Securities Market Participants
National Securities Market Association (NSMA)

Cetelem Bank

French Club Association — French-Russian Chamber of Commerce and Industry (CCIFR)

BPS-Sberbank

Association of Belarusian Banks
Belarusian Association of Securities Market Participants
Moscow Interbank Currency Exchange — currency market section
Belarusian Currency and Stock Exchange — currency, stock and forward market sections
Belarusian Chamber of Commerce and Industry
Association of Securities Market Participants
Automated System for Interbank Settlements in BISS System and Clearing System for Other Settlements in the Republic of Belarus
International Payment System MasterCard Worldwide
International Payment System Visa International
National Payment System BelCard
International Payment System American Express
Management for Technical Regulation, Standardisation and Certification of the Settlement Centre of the National Bank of the Republic of Belarus
Organising Committee of the International Forum for Bank IT Technologies “Bank-IT”
Bank Processing Centre

Sberbank Ukraine

Association “Stock Partnership”
Association of Ukrainian Stock Traders
Ukrainian Interbank Payment Systems Member Association “EMA”
UkrSWIFT Association
Ukrainian National Mortgage Association (UNIA)
European Business Association
Professional Association of Registrars and Depositories (PARD)

Independent Association of Banks of Ukraine (NABU)
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Sberbank Kazakhstan

European Business Association of Kazakhstan (EUROBAK)
Financial Institutions’ Association of Kazakhstan
Deposit Guarantee Fund

DenizBank

Turkey Foreign Trade Association
Turkish Tourism Investors Association (TYD)
Association of Foreign Economic Relations
Advertising Institutions’ Association
Association of International Relations
Global Forum for International Relations

Sberbank Switzerland

Swiss Association of Compliance Officers (SACO)
Swiss Bankers Association (SBA)
Association of Foreign Banks in Switzerland (AFBS)

Sberbank Europe

<i>Austria</i>
Vienna Economic Forum
Institute for the Danube Region and Central Europe (IDM)
French-Austrian Chamber of Commerce
German Chamber of Commerce in Austria
Vienna Chamber of Commerce
Austrian Bankers’ Association
Austrian Russian Friendship Association
<i>Bosnia and Herzegovina</i>
Banking Association of Bosnia and Herzegovina
<i>Czech Republic</i>
Association of Czech Banks
Czech Institute of Internal Auditors
Russian-Czech Chamber of Commerce and Industry
Association of Small and Medium Businesses
Chamber for Commercial Relations with CIS States, special chamber of commerce
Czech-German Foreign Trade Chamber (ČNOPK)
French-Czech Chamber of Commerce (FČOK)
Italian-Czech Chamber of Commerce
Russian Chamber of Commerce
Capital Market Association
Regional Chamber of Commerce and Industry, Brno
Union of East and Middle Europe

European Financial Consulting (EUFC)
<i>Croatia</i>
Croatian Banking Association (HUB)
Croatian Chamber of Commerce (HGK)
Croatian Employers' Association (HUP)
Croatian Financial Market Association (ACI)
Croatian exporters
Information Systems Audit and Control Association (ISACA) Croatia Chapter
Croatian SWIFT group
Croatian large value payment system (HSVP)
Association of Chartered Certified Accountants
German-Croatian Chamber of Industry and Commerce
Croatian Institute of Internal Auditors (HIIR)
European Payments Council (EPC)
<i>Hungary</i>
Hungarian Banking Association
Budapest Chamber of Commerce
<i>Slovenia</i>
Bank Association of Slovenia
<i>Slovakia</i>
Bratislava Stock Exchange
Slovak Banking Association
Slovak-Austrian Chamber of Commerce
Economics Newspapers Club (HNClub)
Association of Spokespersons Slovakia
Slovak – Russian Business Council
Association for ATM cards
American Chamber of Commerce
Association of Securities Market Participants
<i>Ukraine</i>
Individuals Deposits Guarantee Fund
Ukrainian Banking Association (UBA)
Association of Banks of Lviv Region (ABL)
Society for the Worldwide Interbank Financial Telecommunication (SWIFT)
Visa International Service Association (VISA)Association of European Businesses
<i>Serbia</i>
Association of Serbian Banks
Memorandum of Understanding with the United Nations Children's Fund in Serbia
Serbian Association for Public Relations
Corporate University
European Foundation for Management Development(EFMD)
Association for Talent Development (ATD)
Corporate University Xchange (CorpU)

Executive Corporate Learning Forum (ECLF)
Global Council of Corporate Universities (GlobalCCU)
Sberbank Leasing
United Leasing Association (ULA)
Leasing Committee of Chamber of Commerce and Industry of the Russian Federation
Sberbank Private Pension Fund
Board of NP National Association of Non-State Pension Funds (NAPF)
Expert Council for Collective Investments under the Bank of Russia's Financial Markets Service
RSPP Committee for developing the pension system and social insurance
Working Group of the Ministry of Finance for improvement of the Russian law regulating the Private Pension Fund operations
Sberbank Insurance
Life Insurers Association
Russian Insurers Union
Sberbank Technologies
Resident of Skolkovo Innovation Centre, Russia
ActiveBusinessCollection
National Association of Professional Collection Agencies (NAPCA)
Yandex.Money
Russian e-Money Association

LIST OF KEY SUBSIDIARIES AND AFFILIATES OF THE BANK

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
1	Auction LLC	Russian Federation	Russian Federation	100.00%
2	KIPARISIANA INVESTMENT LTD	Republic of Cyprus	Russian Federation	100.00%
3	GARANT-SV LLC	Russian Federation	Russian Federation	100.00%
4	Kiparis 2 LLC	Russian Federation	Russian Federation	100.00%
5	Moscow Municipal Golf Club LLC	Russian Federation	Russian Federation	71.95%
6	GAMMA-S LLC	Russian Federation	Russian Federation	100.00%
7	GORIZONT-SERVIS LLC	Russian Federation	Russian Federation	100.00%
8	Sberbank Capital LLC	Russian Federation	Russian Federation	100.00%
9	Rublyovo-Arkhangelskoye JSC	Russian Federation	Russian Federation	100.00%
10	Sberbank Leasing JSC	Russian Federation	Russian Federation	100.00%
11	Sberbank Leasing Ukraine LLC	Ukraine	Ukraine	100.00%
12	SB Leasing Cyprus Limited	Republic of Cyprus	Russian Federation	100.00%
13	SB Leasing Ireland Limited	Ireland	Russian Federation	100.00%
14	Sberbank Leasing Nord CJSC	Russian Federation	Russian Federation	100.00%
15	Sberbank Leasing Kazakhstan LLP	Republic of Kazakhstan	Republic of Kazakhstan	100.00%
16	BPS Leasing CJSC	Republic of Belarus	Republic of Belarus	99.23%
17	RUST CJSC	Russian Federation	Russian Federation	100.00%
18	Registrar Company Status JSC	Russian Federation	Russian Federation	40.00%
19	SB of Sberbank JSC	Republic of Kazakhstan	Republic of Kazakhstan	100.00%
20	SBERBANK PSC	Ukraine	Ukraine	100.00%
21	BPS Sberbank OJSC	Republic of Belarus	Republic of Belarus	98.43%
22	Sberbank – Automated Trading System CJSC	Russian Federation	Russian Federation	100.00%
23	Sovremennye Tekhnologii LLC	Russian Federation	Russian Federation	100.00%
24	United Credit Bureau CJSC	Russian Federation	Russian Federation	50.00%
25	Sberbank Private Pension Fund JSC	Russian Federation	Russian Federation	100.00%

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
26	IKS CJSC	Russian Federation	Russian Federation	100.00%
27	Promising Investments LLC	Russian Federation	Russian Federation	100.00%
28	Sberbank Financial Company LLC	Russian Federation	Russian Federation	100.00%
29	Sberbank Specialised Depository LLC	Russian Federation	Russian Federation	100.00%
30	Universal Electronic Card JSC	Russian Federation	Russian Federation	93.55%
31	Regional Information Centre of the Oryol Region JSC	Russian Federation	Russian Federation	47.71%
32	Regional Information Centre of the Kirov Region JSC	Russian Federation	Russian Federation	45.84%
33	Single Transport Card LLC	Russian Federation	Russian Federation	93.55%
34	Unified Information and Settlement Centre of the Kaluga Region JSC	Russian Federation	Russian Federation	47.71%
35	NCO Universal Electronic Card LLC	Russian Federation	Russian Federation	93.55%
36	Unified Billing and Processing Centre of the Kursk Region JSC	Russian Federation	Russian Federation	93.55%
37	Universal Electronic Card of the Irkutsk Region JSC	Russian Federation	Russian Federation	47.71%
38	Unified Processing and Billing Centre of Mari El Republic JSC	Russian Federation	Russian Federation	45.84%
39	Unified Information and Settlement Centre Region-21 OJSC	Russian Federation	Russian Federation	47.71%
40	Unified Billing and Processing Centre in Nizhny Tagil JSC	Russian Federation	Russian Federation	47.71%
41	Register of Universal Electronic Cards of the Kemerovo Region OJSC	Russian Federation	Russian Federation	38.98%
42	Unified Billing and Processing Centre of Khanty-Mansi Autonomous Okrug - Yugra JSC	Russian Federation	Russian Federation	70.33%
43	Regional Unified Information and Settlement Centre JSC	Russian Federation	Russian Federation	47.71%
44	Strategy Partners Group CJSC	Russian Federation	Russian Federation	74.75%
45	Strategy Partners Kazakhstan LLP	Republic of Kazakhstan	Republic of Kazakhstan	74.75%
46	Research and Consulting Centre STRATEGY LLP (Kazakhstan)	Republic of Kazakhstan	Republic of Kazakhstan	37.38%
47	Regional Cash and Settlement Centre OJSC	Russian Federation	Russian Federation	50.00%
48	Sberbank Investments LLC	Russian Federation	Russian Federation	100.00%
49	SBERBANK INVESTMENTS LIMITED	Republic of Cyprus	Russian Federation	100.00%

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
50	Sberbank Technologies JSC	Russian Federation	Russian Federation	100.00%
51	Sberbank Technologies LLC	Republic of Belarus	Republic of Belarus	99.61%
52	Loyalty Programmes Centre CJSC	Russian Federation	Russian Federation	100.00%
53	SB International S.à r.l.	Grand Duchy of Luxembourg	Grand Duchy of Luxembourg	100.00%
54	SBTVF Limited	Republic of Cyprus	Russian Federation	100.00%
55	SBGB Cyprus Limited	Republic of Cyprus	Russian Federation	100.00%
56	Sberbank CIB USA, Inc.	USA	USA	100.00%
57	TD KUA Holdings Limited	Republic of Cyprus	Russian Federation	100.00%
58	T.D. E.S.O.P. Holdings Limited	Republic of Cyprus	Russian Federation	99.97%
59	3D CJSC	Russian Federation	Russian Federation	99.97%
60	Sberbank CIB CJSC	Russian Federation	Russian Federation	100.00%
61	SIB Finance LLC	Russian Federation	Russian Federation	100.00%
62	SIB FINANCIAL CONSULTANT CJSC	Russian Federation	Russian Federation	100.00%
63	Management Company SBVK CJSC	Russian Federation	Russian Federation	99.97%
64	SA&PM (Cyprus) Limited	Republic of Cyprus	Russian Federation	100.00%
65	Polenica Investments Limited	Republic of Cyprus	Russian Federation	99.98%
66	Bylinnye Bogatyri LLC	Russian Federation	Russian Federation	100.00%
67	Bogatyrskaya TROIKA LLC	Russian Federation	Russian Federation	100.00%
68	Sberbank Asset Management JSC	Russian Federation	Russian Federation	100.00%
69	SIB Financial Broker JSC	Russian Federation	Russian Federation	100.00%
70	Sberbank CIB (UK) Limited	United Kingdom of Great Britain and Northern Ireland	United Kingdom of Great Britain and Northern Ireland	100.00%
71	Roinco Enterprises Limited	Republic of Cyprus	Russian Federation	100.00%
72	SIB (CYPRUS) LIMITED	Republic of Cyprus	Russian Federation	100.00%
73	Troika Capital Partners Limited (Republic of Cyprus)	Republic of Cyprus	Russian Federation	100.00%
74	Silver Standard Operations Limited	Republic of Cyprus	Russian Federation	100.00%
75	Arimero Holding Limited	Republic of Cyprus	Russian Federation	100.00%
76	Formovochnye Avtomaty LLC	Russian Federation	Russian Federation	100.00%
77	Format-Neva LLC	Russian Federation	Russian Federation	100.00%

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
78	PF LAGOM CJSC	Russian Federation	Russian Federation	100.00%
79	Lagom-Ukraine LLC	Ukraine	Ukraine	100.00%
80	Khochtovary CJSC	Russian Federation	Russian Federation	100.00%
81	Binotek LLC	Russian Federation	Russian Federation	100.00%
82	Sabon LLC	Russian Federation	Russian Federation	100.00%
83	SMG Plastic LLC	Russian Federation	Russian Federation	100.00%
84	Sategor CJSC	Russian Federation	Russian Federation	100.00%
85	Lagom-Ural LLC	Russian Federation	Russian Federation	100.00%
86	Troika Dialog Investments Limited	Republic of Cyprus	Russian Federation	100.00%
87	SB Luxemburg S.à r.l.	Grand Duchy of Luxembourg	Grand Duchy of Luxembourg	100.00%
88	Sberbank (Switzerland) AG	Swiss Confederation	Swiss Confederation	99.28%
89	Insurance Company Sberbank Life Insurance LLC	Russian Federation	Russian Federation	100.00%
90	Sberbank Europe AG	Republic of Austria	Republic of Austria	100.00%
91	Sberbank BH D.D.	Bosnia and Herzegovina	Bosnia and Herzegovina	100.00%
92	"Sberbank" A.D. BANJA LUKA	Bosnia and Herzegovina	Bosnia and Herzegovina	100.00%
93	BAMCARD d.o.o. Sarajevo	Bosnia and Herzegovina	Bosnia and Herzegovina	20.03%
94	"SUPER KARTICA" d.o.o. Beograd	Republic of Serbia	Republic of Serbia	33.00%
95	Sberbank d.d.	Republic of Croatia	Republic of Croatia	100.00%
96	Sberbank Srbija A.D.	Republic of Serbia	Republic of Serbia	100.00%
97	PJSC VS Bank	Ukraine	Ukraine	99.92%
98	Sberbank banka d.d.	Republic of Slovenia	Republic of Slovenia	99.98%
99	Privatinvest d.o.o.	Republic of Slovenia	Republic of Slovenia	99.98%
100	Sberbank CZ, a.s.	Czech Republic	Czech Republic	100.00%
101	Sberbank Slovensko, a.s.	Republic of Slovakia	Republic of Slovakia	99.50%
102	ALPHA Plus, s.r.o.	Republic of Slovakia	Republic of Slovakia	99.50%
103	Sberbank Magyarország Zrt (MAGYARORSZAGI VOLKSBANK RT.)	Hungary	Hungary	98.93%
104	BEVO-Holding GmbH	Republic of Austria	Republic of Austria	100.00%
105	ALB EDV-Service GmbH	Republic of Austria	Republic of Austria	100.00%
106	Pronam Nekretnine d.o.o. (Sberbank Nekretnine d.o.o.)	Republic of Croatia	Republic of Croatia	100.00%

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
107	KORUS Consulting CIS LLC	Russian Federation	Russian Federation	100.00%
108	Sberbank Factoring LLC	Russian Federation	Russian Federation	100.00%
109	Delovaya Sreda JSC	Russian Federation	Russian Federation	100.00%
110	Cetelem Bank LLC (Commercial Bank BNP Paribas Vostok Limited Liability Company)	Russian Federation	Russian Federation	79.20%
111	SB Securities S.A.	Grand Duchy of Luxembourg	Grand Duchy of Luxembourg	100.00%
112	DENIZBANK A.S.	Turkish Republic	Turkish Republic	99.85%
113	Deniz Finansal Kiralama Anonim Sirketi	Turkish Republic	Turkish Republic	99.85%
114	DESTEK VARLIK YONETIM A.S.	Turkish Republic	Turkish Republic	99.84%
115	Deniz Faktoring Anonim Sirketi	Turkish Republic	Turkish Republic	99.85%
116	Deniz Yatirim Menkul Kiymetler Anonim Sirketi	Turkish Republic	Turkish Republic	99.84%
117	Ekspres Menkul Degerler A.S.	Turkish Republic	Turkish Republic	99.84%
118	Deniz Portfoy Yonetimi A.S.	Turkish Republic	Turkish Republic	99.83%
119	DENIZ GAYRIMENKUL YATIRIM ORTAKLIGI A.S.	Turkish Republic	Turkish Republic	91.24%
120	Intertech Bilgi islem ve Pazarlama Ticaret A.S.	Turkish Republic	Turkish Republic	99.85%
121	Deniz Kartli Odeme Sistemleri A.S.	Turkish Republic	Turkish Republic	99.85%
122	Acik Deniz Radyo ve Televizyon Iletisim Yayıncılık Ticaret ve Sanayi A.S.	Turkish Republic	Turkish Republic	99.84%
123	Denizbank Kultur Sanat Yayıncılık Ticaret ve Sanayi A.S.	Turkish Republic	Turkish Republic	99.85%
124	Euro Deniz International Banking Unit Limited	Republic of Cyprus	Republic of Cyprus	99.76%
125	DENIZBANK AG	Republic of Austria	Republic of Austria	99.85%
126	CR Erdberg Eins GmbH & Co KG	Republic of Austria	Republic of Austria	99.85%
127	DENIZ IMMOBILIEN SERVICE GmbH	Republic of Austria	Republic of Austria	99.85%
128	Denizbank Moscow Joint Stock Company	Russian Federation	Russian Federation	99.85%
129	Bantaş Nakit ve Kıymetli Mal Taşıma ve Güvenlik Hizmetleri A.Ş.	Turkish Republic	Turkish Republic	33.28%
130	Sotsialnye Garantii OJSC	Russian Federation	Russian Federation	49.87%
131	ActiveBusinessCollection LLC	Russian Federation	Russian Federation	100.00%
132	PS Yandex.Money LLC	Russian Federation	Russian Federation	75.00%
133	Non-Banking Credit Institution Yandex. Money LLC	Russian Federation	Russian Federation	75.00%

	Name	Country of registration	Country of business	Cumulative interest from the point of view of the Group
134	Sberbank Service LLC	Russian Federation	Russian Federation	100.00%
135	SB Capital S.A.	Grand Duchy of Luxembourg	Grand Duchy of Luxembourg	0.00%
136	Sberbank Insurance Broker LLC	Russian Federation	Russian Federation	100.00%
137	Platius LLC	Russian Federation	Russian Federation	50.01%
138	RuTarget LLC	Russian Federation	Russian Federation	100.00%
139	Sberbank Real Estate Centre LLC	Russian Federation	Russian Federation	100.00%
140	Digital Technologies LLC	Russian Federation	Russian Federation	100.00%
141	Insurance Company Sberbank Insurance LLC	Russian Federation	Russian Federation	100.00%
142	TD Soft LLC	Russian Federation	Russian Federation	100.00%

For the year that ended on 31 December, 2014, RUB billion

Jurisdiction																				Amount before effect of intragroup transactions	Net effect of intragroup transactions	Total
Russian Federation	Republic of Austria	Republic of Belarus	Bosnia and Herzegovina	Republic of Croatia	Republic of Cyprus and other jurisdictions	Czech Republic	United Kingdom of Great Britain and Northern Ireland	Swiss Confederation		Hungary	Ireland	Republic of Kazakhstan	Republic of Serbia	Republic of Slovakia	Republic of Slovenia	Turkish Republic	Ukraine	USA				
Net interest income	912.30	10.50	8.00	1.70	2.20	-3.80	3.30	—	0.50		2.00	0.40	12.90	2.00	2.80	1.90	52.60	10.40	—	1,019.70	—	1,019.7
Net expenses on creating a provision for depreciation of debt financial assets	-313.70	-0.10	-1.70	-0.40	-1.20	-0.50	-0.70	—	-0.30		-1.10	-1.90	-4.70	-1.00	-0.70	-1.20	-10.50	-21.70	—	-361.40	—	-361.4
Net fee and commission income	230.20	0.40	4.40	0.40	0.30	-1.00	0.50	0.20	0.20		1.20	—	3.60	0.40	0.50	0.30	16.20	1.20	0.20	259.20	—	259.2
Net other operating income	10.00	-0.10	-1.70	0.10	0.20	10.50	0.40	0.90	0.10		0.30	—	2.00	0.20	0.20	0.40	-4.90	8.10	—	26.70	-4.9	21.8
Operating income	838.80	10.70	9.00	1.80	1.50	5.20	3.50	1.10	0.50		2.40	-1.50	13.80	1.60	2.80	1.40	53.40	-2.00	0.20	944.20	-4.90	939.30
Operating expenses	-478.50	-6.10	-8.20	-1.30	-1.50	-1.70	-2.50	-2.40	-1.10		-4.50	—	-6.70	-1.30	-2.70	-1.30	-40.10	-5.00	-0.60	-565.50	0.4	-565.1
Profit/(loss) before tax	360.30	4.60	0.80	0.50	—	3.50	1.00	-1.30	-0.60		-2.10	-1.50	7.10	0.30	0.10	0.10	13.30	-7.00	-0.40	378.70	-4.50	374.20
Profit tax expenses	-81.00	-0.30	-0.80	—	—	0.50	-0.20	—	—		-0.10	0.20	-1.40	—	—	-0.10	-2.20	1.40	—	-84.00	0.1	-83.9
Profit/(loss) for the year	279.30	4.30	0.00	0.50	—	4.00	0.80	-1.30	-0.60		-2.20	-1.30	5.70	0.30	0.10	-0.00	11.10	-5.60	-0.40	294.70	-4.40	290.30
Capital expenditures	132.20	0.10	1.00	0.40	0.20	—	0.10	—	0.20		0.60	—	1.10	0.20	0.10	0.10	3.90	0.80	—	141.00		141.0

For the year that ended on 31 December, 2015, RUB billion

Jurisdiction																						
	Russian Federation	Republic of Austria	Republic of Belarus	Bosnia and Herzegovina	Republic of Croatia	Republic of Cyprus and other jurisdictions	Czech Republic	United Kingdom of Great Britain and Northern Ireland	Swiss Confederation		Hungary	Ireland	Republic of Kazakhstan	Republic of Serbia	Republic of Slovakia	Republic of Slovenia	Turkish Republic	Ukraine	USA	Amount before effect of intragroup transactions	Net effect of intragroup transactions	Total
Net interest income	841.60	18.90	10.60	2.40	2.60	-1.60	3.50	—	0.60		1.80	0.20	17.40	2.50	2.90	2.60	73.00	9.00	—	988.00	—	988.0
Net expenses on creating a provision for depreciation of debt financial assets	-378.30	-2.30	-11.80	-0.50	-1.30	-0.30	-0.40	—	0.10		-0.40	-2.10	-21.80	-1.70	-0.80	-2.30	-20.80	-30.50	—	-475.20	—	-475.2
Net fee and commission income	283.50	0.50	4.90	0.70	0.40	-1.80	0.60	0.10	0.40		1.10	—	5.20	0.40	0.50	0.40	20.50	1.10	0.50	319.00	—	319.0
Net other operating income	109.60	-7.70	3.90	0.20	-2.00	11.00	0.20	0.60	0.40		0.10	0.20	10.50	0.30	-2.00	0.40	-13.10	7.10	0.10	119.80	3.0	122.8
Operating income	856.40	9.40	7.60	2.80	-0.30	7.30	3.90	0.70	1.50		2.60	-1.70	11.30	1.50	0.60	1.10	59.60	-13.30	0.60	951.60	3.00	954.60
Operating expenses	-508.50	-8.10	-8.70	-2.40	-2.20	-4.40	-3.90	-1.30	-1.80		-5.50	-0.30	-10.20	-2.20	-3.50	-1.90	-54.80	-4.20	-0.60	-624.50	1.1	-623.4
Profit/(loss) before tax	347.90	1.30	-1.10	0.40	-2.50	2.90	—	-0.60	-0.30		-2.90	-2.00	1.10	-0.70	-2.90	-0.80	4.80	-17.50	—	327.10	4.10	331.20
Profit tax expenses	-105.80	-1.20	0.50	—	0.40	-0.50	-0.10	—	—		-0.10	0.20	-0.30	0.10	0.20	0.10	-1.60	0.50	—	-107.60	-0.7	-108.3
Profit/(loss) for the year	242.10	0.10	-0.60	0.40	-2.10	2.40	-0.10	-0.60	-0.30		-3.00	-1.80	0.80	-0.60	-2.70	-0.70	3.20	-17.00	—	219.50	3.40	222.90
Capital expenditures	86.00	2.80	1.40	—	—	—	—	—	0.10		—	0.30	2.80	—	—	—	7.20	0.20	—	100.80	—	100.8